Thomas Cook India (THOMASCOOK)

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August 17, 2022

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK

Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Subject: Transcript of the Analyst and Investor Conference Call on Q1 & FY23 earnings

In furtherance of our intimations dated August 1, 2022, August 5, 2022 and August 10, 2022 giving intimation on the Q1 & FY23 earning Conference Call for the analysts and investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith Transcript of the Investor and Analyst Conference Call held on August 08, 2022.

This is for your information and records.

Thank you.

Yours faithfully
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary & Compliance Officer

Encl: a/a

Thomas Cook (India) Limited
Q1 FY202 3 Earnings Conference Call
Aug 08 , 2022

MANAGEMENT TEAM
MR. MADHAVAN MENON - MANAGING DIRECTOR , THOMAS COOK (INDIA) LIMITED
MR. MAHESH IYER – CHIEF EXECUTING OFFICER & EXECUTIVE DIRECTOR - THOMAS COOK (INDIA) LIMITED
MR. VISHAL SURI – MANAGING DIRECTOR – SOTC TRAVEL LIMITED
MR. DEBASIS NANDY - PRESIDENT AND GROUP CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. BRIJESH MODI – CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. VIKRAM LALVANI – MANAGING DIRECTOR –STERLING HOLIDAY RESORTS LIMITED
MR. KRISHNA KUMAR – CHIEF FINANCIAL OFFICER - STERLING HOLIDAY RESORTS LIMITED
MR. ABRAHAM ALAPATT - MARKETING SERVICES - THOMAS COOK (INDIA) LIMITED
MS. URVASHI BUTANI - INVESTOR RELATIONS - THOMAS COOK (INDIA) LIMITED

Moderator: Ladies and gentlemen , good day, and welcome to the Q1 FY 23 Earnings Conference Call of Thomas Cook (India) Limited hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “&” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Akul Broachwala from IIFL Securities Limited.

Thank you, and over to you, sir.
Akul Broachwala : Thank you, Rutuja. Ladies and gentlemen, good afternoon, and thank you for joining us on the 1Q FY 23 Earnings Conference Call of Thomas Cook (India) Limited. I invite the company's senior management team, who are here to discuss the results and business strategy. We'll begin the call with opening remarks by Mr. Madhavan Menon, Managing Director, followed by the management team. And thereafter, we'll open the c all for a Q&A session. I would now like to hand over the call to Mr. Menon, to take the proceedings forward. Thank you, and over to you, sir.
Madhavan Menon : Thank you. Thank you very much. Good afternoon, ladies and gentlemen. Once again, thank you for at tending this call. I hope we are in a position to answer all the questions or the quer ies that you may have.

I just want to kick off by rehashing what has happened over the last several months/weeks. We started our return journey to normalcy sometime in Q3 FY22 . It was interrupted unfortunately in January and a part of February again due to Omicron . However, since then, we have seen an uninterrupted recovery and this is the second quarter that we will report profits.
I think the return to profitability, tho ugh a bit long, has been contributed by various factors. Obviously, toward s the return of business, we saw volumes come across all our businesses. An important contributor has been the productivity improvements like cost rationalization, upgrading of techn ologies that we implemented over the last 24 months. And when I say this, we are talking about cost savings very well in terms of payroll, between 37% and 45%. We are talking about having upgraded technology across the organization , be it cu stomer facing or internal business processes, we've have gone through a whole lot of change, and I think some of the results of this are obviously evident and contributing to our bottom line, as we talk today.
The primary driver behind all this has been customer centrici ty, by allowing a customer access to an omnichannel facility, which allows the customer as well as the agent of the organization to look at the same screen. And obviously seamless processes, which allow the customer to choose how they want to interact with us, be it at a corporate or be it at a retail level . And these are important benefits that we are beginning to see. And the bottom line sees a benefit from all these aspects.
In terms of our medium to long term objectives, one is to maintain the cost savi ngs, and this will be achieved through greater use of technology, as well as improvement in productivity. Two - expand our customer base, I think one of the major benefits of this COVID, if I use the word benefit, is the expanded customer base that we are w itnessing today. We want to use technology to get a better understanding of our customer, and this has been through enhancements that we put in place both in our businesses as well as in the CRM.
Lastly, trust in the brand of Thomas Cook and SOTC. We see t his as very important objective and I've always said this that, we will always focus on interacting with our customers and leveraging the strong brand recall that we have across SOTC and Thomas Cook, both of which have a long history. And, with that, I'll end my comments and hand over to Debasis.
Debasis Nandy : Thank you, Madhavan. Before I start, I just want to mention the people who are attending this call other than Madhavan, of course. Apart from me, there is Mahesh Iyer, CEO of

Thomas Cook (India) Limited, the standalone company; Vishal Suri, MD of SOTC; Mr. Vikram Lalvani, the MD of Sterling; and KS Ramakrishnan, CEO of DEI, who will also be addressing today .
I'll take you through the financial highlights before I hand over to Mahesh. We returned to profitability at a standalone level after about 8 quarters and as Madhavan said, the recovery started from Q3 of last year, and it has finally moved to a stage that we could report a PBT on a standalone level. Our income from operations at Rs. 2,979 mn for the quarter, represents a 3.8x growth vis -a-vis the last quarter. The PBT is at about Rs. 59 mn, vis-a-vis a loss of Rs. 384 mn in the previous quarter. And this was after considering the mark -to-market losses on account of our holdings in Quess Corp, which is purely non -operating in nature. Hence, if I adjust for that, the effective profit is actually about Rs. 115 mn.
At a consolidated level, we reported Rs. 976 2 mn of income from operations, which is a growth of 87% quarter -on-quarter. At a PBT level , our losses after considering the MTM losses narrowed to Rs. 23 mn vis-a-vis Rs. 518 mn in the last quarter. And if I do not consider the non -operating MTM losses, then the actual un

derlying PBT at a consolidated level is about Rs. 33 mn versus a loss of Rs.
271 mn in the previous quarter.
While our income grew substantially, I think we must also mention, as Madhavan said, that a lot of our success is due to the cost reduction efforts. We have been able to cut down our cost by 33% as compared to the pre -pandemic, and I'm talking about number s for the same quarter, and all of these cost reductions are likely to stay with us. At the balance sheet level, we had a healthy cash balance of Rs. 8 ,500 mn as of 30th of June, and Rs. 6,399 mn as on 31st March. And our loan book at overall consolidated level is over Rs. 4 ,736 mn .
With this, I hand over to Mahesh, and he will take you through the FOREX and the travel business.

Mahesh Iyer : Thank you, Debasis. I'll be quickly giving you a bit of a snap into what has led to this kind of performance. I thin k it's important to highlight that, all the businesses within the Group , whether it's foreign exchange, corporate travel, B2B or B2C side of the travel, I think without exception, all of them have done well during this quarter. It's also important to highl ight here, that we had also guided the market in terms of the recovery, and I'm really happy to report here that we have overshot our own guidance in 3 out of the 4 quadrants of business that we operate.

And to begin with, I'll start off with foreign excha nge. On the foreign exchange side, our volumes grew about 40% on a quarter -on-quarter basis, and reflected about 66% recovery to the pre - pandemic level. You will note here, that we had guided to about 63% recovery when we spoke to you all the last time aro und, but our recovery on this front has been much higher. The key factors driving this recovery, has been the retail business and specific within the retail, education forex and travel related forex has actually started to bounce back. It's also important to highlight, that retail is a high -yield business. Our margins in this business is close to about 2.5%, and we are holding on to the yields in this business very strongly.

The corporate FX side of the FX business is coming back slowly , we've seen about 60% recovery in the current quarter. But the important highlight here is to look at the card volumes. The card volumes actually grew 2x from about $80 million to about $ 154 million, and that's a very strong comeback. This reflects almost close to 115% recovery to the pre -pandemic level, and we remain very confident of the rest of the year, as far as the foreign exchange business is concerned.

If I guide you through our projections for the next quarter, we expect about 70% -odd recovery for the fo reign exchange business in the coming quarters and the current trends that we see reflects the position in that direction.

Moving on to the corporate travel side of the business. Again, a very strong performance coming from corporate travel. Important to h ighlight here, that there is a restricted flow or supply of airfares or rather airline seats, and that capacity is coming back slowly. We are about 90% on to the domestic side and about 10% to the international. But despite that, our volumes are already cr ossing the pre - pandemic level. From a volume point of view, in the month of June in specific, our volumes actually touched the pre -pandemic level and f rom a value point of view, we are already ahead of the pre - pandemic level. Our expectation for the next q uarter is about 125% to the pre -pandemic level. And this, as you know, is buoyed by 2 factors: one, the higher volume that we are seeing and also the value, which is currently at a heightened level. Important to also highlight here, that we have guided the market to about 84% recovery, and we actually ended up the quarter at about 87%. So, again, on this count, we've done well. And our expectation on this side of the business is that we continue to see this momentum coming.

It's also

important to highlight the point that Madhavan made in terms of technology. This is one business, where we infused a lot of technology into the business. We've actually automated the

entire process of issuing a ticket and submission, because it's a cash guzzler and we have bough t in a lot of efficiency in that process, to ensure that we stay very lean as far as the order book is concerned.

Coming to the B2B holiday side of the business, which is MICE. Again, we have guided the market to a 38% recovery, and I am happy to report, t hat we ended up at about 44% recovery to the pre - pandemic level. Important to mention her e, that we managed some the large groups that we handled, the Khelo India, the WHO conference, these are large marquee relationships that we have built over the last 1 2 months or so, and we see this becoming a very dominant share of our overall business. Yield from this business continue to be very strong. And that unlike in the past, where we used to do some amount of digital events, this quarter, we actually did all o f it as physical. And that kind of reflects the mood of the nation where people now want to come back, and travel on the physical mode, and we see that recovery going very strongly into the next quarter.

We are guiding the market to about 72% recovery in t he next quarter, and we believe our current order book and what we will put into the funnel over the next 2 quarters, should see us ending the year at close to about 80%, 85% recovery for the full year, as far as the MICE business is concerned.

Coming to the holiday side of the business. As you will realize, the market is a bit slow to come and also, there are external challenges. External challenges in the form of supply side, from an airline point of view, supply from a visa point of view, and these continue to be a challenge, as we speak. While we navigate these challenges, we are taking up opportunities that we see, and those are kind of reflecting well into the business, and it's comeback, as we see.

To just give you some sense on how the dom estic and international side of the holidays have played out in the current quarter, on the domestic side, we have seen a 78% recovery, but we are very confident that the recovery to the end of the year will actually surpass close to 100%. Our forecast for the next quarter is about 94% recovery, and we see that coming back very strongly. While there are destination -related challenges and airfare related challenges, but despite that, the pent -up demand continues to be very, very high, and we see that augurin g very well for the domestic business.

On the international side, there are 2 parts to it, and we've spoken about it in the past, the short haul and the long haul. While the momentum on the short haul side is very strong, the long haul

continues to be real ly subdued, because there are these challenges that relate to visa, and I'm sure all of you all know about it, whether it's the European or whether it is British, I think all these Visa challenges continue to kind of impact the growth that we see there. But despite that, we kind got across to a projected number. We spoke about a targeted recovery of about 19%. We came close to about 18%. But looking into the next quarter, our recovery seems to be very, very strong. We are looking at about 42%. Our current guidance for the full year is about 65% to 70% recovery, and we see our volumes to be trending in that direction.

It's also important to call out here that, we've done a lot of work in terms of bringing new products to the market, being tactical in terms of the festivities and at the same time, continue to build on the technology. The footprint that Madhavan mentioned, whether it is the distribution or it is the servicing side of it. We continue to invest in technology to make the entire experience for the customer very seamless.

Before I end, I just want to quickly talk about

one bit of work that we have done on the foreign exchange side. We've built this entire portfolio around the Study Abroad, whether it is study buddy content that we are creating, abou t 130 -plus videos, and we are now taking an industry -leading position there, as India FOREX specialists, and we believe that that will augur very well for the business in times to come.

On that front, I'll now hand over to Vikram, for his inputs.

Vikram La lvani : Good afternoon. My name is Vikram Lalvani, and I represent Sterling Holiday Resorts Ltd. as Managing Director and Chief Executive Officer. I'm also joined by Mr. L. Krishnakumar, Chief Financial Officer at Sterling Holidays Limited.

It's a privileg e to interact with all of you this afternoon. We are delighted to announce that Sterling continues its profitability streak for the sixth consecutive quarter, while also recording revenues in excess of Rs. 100 crore in a quarter for the first time and an E BIT of Rs. 324 mn. This reflects and reaffirms our renewed growth strategy that involves #1, scaling up of the hotel and leisure guest business at our resorts, thus impacting room revenues. #2, increasing spend in terms of average room rates and food and b everage spend, at the resort. #3, increasing cash generation in the membership business.

The key factors, if I just highlight them, that propelled growth in Q1 of this financial year . To start with, we have had higher volumes at 73% occupancies in our reso rts, as compared to 52% quarter - over -quarter. We have had a very healthy growth in our average room rate. They have also surpassed the peak pandemic levels by 35%. We had Rs. 5,100 average room rate in Q1FY20 and has gone up to Rs. 6,900 in Q1 FY '23. Our growth in guest occupancy percentage and rates, we had a 42% in Q1 FY 20 gone up to 60% in Q1 FY 23, in terms of the guest occupancy.

Our improved focus on F&B revenues, reflecting increases over last year, and even over pre - pandemic levels, from Rs 176 mn in Q1 FY20 to Rs 226 mn in Q1 FY 23. This is because of a multipronged strategy to improve our participation, as well as spend s at our dining outlets in our resorts. At the same time, improving the experience to increase our bar revenues by offering a wid er choice of local food and beverage options to our guests and members.

The cost optimization exercise that had been undertaken since 2020, and the cost line continues to be maintained in Q1 FY 23, resulting in a reduction of fixed costs by around 18% when compared to pre-pandemic levels. Offering our guests and members a wider array of leisure activities to choose from, which includes new products like picnic, and pet friendly resorts, 12 of our resorts are pet friendly now, thus driving improved volume an d incremental revenues at each of the resorts.

In the membership business, the focus continues on driving profitable sales and improving our cash generation from the membership business. We did this by constantly improving our on -site sales, which is a zer o-based fixed cost sales, and lower variable cost sales channel, thus delivering higher profitability in Q1. With the continuous focus on variable sales model and strategy, our on -site sales have actually grown from 15% in Q1 FY 20 to 44% in Q1 FY 23, the sales channels resulting in an increased average unit realization, with a growth of over 7%, since the pre -pandemic level. Also , we have increased our down payments to 47% as against 33% in the pre -pandemic level, thus resulting in improved cash flows.

In line with our strategy of expansion, we continue to expand Sterling Resorts, using an asset -light model of expansion. To this, we have actually launched 2 new destinations this quarter. One is in Madurai and second is in Kalimpong. Madurai in Tamil Nadu i s a pilgrimage cum corporate destination and is one of the fastest -growing destinations in Tamil Nadu. This resort was launched in April 202

2. Kalimpong networks w ell with our resorts already present in Darjeeling and Gangtok, where we have a large presenc e with over 150 rooms, thus completing the destination circuit in that

region. This resort is a heritage resort since 17th century, and has been completely renovated and Sterling launched it in May 2022. We also have a strong lineup of other properties and other locations that we are exploring, and signing them on during the course year.

Our outlook is pretty buoyant for the remaining part of the year. The Q2 and Q3, when we have quite a few holiday seasons, that we can capitalize on and Sterling is very co nfident of its results for the remaining part of the financial year, too. Thank you.

K. S. Ramakrishnan : Hi. My name is KS Ramakrishnan, and I'm the Managing Director and CEO of Digiphoto Entertainment Imaging. A very good morning to all of you all, and let me start by firstly congratulating all my colleagues on the wonderful performance they've done across the Group . And, I guess, we have just added an extra flavor to the same group by ou r performance, which has been fairly consistently growing from the time we are back out of pandemic . Because we are spanned in about 18 odd countries across the world , the pandemic hit us the first, as we are operating in China, where it first started and also lasted till today, we are still continuing in China. Having said that, overall, DEI had a substantial not only a recovery, but the growth in the last 3 quarters.

So, Q1 FY 2022 is when we started our recovery. And from there, in Q4 FY22 , we had a sub stantial not only recovery, but growth. Today, overall, we have actually reached beyond the pre -pandemic level in certain countries. Our predominant countries that have helped us to grow our business is UAE and the U.S., and then a few pieces of Asia. Whil e China has still not come out of the pandemic and still struggling in and out, Hong Kong, Macau has still not come out of it.

Our overall revenue has already beaten our pre -pandemic levels . And the most important reason of doing that, is through the pande mic, we worked through a strong ZBB -ZBO process, that really helped us to grow both our top line and add more to our bottom line, and that is being shown on our EBIT levels pre -pandemic to post pandemic. We've added nearly about 30% to 35% growth in our EB IT levels from pre -pandemic itself, which has been one of the biggest, I guess, and the best achieved in our industries, as far as photography goes.

The key highlights that we've grown our geography through the pandemic, we've added 2 new countries, predom inantly Korea and also sell model in Congo in Africa. So, now we operate in 19 -odd countries as we speak. Looking ahead, we see the next few quarters being better. So, in our line of business, as per the Indian financial calendar year, quarter 2 and quarte r 3 are the biggest

quarters, they constitute to 60% of the revenue. So, we are very exciting looking forward for 2 strong quarters right now. That's predominantly because the global holidays fall during these quarters, from July to September and then from October to December. In fact, our last October to December quarter, nearly covers about 35% of our annual revenue. So, we are all set for a fairly interesting future.

In addition to all that, we have invested strongly into technology, which is taking from Madhavan's comments and the rest of my colleagues' comments, we have taken this opportunity to revamp and rehash our entire digital platform. So, a strong change that's going to happen to us in the next 2 years, is going to be from being a B2B2C, we are d eveloping a platform that makes us B2C direct, which kind of opens a whole new plethora of opportunities on imaging and photography, that goes beyond the realms of just serving photography in theme parks.

So, the main gains of this will be that we're now n ot restricted only to t

hose people who come to the park and come back to our counter to buy our pictures, and thereafter go online. But with this new platform and technology, they would have the choice to have the platform on their phones even before they enter the park. And therefore, through the park experience, through the visit experience to all our attractions, they'll be getting the image that's real time downloaded on their phones, and they can play and move it. And above all beyond the experience, o nce they go back home, they have chances to still buy and continue the buying opportunity, which doesn't happen currently as we speak. So, that is a huge investment the company is doing. We have appointed one of the big 5 firms, Tech Mahindra to do that fo r us. And all of us are very excited to look at 2024 & 2025 of where will we grow from here. So that's a bit about the geography and about our technology.

From an efficiency perspective, we've gone through the pandemic, a lot of cost saving and cost cutti ng process have been done, that has brought our EBIT to a better level . Our cost of both labor and cost of materials, which are our 2 main costs, have been very well structured right now, and that's helping us drastically on our come back to profitability.

The last but not the least, also the pandemic helped us to renegotiate their terms with our partners, which we are holding good so far even after the comeback. Above all, I think the biggest opportunity right now that we have, is in expanding our geograph y. We have a huge focus on this - we're doing in the U.S. for the next 2 years, where our market share is at the lowest. In the rest of the world, we

have a market share of about anywhere between 50% to 80% of the countries that we operate in. In the U.S., we are less than 10%. So, U.S. is a big opportunity, and we are looking at focusing on that for the next 2 years. While we do that, we are eagerly awaiting the comeback in China, as we opened 2 of our largest attractions in China, both the Universal and Di sney through the pandemic. So, once that comes back, there is again going to be a sizable growth opportunity out there. That's all from my side. Thank you very much.

Moderator : We will now begin the question -and-answer session. The first question is from t he line of Sandeep Varghese, an Individual Investor.

Sandeep Varghese : Referring the slide on segment revenues and segment EBIT, right? Right now, if you see with that financial services, we are looking at like a 2 6% increase, Travel at 149% , Sterling 32% and Digiphoto at 7%. What are the EBITs, given the cost reductions that you all have successfully completed and hope to maintain in the future? I mean, what are the EBIT percentages we can look forward, going forward?

Debasis Nandy :. So, on the cost reducti on, we have said that in the last meeting as well, that we intend to hold on to the cost gains that we have done during the COVID period. You can see from our results that there has been a 33% reduction compared to pre -pandemic. And we expect to hold on to almost all of it. Now in terms of the EBIT ratio, it is difficult for me at this stage to f give a forward -looking number. However, you can see that, if you compare the results of the last quarter versus this quarter, the increase in the top line, the gai ns in the top line on the revenue has gone straight to the bottom line. So, I think it's a fairly easy thing to say, that any gains that we do in the net revenue, which is sales minus cost of sales, most of that would translate down into the EBIT number. A nd therefore, it will be a pass -through. So, it is right now, what your focus will be on holding on to the cost levels that we have achieved and increase the top line. Does that answer your question indirectly?

Sandeep Varghese : It does. I think I can sort of garner from what you just said. My next question is, at least referring the same slide, when d

o we expect at least travel and related services to be sort of back in the black from an EBIT standpoint?

Mahesh Iyer : So, as I mentioned, we've given some g uidance for the next quarter. As I mentioned before, the momentum this quarter was more on the domestic side, the international recovery was

slow. And when I say recovery was slow, it was not for the lack of demand, but for the problem on the supply side, which was augured by the supply side constraints from airline, the capacities not being full, and also challenges with regards to visas. But if you look at our forward -looking guidance, we are already saying that we would see a much better quarter coming f orward. And that increase in volume should translate that into profitability. The point that Debasis made, we are retaining a large part of the cost efficiency that we have bought into the business, automated many of our processes, which would then mean th at, any incremental costs that will go in acquiring the volumes will only be related to discretionary marketing costs, which are the only expenses that we incur. Therefore , it should flow through and our expectation is that, in the coming quarter and the q uarter after that, we should see this business getting back into the black, as we would think so.

Debasis Nandy: I'd just like to add one more point to what Mahesh is saying. We also have a large amount of overseas business as of now and the inbound business in India, not all of which has started firing. For example, the inbound business in India, the season starts only in late October and goes on till April. Therefore , it has not yet started operations, they’re still in the contracting o r the procurement period. So, we'll see that coming back in action in the third quarter of the financial year. Likewise, for the DMS business, the Destination Management Services business, some of these units have started coming back to life, so to say. An d for a few of them like the unit in U.S.A. and Kenya, this current quarter, which is Q2 is likely to be a big quarter. Likewise, for Asian trails, which handle s Southeast Asia, the business is restarting now, but will really peak in the next quarter. So, we can see results coming in from India, as well as from the overseas units.

Sandeep Varghese : Just 2 very quick questions. First on the P&L, in the other expense section, point #2, there's a reference of about Rs. 100 crore. Could you shed some light on what that amount is?

Debasis Nandy : You are talking about the consolidated?

Sandeep Varghese : Yes, the consolidated one. In point #2 of other expenses, there is an amount of Rs. 100 crore for this quarter? Can you share some idea on what that is?
Debasis Nandy : So, see, all the costs relating to establishment, travel, conveyance, marketing, all of that goes in there. Anything which is not covered by us, non -employee costs or which are the cost of services that is being provided to the customer, which is co st of sales, everything else actually gets clubbed in there.

Sandeep Varghese : And what percentage of the marketing cost might be of that Rs. 100 crore?
Debasis Nandy : Around 6 %.
Sandeep Varghese : Last question, and this is more for Mr. Menon. Mr. Menon, I mean it's really positive to see such a huge cash balance of around Rs. 850 crore. What might be the plan for that cash for that year? Like is there a significant amount of investment planned out?
Madhavan Menon : Look, I think we are in a consolidation ph ase across the Group . And here, I talk on behalf of DEI, Sterling, Thomas Cook and SOTC. I think we will continue to consolidate in the near future and look at opportunities as and when they arise. But my primary focus at this point of time is to consolida te and rebuild the cash flow that we had pre -COVID.
Moderator : The next question is from the line of Nirmal Shah from Seraphic Management. Please go ahead.
Nirmal Shah : I

have one question with respect to Travel vertical. Sir, if you can just give us some broader strength, at what sort of revenues we can see the travel vertical as a breakeven? Because if we go by the slide presentation, what you have shown, probably there is almost 2.5x to 3x sort of a revenue growth on a Q -o-Q basis, and we are at a loss l evel at EBIT. But if I compare from Q1 FY '22 to Q4 FY '22, which is there in your presentation, your revenues just moved up by like less than 2x, but your losses actually were halved. So, how do we look at this as a vertical, how do we look from a break -even perspective, can you give some perspective on that?
Debasis Nandy : See, as Mahesh mentioned and as you know, that the travel vertical is composed of many sub -segments and includes leisure, B2B & B2C, the inbound and the DMS business, as well as the cor porate travel business. So, at the overall level, so each of these will have different levels of different range of costs and cost and revenues and gross margin percentages. And therefore, we cannot sort of club and say one common number. Having said that, the reason that you see the loss is still there, while overall sales has moved up from Rs. 270 crore to Rs. 675 crore. Your question is that, why has the losses not gone away completely? It has gone down from Rs. 46 crore to Rs. 17 crore, but it's not gon e down further? As we are mentioning, that some of the units are still not really operating or operating at a very minimal level. So, the business in India has bounced back, and the media reports are very clear on that. And the same has happened for some o f the other

geographies, the same has happened in places like Dubai or Kenya, for example. But there are other places where the business has either not started or starting in a minimal way. Also, there is a whole lot of seasonal ity involved in all of this. We expect that this element will go away over the next 2 quarters. Mahesh did allude to that while he was speaking earlier, so we expect that to go away. But I don't think it's right to just give a number at a word, rather because the business are very diverse, while we club everything under travel, it is a business very diverse.
Nirmal Shah : So, if I have to just guess for my understanding, out of your total travel vertical, the domestic, then outbound, then you have a DMS. So, if you can just give us a s ense, which are the businesses which have broken even within the travel vertical? Like, I've seen your press release, you have mentioned that SOTC has broken even. You have the domestic holiday piece, I don't know what is the sort of profitability you have . But on a standalone results, I can clearly see you've broken even. So, on the DMS side, if you can just give us a sense what sort of cost which is impacting your profitability? Because that is the piece which seems to be having the impact on your overall profitability, right?
Debasis Nandy : The DMS business spans across multiple countries, in South East and Middle East Asia, in Kenya, South Africa, Australia and as well as U.S. So, while as I said, some of the units have started filing, others haven't. So , as of now, across the various units that I talked about, the DMS business for this quarter, at EBIT level loss about Rs. 23 crore. While this was a substantial reduction on the losses they made earlier, they' did not break -even.
It is also pertinent to n ote that this is not the season for many of these places. For example, Middle East which had actually bounced back, this is the summer season, and therefore, there are very little travel revenues. Not too many people would go into Dubai during the April -June quarter. Likewise for U.S.A, the travel season actually starts from end June, early July. Similarly, the peak season for Kenya is actually July -August. Thus , there is a bit of seasonality and it is not a straight through sort of thing that it will

be ev en amount of sales across the quarters, it will be a little different. So, you'll
see that's why I'm trying to say that you'll see a very different set of results probably in the next quarter as far as the DMS is concerned.

Nirmal Shah : And just, sir, last question on the domestic holiday side. In the initial comments, it was mentioned that there is a supply side issue with respect to the airline tickets or even the inventory of hotels, so you expect those issues to get resolved in the coming 2 quarters bec ause of which your recovery indicators are not still over to a pre -pandemic level? Can you just give some comments on that?

Mahesh Iyer : We expect some of the bottlenecks to be addressed over a period in time. If you ask me, it's going to disappear in the next 1 quarter, I would be a little cautious about it. I guess over the next 2 quarters or so, we should see this coming down. Obviously, the supply side challenges will come down. You've seen new airlines come in, Akasa just started off and they will be f iling for new routes also, new aircrafts coming in. There's Jet which is likely to come back in the third quarter of the current calendar. Hence , obviously, we're going to see some more supply coming in.

But those constraints are definitely likely to get a little more eased as far on the domestic side, but I think we should be mindful here to say that 2 years, the aviation industry has gone through a lot of losses there. And I think there is this opportunity to skim some amount of revenue, right? So, yes, everyone is having and customers are willing to pay. Thus , I think the supply side is a good problem to have. We have to look for the pearls within this and start picking up what works for us, and that's what we are trying to do.

Nirmal Shah : Sir, so the ov erall perspective, most of the hotel chains are actually showing occupancy which are sort of a pre -pandemic level occupancies or higher than that. You have also shown some sort of that relationship in Sterling Holidays. But for domestic holidays, then what is the barometer for us to look at? Because on one side, the hotels are showing very good occupancies. But when I look at your vertical, that we can't corroborate with the same thing. So, is there some other indicators where we can actually track that you r growth in the domestic holiday would mirror some sort of those macro indicators, because hotels is already showing a very good growth, they are already above pre -pandemic levels, right?

Mahesh Iyer : So, you've got to look at it, because it comes to us as a bundle of service. We put domestic, international, short haul and long haul both to the customer as an offer to choose from. Now you will appreciate that as market opens up and if domestic is going to be pricey, people will choose to shift their prefere nces from domestic to short -haul/long -haul destinations. I mean today, traveling anywhere domestically is going to cost per person at least Rs. 50,000. Given that kind of persons, people wil l shift from one to another. W hat we are seeing is not the amount of customers coming to travel which is going down, but we are seeing also that customers are shifting. If domestic holiday is going to cost him Rs. 50,000, and he can put Rs. 20,000 and go for a Far East holiday or a Dubai holiday, he would prefer to do that because he has got more value out of that and then you can actually go and brag that with his friends and relatives, so we see that trend coming in.

And as we have guided here also, we expect our next quarter, which i s Q2 FY '23, we expect that recovery to be close to about 95% on the domestic side of it. This quarter was a strong one. We had seen about 78% recovery. And we had within the 78%, this is a quarter number, we had within this months where we have seen close to about 100% recovery also. But on a blended basis, we are at about 78% for the quarter. Our expectation

for the next quarter is about 94%, 95%, and we expect
that to trend in the direction.

Moderator : The next question is from the line of Mithun Aswath from Kivah Advisors.

Mithun Aswath : Just wanted to go in line with a couple of questions earlier, if we go back to your March 2020 numbers, I think at the travel -related segments, you did about Rs. 850 crore, and you broke even at that point. So, I just wa nt to understand, when we reach the Rs. 850 crore type of numbers even now in the subsequent quarters, will that profitability be better or would it be similar? Because this quarter was about Rs. 650 crore, you've seen a negative EBIT of 3%, so that was my first question.

Debasis Nandy : I will not dwell up on the numbers specifically with comparisons. But just to give you a n understanding . There are two things that we have done during the two years of the pandemic. One is the improvements in technology and the improvements in our cost structure, particularly in the India business, both of which Mahesh spoke about. And the result of both of that is that our cost levels are likely to remain at the same level as where we are. So, the growth in profitability or the reduction of loss whichever we want to see it, will come purely from the improvement in revenues.

Now Jan -March '20 is a very different season from April -June '22 . Travel business, as we'll appreciate has a great deal of seasonality. And when I say se asonality, I also means that it's becomes very country specific. Also various segments of the travel business do not operate at the same level of profitability, some of the segments have higher profitability than others, which is essentially the nature of that business. Therefore, the mix part of the answer, like in the fact that the mix for April - June '22 would be very different from the mix that we had in Jan to March '20. So, the comparisons are not really like -for-like.

Madhavan Menon : Debasis, can I ju st add a comment here. I think if you look at Jan -March '20, the primary contributor are the two DMS businesses, which is in Asia and in India, which have not functioned this year. So, that is not functioning at the moment. And right now, what you're witne ssing is the outbound , domestic, as well as the corporate travel businesses, which are really contributing to that number.
Debasis Nandy : Very correct Madhavan, absolutely right.
Mithun Aswath : So, just to add to this, you mentioned they are not comparable. So, would you say the businesses which were there in March 2020, which are not there now, when they come back, so overall profitability will improve because those segments are more profitable?
Debasis Nandy : Certainly today, what's happening effectively is that we are paying for the cost of those businesses, but they're not generating any revenue or generating very little revenue. So, once they come back to business, the business picks up, then we start reviving, there will be no additional costs that will be incurred, except maybe some degree marketing costs or some degree of travel, but other than travel for the staff, I mean other than that, there will be no significant cost that will be incu rred. So, again, the revenues will translate straight into profitability.
Mithun Aswath : My second question was on the domestic travel. You mentioned that we are still targeting only 94% of pre -COVID levels. However, I think the Sterling business would hav e crossed pre-COVID levels and much beyond. What is hampering our domestic travel business not reaching the pre -COVID levels and more than that? Because that would not have issues on supply and Visa and all those issues?
Mahesh Iyer : I think I kind of cla rified to the previous question also, it's not like anything hampering the, as I keep saying, any challenge that come in the marketplace is an opportunity for you to look for. We are trending in that direction. If you look at the quarter

-on-quarter volumes , I think there's
2 ways to look at this business. One is to look at it in terms of volume, that's number of passengers, the other is to look in terms of value.
In terms of value, if I start talking to all of these numbers, they will definitely look much, much, much better. But I think it's also important to compare in terms of volume, because that's the real health of the business. If I just put in terms of value, quarter -on-quarter comparison, we've actually grown

3x in terms of our domestic business. And that's been the trend that we witnessed all through the pandemic, because that's the only market that was opened, there were lesser restrictions, I would say, in terms of travel. And we continue to see that trend going forward also.
But I think it's impor tant to highlight here that from a domestic point of view, our comeback has been very, very strong. It was a portfolio that we were not that dominant player there on the domestic space. We were always looked upon as an international operator. And over the last 2, 3 years, we've spent enough amount of marketing bucks in terms of getting this business on track and we are beginning to see that kind of things playing out. I wouldn't actually make a comparison here to Sterling, but yes, it's a good data point as to look for us to compare to see as to how that occupancy rate is coming back and trending.
And I think Vikram spoke about it. And I think we are seeing that trend and we believe that our businesses are also trending in that direction. So, about 70%, 80% and in cases for the next quarter, we believe that we will see about 90%, 95% recovery, and that will come back as the business goes forward. So, honestly, to be very frank, a single line answers there is that, we don't see any impediment to growth. It's a ll about how much of that opportunity you want to take and move forward with. And we have been very cautious about it. We're not spending tons of money and trying to lose money in terms of gaining market share.
Mithun Aswath : My last question was on the ca sh guidance, you mentioned Rs. 850 crore, and your debt is Rs. 470 crore, so would your net cash to be Rs. 400 crore? And I just wanted to understand what would your CapEx plans be for the rest of the year? And do you see net cash levels from that Rs. 450 million move up appreciably as these businesses start generating a lot of cash. By the end of the year, do we see that Rs. 450 million trending up to a much higher level? I just wanted to get a sense of that.
Debasis Nandy : To answer the first question, ou r CapEx is not likely to be significant. As you know that we are an asset -light business. We like to operate in that fashion. The only CapEx that we'll have is probably for the technology upgrades that are happening across the various units. So, that's

the only significant part of the CapEx. As far as the cash balance is concerned, yes, the profits that we generate will translate into cash. Some of that obviouslywill also be deployed into working capital because as a business volumes increase that amount of cash, cash does get deployed there. But other than that, rest of the cash is flowing to that bucket.

Mithun Aswath : Okay. So, the net cash number is around Rs. 370 crore, right?
Debasis Nandy :Yes. If you're taking out the debt
Moderator : Thank you. The next question is from the line of Senthil Manikandan K from ithought PMS.
Senthil Manikanda n: Sir, my question is on the consumer sentiment. So, with the inflationary economy across the globe, so how does the consumer sentiment going to impa ct or what's your outlook on that?
Mahesh Iyer : Senthil, I'll take that question, and I'll get Madhavan to add me if he has to. So, Senthil, I think we kind of indicated in terms of our guidance for the next quarter, I think that's a reflection of how we s ee the customer sentiment in here. Yes, there are inflationary pressu

res, but
I think we've seen this for over a little over 1.5 quarters now. And I think despite all odds, we've been seeing the momentum being very strong, people want to travel. Case in poi nt, the next weekend is going to be a long weekend. And if you want to be searching for any hotel, you won't find any decent 4 -star property in any place, less than about Rs. 10,000 or Rs. 12,000 per night. If you were to pick up for a return flight to any destination, whether it is Tier 1 or Tier 2, you are not going to a return airfare for less than Rs. 20,000. Now that augurs well in terms of the industry that we operate. While there are inflationary pressures, whether this is a discretionary category an d I think people have kind of saved enough over the last 2 years and now want to open their purse and go out on travel.
So, while we remain cautiously optimistic about it, I wouldn't think it will make any dent at least in the next 2 quarters. And I think there is enough reports also in the market to say that the inflationary trend seems to be inching downwards, we need to watch it. RBI has done enough to rein in the pressure on the Rupee . And I think all these measures should help the discretionary catego ry that we operate under.
Madhavan Menon : Mahesh, thanks. Madhavan here again. Let me just comment. I think if you go back several months, input costs in the tourism industry, which are obviously airfares, hotel costs have already gone up. So, in reality, inflation pressures have not registered themselves because our input costs are higher. This did not stop travel, as Mahesh referred, besides all these input costs

being higher, people have been travelling. Additionally, if inflation remains stable or is br ought down, I think that we will continue to see travel. And this is reflected again in the numbers that Sterling has reported. Higher input cost despite which their occupancy rates are at high levels, the highest levels, Vikram, correct me if I'm wrong. A nd this is going to continue for some time. So, I don't think inflation in India is at the moment at least a determinant. And my expectation is that this trend will continue. Thank you.
Vikram Lalvani : Absolutely, Mr. Menon. In fact, if I may just add on. At the resorts or at the hotel level, we do face the inflationary pressure in terms of input costs, like input food and beverage costs, other landing costs of raw materials at our resorts. The way we actually counter it is by bringing more efficiencies thr ough menu engineering, which we've actually implemented, so that the impact of inflationary costs actually do not impact the customer. We have to get a lot more efficient through menu engineering, through preventive maintenance of our digisets because our diesel costs are going up. So, those are the measures that we take also to reduce the impact of the inflationary cost during our Q1.
Senthil Manikandan : My second question is with respect to the DMS entities. So, like quarter -over - quarter, I think the dema nd may fluctuate between one region to the other. But if you can give an outlook for a yearly basis, so any strategic initiative we have taken for the DMS entities or any turnaround happening over the next 1 or 2 years?
Madhavan Menon : Yes, I'm going to ta ke it. The destination management entities, and I will specifically comment on Asian Trails, which is based in Southeast Asia and TCI, SITA, which is based in Delhi. The reality is, look, we can do everything we want, but this is essentially a B2B business . Travelers have to feel comfortable traveling long haul again. And I can tell you what we have witnessed so far is that, it is early stages. Secondly, we are not in season because if you look at the monsoon that is overtaking India, which is witnessed acr oss India right now, Southeast Asia has also got its rainy season on over the next few months.
And by what Debasis said earlier is that, we're seeing f

orward bookings closer to the last quarter of
this calendar year, which is the October, December as well the first quarter of calendar year '23. Hence , my expectation is that the DMS businesses will come back. We are geared and ready in terms of our quotations. There are constant queries. The pace of queries are only increasing day by day across these territ ories.

Having said that, we witnessed a turnaround in the Middle East. We've witnessed a turnaround in East Africa, South Africa and the United States already because their seasonal activity has started. So, it's a bit of a mixed bag, but it's only better days from here on based on the forward bookings that we are witnessing across all the businesses.

Moderator : As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Madhavan Menon : Thank you, everybody, and those are the some very interesting questions that we saw. Very good ones and pointed. I think I'm just going to address a couple of things which I did miss out in my introduction, so I wanted to cover as a part of my closing comment s. Sterling has had a sterling performance. I'm sorry, Vikram, I'm using a bit of a pun here. But the reality is Sterling is doing extremely well. And this is something that we visualized when we made the acquisition years ago. And I think through all the restructuring, the business has come into its own and it's there. SOTC, a second company that's clearly benefiting from the integration benefits with Thomas Cook, the cost savings that have been through movement of office and a variety of other activities to seek the benefits of both technology, as well as a customer -centric focus. A point that came up with the question is the sustainability of costs. I think this was not just a reduction in head count, but it was a reduction of what we believe could be rep laced by technology. And therefore, there has been a very specific mapping exercise. So, businesses no longer need to come back and say, I'm short of this headcount and therefore I need to focus on it.

The second point, which I want to mention, is the curr ent sort of shortage that each and every industry in India is facing in terms of skilled labour . We have also seen this attrition, but something that we have done at SOTC, Thomas Cook has been that we have gone in and hired freshers, we are in the process of training them and we will fit them into jobs. The principal focus here has been that, yes, freshers are far more nimble footed in terms of using new technology. Therefore , we thought that, that would be a way to sort of manage and which should help us c ontrol our costs. In terms of the destination management businesses, I think we have addressed that question.

The third point is market share. If you look at Sterling, they enhance their market share. They are now talking about doubling the rooms, which Vikram and Sterling have been talking about. If you look at TCIL, SOTC, we're seeing a whole lot of new customer s coming. Similarly, if you talk about

some of the DMS businesses, we're also seeing a change in their customer segment. So, in reality, I think it's a welcome sign for us that we are actually able to expand our market focus. And hopefully, in some of that , we are seeing increased market share.

Lastly, inflation I think input costs in our industry lend this one. So, we've not seen other than the F&B, which Vikram referred to. Otherwise, we've seen a lot of these costs being in existence for some time. We hope that with the taming of inflation, we will actually see a reduction in input costs. The positive of that is going to be driving increased business in our direction.

So, thus, with that, I will conclude. Again, ladies and gentlemen, thank you very much. Mahesh, Debasis, Vikram, Vishal, Ram, thank you very much for answering the questions. Have a good day and a good we

ek.

Moderator : Thank you. On behalf of IIFL Securities Limited, that concl udes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

November 1 8, 2022

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Dear Sir/ Madam,

Sub: Transcript of the Earnings Conference call

In fur therance of our intimation dated November 4, 2022 giving intimation on the Q2 & H1 FY23 earnings Conference Call and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby enclosed the Transcript of the Earnings Conference Call on the performance of the Company for the Quarter and Half year ended September 30, 2022 held on November 14, 2022 . The same is also made available on the Company's website and can be accessed through the fo llowing link https://www.thomascook.in
This is for your information and records.
Thank you.

Yours faithfully,

For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited
Q2 FY202 3 Earnings Conference Call
November 14, 2022

MANAGEMENT TEAM
MR. MADHAVAN MENON - MANAGING DIRECTOR , THOMAS COOK (INDIA) LIMITED
MR. MAHESH IYER – CHIEF EXECUTING OFFICER & EXECUTIVE DIRECTOR - THOMAS COOK (INDIA) LIMITED
MR. DEBASIS NANDY - PRESIDENT AND GROUP CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. BRIJESH MODI – CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. VIKRAM LALVANI – MANAGING DIRECTOR –STERLING HOLIDAY RESORTS LIMITED
MR. KRISHNA KUMAR – CHIEF FINANCIAL OFFICER - STERLING HOLIDAY RESORTS LIMITED
MS. URVASHI BUTANI - INVESTOR RELATIONS - THOMAS COOK (INDIA) LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY 23 Earnings Conference Call of Thomas Cook India Limited, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Akul Broachwala from IIFL Securiti es. Thank you. And over to you, sir.
Akul Broachwala: Thank you, Steve. Ladies and gentlemen, good afternoon, and thank you for

joining us on the Q2 FY23 Earnings Conference Call of Thomas Cook India Limited. I invite the company's senior management team, who are here to discuss the results and the business strategy way forward. We'll begin the call with opening remarks by Mr. Madhavan Menon, Managing Director, followed by the management team. And thereafter, we'll open the call for a Q&A session. I would now like to hand over the call to Mr. Menon to take the proceedings forward. Thank you. And over to you, sir.

Madhavan Menon : Thank you very much. Ladies and gentlemen, I'm Madhavan Menon. I'm the Managing Director of Thomas Cook (India) Limited. Let me just introduce the other members of the management team who are present today. I've got Mahesh Iyer, Executive Director and CEO of Thomas Cook India Limited. I've got Vikram Lalvani, Managing Director of Sterling Holi day Resorts.

Debasis Nandy, Group CFO at the Thomas Cook India Group; Brijesh Modi, CFO of Thomas Cook India Limited; Urvashi Butani, who represents our Investor Relations; and Bhavik Bhimani , who is the Financial Controller of the Group.

Let me give my opening remarks, then we'll work it around the room so that you will get -- we'll make sure that the relevant information is available to you before we get into the Q&A. I must say that we've witnessed a clear recovery in our business. And I can now very comfortably tell you that we expect the calendar year '22 as well as the financial year 22-23 to be profitable at a group level as well as at a standalone level. This is a significant change from when we spoke in March , after the financial year ended, primarily because there has been a strong recovery in our businesses, especially in the B2C businesses.

This recovery has been despite constraints that we have faced like higher airfares , the issuance of visas, inadequate flight options because of not enough aircraft s in the air. Additionally, we have seen that domestic and short -haul travel, basically, into the Indian Ocean territory still represents the primary destination of travel, both in the corporate as well as in the retail area.

An important element that came in during COVID was our cost management. We have continued to sustain this cost m anagement, and we look to sustain it going forward. And I will talk about it in some detail later. But I just want to say one thing that we have taken several steps. It's not that we have just right sized the organization, but we've taken several other ste ps. And one of the most important steps that we have taken is to go down the digital route through all our businesses.

So if you look at the foreign exchange business, we have gone down the digital route, where a customer can today choose how he or she wants to interact with us, be it through our website, through an app or if they want to come to us through a call center. And ultimately, if they wanted to walk into our branch, they could do it. The foreign exchange business has also built a third channel , which Mahesh will talk about in detail. On the travel front, we have gone down the same route of digitizing all our processes. So, we've moved away from a physical handover of various steps in the buying exercise to a sea mless digital experience. So from that point of view, I think the digitization route has helped us sustain our cost management and we hope to be able to continue this as we go forward.

I will now stop here and hand over to Mahesh Iyer, who will make his co mments.

Mahesh Iyer : Thank you, Madhavan, and good afternoon, everyone. I'd like to straight jump into some of the highlights of the current quarter performance. And I'd like to begin with what Madhavan left off, which is the sustained recovery. I'm happy to let you know that this sustained recovery has led to a profitable growth, which is a sequential profitable growth for the Group as well as the standalone numbers. Also important to mention here that from a volume point of view, sales volume point of view, without exception, all businesses registered almost double -digit growth .

If I talk about the recovery to pre -pandemic levels, the foreign exchange business currently is about close to 82% to the pre -pandemic level, whereas the travel services is about 83%. When I'm talking about travel service s, I'm talking about India travel s ervices – we are about 83%. And overall within the group, it includes overseas travel also, we are close to about 78% to the pre -pandemic levels.

Some of the key highlights on the foreign exchange business to begin with. Revenue from operations for the foreign exchange business improved by 33% as compared to the previous quarter from INR 48 crores to INR 64 crores. And consequently, the EBIT improved by 83% from INR 11 crores to INR 20 crores. This increased or impr

oved performanc e is the backdrop of recovery across several segments of the foreign exchange business.

Noteworthy, amongst them, first, is the retail segment, where we are currently at about 95% to the pre-pandemic level. This 95% constitutes about 130% recovery on the student segment, which has been the frontrunner for the business for some time now and has registered a 60% quarter -on-quarter growth. When I say quarter growth, it's the June quarter to the September quarter, so very strong comeback by the student segment . What has also aided retail performance is a recovery on the travel side. With more and more people now choosing destinations other than domestic, we have seen a recovery there too, and that has kind of flown through the foreign exchange volumes also.

Important to mention here, the entire foreign exchange business and the point that Madhavan alluded to, - about 9% of our retail transactions are done digitally. These are either straight through or assisted through a call center, but 9% of the overall retail transactions are now done through the digital channel. Now this when you compare to the pre -pandemic level, we're virtually about 1% or 2%. So clearly, the investments that we have made in technology and to get the customer to deal with us through the digital route has actually bear ed fruit. And when I look at from the comparison

to the June quarter, we were about 5%, so we moved to about 9%. So that's almost like a 2x growth that we've seen quarter -on-quarter.

Also importa nt to highlight here, we've taken the stand and I mentioned about it the last time around, the India ka Forex Specialist. I think riding on that wave, we have seen the B2 B2C business, which is nothing but the channel business that we do on the foreign exch ange side, has also gone the digital adoption route, and we have about 9% of our business on that side also coming through the digital channel.

So overall, if I look at the retail portfolio, which consists of customers walking straight to my counters and c ustomers who are referred by other partners to us, they are about 18% of our total transactions going through the digital route. Other important element on the overall recovery for the foreign exchange business is the strong comeback by the corporate FX se gment. The number of active customers has moved up to about 85% of the pre -pandemic numbers, which was last time – last quarter around 56%. So clearly, more and more corporates are now traveling, are now going to conduct their businesses and that's k ind of reflecting in our numbers.

Important to mention here, the card volumes on a dollar -to-dollar comparison, we have witnessed a 12% increase in dollar terms versus the June quarter in the September quarter. This is at the backdrop of a bout 30% increase in the number of fresh cards that were issued. We had about 65,000 cards that were issued in the current quarter and that represents about 30% growth over the previous quarter.

From a market share point of view today, the entire card portfolio that Thomas Cook distributes through its own stores and its managed distribution is about 24%, which was roughly about 16% in the pre -pandemic level. So clearly, we've got market share, we've got volumes, we've got transaction count and we have also got recovery coming our way. So overall, a very, very strong comeback by the foreign exchange business and it's reflected not only in the revenue but also in the profitability growth. I'd just like to conclude by adding that we are the first c ard issuing company in the country or in the FX space, which have done a tie -up with -- on the KrisFlyer program, which is the Singapore Airlines' frequent flyer program, where people buying tickets on Singapore Airlines can now or buying foreign exchange at Thomas Cook will get miles on the KrisFlyer program. So it's a very unique program and the first non -bank in this space to do so.

So clearly, we have some good highlights on the foreign exchange business, and we expect this trajectory of growth to conti nue.

From an overall perspective, as I mentioned, we are at about 82% recovery to pre -pandemic level in Q2, and our expectation for the next quarter will be around 88% to 90% .

Moving on to the holidays business. Again, a very strong comeback by the holidays business. And here, I would like to break this conversation into two parts. To begin with, first, overall revenue from operations improved from about INR 675 crores to INR 900 crores, again, reflecti ng a 33% growth . And from an EBIT point of view, which is very, very noteworthy, on a sequential basis, we incurred a loss last quarter and we turned that to a profit of INR 3.4 crores. So from a loss of INR 18 crores to a profi t of INR 3.4 crores is a delta of about INR 21.5 crores. And clearly, that shows the resurgence of the entire holiday portfolio and the B2B business on the travel side.

The key highlights here, if I look at the B2B business, corporate travel continues to b e at about 120% of the pre -pandemic level. Again, two factors playing there. One, the heightened airfares. So the ATVs are definitely higher. Noteworthy in the current quarter to mention, the ticket count, which is the volume that we generate, actuall y topped 100% in the current quarter. So clearly, from a recovery point of view, we actually see not only the value but also the volumes coming back. International traffic constitutes about 60% of these volumes and 40% of the value comes from the domestic side.

On the digital adoption side, which is where opex can actually do a straight -through processing for their transaction, about 70% of our customers are on the digital route and clearly augurs well in terms of the productivity and the cost man agement that we put into this business. On the MICE side, the other B2B business that we run in, a very strong comeback from about 45% in the previous quarter. The current quarter, we are at about 87% to the pre -pandemic levels. It also reflects the mood o f the nation. A lot of corporates are now willing to go out and open their purse and spend on building their distribution. The focus has been on building sales to get new markets and clearly, that's reflected into our volumes also. I'm also happy to let y ou know that during this quarter, we also managed some marquee events for the government enterprise, and all of that has kind of flown through the volumes. Looking through for the next quarter, we actually see a very healthy pipeline and in all probability , this business will be closer to about 85% to 89% recovery .

Moving to the B2C side of the business, which is holidays. And I kind of split that into two parts. I think the domestic side of the recovery was a little slower as compared to w hat we anticipated while we spoke the last time around. We expected this to be about close to 90% in the current

quarter. We actually saw that recovery is tapering down and for the reasons well known, clearly, as more and more destinations open, as you kno w, in this quarter, we had Sri Lanka, Bhutan, New Zealand, Japan opening. So clearly, the shift was from -- more from our domestic destinations to international stations and within the international destinations, the challenges that Madhavan mentioned, higher airfares, the challenges around visa continue to plague us and people were looking at more short -haul destinations.

So what we did is we tweaked our product portfolio to focus on more short haul, easy visa destinations, which give us the volume that we wanted. So from a recovery point of view, for the current quarter, we were at about 45% recovery to the pre -pandemic level and our expectation for the next quarter is about 65%. So clearly, we are seeing volumes coming back. Notewort hy during this quarter also, we participated with Flipkart on the Billion Dollar sale. We w

ere their holiday
partner, and offered our services on that side of it also.

So overall, I think from a travel point of view and the B2C side of it, volumes have come back very strongly. We see the recovery going well into the festive season, and we remain optimistic about a better quarter in the next -- in the December quarter too.

Madhavan Menon : Let me just throw some light on the ot her subsidiaries, the Destination Management business and DEI, our imaging solutions business. On the destination management front, the Middle East, East Africa, have returned to profitability. South Africa, North America have broken even, are headed back to profitability. India and Asia, that's essentially SITA and Asian Trails, have been slow to recover. And this is primarily driven by the fact that the source markets of their business being Eu rope and the United States are still not traveling long haul, but restricting their travel to local destinations.

In the case of Allied TPro, which is our business in North America, I'm pleased to announce that we have entered into a special arrangement wi th Germany's largest tour operator called REWE to manage their incoming business into North America. This will represent a major jump in their revenue, as well as profitability through this special arrangement. And therefore, I think that is good news. We have a similar arrangement between REWE and SITA in India, and we are replicating that.

On DEI, the company returned to profitability last year, as we mentioned. They are now focused on a couple of initiatives, which is from the po int of view of diversification, they're looking at

geographic expansion rather than being dependent on a couple of geographies. So, we are looking at Saudi Arabia as being a next destination. We're also looking at getting the balloon project, which was act ually scheduled to open last year but got delayed due to the pandemic is going to open December 15, and that is a new revenue stream that is completely different from what we have today at DEI and that should ad d to their profitability.

I'll now hand over to Vikram Lalvani, the Managing Director of Sterling to give you, share his comments on the outlook for Sterling Holidays.

Vikram Lalvani : Thank you, Mr. Menon. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani, and I represent Sterling Holiday Resorts Limited as its Managing Director and Chief Executive Officer. I'm also joined by Mr. L. Krishna Kumar, who is the Chief Financial Officer at Sterling Holidays Resorts Limit ed. It's a privilege to interact with all of you this afternoon.

We are delighted to announce that Sterling continues its profitable streak and has had a profitable half year , recording an EBITDA of INR 55 crores for the first half ended 30th September, 2022, and has added INR 15 crores for the second quarter of this financial year. This reflects and reaffirms our renewed growth strategy, which involves two parts. One, scaling of the resort busines s, the resort spends, average room rates at resorts and improved guest ratios. And number two is improved efficiencies in the membership vertical.

The key factors that propelled the growth in Q2 are, growth in volumes - we've grown our volumes to 53% occupancy as against 46% of the same period last year and maintaining the pace of volumes even in the pre -pandemic level. We've had a healthy average room rate growth, which has even surpassed the pre -pandemic levels by 54%, which was at INR 3,705 in Q2 FY 20 to almost INR 5,718 in Q2 FY 23.
Improved food and beverage revenues at the resorts, reflecting a significant increase of 51% over the same period last year, while also recording a growth of 47% in the pre -pandemic levels. We used to generate almost about INR 11 crores in food and beverage in Q2 FY 20. And I'm happy to report that in Q2 FY 23, we've almost hit INR 16 crores. And this is because of the fact that we've s

tarted focusing a lot on our customer spend at our resorts through experiential dining options, which are available at our resorts.

Growth in the overall non -member occupancies and rates have been phenomenal from 51 % in Q2 FY20 to almost 62% in Q2 FY 23. The above factors resulted in the resort business actually reporting a growth of 74% in revenues as compared to the same period last year, we've closed INR 53 crores in this quarter versus INR 30 crores of last qu arter . Total revenues saw a recovery of 141% in revenues from operations as compared to pre -pandemic levels from INR 55 crores in Q2 FY 20 to INR 78 crores in Q2 FY '23.
Cost optimization that had been undertaken since 2020 has been maintained and the cost line continues to be maintain ed even this quarter. In the membership business, the focus has been on profitable and efficient sales with continuous growth in our variable model of our membership business. To that effect, our on -site sales have actually crossed the 50% mark this quarter versus what it was at 31% in quarter of last year. Strengthening of sales channels resulting in increased average unit realization with a growth of almost 11% over the same p eriod last year and higher down payments in this business of 46% directly correlating to operating free cash flow improvement of 39% in Q2 FY 22.
In line with our strategy of expansion, we continue to expand on an asset -light model, and we are delighted to announce that we are launching two new destinations in November 2022, Pench in Madhya Pradesh and Tiruvannamalai in Tamil Nadu. We have also signed up several other properties which are in discussion, which will be launched also in the near future. Sterling Resorts is the only hospitality company to have launched a unique proprietary platform called Sterling One that enables our channel partners in length and breadth of our country and employees of corporate clients and access to our resorts availability in real time and make reservations with preapproved rates at a click of a button. This has helped the company expand its width and depth of distribution in Tier -2 and Tier -3 towns across these channels, thus not adding on fixed costs to it. We've generated almost INR 8 crores of business using this platform since July of 2022, when we launched it, and as of now, as in October, we had a 90% growth in this channel as against wh at we started off in July 2022.
Our operating free cash flow in Q2 FY3 registered a growth of 160% as compared to pre -pandemic levels, which was at INR 5 crores in Q2 FY 20 to INR 13 crores in Q2 FY 23. For the first half of this financial year, our oper ating free cash flow also registered a significant growth as compared to the

same period, even in the, as against pre -pandemic level from INR 7 crores in H1 FY '20 to INR 46 crores in H1 FY '23.
Our outlook for Q3 and Q4, which is October, November, Decemb er, as well as January, February, March, looks extremely healthy. We've entered Q3 with the festive periods of October with Dussehra and Diwali and we've had a remarkable October also as we have progressed into November. We have added on almost INR 10 cror es of operating free cash flows in the month of October '22. Our average room rate growth is still recording about 36% growth over the previous years and 65% growth over pre -pandemic levels of October 2019. And this also speaks about the strength of the br and of Sterling that we have continued to evolve.
Improved guest ratio of 64% into Q3, and in December, our room revenue business on books has already hit almost INR 11 crores as on date, as on 14th of November. And we have actually recorded an equal amount that we had actually performed in September '22, wherein we closed at about INR 11 crores of room revenues. So hence, we are very buoyant about Q3. Q4 also our focus is to continue to ramp -up and have a phenomenal performance both in Q3, as wel

l as in Q4 to close this
financial year with record numbers for Sterling Holiday Resorts. Thank you.

Debasis Nandy: So, I'll just q uickly run through the numbers at a consolidated level for the quarter. We ended up with an Income from Operation s of INR 1,222 crores, which is a 270% improvement over the same quarter last year, which that time stood at about INR 330 crores. It also re presents a 25% improvement on a sequential quarter basis . In terms of EBITDA, at a group level it went to INR 54.7 crores, to be exact, against a loss of INR 61 crores that we made l ast year, which was also an improvement on the June quarter when we made a profit EBITDA of INR 49.8 crores.

At a PBT level, the group reported profits at a consolidated level after several quarters. Profit was about INR 4.8 crores, against a loss of INR 110 crores in the same quarter in the previous year. On a sequential quarter basis also, we improved our performance from a loss of INR 2.3 crores to the current INR 4.8 crores.

In terms of the segments, all the segments continue to do well. And this is the first quarter after, I think, after six quarters that all the segments actually reported a profit, including the travel services quarter, which goes on to what Madhavan and Mahesh were saying about the travel industry and the results that we expected from them. Very quickly, on the segment revenue, financial services

or foreign exchange, improved its performance by 160% on a quarter -on-quarter basis. Travel services showed an improvement of 486% or 4.8x. Leisure Hospitality which is Sterling, improved by about 27% over the last year and DEI double -digits, doubled its revenue. With that, I would like to conclude here and open up the discussion for questions -and-answers.

Moderator: The first question is from the line of Mithun Aswath from Kivah Advisors.

Mithun Aswath: Just a question on your Sterling Holiday business. Despite the growth Y -on-Y, on the segmental EBIT numbers, there is a decline of about 60%, could you just touch upon why that has happened despite improvement in ARRs and the overall business? Similarly, t he Digiphoto business as well, on a quarter -on-quarter basis, I have seen a decline in EBIT despite a 20% growth quarter -on-quarter. If you could just touch upon what has happened in these two segments leading to the reduced profitability?

Vikram Lalvani : Sure. This is Vikram here, and I'll also be joined by CFO, L. Krishna Kumar. Rightly said, all our business input levers have actually shown significant growth. The delta in EBIT of Q2 FY22 versus Q2 FY 23 is on account of a one -time cancellatio ns that we had taken of all dormant members , we had about 3,500 of them in Q2 of last year that we had undertaken post -pandemic that happened. So, these are customers or members who have not been active with us for the last five years and who do not intend to holiday with us in the future as well. And they have actually not been active and participating in holidays segment with Sterling. So, we have taken a one -time decision to move them off our books. And Mr. Krishna Kumar will explain the exact numbers out here.

Krishna Kumar : So Q2 FY22 includes this cancellation of these customers who have actually not paid the annual subscription fees, which is contractually due to Sterling. As a result, it has come to a conclusion that these customers are not willing to holiday anyway in the near future. And therefore, as per the standards, we need to cancel the contracts and we have to abide by the contract conditions.

Consequent to that, the 3,500 customers have been knocked off in Q2 FY 22, resulting in a gain of around INR 10.4 crores in that quarter, which has not happened in this quarter. This quarter is more purely from business. While all the parameters are indicating a very good growth in terms of occupancie s, ARR, food and beverage spends, the drop, which is the previous

quarter is purely a

seasonality effect, which will again come back to the normal levels for the October to December period and the January to March period.

Mithu n Aswath : Right. But even if you just look at our quarter, even Q -on-Q, I think in the previous quarter, the margin was close to 30% and this quarter is more like less than 10%. So, I'm just trying to understand. I mean, obviously, it's come off because o f the seasonality. But despite that, any specific charges or anything happened this quarter ?

Krishna Kumar: What's also happened in the current quarter and the current half year is that in the last two years, because of the pandemic, we were not able to do any performance -related payment obligation to employees. And consequent to the good quarter performance of April, May, June, we were actually honored to make some provisions related to the employee benefits in the current quarter. So therefore, you will see a spike in the spends as far as the employee HR cost is concerned. So that's why you'll see the profitability t aking a small decline in the current quarter.

Mithun Aswath : How much would that have been, sir?

Krishna Kumar: Around INR 6.8 crores .

Mithun Aswath : And if you could just touch upon the Digiphoto business, the decline in the profitability quarter -on-quarter despite 20% growth on the top line?
Debasis Nandy : And I'll try and answer that question for you. So as you know, a large part of the DEI revenues come from the Middle East. About 40 %- 45% of the business happens out from Middle East. And this is the summer season. July, August is the summer season. And therefore, the attendance in the parks are low . So this is a natural thing. It's the same thing happens year -on-year. This is a low season for DEI. And it's the pure seasonality. In addition, we also have a significant business in China and these parks were not operating at full capacity. In fact, they were closed for quite some time in between because of the COVID -related restrictions in China. So primarily, these are the reasons for the low quarter. You will see a rebound impact in the current quarter. It's a seasonality issue and nothing else.
Mithun Aswath: No, sir, I'm not understanding that because quarter -on-quarter, the revenues are up by 20%. So since the revenues also have dropped, there is an issue in the business?

Debasis Nandy : Let me just explain that again. So the way this business p erforms is that for every, it has more than 200 sites. And for each site, there is a cost, there is a revenue -sharing mechanism. Now the revenue share is a percentage, which can be as lower, depending on the site can be as low as 25% to 30% and can go up a s high as 60%, 65%.
It depends on what site it is and how the contracts are fashioned. So it's largely dependent on mix, so during this time, the mix has obtained in a fashion, which has gone against DEI, so to say. So the parks which operated, obviously, the parks which operated to a high revenue share, when I say revenue share, I mean revenu e share to the site owner. That has, it's been higher than other, at other times. Therefore, there's a mismatch in the revenue because of that.
Mithun Aswath: Perfect. Sir, then one last question on the balloon project you mentioned. What is that exactly ?
Debasis Nandy : So this is, this balloon is being set up in Dubai. This is a balloon, which is a tethered balloon, which basically means it's tied to the ground, so it can only go up and come do wn. So, this is being set up at the Hotel Atlantis, in the ground of Hotel Atlantis in Dubai. So, this will offer a unique opportunity to look at Dubai and its surroundings from the air in a form of balloon. This is a very successful project elsewhere in t he world. In fact, in India also, we have one such in Ahmedabad. We don't have it, somebody else is have it, obviously, in Ahmedabad and it's a success. So, we expect this to

be a big success as in Dubai. And depending on how we operate and what sort of su ccess we get, we may think of taking this balloon elsewhere as well, doing similar projects in other countries as well.
Moderator : The next question is from the line of Sandeep Verghese, an Individual Investor.
Sandeep Verghese: I have two questions. Bo th of them are margin related. First, with regards to travel segment . So the EBIT margins that we are reporting currently are around 0.5%. If I take FY 20 as a measure and that too just Q1 to Q3, those EBIT margins are, say, about anywhere between 2.5% to 3%. Now given the cost savings and the move to digital avenues for customers to -- whether they are corporate or retail or whatever it is. If you are at a 0.5% margin now, when do we see us kind of getting back to e rstwhile 2.5% to 3% margins?
Mahesh Iyer: Sure. So thanks for the question, Sandeep. So clearly, as you see, the recovery of the business has just started for the last two quarters. We've been reporting our profitable quarters for

the last two quarters sequentially. And I think we've been, as a management, reiterating the fact that we are holding on to our yields on the business. In fact, over the last four quarters, our yields across all lines of business, be it forei gn exchange, be it holidays, whether domestic, international, or B2B travel, our yields have been holding steady. So clearly, the investments that we've made in technology, the productivity gains that we have made will actually lead to the increase in EBIT margin gradually. It's a process, right. Because what we have done, there is a larger cost base that's sitting in and the revenue is only coming back. So as this trend continues, when the recovery is close to 100%, we are currently at about 70% -75% recovery. When the revenue comes to 100%, you'll actually see that the EBIT margin will be higher than what we used to do pre -pandemic. So clearly, it's a function of recovery in the business to the pre -pandemic levels and that's what revenue margi ns or the EBIT margins will get to the 2.5% or higher in the next few quarters.
Sandeep Verghese: So if you are kind of getting to a higher number, what is that number that you all are targeting?
Mahesh Iyer : Our internal assessment is that we'll be clos e to about 2.75% to 3%, and that's what we're working at.

Sandeep Verghese : Okay. So that's like a very small margin increase over what pre -pandemic was, right?
Mahesh Iyer: So if you have to look at from the recovery point of view, right, the business ha s to recover at 100%, and the mix of business you're also changing because you are now today what you're doing is you're doing a lot of short haul, which is more the low -value product. Over there, the price is very optical. So, you've got to be competitive in the marketplace also. So while you are garnering market share, we are putting technology into place. We are improving productivity. We also need to be cognizant of the market share. Otherwise, we'll offset the others in the market.
Sandeep Verghese: So, I get that. I think what I'm trying to hear I'll refine my question a bit. I think what I'm trying to say is that at its best, what do you think the marginal effect to be?
Mahesh Iyer: Well, I can't make a forward -looking statement at this point in time. I'll be a little guarded on that. But we definitely see the margins improving year -on-year. That's what I would say.

Sandeep Verghese : Okay. Coming to Sterling. So, I heard the gentleman speak about the performance and I also heard what the previous question was. For your business, we don't actually have any guidance for Q3. Is there something that you can offer up at this stage?
Vikram Lalvani : In fact yes . Q2 is the l eanest quarter of this financial year. Q3, I had actually also given an indication as to how we closed October very strong with almost an OCF of INR 10 crores.

And our forward -looking positions even like, say, for the month of December, we have attained a room revenue in December as on date, which is even equiv alent to September of 2022, which is almost about INR 11 crores booked so far.
So, our outlook for Q3 is very buoyant because of the fact that, one, we've had two festive periods in October and we're also having another festive period coming end of December. November and the first 20 days of December is clearly a focus on conferences a nd weddings. And so our outlook for Q3 is extremely positive. Even Q4 is, because the forward booking positions for weddings and certain businesses are there for Q4. Our Q4 pipeline is also looking extremely strong, which is why we should be able to close this financial year actually with historic numbers in Sterling Holidays.
Sandeep Verghese : Okay. And do you think that you will go back to the margins that you had previously in the previous quarter in the future?
Vikram Lalvani :Actually , yes, in future because it's a lot of this is revenue linked. So typically, we look at it in EBITDA margin of about 33% to 35% and a PBT margin of about 17% to 20%.
Sandeep Verghese : Okay. So that's expected. Correct?
Vikram Lalvani : Yes.
Sandeep Verghe se: Okay. Final question. There was a news article a little while back about the potential IPO forced. Is that on the cards in the near future?
Vikram Lalvani : No, that's not on the cards. And I had also mentioned it very clearly that it's not in the cards. So, our stand is very clear on that.
Madhavan Menon: Yes. Vikram, if I can just add, Mr. Verghese , we are long -term investors as Fairfax is. Our intent is to nurture a business and allow it to grow to its fullest potential. Sterling obviously represents an asset from a Thomas Cook and a Fairfax point of view of being an asset that

has been nurtured. And we will expand our business significantly because we see a lot of opportunities in the hospi tality space, especially the niche segment that's Sterling fits into. So, there are no intentions of taking them public at this time.
Sandeep Verghese : Point taken, sir.
Moderator : The next question is from the line of Akul Broachwala from IIFL.
Akul Bro achwala : Now basically, I wanted an understanding on typically on a pre -COVID standpoint, we used to have 4Q as a quarter where most of these expenses used to be front ended, basically, to prepare ourselves for the heavy season that typically we witnessed during fi rst half of any financial year. So are we kind of going to see the similar kind of trends this year as well? Or do you expect that the cost savings might probably help us in terms of lower cost exiting 4Q?
And the second part to it is, like how are you see ing forward bookings shaping up? I know it's we are still far away from the season for FY '24, typically the second quarter of the calendar year next year. But do we get a sense or are we confident enough at this point that probably we are going forward wi th a strong forward booking for the upcoming season of summer?
Mahesh Iyer : Akul, I'll take both those questions. Point number one, traditionally, we kind of invest monies into marketing. So that's always a function of sales. And as w e've been saying, it's roughly about 2 -2.2% of the gross sale on the holiday side. That's our investment in marketing. That's the discretionary costs that you will see coming in and sitting into any quarter, whether it's the

December quarter or the Marc h quarter.
As you will appreciate, the last two years, we haven't had a season, a summer per se and we are now very close on the anvil of launching some of our products for the Europe and the US holidays. So obviously, when those launches happen, there will be some discretionary costs that will go into marketing, but that would be linked to a percentage of sales. And that's how we baked in. Other than that, we don't expect any large cost

uptick that may come either in the December or the March quarter to come.
Secondly, from a forward -looking point of view, I've already guided saying that we expect the December quarter to be close to about 65% recovery to the pre -pandemic level. And obviously, March is a little far away as you righty said. We don't have visibility there because as the product

goes in, it's also a function of how the visa challenges ease of availability and supply chain chal lenges that we currently see. So obviously, we are looking at what opportunities are there and clearly going to the market with differentiated product offerings, which the customer can then pick and choose and then travel. So clearly, a little early in the day to kind of give a forward looking for March quarter, but definitely December is set on the anvil and I kind of gave a heads up on that.
Akul Broachwala : Mahesh, that was pretty useful. And another question probably Debasis can answer. In our results, we've disclosed that Horizon Travel has entered into a JV with New Travel World. So this is pertaining to what business exactly?
Madhavan Menon : This as I mentioned then, AlliedTPro, our desti nation management company in North America has entered into a special arrangement with a company called REWE. This is actually Horizon is the actual name of AlliedTPro. AlliedTPro is a trade name, has entered. So, this is what I referred to earlier.
Modera tor: Thank you. As there are no further questions, I now hand the conference over to Mr. Madhavan Menon for closing comments. Over to you, sir.
Madhavan Menon : Ladies and gentlemen, I thank you very much for participating in this conference and hearing u s out and for the questions that were asked. I just want to reiterate two comments that I made earlier. We are back in terms of profitability. And this is a sustainable profitability on the back of business recovering despite all the constraints, our cost management, as well as digitization. Something I also want to mention is the fact that we are generating free cash again, which is an important measurement in our world. And this only reflects the fact that we are able to manage our numbers far more effici ently than we did during the pandemic, which was obviously out of our control. I would also like to believe that the destination management businesses are coming back. So, there is no doubt in our mind of any upheavals going forward because people will start traveling longer distances than they have so far. Thank you.
Moderator : Thank you. Ladies and gentlemen, on behalf of IIFL Securities, that concludes this conference. We thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2023

Thomas Cook (India) Limited
Q3 FY2023 Earnings Conference Call
February 03, 2023

MANAGEMENT TEAM
MR. MADHAVAN MENON – CHAIRMAN & MANAGING DIRECTOR , THOMAS COOK (INDIA) LIMITED
MR. MAHESH IYER – CHIEF EXECUTING OFFICER & EXECUTIVE DIRECTOR ■ THOMAS COOK (INDIA) LIMITED
MR. DEBASIS NANDY ■ PRESIDENT AND GROUP CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. BRIJESH MODI – CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. VIKRAM LALVANI – MANAGING DIRECTOR –STERLING HOLIDAY RESORTS LIMITED
MR. KRISHNA KUMAR – CHIEF FINANCIAL OFFICER ■ STERLING HOLIDAY RESORTS LIMITED
MR. K S RAMAKRISHNAN – MANAGING DIRECTOR DEI
MR. ABRAHAM ALAPATT – PRESIDENT AND GROUP HEAD MARKETING – THOMAS COOK (INDIA) LIMITED
MS. URVASHI BUTANI■ INVESTOR RELATIONS ■ THOMAS COOK (INDIA) LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Thomas Cook (India) Limited Q3 FY '23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen■only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Akul Broachwala from IIFL Securities Limited. Thank you, and over to you.

Akul Broachwala : Thank you, Yashashvi. Ladies and gentlemen, good afternoon, and thank you for joining us on the 3Q FY '23 Earnings Conference Call of Thomas Cook India. I invite the company's senior management team, who are here to discuss the results and business strategy. We'll begin the call with the opening remarks by Mr. Madhavan Menon, Managing Director, followed by the management team. And thereafter, we'll open up the call for a Q&A session.

I would now like to hand over the call to Mr. Menon to take proceedings forward. Thank you, and over to you, sir.

Madhavan Menon : Thank you, Akul. Good morning ■■ good afternoon, ladies and gentlemen. Let me just introduce the speakers around the table. I've got Mahesh Iyer, who is the Executive Director and CEO of Thomas Cook (India) Limited. I've got Vishal Suri, who is the MD of SOTC Limited. I've got Debasis Nandy, who is the Group CFO of the Thomas Cook India Group; Brijesh Modi, who is the CFO of Thomas Cook (India) Limited; and Abraham Alapatt, who heads up marketing and other functions within the company; Mr Vikram Lalvani, the MD of Sterling Holiday Resorts, and Mr. Ramakrishnan, Managing Director of DEI is also on this call.

Since this is a call relating to the Q3 FY '23 performance of the Thomas Cook India Group, I'm pleased to report that we've had a third consecutive profitable quarter coming out of the pandemic, the bounce back or the recovery, as I would call it, has been a lot quicker than we anticipated originally.

So, for the quarter ended December 31, income from operations for the group grew year■on■year by 105% to INR 15,363 million. And the operational PBT was INR 584 million versus a loss of INR 289 million in the corresponding quarter a year ago.

We've seen a rebound across all our segments. If you look at the foreign exchange business, income from operations has grown 113% over the same corresponding period in the previous year. Travel has grown by 141% over the previous year. Leisure and hospitality and resorts grew by 8%. Digital Imaging has grown by 57%.

I'm also pleased to report that CRISIL has upgraded our rating from negative to Stable, which is an important reflection of the fact that the ratings agency now sees us fully back from the earlier situation that we faced on.

I just want to mention in terms of recovery from the pre■pandemic, which is effectively 2019, the Travel and Related travel services has recovered 83%. If you look at Foreign Exchange, it is 90%. If you look at Leisure, Hospitality and Resorts, which is essentially Sterling Holiday Resorts, 137% and Digital Imaging Solutions, DEI, 144%.

At this stage, I will hand over to Mahesh, who will take this forward.

Mahesh Iyer: Thank you, Madhavan. Good afternoon, everyone. I'll try and quickly give you a brief update on the highlights for the current quarter and also for the 9 month performance.

Clearly, to focus on the standalone. At a standalone level, the profit before tax, before MTM and I'm qualifying it before MTM because that's an investment loss, and I want to take that up.

The operating PBT grew by 46% from INR 15 crores in the previous quarter to INR 22 crores. So that's a sequential gain of about INR 7 crores in the current quarter and swung to a profitability of

INR 22 crores from a loss of INR 18 crores compared to a year ago. So, from a performance point of view, this has been one of the strongest quarter as Madhavan said, 3 consecutive quarters of profitability, but this has been one of the strongest recovery that we have seen in the current quarter.

On a consolidated basis, Madhavan already mentioned about the INR 58 crores n PBT as it stands is against INR 1 crore profit that we had in the previous quarter. So again, a gain of about INR 57 crores on a sequential basis and compares to a loss of INR 29 crores on a year■on■year basis. So clearly, the recovery across all lines of businesses has been very, very strong. I'll focus on the 2 important segments for the business, which is Travel as well as Foreign Exchange. And when I focus on Travel, I will speak to you all about the India businesses and then hand over to Debasis, who will talk to you all about the international businesses.

To begin with Foreign Exchange, as Madhavan mentioned in his opening remarks, we saw a 90% recovery on the foreign exchange business in the current quarter. So clearly, from bouncing back point of view, the business is already

back in action. And I would think that for the full year FY 23,
the business should be closer to 100% or maybe 110% to the pre■pandemic level. So that's our expectation for the full year as far as the Foreign Exchange business is concerned.

Some of the key highlights for the business in the current quarter has been the retail recovery has been very, very strong. It's come back to 107% of the pre■pandemic level. In the retail segment again, education segment has actually grown phenomenally. The current quarter registered a 128% recovery to the pre■pandemic level. The digital initiatives that we are driving for the business continue. We are at about 11% penetration in terms of our digital adoption, which essentially means that all transactions that we undertake on the retail side, 11% of that is actually happening online.

The other important element that I want to mention here is about the FX partners that we have on boarded during the pandemic. We have about 1,500 plus FX Mate partners that we have on boarded during the period. And this actually contributed about 9% of our overall retail business. So close to about 20% of our overall retail business currently comes from digital channel, and that kind of gives us a lot of leverage in terms of cost as well as productivity.

Also, important to mention that from a Q■o■Q point of view or a sequential growth point of view, revenue from operations for the Foreign Exchange business grew 10%. And when I compare it to a year before, that grew about 113%. So clearly, from a recovery point of view to a year ago, it's a

phenomenal growth. From an EBIT point of view, if I compare it to a year ago, the recovery has been close to 4.5x that's 450%.

And when I compare it to the quarter before, which is the sequential quarter, we are seeing about less ■■ marginal dip, and that's largely because we have invested in digital initiatives and marketing initiatives, which is what we are driving on our digital side. So clearly, from a recovery and a growth point of view, Foreign Exchange business is back, and we expect full normalcy or normal return to profitability for the business for the full year of FY '23. Speaking about the card loads on the FX business, again, a very substantial quarter and the total volumes of card loads in the current quarter stood at $143 million.

It is also heartening to note that the total number of new card issuance in the current quarter is 72% higher than what it was a year ago. So clearly, from an acquisition point of view, we are bringing in new customers. And as I've mentioned before, the card has a validity of 5 years. So, this 72% growth in terms of addition of new customers bring customers to us for a 5■year period. From a market standing point of view, our market share has been slightly higher and there is a benchmark that we do to the data that's published by the Reserve Bank of India. We are roughly about 1.8% a year ago. We are now at close to about 2.1%. So, we are trying to benchmark ourselves to some kind of market share data, and we see that shift that's happening in our favor. And this shift is largely currently happening on the education sector. And as the travel and tourism sector also opens up fully, we will start monitoring that and report that back to you all. Coming to the holiday side of the business, overall, the India holiday business has seen an 83% recovery over the pre■pandemic level. Specifically, India business, is at 91% to the pre■pandemic level in terms of recovery.

The key segmental performances in this has been from a corporate travel point of view where the recovery in the current quarter has been 106% to the pre■pandemic level. Key reason for this has been the growth in turnover, and that's been led by some of the new acquisitions that we had done in the previous quarters, which have all started trading and the benefit of that i

s visible. We
acquired about 13 new accounts across banking and insurance, IT infrastructure, and those have

started to trade and that volume is adding to the profitability in the current quarter also.

From a technology adoption point of view, 60% of our overall customers are currently adopting the digital means of interacting with us or dealing with us, and that's kind of giving us a benefit in terms of cost and productivity.

Travel Segment: I'm covering the B2B part of the holiday business first. The other part of the business, which is MICE, had a phenomenal recovery in the current quarter. As you would know, in the previous quarter, it was trading at about 87% recovery to the pre■pandemic level. But in the current quarter, the recovery is at 108% to the pre■pandemic levels.

Now the key contributor is, as we've have informed, we bagged some government businesses. We did the 'Khelo India' last year. We've bagged some G20 accounts. We are currently also managing the 'Khelo India' that's happening at Madhya Pradesh. So, government businesses coupled with opening up of international travel which has opened up and a lot more corporates that are now having confidence to travel with us. We also managed a lot of delegates coming into India for various events, and that has all added to the volume growth that we have seen on the MICE business.

Coming to the holiday business, and there are two parts to it, which is domestic as well as international holidays. As you will know, we mentioned that our expectation in the current quarter is that we'll come close to about 90% recovery on the domestic side and happy to report that we are at about 89% recovery to the pre■pandemic level in the current quarter. And our expectation for last quarter is about 128%. So clearly, from a domestic recovery point of view, volumes are coming back and the impetus from the government in terms of various initiatives that we announced in the budget, specifically for the domestic tourism is also going to help us grow volumes on this segment.

Coming to the international side of the business, it will be one of the best quarters that you've seen from a recovery point of view, from about 45% recovery in Q2 FY '23. The current quarter has a 60% recovery to the pre■pandemic level in Q3 FY '23. The improvement that we have seen is across multiple segments, we've also seen the demographics of our customers change. They have actually fallen down by about 10 years. We have attracted a lot of Gen Z customers. We also launched our European holiday bookings, and you've seen some very encouraging signs coming from our customers. Forward■looking number are very healthy.

Also to mention here that both in terms of MICE as well as the holiday business, our pipelines for the next year has already started to build up, and we remain a lot more optimistic about the outcome for the full year of FY '24.

Debasis, on that note, I'll hand it over to you for the DMS.

Debasis Nandy : Okay. Thank you, Mahesh. I'll quickly take a few minutes to talk about the operations of the DMS segment in India and overseas. So the inbound business in India, which is

conducted under Travel Corporation of India, result show operation after a gap of about two years or more than two years. So, this is the first quarter of operation after COVID. It is a smart recovery. The recovery was against the FY '20 level. The recovery is about 40%. They did about sales of about INR 80 crores. And this is just the first quarter, the second quarter, which is the current quarter, Jan■March quarter, is expected to be even better.

On the overseas DMS unit, the DMS units, almost all of them have turned profitable, and the profitability trend continues. The one unit, which is trailing behind was Asian Trails, which is headquartered in Bangkok and operates across about 9 countries in Southeast Asia. Asian

Trails
restarted the operations in sometime in July, and this was the second quarter, and they have been doing well.

So, to give a bit flavour of numbers, their quarter■on■quarter growth over ■■ is about 25% and the recovery, and they are actually fully recovered. If you look at the overall DMS numbers, they're actually fully recovered in terms of sales against the 2019. So at an overall level, they are back to 100% recovery, also certain components of the business are still trailing If I delve down a little more, it will be unit by unit. As I said, TCI first quarter business, and therefore, it's shown a 40% recovery against pre■COVID, but more to come in the next quarter. On Desert Adventures, which is based out of Dubai or UAE had its peak season. The volumes are much higher than what we have seen in the past, largely the volumes are coming out of CIS, Latin America countries and India. They are focusing more on the individual markets in the current quarter and looking forward to expanding the footprint across the Middle East.

In case of East Africa■ Kenya, the quarter was an off peak season, (their peak season, of course, is

July■August) and in spite of that, the volumes tend to be very different. They have a record year as far the calendar year is concerned with business coming in from Europe, largely UK, Germany, France, as well as from the US and in the last couple of months, there has been a good number of customers coming in from India.
The other unit that we have in Africa, which is Southern Africa turned profitable in the last month, which is this last month of the quarter, which is in December. And we look forward to better performances from this unit in the quarters ahead.
Horizon or AlliedTPro, which is a unit in USA■ this is a low season at present given that its winter but even then, this year has been one of the best ever for them and they became profitable in this year. And they are preparing ahead for the summer season, which will start sometime in May■ June.

Coming back to Asian Trails, as I said, they operate across over 9 different geographies in Southeast Asia and Australia. Some of the units like Thailand, Vietnam and Indonesia have started performing really well with the COVID restrictions gone and a lot of tourist flocking to those markets. They have also launched their online sales. This is the first time we have ventured into that. And the sales from the online business is quite significant.
I will spend a minute on the EBIT margin. If you look at the overall EBIT margins and the segment results at a group level, while will not spend time on individual segments, but at a group level, there has been a substantial improvement in the EBIT margin. EBIT margin is now for the quarter is about 5.8%, and if I compare that to the FY '20 EBIT margin, that was about 2.9%. So it's a substantial increase. For the 9M FY23, the EBIT margin about 4.4%. So this is largely possible for the reasons that Mahesh and Madhavan talked about, which is on growth of revenue and also on containment of the cost, and we expect this to continue in the future.
I will now hand over Vikram Lalvani from Sterling Resorts to give you an update.
Vikram Lalvani : Good afternoon, ladies and gentlemen. I trust I'm audible. My name is Vikram Lalvani, and I represent Sterling Holiday Resorts Limited as its Managing Director and Chief Executive Officer. I'm also joined by Mr. L. Krishna Kumar, who is the Chief Financial Officer at Sterling Holidays Resorts Limited. It's a privilege to interact with all of you again this afternoon.
In this session, we shall present a snapshot of our performance that has impacted Q3 FY '23 as well as touch upon the YTD 9M FY '23. The company had a turnover of INR 1,030 million for the quarter ending 31st December 2022. I'm happy to inform all of you that this is the highest income the company has achieved wh

en compared to any quarters of the previous years.
On a YTD basis as well, the company has surpassed the performance of the full financial year of any previous years and we've done so in 9 months. Our EBITDA margin continues to be healthy at about 33%, which is INR 343 million in Q3 FY '23 as well as it remains at 33% for the 9M FY '23, which is at INR 908 million. The company's PBT is at a healthy level at INR 197 million for Q3 FY '23 and INR 515 million on a YTD basis, thus recording a growth of 60% on a YTD basis, year■on■year basis and a breakthrough turnaround from the pre■pandemic levels to where we are currently today.
Q3 FY '22 also included a one■time net cancellation income of INR 77 million. The company also recorded significant increases in the operating free cash flows for Q3 FY '23, which stood at INR 335 million. And for the 9M FY '23, it stands at INR 799 million. This is a phenomenal growth, 91% growth on a Y■o■Y basis and over 110% growth even over a pre■pandemic level of FY '20. This

result reflects the growing strength of the Sterling brand and is a testament in our commitment to grow the company as a leading leisure hospitality brand in India delivered through the resilience and dedication of the entire team at Sterling.
This also reaffirms our strategy to: 1) continue to scale our resort business. Its key business drivers are in the green and continue to scale them and also expand our brand presence across key destinations in India using an asset■light approach. 2) is continue to drive efficiencies in our membership business that's increasing cash and profitability. The key business factors that impacted Q3 FY '23 are as follows: our volumes remained steady at 62%; we've had a healthy average room rate growth of 18% over the same period last year; we were at INR 5,654 in Q3 FY '22; it's gone up to INR 6,688 in Q3 FY '23, while also surpassing the pre■pandemic levels by 47%. We've improved our food and beverage revenues in our resorts by about 18% over the same period last year. Last year, we had recorded a generated INR 170 million in food and beverage revenues in our results versus INR 200 million in Q3 FY '23. This also is a growth of almost 43% over the same period in the pre■pandemic level.

We recorded a growth in the guest that is a non■member occupancy and rates from 46% in Q3 FY '20 to almost 64% in Q3 FY '23. In the membership business, the focus continued on driving profitable sales. How? 1) with the continuous growth in available model of membership sales. So that affect our on■site sales at the resorts have crossed over 60% in Q3 FY '23, up from 39% last year in Q3 FY '22, thus reducing the overall fixed cost year■on■year basis in this business. 2) we had an increased average unit realization of sales of each of these membership units by about 5%, in which we saw the 2.8 lakhs in Q3 FY '22 to 2.9 lakhs in Q3 FY '23. Higher down payments of 47% in Q3 FY '23, having a great correlation to increasing operational free cash flow, which was at 42% in Q3 FY '22. In fact, this has also crossed 50% as on December 2022, and it shall continue to grow into the months in Q4 FY '23.

Hence, all our business drivers are on the green and on an upward trajectory. In line with our strategy of expansion, we continue to expand on an asset■light model, and we are delighted to announce that we added 2 destinations in Q3 FY '23, Pench in Madhya Pradesh with an upscale boutique Wildlife Resort and Tiruvannamalai, which is a leading destination in spirituality in Tamil Nadu. This quarter, in Q4 FY '23, we shall open 2 more resorts, Haridwar in Uttarakhand, which has opened yesterday, and Chail in Himachal by the month of March. Our pipeline is robust for additions of new destinations even into Q1 of FY '24 and Q2 of FY '24.

Sterling Resorts continues to be rated very highly by its customers. 36 re

sorts are rated 4 out of
our scale, 5■point scale on TripAdvisor, and 12 of our resorts are ranked #1 in their respective destinations. Sterling has also been recognized and is receiving accolades and awards from the industry. In Q3, the company was awarded the best leisure hospitality brand, and Sterling Mussoorie was awarded the best leisure resort in India at the 17th Hospitality India Annual International Trade Awards.

Sterling Wayanad also won the Gold Circle Award from Agoda. Sterling Resorts is the only hospitality company to have launched a unique and a proprietary platform called 'Sterling One' that enables channel partners in length and breadth to country and employees from corporate clients, access resort availability in real time, make reservations at preapproved rates, at a click of a button and fulfil the entire payment cycle within a span of a few minutes. This has helped the company expand its width and depth of distribution into Tier 2 and Tier 3 towns and across channels and has favourably impacted revenues to a tune of even almost INR 18 crores since we launched it in Q1 FY '23. We should continue to evolve our brand presence in the marketplace through such scalable distribution initiatives even as we go forward in Q4 FY '23 as well as in Q1 FY '24. In Q4 FY '23, the company shall also make its impact in leading hospitality trade shows across the country and internationally as well. Even into Q4 FY '23, the company is confident of its business performance this quarter, led by revenues from the resorts, and we are looking at closing this financial year with historic path breaking results practice compared to any of the previous years that we've had so far.

Thank you so much.

Debasis Nandy : So I'll now like to hand it over to Madhavan to talk about DEI and also with the closing comments.

Madhavan Menon : Okay. As I mentioned earlier, DEI recorded its highest profitable quarter■to■date as has Sterling. I think the important feature is that, as Debasis said earlier, DEI saw a lot of activity in the UAE. Additionally, with the reopening of Southeast Asia and China, this activity is expected to increase further. They've entered Saudi Arabia as a new market where they've signed contracts for 4 parks, and they're expected to expand their presence there as well as in several other markets that they are present in. Additionally, they now have all attractions in Singapore as they recently acquired FlySingapore, which is the giant wheel that is located in Singapore.

DEI has another important project that comes online in the middle of February. That is a tethered balloon, which is located in Dubai and is expected to open for commercial use around the middle of February. We expect that this will further improve the revenue streams of DEI and improve their profitability.

We view the balloon as an adjacent segment that we do business in through tourism and it attracts a lot of tourists as well as providing imaging solutions for tourists who visit this location. The balloon is located at the Atlantis Dubai. And as you are aware, they have recently added a large number of rooms with the Royal Atlantis. So our expectation is that this particular project will do extremely well. Thank you.

Moderator : We have our first question from the line of Nimish Maheshwari from RSPN Ventures.

Nimish Maheshwari : Yes. So a couple of questions from my side. First is on how is the 20% TCS introduced in business is affecting our business and how much it is exposed another international business is exposed to this 20% category TCS. The other thing is finance cost increased by 68% Y■o■Y and 42% Q■o■Q. So what is the split between IndAS 116 and other finance costs? And what is this related to? And one more question is on other income side. Other income this time is INR 26 crores. But what does that comprise of?

Mahesh Iyer: Nimish

, I'll try to take the first question, and I'll leave it to the CFOs to answer the other 2 questions. As far as the announcement in the budget of the 20% TCS is concerned, yes, it is a dampener as far as the overall industry is concerned, and I'm sure you would have seen enough and more reports being published out there as to how it's going to pinch the pocket of the government.

But clearly, I think we believe that this needs a representation from the government because the objective of this is completely different. When TCS was introduced on the holiday side, it was to bring a lot of people who were traveling abroad, but were not filing returns. It was to broaden the tax base, that we believe, can be addressed by even a 1% charge, but a 5% was levied then, which we believe was reasonable enough. But the 20% is definitely not justified. And also what has happened is that in this entire announcement, it's been clubbed with outward remittances.

The purpose of outward remittance is completely different. As far as capital account transactions, which are undertaken by larger HNIs were a 20% outflow on that, which can be claimed that the rate does not really make a difference. But to look through holiday products through the same lens, we believe is something where it has been kind of probably not understood.

It's also important to note here that when you look at our packaged product, close to 50% of the value is for services within India, which includes airfare, visa and stuff like that whereas only the balance part of it is where the remittance happens outside for payments to hotels and excursions and stuff like that. So I think this is something that we will ■■ as an industry and as a company, we'll be representing to the government and we believe there is a good case for us to defend this.

Nimish Maheshwari : How much our business is related to this category?

Mahesh Iyer: So look, the impact is the entire outbound business. So if you look at the overall business that we do at Thomas Cook India as well as SOTC India, the 2 outbound travellers from India, close to 80% of our holidays business is outbound, 20% is domestic. So the 80% of the holidays business get impacted as a result of this circular on TCS.

Mahesh Iyer: Nimish also keep in mind, that when the 5% charge came in, people are paying 5%, so there was no impact of it. But that 20% obviously is going to push the price up. And to that extent, we will expect some impact to happen. We have time till July of 2023. So summer definitely is not getting impacted because people have already started bookings for summer. And I think post this announcement, a lot of people will try to prepone their traveling too. But having said that, I think we will have to make a representation with the government, and we will go that out.

Nimish Maheshwari : So this Travel & Related Services segment is something, which is 80%...

Mahesh Iyer: Nimish you need to understand the Travel Related Services that you see in the segmental results has got multiple segments. One segment out of that is the outbound holiday side of it. There is corporate travel, there is B2B MICE, DMS also, which is the overseas travel businesses also. So, there are multiple businesses. So 80% of that universe is definitely not the universe that you should look for. I think on that universe, it will be roughly like maybe 20% of the total travel segment.

Madhavan Menon : 20% to 25% of the travel segment. Not the overall.

Nimish Maheshwari : Travel segment. Okay, got it.

Debasis Nandy : To answer your second question, which is on interest and finance costs. So out of the overall interest and finance cost of INR 278 million, there are 3 components to this. We think one is the pure interest cost, which is on bank overdrafts, working capital loans, demand loans as well as on term loans, including ECLGS.

This constitutes of 44% of the overall cost.

The second part is what we call other finance charges, which is typically charges relating to credit cards, charges relating to cash management, charges related to export and import of currency. That constitutes about 45% and the balance 11% is really the interest on the lease liability. So, we have a lot of properties, typically our shops which are on lease. And in terms of Ind AS 116, it is

the interest on these liabilities have to be provided, shown separately as part of interest costs. I hope that answers the second question.
Nimish Maheshwari : Yes.
Debasis Nandy : On the third part, which is on the breakup or rather expansion of the other income of INR 206 million for the quarter. These are typically also termed as other income, these are ■■ most of these are operational items such as PLBV'S and GDS received from airlines and some similar incentives, which we can't consider directly to income of operations for accounting purpose, but it is really operational income and not non■operational. This also includes some amount of interest income on the various deposits, et cetera, that we have. Does that answer your question?
Nimish Maheshwari: But it has doubled from the last quarter. So, is there any specific thing which came in this quarter?
Debasis Nandy : So, this is more depending on the volumes that we do PLVB's and GDS are linked to the airline or air ticketing volumes, both on the leisure side as well as on the corporate ticketing side. As we have seen or as we have talked about, our overall volume improved substantially in this quarter, which is very evident from the result. And consequently, you'll see increase in these incomes.
Nimish Maheshwari : Got it. Thank you.
Debasis Nandy : Basically, the way PLVB's work are that there are slabs which operate. So, the higher ■■ more number of tickets you can sell, the higher you move up the slab. So, there will be some bit of slab movement also across airlines. So maybe, for example, we are accruing at 1%

earlier. In some airlines we might have moved to 1.5% to 2%. So that will explain the higher accruals.
Nimish Maheshwari : Yes. How you are looking for the outward expenditure by the overall industry for the foreign travel?
Debasis Nandy : Sorry, I'm not sure we've got that question right. Can you say that again, please?
Nimish Maheshwari : Yes. For the foreign travellers, how you are looking for the ■■ how the industry is moving?
Mahesh Iyer: So from a forward booking point of view, as I mentioned, we've launched our summer packages, and the response of the market has been very, very strong. The current booking trends indicate a recovery which is ahead of the pre■pandemic levels at this point in time. So the comparison is that if I have to look about 2019, if I had launched the summer packages and the kind of response that we had on the booking pipeline that we had on a comparative basis, we are about 20% higher than the pre■pandemic level, that's point #1. Point number two, I think there is a lot of easing of visa challenges that has happened specifically on the European sector, where we initially were talking about challenges there. I think that has kind of tapered down a lot more.
Third, from a supply side point of view, a lot more airlines are now operating into India. So that brings more supply. So we are expecting a good summer remain quite optimistic for the summer of 2023.
Moderator : We have our next question from the line of Mithun Aswath from Kivah Advisors.
Mithun Aswath : Congrats on a good set of numbers. Very unfortunate of what happened in the budget. I just wanted to understand how would you fare in terms of the domestic operator vis■a■vis a global online travel total, if I were to book a package there would still the tax get ■■ would I get impacted by that? Would all the travel portals operating have to tak

e that into account?
And is there a way of you trying to make the package into a piecemeal sort of thing where you have the flights and the other costs separate as well as only the land package on which the TCS will be charged because 20% would be quite significant for people who would be taking these tour packages to Europe or the U.S. And just wanted to get a sense on that.

Madhavan Menon : There are several questions within that question. So let me address them one by one. All the online travel agencies based in India are subject to the same rules as we are. So if we look at MakeMyTrip or an EaseMyTrip, they would face the same regulations. As far as booking on international booking platforms, yes, this is a loophole that exists. We have drawn the attention earlier to the government on this. We will once again draw the attention of the government to this matter.
Now as far as seeing a trend towards booking on these platforms, unfortunately, these platforms provide you components. They can sell you a hotel room, but you can't necessarily book in their

flight, sitting in India on an international platform that would still have to go through the local norms.
So my expectation is that the government will recognize this, as mentioned earlier, that it's been clubbed with the remittances. And our expectation is that the government will realize this and bring about some change in the new regulation that they brought about in the budget.
Mithun Aswath : Right. The reason I asked you this is ■■ there was, I think, an interview with the revenue secretary and she did not mention it as an issue at all. So I was a little bit surprised on that, I think, a couple of days ago. Apart from this, I just wanted to understand, is there a way of ■■ do you think as a sector, you can continue offering this and people would get adjusted to the 20% TCS or is there a way of you trying to reduce this for a potential traveller? I'm just trying to understand, say, this is past, how would you work through this? I'm just trying to understand.
Madhavan Menon : So Mithun, I think purely from a governance point of view, we will have to abide by the laws of the land. And therefore, that leaves us with little option to examine other routes, which can be used, but would be in violation of the law. So we will make every effort within our means to try and get this amended. We have also read this particular comment that came from the Secretary. However, we, along with other players in the industry are in the process of making a representation and we hope to have some results out of it.
Mithun Aswath : And this is the applicable from July 1, right?
Madhavan Menon : Absolutely, yes. So we have some breathing space in terms of convincing the government to change it. And we are fairly confident that they will see some reason in what we're saying regardless of what is being said in the press.

Mithun Aswath : Just one last question on ■■ in terms of what is the net cash on the balance sheet now?
Debasis Nandy : The net cash on the balance sheet. Do you mean the net of debt?
Mithun Aswath : That's right. The total.
Debasis Nandy : The overall cash and bank balance is INR 10.58 billion, that's about INR 1,058 crores. And then if you take out the debt that is there across various businesses, term loans and working capital debt, which is about INR 500 crores.
Mithun Aswath : Sorry?
Debasis Nandy : Close to about INR 500 crores, the net of debt ■■ the net debt.
Mithun Aswath : So you have net cash of INR 500 crores?
Debasis Nandy : Yes, net cash of INR 500 crores.
Mithun Aswath : And just one last one. We see a mark■to■market hit every quarter. I think this is because we are holding in Quess corp. I just wanted to understand what is the value of that holding? And is there any potential sale or exit that you will make so that this line item doesn't appear eve

ry quarter.
Debasis Nandy : I'm happy you asked this question actually. So let me get two minutes to explain this. The shareholding that is adheres as cross shareholding is actually in an employee trust whose results are clubbed along with Thomas Cook. This trust is meant purely for giving benefit to the employees and does not benefit the operating company anyway.
The trust holds about 12 lakh shares of Quess, which are meant to be given to employees. Now, as per accounting norms, these shares will have to undergo a mark■to■market at the end of every quarter, every month actually. And, as you know, the share prices of Quess have been very volatile in recent months and at the end of September, it was something there about INR 645. At the end of December, it fell to over INR 411. So that's a volatility, you've never seen in Quess shares before. And that the differential multiplied by the 12 lakh shares that we ■■ that the trust holds has resulted in this.

Going forward, obviously, as and when these shares get distributed to the employees and the shareholding in the trust goes down, automatically, these numbers the volatility will start impacting less than less. But there is no other way to ■■ in terms of accounting, there is no other way to represent this. Does it answer your question?
Mithun Aswath : Yes. So there's no time line for this to happen?
Debasis Nandy : This happens over the next couple of years. So there are some ESOP’s which have been granted, which vests over a period of time. And therefore, this can be exercised only over a period of time. And over the next couple of years, it should get utilized. However, I like to reiterate one fact that this has nothing to do with operational results. There'll be ups and downs in this. As you know the last quarter, there was a small positive on this that we enjoyed, but

neither the gains or the losses have anything to do with the actual operational PBT.

Mithun Aswath : Would it be good for you to maybe make a release to the exchanges to this effect, so that there is complete clarity that we've got nothing to do with your operational performance. So that people understand.

Debasis Nandy : I think the very reason for the very reason that we mentioned, if you see our press release, we have specified operational PBT. We have brought in the term for operation PBT, which we had never done before just to make sure that people understand and we’ve tried to explain what is operations PBT, we specifically exclude this item. So yes, and you will continue to do so in our interactions with investors, analysts, et cetera, we'll continue to deemphasize this point.

Moderator : We have a question from Akul Broachwala from IIFL Securities.

Akul Broachwala : So you mentioned already that forward bookings are ahead of what it was in pre■pandemic level. So we are seeing those kind of recovery happening. But I wanted to understand in terms of costs, like we have been emphasizing that right now that our digital initiatives have drastically improved since that and pandemic has happened. And so like since we are heading towards the summer, so what would be the kind of cost advantages or cost savings that one should expect at least for the next 2 quarters or so?

Mahesh Iyer: Thank you, Akul, for asking that question. Keeps us focused on that one. Just to let you know, as Debasis mentioned, he spoke about the EBIT margins. One of the reflection of the EBIT margins and the improvement in the EBIT margin is, one, increase in revenue; and number two, the management of costs and we continue to see the benefits of the cost prudence that we cater about 2 years ago and our drive towards digital initiatives.

We expect that to continue in the quarters to come. And our full year estimate is about 30% reduction over the 2019 base that we had, and we expect to hold on to that savings for years to come.

Akul Broachwala : That's great. And besides that, like again, coming back to forward bookings, like since last few quarters or last year, specifically, you mentioned that short■haul travel was a trend during that time. So are we now kind of seeing that reversal towards more of long■haul travel specifically based on outbound?

Mahesh Iyer: Akul, it's beginning to happen. In the current quarter, if you look at it, while domestic was close to about 80%, it's the short haul that actually came at about 110% to the pre■ pandemic level. And that really happens because if people are making their decisions in the last minute, difficult to get a long■term visa, or maybe a U.S. or a European Visa and they make their choices for the short hauls. And again, there is easy accessibility and stuff like that. So that happened in the December quarter. But when I look forward to the forward bookings coming in the March and the June quarter, it's definitely, the trend is towards long haul, and it's the long haul that's recovering much faster as compared to the short hauls. But as we said, we are a travel operator. We are here to give a good experience to the consumer. It's a choice mix, we will put everything on the table for them to make a decision on.

Akul Broachwala : Understood. Secondly, on Sterling Holidays specifically, like overall, like we are seeing right now the kind of inflation that's there around across all these hotel companies. So like, of course, like looking at the kind of occupancy rates that we are at. So there's enough headroom available yet. So I just wanted to get a sense as to how management is looking at selling holiday specifically? And like are there any specific strategic decisions that are yet to be made for Sterling specifically?

Vikram Lalvani : One, yes, while the overall business has significantly grown over last year as well as pre■pandemic. In fact, we had ■■ Sterling had a turnaround when compared to pre■pandemic.

We are currently at about 62% occupancy. There is headroom to certainly increase this occupancy at least towards 65% to 68%. Given the fact that we are in the leisure business, and there are peaks and troughs even in every week of the month, we still have that headroom. That's point number one.

Point number two, we will continue to maximize the overall yield as we've been doing so both in terms of volume as well as the components' average rate. Number three is, in terms of our strategic direction, we will be focusing on the resort business. We have taken a big shift over the last couple of years towards the resort business. And the resort business is the one that's actually scaling. Both in terms of its performance parameters as well as in terms of expansion into new destinations. As we speak, we are opening more hotels, so capacities will go up and on an asset■

light model. And to that extent, the resort business will be the key driver for Sterling. I hope that answers that question.
Mithun Aswath : Right. Understood. And like as you mentioned, like resort business is something which is actually driving this kind of growth. So can one assume that the earlier business model, wherein the membership base business model is something which rather would now stay in sideways and it's more to do with overall how you scale up resort business. So that's the strategy going forward.
Vikram Lalvani : That's right. In fact, the membership business, the entire focus on the membership business is on efficiencies and profitability, which is why we have bought about our business model change even within membership. Previously, our membership sales were a high cost fixed cost■driven sale, and you've actually moved towards a more variabilized cost of sales in membership, Number two, is the overall efficiencies in the membership business, whether it's to do with down payments or our edge to do wi

th the kind of yields that we have in our membership
business. So that's been tightened up. Number three, the membership business will be used only as a filler or a competitive advantage, especially in times where we have distress inventories, and we are able to fill up those inventories with member bookings.
Mithun Aswath : And finally, on DEI, like, of course, like the overall, there's a good amount of revenue growth that's being witnessed. And obviously, that this operating leverage once it kicks in, it will help you in terms of adding good EBIT. So overall, what's the potential that management is looking at specifically for DEI?

Madhavan Menon : Ram, you want to take this question?
K S Ramakrishnan : Yes. I will. Hi, gentlemen. My name is Ramakrishnan, I'm the CEO. And thank you very much for the question I guess, we see a huge potential in our growth in every market that we entered. The only market that did not do well for us last year was China, and you all know China is opened in a very big way and the first month, we've already shown directions that we are doing way ahead of what we had planned.
So, the growth potential on the overall business is rapidly increasing at an average of 25% to 30% year■on■year. And that is a non■stopper across as we see, unless there is any natural calamity. So, I think we have an absolute tremendous opportunity on growth. We have signed up contracts like Madhavan said, Saudi Arabia has a huge potential. Saudi Arabia has 4x more resident potential than UAE. The UAE is one of the largest markets for DEI, 40%■ 45% of our revenue comes from there. And Saudi is not even opened and we have not even started Saudi and they're starting in this year. So, we see tremendous and fairly big year■on■year growth in the next 3 years on our Souvenir Imaging business. And also the also to add to it to go into the adjacent business of the attraction itself. After serving the attraction industry for over 15 years, I'm fairly confident that we know what a good attraction should look like, and we are taking our first step, with our first balloon going live in another 2 weeks from now at Atlantis, The Palm in Dubai. Now that's one among our 70 key partnerships around the world that has similar potential for balloons, not that they want to put everywhere, but we have a huge opportunity of growing that business, too. So overall, fingers crossed, we are in a very vision for growth.
Moderator : We have a question from the line of Nimish Maheshwari from RSPN Ventures.
Nimish Maheshwar i: One last question from my side is, is there any increase in debt during this quarter because the interest has increased from INR 16 crores to INR 28 crores. So is it because of the interest on debt? Or is it because of interest on financial target?
Debasis Nandy : So there's been ■■ Nimish, there has not been any debt increase in debt during the quarter. What has happened is that, we talked about the ECLGS loan, which is a long■term loan that came to us in the previous quarter. Actually, we took the disbursement in September. So the interest on that■■ for the entire load for the full 3 months of the full quarter is actually causing an increase in the interest cost.

Nimish Maheshwari : So what is the amount of debt currently?
Debasis Nandy : Total amount of debt?
Nimish Maheshwari : Yes.
Debasis Nandy : INR 498 crores, say, INR 500 crores. At a group level, the total debt is INR 500 crores.
Nimish Maheshwari : Okay, around INR 500 crores. And the interest cost is around INR 12 crores to INR 13 crores for this quarter?
Debasis Nandy : The overall interest cost, interest and finance cost is INR 28 crores – INR 27.8

crores of which about 44% is the real interest cost.
Nimish Maheshwari : Is there any other increase in these financial charges or is it same like last quarter?
Debasis Nandy : As I said, there are 3 components of it, oka

y? The second component ■■ the first
component is a fewer interest costs. The second component is finance charges, which is dependent on the business volume. For example, credit card charges. These are credit cards swipe by customers when they buy online. So the more bookings we do online, the more credit cards charges we pay. But I don't complain. I am not complaining because that actually increases revenue. And my revenue ■■ our revenue margins are fixed in a manner so that I consider those charges.
Moderator : I now hand the conference over to management for closing comments. Over to you.
Madhavan Menon : Ladies and gentlemen, thank you for participating in this investor conference. And let me just very quickly summarize that we are very conscious of the announcement that the budget made and we will make every effort to ensure that this issue is resolved sooner than later. Secondly, we've seen the recovery we expect this recovery to continue. It's not some people term it as a revenge effect and therefore, short term. Our expectation is that this trend will continue for several quarters going ahead because of the diversity that we have.
In fact, I must say that while an announcement of this kind is viewed very seriously, it is mitigated by the diversity that we have across our businesses. So we have foreign exchange ■■ in the Indian

businesses, you've got foreign exchange. You've got the corporate travel, you've got the meetings and incentives. That's the corporate side of our business. We've got inbound as well as domestic. And if you look at the businesses that are offshore, you've got destination management businesses, DEI and of course, Sterling Resorts, which adds to this whole diversity.
So, while we are concerned, it is something that we have enough mitigation in place to overcome. And we expect that with all these businesses firing on all cylinders, it will not affect our earnings by too much, and we will be able to manage it. Thanking you again.
Moderator : On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

THOMAS COOK (INDIA) LIMITED
Q4 FY2023 Earnings Conference Call
May 19, 2023

M
ANAGEMENT :
MR. MADHAVAN MENON – CHAIRMAN & MANAGING DIRECTOR , THOMAS COOK (INDIA) LIMITED
MR. MAHESH IYER – CHIEF EXECUTING OFFICER ■ THOMAS COOK (INDIA) LIMITED
MR. DEBASIS NANDY ■ GROUP CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. VISHAL SURI – MANAGING DIRECTOR – SOTC
MR. VIKRAM LALVANI – MANAGING DIRECTOR –STERLING HOLIDAYS
MR. RAMKRISHNAN – MANAGING DIRECTOR AND CEO – DEI
MR. KRISHNA KUMAR – CHIEF FINANCIAL OFFICER ■ STERLING RESORTS
Moderator : Ladies and gentlemen, good day and welcome to the THOMAS COOK (INDIA) LIMITED Q4 FY2023 earnings conference call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen■only mode and there will be an opportunity for you to ask questions after the
presentation concludes. Should you
need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand over the call to Mr. Akul Broachwala from IIFL Securities. Thank you and over to you Sir!
Akul Broachwala : Thank you Yusuf. Ladies and gentlemen good afternoon and thank you for joining us on the Q4 FY2023 earnings conference call of THOMAS COOK (INDIA) LIMITED. I invite the company's senior management team to discuss the results and business strategy. We will begin the call with opening remarks from Mr. Madhavan Managing Director followed by Management team and thereafter we will open the call for Q&A session. I would now like to hand over the call to Mr. Menon to take the proceedings forward. Thank you and over to you Sir!
Madhavan Menon : Let me thank everybody for participating on this call. Let me kick off by introducing everybody in the room from our side, I have Mahesh Iyer, CEO of THOMAS COOK (INDIA) LIMITED; Mr. Debasis Nandy, group CFO of Thomas Cook India Group; Mr. Vishal Suri, MD of SOTC; Mr. Vikram Lalvani, MD of Sterling Holidays; and Mr. Ramakrishnan MD and CEO of DEI. I am pleased to report that we announced a good set of results yesterday

for the financial year ended 2023, we reported a 163% increase in income from operations of Rs. 5,111 crores against which we reported an operating EBITDA of Rs. 277 crores and an operating PBT of Rs. 63 crores. The performance was primarily driven by Thomas Cook who reported an operating EBITDA of Rs. 277 crores, Sterling Holidays reporting at the same number as an EBITDA number, SOTC reporting a number of Rs. 28.5 crores and DEI reporting a number of Rs. 67.8 crores. The primary drivers in terms of our business segments were foreign exchange, corporate travel, the incentive business, hospitality, and the imaging business, all these businesses reported far better profitability than they had in the previous two years, which obviously as you are aware was disrupted by the pandemic. If I look from a cost and productivity level, how we did this, through the pandemic, we actually reduced our costs and for the financial year ended March 2023, you will see savings of 20% across the group. However, I just want to point out that several companies within the group are clocking at 30% plus in cost savings and our intent is to sustain these cost savings in the medium to longer term. So, there is cost rationalization. The second important point is the improved margins and if you look at our EBITA margin for the year ended 2023, it stands at 5.4% as compared to 3.6% for a similar period in the financial year ended 2020. Obviously, all these numbers are showing significant growth because we had losses in the previous financial year as a result of the pandemic. A third important driver was the productivity improvements that we have achieved through automation and digitization relating to the delivery of products to customers. This is across all our segments, not just it is a foreign exchange that today delivers products both digitally as well as physically. You've got leisure which does the same thing. Our internal processes also have been automated to a significant aspect. The last point I want to make is that our cash and cash equivalents stood at Rs. 1,000 odd crores which is almost similar to our pre■COVID 2019 numbers. So, we are back in business. We are generating cash and I expect that in the coming quarters, we have a fair degree of visibility, with this I will leave to Mahesh and Debasis to address. Thank you.
Debasis Nandy : Thank you Madhavan. This is Debasis. I will just quickly highlight the financials for the quarter and for the year before I handover to Mahesh. So, we have had a great year, in the financial year 2023, our income from operations grew by 163% from Rs. 1,946 crores to Rs. 5,111 crores and we will get into details business■by■ business, in the course of the next half an hour or so. Our costs remained under control as Madhavan pointed out leading to very healthy EBITDA. If you look at our operating EBITDA and I'll explain that in a minute. Our operating EBITDA as Madhavan pointed out was about Rs. 277 crores. We had made a loss of Rs. 126 crores last year but more importantly, this is even better than the pre■pandemic year of FY2020. In FY2020, we made an operating EBITDA of Rs. 251 crores which was at a margin of about 3.6%, and this year in spite of the top■line not being

comparable to what it was in FY2020 our operating EBITDA is at Rs. 277 crores which is a 5.4% EBITDA margin. We will keep on talking about operating EBITDA and let me just explain why we qualify this. So, there is an item in our financials that was given separately as a disclosure which is a mark■to■market loss on investment. This is the holding that we have of shares in Quest Corp. These shares are not held by Thomas Cook. The shares are actually held by the Thomas Cook Employee Trust, which is a separate entity. However, for accounting purposes, this is clubbed as part of the standalone and the group. The shares held by the trust are meant

for allotment and
distribution to employees over a period of time based on the way their ESOP mature and this cannot be used for anything else. There has been a significant change in values in the price of Quest shares during the year. Leading to mark■to■market and we have to measure the impact of this on the overall value of the investment made by the trust. So, this amount works out to a reduction in value, a notional loss of Rs. 35.3 crores. This was only foreclosed last year. So, while we have to consider that as part of EBITDA it does not impact operations in any way, which is why we are making a distinction in our conversation with an operating EBITDA and the reported EBITDA. As the volatility in the Quest shares stabilizes this amount will become immaterial hopefully in the years to come. And also, the other factor that influence is as and when the ESOP matures these shares would be given out to employees and therefore, we would not need a mark■to■market valuation anymore. Coming to the reported profit at an EBIT level and this is a reported EBIT and level we generated Rs. 117 crores against a loss of Rs. 258 crores showing the turn around with the business has made and at a PBT level our consolidated business made a profit of Rs. 26 crores against the loss of Rs. 323 crores last year. So, all■round improvement across. I will not take too much of time on this. The numbers are there in the investor presentation which has been circulated to you. And let us talk a little more about the business and handover this to Mahesh so that he can take you through that.
Mahesh Iyer: Thank you Debasis and good afternoon, everyone. I would now quickly jump into the segmental numbers and I think that is where the business essence lies. So, I will kind of walk you through each of the segments that we have and I will kind of move you through the full year that is FY2023 as well as Q4 FY2023. To begin with foreign exchange, the segment that we have had a stellar year in the year that went by FY2023. If you look at income from operations grew almost 2X from about Rs. 110 crores to Rs. 246 crores that is more than 100% growth as far as the revenue from income from operations is concerned and if you look the same number on quarter■on■quarter basis moved from Rs. 38 crores to Rs. 65 crores. Now if I look at the profitability for the same period. For the full year FY2023 it moved from a loss of Rs. 3 Crores in FY2022 to a profit of Rs. 72 crores and income from operations point of view moved from about Rs. 110 crores to about Rs. 246 crores. So that is almost doubling in terms of income from operations and almost like four times or 5X in terms of profitability. The underlying thread to this performance has been very steady combat as far as volumes are concerned. Further full■

year FY2023 foreign exchange volumes are back to 82% of the pre■pandemic level whereas for the quarter that is Q4 for FY2023, the volumes are at 93%. So, when I compare it to quarter■on■quarter, we have seen improvement but as you would know that the recovery to pre■pandemic in the previous quarter was lower, but for the full year it stands at 82% and for the last quarter it stands at 93%. Now when we look at recovery within the segments of foreign exchange the retail segment is actually on top of the pre■pandemic level. We are at about close to 103% of the pre■pandemic level driven by the student segment which is operating at about 35% higher than what it was in the pre■pandemic level. The travel■related segment which is a part of the retail form exchange segment continues to be lagging and it is close to 75% kind of trailing the kind of numbers we would see in terms of travel. If I look at the prepaid card business, which largely is reflective of the cooperative movement that is happening, our prepaid portfolio has grown by about 80% as compared to the previous comparable quar

ter for Q4 FY2023. In
terms of share volumes, we did about $81 million in Q4 FY2022 and the same volume in the current year is at $141 million. For the full year, we are at about $550 million of prepaid card loans and I think that is one of the best that we have done in a very, very long time. If I look at the float of the business, we are sitting at about close to Rs. 850+ crores of float that is there as a part of the prepaid portfolio. Again, noteworthy here to mention is the digital transformation. Madhavan spoke about the investments that we have made and how it is paying out for us. If we look at our digital adoption rate which is customers coming and doing digital transactions from us which is about 11% of our total retail portfolio. For the B2B business that we conduct through the same digital route, we have about 10% options. So overall about 20% or 21% of the overall retail business is actually happening through digital channels and we continue to invest in it. The recent directive from RBI in terms of e■ KYC being enabled to authorized dealers like Thomas Cook, I believe will allow us to further invest in the technology and reduce the friction that comes in completing the last mile fulfillment as far as the customers are concerned so clearly from a growth perspective foreign exchange is set well. We believe as travel happens in the next quarter, which is traditionally the largest seasonal quarter for the holiday business, we would see the recovery on the travel side of retail for foreign exchange and that should add to the profitability going forward. Coming to the segments on travel and travel■related services obviously, there are multiple segments in there. As you know it comprises of holidays which is B2C, we have got holidays that is B2B that we call as MICE, it has got corporate travel and we have got DMS which is overseas inbound business as well as India inbound business. Each of them as Madhavan told are in different stages of recovery and I will try and give you a sense on each of those verticals. To begin with I think from a recovery point of view, overall recovery for the travel business stands at about 78% this is an overall sum which includes India inbound, overseas inbound as well as domestic and international outbound. Now if I break that up into each of the segments, to begin with from corporate travel, we

are already trending as we have been saying in the last two quarters, corporate travel was very quick to combine

both from a volume and value perspective, we are trending above pre■pandemic and we continue to see momentum in terms of the growth that we see in this business. This is also at the backdrop of new acquisitions our new clients that you acquired during the quarter and they have started to trade full throttle in the current quarter. Also, important to mention here that the mix of business between international and domestic which used to be skewed towards domestic in the previous quarter has now found balance and we are trending at similar ratios that used to be pre■pandemic which is 60% to international and 40% to domestic. Though volume wise there are skewed 90:10 but in terms of value international now counts for about 60%. Now from a yield point of view this international traffic or international volumes is almost very well because that is where we make our margins and clearly the comeback on that volumes will add to our bottom■line going forward. Also, to mention here that we are also doing some real high■tech integration in terms of technology for some of our large customers, which will then eliminate the need of people related touch for transactions, as you know these are travel management services for large corporate again happens to be little more people intensive. We are bringing in technology which then talks to the employee self■service portal that each of the corporates have and that w

ill
kind of ease out the journey in terms of booking of tickets, booking of hotels and more importantly the way we invoice customers and collect payments. So clearly it is an end■to■end journey. We have started the pilot on it with few of our customers and we expect to continue that journey going forward. Coming to the B2B business of MICE which is the holidays, we have had a very good set of numbers both from SOTC and Thomas Cook, the two brands that represent this business in the market. This is against the backdrop of some large wins we have had. As you would know, we have been speaking about the Government contracts that we have got. This is a new set of business segments that we have entered in the last three quarters. We managed the Khelo India games that happened in MP. We also won the mandate for the Khelo India games that are going to happen in Uttar Pradesh towards the end of this month. We are also one of the three vendors who provide services for the G20 event that is happening including the World Tourism Council that is going to happen in Jammu and Kashmir between the 22nd and 24th of May so clearly the Government business has become a sizable portion of our MICE portfolio. It is a very profitable segment, makes us money and we kind of diversified our portfolio not only on the international side but also on the domestic side. Also, important to mention here that on the MICE side, we have brought in new technologies which automates a lot of processes more importantly because it involves dealers far and few, and it is important that the entire process of collection of documentation processing of visa is all routed through a centralized system. So, we made that customer self■service app enabled for this set of customers also which has bought in productivity benefits on the MICE side of the business. Coming to the leisure side of the business again from a recovery point of view the overall business is about close to 65% recovery, but for the current quarter, we are seeing a recovery close to about 69%. Now you must also keep in mind that this quarter which is the quarter

that went by Q4 FY2023 happens to be an investment quarter. So, the volumes are strictly not comparable to the sequential quarter, which is the December quarter purely because this quarter has an element of people not taking leaves because of exams and everything else. So, we are now moving to normalcy where we have two strengthen the seasonality of the business. So, this is a seasonal investment quarter where we invest into our marketing initiatives but despite that I am happy to report that both SOTC and Thomas Cook on the holiday business broke even or actually made a marginal set of money. So, the traditional investment quarter turned profitable for SOTC and Thomas Cook both. From a volume perspective, international travel continues to grow. The long■haul side of the business is beginning to come back and the pipeline for April to June seems very strong. Europe continues to be a favoured destination despite the challenges on input costs and visas, and we see a very strong momentum for the European destination for the coming summer. Last but not the least to comment on the DMS side of it, I think across the board we have seen improvements. I think if you can look at desert adventures out of the Middle East the volumes have come back. They actually reported profitability in the December quarter. The March quarter is relatively slower for them, but despite that, they came in much closer to break■even as far as their overseas business is concerned. If I look at the Southeast Asia, I think that is where the recovery has been slower that's purely because markets like Thailand and Bangkok opened much later during the year and the impact of China is not fully visible. China as you would all know opened only in February and the impact of the business is

still to come back. So, we believe that Southeast Asia, Dubai, and Africa will start firing in the next quarter and we will start seeing results of that in our businesses in the coming quarters. Now I hand over to Vikram, for Sterling.

Vikram Lalvani : Yes, thanks, Mahesh. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani and I represent Sterling Holiday Resorts Limited as its Managing Director and Chief Executive Officer. I am also joined by Mr. L. Krishnakumar, the Chief Financial Officer of Sterling Holiday Resort. It is a privilege once again to meet and interact with all of you this afternoon. As you may recollect during the previous earnings call on 3rd Feb 2023 in Q3 FY2023, I had indicated that Sterling is looking forward to closing this financial year of FY2023 with historic path■breaking numbers. I am delighted to announce the best■ever performance for Sterling in FY2023. Our turnover was close to Rs. 370 crores and EBITDA was Rs. 117 crores which is at 31%. This is a recovery of almost

6x on EBITDA terms over pre■pandemic precisely 542% increase and a growth of over 20% increase over FY2022. The operating free cash flow for FY2023 for the first time crossed Rs. 100 crores with Sterling and we closed at Rs. 113 crores against Rs. 58 crores of FY2022. For Q4 Sterling recorded a turnover of Rs. 89 crores and an EBITDA of Rs. 27 crores which is 30%. Q4 is traditionally non seasonal quarter for leisure but despite that our occupancies grew by 7% close to about 62% our average rates also increased by about 9% closing at 5,536. This resulted in an

overall revenue growth of almost 18 ■ 19% over the same period last year. For the quarter, Sterling recorded an operating free cash flow of Rs. 32 crores which is about 125% growth over the same period of the previous year. During the quarter Sterling also debuted two new destinations, Haridwar, Uttarakhand and Chail, Himachal and thus taking our portfolio strength to 40 resorts across 38 destinations and 2,500 keys as on 31st March 2023. Now from a year's perspective, what were the three most attributing factors to this change that has happened. One our improved resort business, the spends at resorts has gone up, average room rates are up, occupancies are up, and guest ratios are up. Drive for efficiencies, our membership vertical has driven a lot of efficiencies, throwing up a lot of cost efficiencies through premiumization and variabilization of costs which were otherwise fixed. We also expanded our footprint across the country on an asset■light model resulting in incremental revenues and new lines of businesses for the company. I shall very quickly elaborate some of the key operating levers that resulted in this FY2023 performance. Our volumes are healthy and we maintained an occupancy of about 66%, which is up from 55% over FY2022. Our average room rate growth is very healthy, 21% over the previous year. We closed at 6,268 while surpassing the pre■pandemic levels given by 43%. Pre■pandemic it was at 4,392. Our improved volumes and average room rates resulted in room revenue growth of almost 74% which is Rs. 150 crores in FY2023 from Rs. 86 crores in FY2022. Improved food and beverage business by over 75% over the previous year. We have closed Rs. 79 crores in food and beverage revenues in our resorts versus Rs. 45 crores in FY2022 and this is because of improved participation, improved spending, and new lines of businesses in food and beverage that resulted in this growth. The growth in guest occupancies and rates when compared to FY2022, cost optimization exercises were also undertaken since 2020 and the cost times continued to be maintained through FY2023. In the membership business, the focus continued to drive profitable sales and maximize the yields and fixed costs. With the continuous growth of our variable model of membership sales to that effec

t our onsite sales were at 53% in
FY2023 when compared to only 38% in FY2022. Higher down payments of 48% in FY2023 compared to 41% in FY2022 and 30% in pre■pandemic levels. Therefore, the higher down payments also have a direct correlation with improved free cash flow. Strengthening the sales channel resulted in an improved average unit realization with a growth of almost 7% over the previous year. Sterling is confident that the buoyancy witnessed in FY2023 shall also have a positive impact in FY2024. Sterling shall continue to ramp up its business profitability in a more scalable manner even while entering FY2024. The thrush has continued to be on leveraging growth in the resort business sustaining cost efficiencies brought in so far and bringing about a strategic portfolio expansion rapidly as we enter even FY2024. In FY2023 Sterling added 6 new resorts across the country Madurai in Tamil Nadu, Kalimpong in West Bengal, Tiruvannamalai in Tamil Nadu, Pench in Madhya Pradesh, Chail in Himachal, and Haridwar in Uttarakhand and we shall add atleast another six resorts by H1FY2024 all in an asset■light model. Sterling resorts is one of the only hospitality chains to have launched a unique and proprietary distribution platform what we call

Sterling 1 in FY2023 that enabled channel partners across the length and breadth of the country and employees of corporate clients to access Sterling inventory in real■time and make reservations at pre■approved rates by a click of a button. This has enhanced our presence to 221 locations in India in FY2023 without the corresponding addition of any fixed costs. This also resulted in an increase in room revenues of Rs. 28 crores in FY2023 and this platform shall be further enhanced in FY2024 to yield even better results. Active participation in industry trade fairs we believe it also enhances brand presence.
To that effect, Sterling has participated in several hospitality trade shows in Q4 and we will still further strengthen Sterling's presence in the hospitality landscape in the country. To conclude, we are extremely upbeat and buoyant for our outlook even in Q1 FY2024 as well as for the remaining parts of the financial year. Thank you so much.
KS Ramakrishnan: Hi. Good evening, everyone. This is KS Ramakrishnan. I am the CEO, DEI. We have had a fantastic FY2022■2023. Like the numbers say we have double■digit growth from the previous year and it has also been our finest in the most profitable year in the history of our existence from the beginning itself. From an Indian rupee perspective, I would put it that from Rs. 474 crores in FY2022 to touch Rs. 810 crores in FY2023. Mind you this growth has happened to keep the fact that China, Hong Kong, and Macau were still not open for us. As the year it has been extremely not only good on revenue but also on our EBIT and profit. We have had the highest profit recorded in the year from all of our past performance years. Again, like Mahesh and the others said we have also had a lot of cost controls that has happened through the pandemic that will be continued through this process. While we also had a lot of growth happening in the existing markets that we were operating. Quite a few of our competitors folded up their business in the last two years of the pandemic, which we got an opportunity of picking up at a much better revenue share rate that made us more profitable our revenue had a grow to. As far as the year goes, the results are very clearly showing what we have done. Talking about forward■ looking. I think we have an even more exciting and interesting three years ahead of us as our plan goes on quite a few areas from a growth perspective or a revenue perspective, we have three geographies that we are highly focusing on growth. Saudi Arabia is opening up in a very big way. All of you must have heard about the number of

attractions and

amount of tourism that Saudi Arabia is planning to attract in the next decade. We are ahead of the curve there. We are already in the most wanted RFP of attractions out there while we also secured two or three contracts for us for the current year itself. We have also a sizable growth planned up on other accounts signed up in the Far East. Indonesia in particular is one of our most profitable countries of operations where we have more than four odd locations opening in this quarter as we speak. Malaysia and Maldives are another one where we have already opened three and two locations and we have another half a dozen of them lined up in the

next two quarters. Along with this revenue growth in new geographies, there is also a sizable revenue growth in existing geographies. China opened up in February■ March and April we have had an outstanding April so the way it looks like China from our schedule plan would be at least 2.5 times higher than what we have anticipated from a budgeting perspective.

So, China has opened in a very big way. Both our key partners Shanghai Disney and Universal Studios are throwing in an attendance of an excess of 10 million guests a year, which is what they originally planned. During the pandemic, it all had dropped down between 2 and 4 million so we have seen a huge, huge uptake up there in China. China was a challenging country for us for the last three years of the pandemic. This probably will become one of our most profitable countries in this coming year or year next along with that in markets like UAE we still hold our pole position, we have not lost a single contract and we have been renewing every contract of ours with the exception of losing one in Abu Dhabi which our competition took over and unfortunately the first two months results fortunately for us and unfortunately for them does not seem to be even hitting 30%. With all that looking good and great from a technology perspective, we also invested our time during the pandemic and post■ pandemic on upgrading and re■looking at our entire technology solution for imaging and we are now coming to the culmination of its benefits. The project is running for more or less nearly on time with absolute delays of two months. We are still within reach so we will be unleashing a technology solution called Hummingbird by the end of the third quarter and the benefits of that are going to be unison levels at least 20 to 30% better off than where we were. It is also scheduled to reduce our cost on labour by at least about 10 to 12% which would make EBIT even better. In fact, our last calendar year 2023 EBIT has already risen to about 19% from our average of 8 to 9% when Thomas Cook acquired us. So, with this change of Hummingbird, we see that margins even more better going ahead. Last but not the least, the Dubai balloon. Finally, the balloon has gone live in March. We have been doing extremely well. There are days when we have been having 100% occupancy on the balloon if the weather is good. Dubai has had bad weather for April and May so that is why our challenges are more on the flying of the balloon out there even in our budget for the balloon was always a lower one so we are very excited and looking forward. DEI has been having a brilliant last year and a more exciting one this year and the team is extremely excited about bringing in a lot more businesses than we have ever thought before so with that I will finish and thank you for your patience on whatever I said so far.

Debasis Nandy: Thank you, Ram. May I request Madhavan for the closing comments before we get into the question■and■answer section.

Madhavan Menon : I think I just want to reiterate what all of us have said that clearly there has been a full recovery in terms of profitability from the pandemic. I believe that the upside is essentially recovering. The balance which will take us beyond the pre■C

OVID levels both in terms of demand as well as cost benefit. I must also add that some of our destination management companies especially in Southeast Asia as well as here in India have been relatively slow in picking up, but just looking at the order book across all our segments, it is very evident that there is an upside from here and therefore I believe that we can expect better results across each of the group companies. With that I will end there and thank you for participating.

Moderator : Thank you. The first question is from the line of Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswath : I have a few questions. I just wanted to understand on the travel■related business. The EBIT margin even in the December quarter was only about 2% and this quarter it is flat so I just wanted to understand what level of business or if we reach pre■covid levels, I think on an annual basis you used to do around Rs. 6,000 crores in the travel■related business. Just wanted to understand what level of profitability or EBIT can this business generate because this is the most sizable business but does not really deliver any profitability meaningfully despite revenues being close to Rs. 1,000 crores. Wanted to understand what are the reasons for that?

Mahesh Iyer: Mitun this is Mahesh here let me take that question and I will get Debasis or anyone to get in and clarify. To begin with I think you must understand that the segment result that you are looking at here is a combination of multiple travel verticals here. One as I mentioned during the course of my commentary, you have the B2C holiday business. We have the B2B holiday business. We have inbound business in India. We have the inbound overseas business and we also have corporate travel business sitting in here. So, if you look at it, it is a sum total of multiple units or I would say companies who are all getting consolidated herein and each of them have their set off seasonality. Also, you must bear in mind that when you look at the recognition of segmental revenue versus segmental profit, they are very different. Each of the segments is accounted very differently because in the case of corporate travel segment you are only taking the revenues whereas in the case of holiday segments you have to take the entire value of sales into the revenue, hence if you look at the EBIT margins, it may not be the right way to look at it. Obviously on a comparable basis when you start comparing it year on year, you will start seeing this flowing in through but clearly for the current quarter in question as Madhavan also mentioned and I also elaborated during the course of our conversation different businesses are at different stages of recovery. We expect the margins to be stabilizing on the EBIT margins on the business to be anywhere between 7■8% and that is what we have seen. We expect that we should get in the next quarter, which is where you will see a large part of our outbound business firing in but again you will see the inbound business fire into the October■March quarter, so they will come back in that quarter. So, you will see the seasonality element of it and clearly from a measurement point of view it should not be a sequential quarter, but it should be a quarter■on■ quarter comparison.

Debasis Nandy : Just to add to what Mahesh is saying. Traditionally Q4 is also what we call our investment quarter because this is the quarter which is where we spend a lot of money on marketing ahead of the busy season which is between April and September and this also happens to be a low season as far as most of the parts to the travel segments are concerned. The top■line remains a little depressed and the cost goes up because of the marketing spends. The benefits of which actually we rip in Q1 and Q2 so as Mahesh correctly pointed out if you look at our business quarter■wise in sequence you will not get the right flavor let us put it this way. It has to be a quarter■on■ quarter in terms of last year versus this year because the business has very strong seasonality.

Mithun Aswath : I was just trying to understand. If we were to go back to pre■pandemic levels in the travel■related business and we get to a normalized level of business there, what sort of EBIT could that business also generate compared to what we were generating pre■pandemic which was more in the order of maybe around 2.5■3%. Is there a big delta potential because last quarter you reported about 2% on 700 crores top■line. So, just wanted to get a sense of that and whether you are targeting to get back to pre■pandemic levels in FY2024 or will it take longer.

Debasis Nandy : Quite definitely so in fact, if you look at our FY2020 which is the last pre■pandemic year, our EBIT margins on the travel segment were about 2.4% for the full year. We have done quite a bit of work since then in terms of automation which has led to an increase in productivity and in terms of reduction to our costs. Our cost aspiration as Mahesh and Madhavan both talked about has been to the order of about 30% across most of our company. Now all that would give benefit as the sales start rising. You have seen that our travel sales at over a level is still not compatible to what it was in the pre■pandemic days. For example, the total travel segment sales were Rs. 5,742 crores in FY2019■2020 as opposed to about Rs. 3,600 crores. At overall say about 65 to 70% for the full year. Now this number is growing but our margins are at a better level than what it was earlier so as we gradually inch upwards Rs. 5,000 crores number, you will see more and more profitability coming in. So, I am quite confident and I do not want to give you a percentage number in terms of how much improvement in EBIT be we are very sure that you will see more and more profits coming out of the travel segment in FY2023■2024 that is the current financial year.

Mahesh Iyer: And if I can just add to what Debasis said it is also to important to note that for the year ended FY2020 some of the businesses that we have required which is overseas DMS when we acquired we realized that there has to be a lot of transformation that had to happen both from a business and cost optimization point of view so all of that has taken place during the pandemic and as they come back to full■scale business, the color of their profitability will definitely change and will add to the segmental profits in each of the units that we operate in the country.

Debasis Nandy : In fact, we are seeing profit happening already. I mean as Madhavan and later on Mahesh was mentioning some of the overseas units for example if I have to name some of them, desert adventures which is Dubai based unit operating the Middle■East or private safaris in East Africa and the unit that we have in the US LIT Pro, all of them ended the year at all■time high in terms of sales and all of them. All of them were loss■making in the year 2019■2020. All of them have now come back to profitability so which has added to the overall group profits. Now going forward in FY2024 we expect that they will surpass the numbers they have posted last year and therefore it will add to the overall profitability of this segment.

Mithun Aswath : So, is it safe to say that in FY2023 we will reach FY2020 travel rates and revenue, 3,600 crores will go back to 5,700 or is that being too optimistic and why would we not notice that especially since the hospitality sector overall I think in the country has bounced back quite smartly so just wanted to understand.

Mahesh Iyer: Mitun you are almost right. We are not saying that we will not reach back. Our internal estimates are that we will bounce back. As I said, different markets operate very differently, right. As we saw, we expected China to open much faster, did not open the way it had to. So, we had some setbacks there but clearly, if you ask me the position from here to the next 12 months, we definitely believe that we should surpass the pre■pandemic levels in most of the businesses that we operate in, specifically in the travel segments.

Debasis Nandy : And as we said ultimately what matters is the profitability. And let us hypothetically say that we do not reach 100% of FY2020 levels in terms of top■line, it will be much easier to reach the FY2020 benchmark in terms of profitability because of the improvement that we have done in productivity and cost management.

Mithun Aswath : I have couple of more questions but that is fine. Your finance costs are close to Rs. 90 crores despite having quite a large cash pile so I just wanted to understand how much of this Rs. 90 crores is linked to actual borrowing and can your finance cost or your interest cost come down what is your cost of borrowing?

Debasis Nandy : That’s a good question actually and thank you for asking that. So, if I look at interest and finance charges the overall numbers are Rs. 89 crores in this year as compared to roughly about Rs. 61.6 crores last year. Now there are three components to this. One component is pure interest which is on loans short and long term and that has gone up from Rs. 24 crores last year to Rs. 33 crores in the current year, the Rs. 9 crores increase is largely due to the one long■term loan that we took during the year which is under the ECLG scheme of the Government. That is about 150 crores of the loans that we have taken during the year. The balance is on account of two other elements to this. One element is the lease rentals, okay. So, there is an interest element on the lease which in terms of accounting has to be classified under the interest and finance charges. Now that amount is about Rs. 13 crores in 2022 and in FY2023 is about Rs. 12 crores so more or less the same. So, there is no change in that and that would continue to be because we have a lot of shops and offices which are on lease so which will continue, the 12 to 13 crores number will continue as a base number. We are not planning to open any new branches or shops and therefore we do not expect any change in this number. The rest of it which is an amount of Rs. 43 crores in the current year and Rs. 24 crores in the year before pertains to what we call finance charges. Now these can be various things. These can be the bank charges that we pay for our bank guarantees that we issue, the credit card charges that we have to pay for collections. When you collect payments through net banking etc there are some gateway charges that we pay and of course on the foundation business we do import and export of physical currency. There is a bank charge relating to that. We call export import or EXIM charges so all of this find shelter under this heading called financial charges. This amount went up from Rs. 24 Crores to about Rs. 43 crores this year. This actually reflects the increase in the volume of the business. If you see in the corresponding period our income from operations went up from Rs. 1,888 crores in FY2022 to Rs. 5,047 crores in FY2023 so this is almost tripled. The finance charges are really connected to the volume of the business. Now will this continue the same proportion, or increase the same proportion, not really. It will move up in proportion but it will not be in direct proportion. For example, the finance charge, the Rs. 24 crores as a percentage of income from operation was 1.2% last year. This is not 0.8%. So, we expect there will be some variability and this will keep on going down as a percentage of the overall number but we cannot sort of push it away also as we have moved a significant part of the business online so a lot of sales are happening online and consequently a lot of our collection are happening on online so therefore

bank charges will keep on coming, but this is connected to the volume of the business and therefore it brings in the necessary work. Does this answer your question?

Mithun Aswath : Yes, I am just trying to understand Since you have extra cash in an order of Rs. 500 crores rupees even if you are net of the borrowings. I’m trying to understand the income that you earn on the extra cash where is that going and is that more than interest out go and I am just trying to get a sense of why would have borrowings or large finance costs if you have surplus cash so I just wanted to understand and where are you utilizing that cash right now.

Debasis Nandy : So, let me handle that question.

So, our overall cash at a group level is roughly about Rs. 1,000 crores as Mahesh and Madhavan had talked about. Now that lies in various different buckets, all of it is not lying as freely available cash it also includes the float that we have on the prepaid cards that prepaid card float can be used for various things. We do put that in our fixed deposit but these are lying in foreign currency so we do put part of that in our foreign currency fixed deposit and do earn some income from that and that accounted for us as part of our other income. So that is there. Forex business is one of the largest businesses and therefore cash also forms, a bit like inventory if I can call it that way, the foreign exchange business and there will always be some amount of cash lying either physically or in the form of nostro accounts, etc. Now where is the opportunity of using this? One is of course in paying loans. So, if you look at our balance sheet you will find that our short■term borrowings has come down very substantially in March especially where Thomas Cook where most of the cash is lying or short■term borrowings are at a very low level but we do have Rs. 150 crores of long■term borrowing in Thomas Cook and in one other company which is ECLGS, it is a six■year loan and therefore we cannot really pre■pay that. We also have some longer■term loans in the overseas company where we had for handling some acquisitions which were taken pre■pandemic. We are paying it off over a period of time so that also will continue to stay. The float balances can be used for various things. One way of using that obviously is to do a swap into INR and use it to manage our business better. The soft cost is always cheaper than the short■term debt or overdraft and we use that money to manage our interest cost.

Mithun Aswath : Thank you Sir for all this. Just one last question on the DEI business. In the current quarter, we saw quite a dramatic fall in the EBIT compared to the December quarter despite revenues being more or less in line. So just wanted to understand any particular reason for fall in the profitability.

Debasis Nandy : I think Ram has dropped off on the call but let me try and answer that question. So, in the current quarter, we saw some changes in the cost structure. One major change was that the China business which was slow■moving throughout the year and dormant at times came back sometime in February as China got out of this COVID problem the business back. We have substantial business in China two major parks. One in Beijing and the other in Shanghai, Universal Studios, and Disney Shanghai respectively. These two came back in operations. Now when it came back to operations these two typically are parks the share of revenue that we have to give to the park is on the higher side, higher side in the sense higher than the normal average as compared to what we do in other parts of the world like for example in Dubai where most of our business is located that increase the overall cost as a percentage of revenue. At the same time, the business towards the end of March, etc as summer started setting in, the Dubai business also started getting affected.

So, between the two, there was a

mismatch in cost and revenue. With this will get corrected over time. It is a short■term thing that has happened for about a month or month and a half. Upset the sort of balance a bit, but we do not see that as an issue. In addition, as Ram pointed out during his presentation, the balloon in Dubai had just started off in the month of March. As the summer wins in Dubai, this business will come into full swing and we will see more and more profits coming out of DEI.

Ram Krishnan: Just to add to Debasis point one■time costs that had to be offered both in China and the balloon hit us in March and you would see that correctly. We have already seen the correction in April so I can assure you that was only a timing issue, nothing more than that.

Mithun Aswath : Thank you and all the best.

Moderator : Thank you. The next question is from the line of Aditya Kumar from LMI. Please go ahead.

Aditya Kumar : Thank you for the opportunity. So, I have only one question like on the forex card when a person tops up in the card on any foreign currency then due to currency fluctuation who bears that risk of the currency fluctuation. The company or the customer that comes in between when the top up is made and the money is used?

Mahesh Iyer: So clearly, we do not have any open position as far as the prepaid product is concerned because let me try and walk you through a flow of a transaction. If you were to come to my counter and buy a card for $1,000 you are going to pay me rupee equivalent for the $1,000 and let us, say the rate is 82, so you will pay me Rs. 82,000 and I would do a back■to■back cover for that transaction and at the same time the money will be transferred to a foreign currency account, which is what we call as a nostro account and will be parked the float and if you have listened to the call you would have heard Debasis talking about the float balance in foreign currency. So effectively this goes and sits in the foreign currency account and as foreign currency balances and

when we talk about float, we convert that into rupee and talk about rupee balance. Now these floats that are in foreign currency are not kept idle but are deployed either for working capital through a swap mechanism or parked in long term FDs depending on the cycle of payment that we need to do to the merchants when the card are being used. Now at no point in time there is any exposure on this because it is completely hedged transaction at every level of the transaction. I hope that clarifies.

Aditya Kumar : When the transaction takes place, the price gets locked in right?

Madhavan Menon: Aditya we follow that across the board. All our foreign exchange transactions are fully hedged at the origination on confirmation of the transaction.

Aditya Kumar : All right, thank you.

Moderator : Thank you. The next question is from the line of Anushka Chitnis from Arihant Capital Markets. Please go ahead.

Anushka Chitnis : Thank you for giving me the opportunity. I only have one question in your Q4 consolidated statement there is an item of other income, I mean sorry other expenses are about Rs. 136 crores which is pretty high about 15% sequentially and 135% annually. Can you elaborate on why that is and what the consequences of that are?

Debasis Nandy : Thanks for the question. So, if you look at the detailing of that a lot of it as we mentioned sometime back this quarter is an investment quarter where we have spent money on marketing in anticipation of the business or rather to service the anticipated business in the Q1 and Q2 of the following year. So, the marketing expenses sit in others because there is no other place to keep it in the SEBI■mandated format that is the main reason for these expenses to go up. During this period, we also set up new counters at additional airports, details of which are given in the investor presentation and there are fixed airport rentals

that kick in
from the time we start appointing those counters and those are also added to the cost.

Anushka Chitnis : Got it thank you.

Moderator : Next question is from the line of Senthil Manikandan from Ithought PMS. Please go ahead.

Senthil Manikandan : Hi good afternoon. The first question is from the TCS side. What is your overall take on the TCS recognition by the Government and how it will impact our travel business?

Mahesh Iyer: Again, look I would think it is over load in that sense to say the impact of TCS, you must realize that it is not 20% because the 5% always existed. So, the incremental value is only 15% which is point number one. Point number two, I think it is not the cost, but it is basically. I would say upfront payment or upfront money that is getting blocked and we believe a lot of segments of customers who travel with us and across in the industry belong to either the MSME, SME or for that matter proprietorship and partnership. There are some advance tax

payments that they do and we have an opportunity to offset this at the end of every quarter. Thirdly, I think from a diversified portfolio point of view that we see in our holidays business, we service short haul, we service long haul and we service domestic. So in the very shortest possible time you will see some amount of reaction where people will want to understand how it operates and actually see the mechanism of claiming the credits working for about a quarter word, the demand will probably shift to more short■haul and domestic destinations were the amount of money that one would need to block on account of this 15% will not be very large and very soon which is the winters which would step in much later the next quarter there will be returning to the market and people will see that this is only an upfront costs and nothing more. We do not anticipate anything much to be dramatically changing because this is available for a person to claim at the end of each quarter. So, to that extent, it will be neutral. Also, to mention here the announcement that happened on the credit card part of it in the last 48 hours actually cleared some more level playing field for us because that is one segment that was outside the ambit and would have led to people actually using credit cards to make payments which would have then escape the TCS ambit. So clearly, I think by closing that loop and bringing it under their LRS ambit kind of closes that loop. So, there is a level playing field and we believe it is going to be that much more because the appetite for customers to travel has not changed. If you were to use the word revenge travel people are traveling and I do not think it was 5 or 20, it is going to change because when five happened in October of 2020, we saw similar bit of flurry and sentiments in the market but in about a quarter period which is about three months we saw people accepting this so we do not expect too much of things to change in the marketplace.
Senthil Manikandan : Second question is on DMS entity so if you can provide what could be overall operating profit that you have generated last year on pre■pandemic level and what could be your expectation going forward. Particular with respect to DMS entities.

Debasis Nandy : See pre■pandemic which is the year 2019■2020 as you mentioned that almost all of them were loss making where we had bought them. Just go back a bit. We had bought them in the year FY2018 and we bought them at a very low value primarily because the fact that they were making losses that is the reason they were getting sold in any case. So, our immediate task was to take them over and turn them around through the structure through some amount of restructuring and automation. We got interrupted a bit by COVID, but we achieved that during the COVID and now they have reached the level of automation that is desired and which is why the productivity i

s much more, the markets which has opened up early like for example Dubai or Middle■East, Africa and USA they must already logging in profits. The market which opened up later Thailand, Indonesia, Vietnam and so on and so forth, which is the Asian market they are still under losses, but they are expected to recover and start becoming profitable in 2023■2024. So in short, we expect the DMS businesses as a as a group to be completely profitable going forward. The other part of DMS is also the inbound business that is there in India which is hosted under a company called Travel Corporation of India or TCI. Now TCI was not in operation for about two 2■1/2 years during COVID and just started operation sometime in November. This quarter Q4 has been a profitable quarter for them, although there are only about 40% of the pre■COVID volumes, which is expected because this was affecting the first full quarter they had. Going forward, the volumes will start going back to where they were at. At an overall margin level, I think the operating margin level of the inbound businesses whether in India or abroad or something about gross margin in the range of about 16% which is a decent gross margin. One area where we are making some additional margin was on the ECIS PCI scheme, ECIS scheme that the Government had floated and which is valid till about 2021 where some sort of subsidy if I may call that was being given for export. Unfortunately, that scheme has now been suspended, it is no longer there so that would reduce the profitability of the Indian unit. However, that would be more than made■up by the profits of the overseas units.
Senthil Manikandan : Thanks, and just one suggestion in the presentation going forward some more details on other entity it will be great within the travel segment.
Debasis Nandy : We will work towards that. Thank you for the feedback.
Senthil Manikandan : Thanks for the opportunity.
Moderator : Thank you. The next question is from the line of Shashank from Crescentia Strategist. Please go ahead.

Shashank : My question is regarding Sterling Resorts. I wanted to understand first thing is that how we compare ourselves with the absolute member number as compared to the competition which is also listed space And, the second subsequent point to the same is that how do we do the occupancy of the rooms because we are much below in terms of occupancy and is it comparable to pre■pandemic or how do we have to look at the numbers because there also we are much below the expected as of the competition is concerned.
Vikram Lalvani: So, let me just answer the first part of the question. Sterling has adopted a hybrid model of operation and in our case, what happens is based on how the market scenario is moving, we have that flexibility to optimize between the results of the membership number one. Number two we have in terms of a total number of members approximately about 80,000 members since the inception of Sterling in 1,986 of which about 33,000 up to 35,000 are actively holiday with us number two. Number three, even as an approach going forward, our approach is very clear is in terms of premiumization of these memberships which means I am not chasing volumes. I am not chasing units. I am not chasing numbers, but I am chasing them effectively and properly so that

they stick with us for the time duration that we are with us. For example, I mentioned that the down payments are up. So, when a person has paid you a down payment of 70■80% the ability for that person to stick around. Number two when it premiumization we are actually giving those customers a better experience both at our resorts as well as through and end■to■end cycle and we will continue to strive and number three that is far more profitable way of doing business rather than actually chasing terms of number of units. So, our approach is very clear. We will continu

e to preimmunize the membership business and optimize between the segments that we have and we have done so and which is why we have seen a 6X kind of change even over pre■pandemic levels number one. Number two as far as the occupancy is concerned, the occupancy in FY2019■2020 was about 64% and what we have actually closed with is about 61%s. So, there is an opportunity in the overall occupancy but having said that, we also measure the guest ratio. Our guest ratio has actually gone up, which has a direct significant impact on the turnover. So, the guest ratios which were typically about 35 to 40%, pre pandemic has gone up to 60 to 63% in the current financial year. So, there is a chance to optimize that even further. Number three leisure business is highly seasonal, so the months like July, August, Jan, Feb are extremely low month the month and April and May are extremely high month. Therefore, even in the past and sometimes we also do face situations where certain destinations are cut off because of every rains. It has happened in Kerala before. It has happened in Himachal before so during those times we are not able to actually fill up the inventory. So as a result, if you look at it from pure leisure business, I think 60 to 65% is the good score and it will be optimized to at least 65 to 68% yes it can be optimized for 65 to 68% for sure and that is what we are also working towards. So, we are

seeing an upward trajectory there as well. We balance out the occupancies and the yields and the rates, so to ensure that we actually maximize revenues through a period for that year. I hope that answers your question.
Shashank : Yes, to certain extent. So my second and the last question is that how do we compare with as what have you been telling for last couple of minutes that premiumization is the core for your business is concerned so again coming back to the question, the profitability of your unit as compared to the peer is it much better because what I understand it is not so how do you explain that particular thing when you are doing all the steps which you have spoken out, still the profitability as compared to the listed peers are not there.
Krishna Kumar: On the membership profitability alone if you look at it ours is a blended business. We have resorts that are generating around 35% operating margins and we have a membership business which also generally certain margin. The membership margins are marginally higher than the resort business and therefore we are profitable as far as membership is concerned and much more than the resort vertical but on a lower value scale. So that is definitely to be noted and in terms of base, I think we have a smaller base when compared to our peer members.
I think our peer members have a larger base and therefore the collection for them would be much on a larger scale and therefore not directly compatible as far as that is concerned.
And the point to note on occupancy is something which I want to add to what Vikram already had mentioned is over the pre■pandemic to the current we also added resorts and rooms. So, we actually added around 50,000 room nights over the period of three years and those have come up in hill stations and various other locations and the occupancy is also catching up and while we are reporting a 16 plus from occupancy over the year. There are months in the year or season in the year where we also touch 90% and beyond and in weekend we also do 100% capacity in many of the weekends in the April, May, June months also so that is something which I want to add to that what Vikram already had mentioned.
Akul Broachwala : Thank you so for much the management.
Madhavan Menon : Thank you everybody for joining the conference. If there are anymore clarifications, please reach out to Debasis Nandy. His numbers are available or e■mail address and we will happily respo

nd to any
queries that you may have or direct it to whichever companies you may have questions relating to them. Thank you very much.

Moderator : Thank you. On behalf of IIFL Securities which concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

August 14, 2023

The Manager, The Manager, Listing Department Listing Department BSE Limited National Stock Exchange of India Limited Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1, Dalal Street, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK

Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,
Subject: Transcript of the Analyst and Investor Earning Conference Call
In furtherance of our intimations dated August 1, 2023, August 9, 2023 and August 10, 2023 giving intimations on the Q1 FY24 Earning Conference Call for the Analyst s and Investors and pursuant to Regulations 30 and 40(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on August 10, 2023 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following weblink:
https://resources.thomascook.in/downloads/TCIL_Q1_FY_24_Investor_Earning_Call_Transcript.pdf
This is for your information and records.

Thank you.

Yours faithfully,
For Thomas Cook (India) Limited
Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

THOMAS COOK INDIA LIMITED
Q1 FY2024 Earnings Conference Call
August 10, 2023

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ANAGEMENT :
MR. MADHAVAN MENON – EXECUTIVE CHAIRMAN , THOMAS COOK (INDIA) LIMITED
MR. MAHESH IYER – MANAGING DIRECTOR AND CHIEF EXECUTING OFFICER ■ THOMAS COOK (INDIA) LIMITED
MR. DEBASIS NANDY ■ GROUP CHIEF FINANCIAL OFFICER – THOMAS COOK (INDIA) LIMITED
MR. BRIJESH MODI ■ CHIEF FINANCIAL OFFICER ■ THOMAS COOK (INDIA) LIMITED
MR. VISHAL SURI – MANAGING DIRECTOR – SOTC
MR. VIKRAM LALVANI – MANAGING DIRECTOR –STERLING HOLIDAYS
MR. RAMKRISHNAN – MANAGING DIRECTOR AND CEO – DEI
MR. KRISHNA KUMAR – CHIEF FINANCIAL OFFICER ■ STERLING RESORTS

Moderator: Ladies and gentlemen, good day and welcome to the Thomas Cook Q1 FY2024 earnings conference call hosted by IIFL Securities Limited. As a reminder all participant lines will be in the listen■only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vidit Shah from IIFL Securities Limited. Thank you and over to you Mr Shah!

Vidit Shah: Thank you, Rio. Ladies and gentlemen good afternoon and thank you for joining us on the Q1 FY2024 earnings conference call of Thomas Cook India Limited. I invite the company’s senior management team to discuss the results and business strategy. We will begin the call with opening remarks from Mr. Madhavan Menon and thereafter we will open the call for Q&A Session. I would like to now hand over the call to Mr. Menon to take the proceedings forward. Over to you Sir!

Madhavan Menon: Thank you, Vidit. Thank you, Rio. Before I start ladies and gentlemen very good afternoon to you. Let me also introduce the other participants. Mr. Mahesh Iyer, the Managing Director of Thomas Cook India Limited, Mr. Vishal Suri, Managing Director of SOTC Limited, Mr. Vikram Lalvani, Managing Director of Sterling Holiday Resorts, Mr. Debasis Nandy, Group CFO, Mr. Brijesh Modi, CFO of Thomas Cook India Limited and Mr. Ramakrishnan, Managing Director of DEI.

Ladies and gentlemen, this has been another good quarter for us and instead of looking at it purely from a sequential point of view let me say that there are several reasons why this quarter has looked very good. The first being that historically this quarter is a quarter where all the travel businesses especially the leisure businesses both across Thomas Cook India, SOTC and Sterling have very good volumes because they execute the holiday season. The second important point is that coming out of COVID as we mentioned over the last couple of calls, we have restructured ourselves by managing our costs and as you will see that our costs are significantly down from what we were pre■COVID and we believe that we have reached a level where it could be sustainable over a period of time. If you look at the margins, if you look at the cost■to■revenue ratio, if you look at the other costs in the business you will note that the margins are much higher and they have been for nearly a year now. If you look at the costs, they are down, if you look at productivity numbers, they have improved. So, in reality I think we are sitting at a point where the productivity of the businesses has improved significantly. Again, Thomas Cook, SOTC and Sterling have led the profitability drive in this quarter and we expect that going forward something that Mahesh, Vishal and Vikram will explain. Our bookings look good.

Before I hand over, let me just make a couple of comments of the other businesses. The foreign exchange business had an exceptional quarter and Mahesh will talk about this where we have seen some record numbers. If you look at the MICE business across both Thomas Cook and SOTC they have had a very, very good quarter, they have exceeded their budgets, this year as well as in the previous year. If you look at the leisure business despite recoveries from pre■COVID still being low they have actually managed to increase their profitability significantly. Look at Sterling Holiday results as I mentioned earlier record quarter, they have record profits also. As far as DEI is concerned, we have seen from the news that the domestic markets in China are firing on all cylinders and Southeast Asia has reopened. It is a relatively low season in the Middle East where a lot of our businesses are concentrated. However, having said that I think the group as a whole has done fairly well, couple of businesses, especially the one that is TCI and Asian Trails have been a little slow in recovering because they conduct long haul business where most of their customers come in from Europe and the United States and these have been slow to take off. Having said that I expect the next couple of quarters to continue the trend that we are witnessing. I will hand over to Debasis now who will explain the numbers and hand it over to Mahesh, Vishal and the others. Thank you.

Debasis Nandy: Thank you, Madhavan. I will spend a few minutes on the balance sheet side because on the P&L side while Madhavan talked about it and will hear more about it from Mahesh, Vishal and Ram so, would like to spend some time on the consolidated balance sheet because that reflects the strength of the company. So, on the debt side

between March and June we managed to reduce our debt by Rs. 78 crores. Our current debt balance is about Rs.313 crores out of which Rs.143 crores is long■term debt, another Rs.174 crores of short term. This represents a 20% reduction of debt in a matter of three months. For reference against the Rs. 313 crores of debt that we have now, the debt position as of March 2020 when the pandemic began was Rs.508 crores so we have gone down over Rs.200 crores from our debt position that was there at the beginning of the pandemic. During the same time in the

last three months

our equity position improved by Rs.81 crores this is coming purely from profits. This is efficient through profit after tax so our equity position is now Rs. 1,794 crores which represent a 5% increase over what it was in March of this year. Coming up to current assets and liabilities, on the current assets side our current assets grew by 19% during the quarter, it increased by Rs. 465 crores from Rs. 2,395 crores to Rs. 2,860 crores and largely because of two factors, one is increasing the sales by about Rs. 118 crores which represented a 21% increase which actually reflects a growing volume that the business is seen particularly on the B2B side and the cash balance about Rs. 382 crores increase came from increase in cash and investments which are in a liquid investments which are in mutual funds, etc. So, this represents a 47% increase in the cash balances. It is interesting to note that increase in cash as percentage of the total increase in current asset is 82% out of the Rs. 465 crores, Rs. 382 crores is the increase in cash balance. On the current liability side and this excludes the loan specifically, so it is just primarily the trade payables. Overall increase is about Rs. 458 crores from Rs. 2,746 crores to Rs. 3,204 crores, a 17% increase largely guided by trade payables of Rs. 425 crores which essentially reflects again just like the receivables and the cash balance reflects increase in the volume of business. I will pause here and pass this on to Mahesh so that he can take you through more on the business details particularly on the foreign exchange and the travel■related items.

Mahesh Iyer: Thank you Debasis and thank you Madhavan. As Madhavan just guided, I think it is important to mention that it is traditionally a strong travel quarter that we are in and across all matrices that we monitor internally and that the market has performed very, very well. Noteworthy to mention here income from operations grew by about 95% from about Rs. 989 crores to Rs. 1,932 crores year■on■year and on a quarter■on■quarter which is sequentially improved 68% from Rs.1,324 crores to Rs.1,932 crores. As a result, operating EBITDA improved 2.6 times from Rs.55 crores to Rs.147 crores. These are some real record numbers that we are talking about and as a group as Madhavan rightly mentioned, Thomas Cook, SOTC and Sterling had a very good quarter as recovery in volumes coupled with margins and cost prudence played to the bottomline that we reported in the current quarter.

It is also important to mention what are the key drivers as far as their businesses are concerned and I will begin with talking about foreign exchange. On the foreign exchange side, we have had a very good quarter in the current one where income from operations or revenue actually grew 91% from Rs. 47 crores to Rs. 91 crores this increase in revenue led to an improvement in profitability that PBIT from Rs.11 crores to Rs.42 crores. The noteworthy things that led to this kind of a phenomenal growth are the growth in retail business while the recovery was close to 110% to the pre■pandemic level. While we look at the corporate business a lot of the corporate volumes that were subdued in Q4 of FY2023 came back in Q1FY2024 and we have close to about 90% recovery as far as the corporate Fx is concerned. Also, the retail business was aided by the recovery in the travel volumes as outbound travel started off that part of the business also fired very well for us. On the education segment, our volumes grew by about 22% despite the fact that this is traditionally not the seasonal quarter for education actually comes in the current quarter that we are in but despite that we had a 22% growth in volumes year■on■year. Noteworthy thing is the prepaid card volumes they grew 55% while year■on■year and as we speak, we have a flow which was about Rs.880 crores of March currently

stand at
about Rs.1,200 crores. During the quarter we also launched the Study Buddy programme which is focused on the students, this is a programme that on the prepaid card portfolio that we offer, there are offers for students on this and we believe we kind of set ourselves for a larger market share on this business. As you would know the education business is about $3.5 billion and we currently do about $150, $160 million out of that portfolio. Our expectation is to double that over the next three years and this product that we have launched along with a set of offerings that associate along with this will actually put us into close to about 15% market share as far as the education segment is concerned. During the quarter we also collaborated with one of the largest banks in the country to manage the hard moment where there is a large traffic where we supplied currency notes across 300 plus locations of the bank and that was one of the business, we did which also aided the performance in the current quarter. Also, to mention here that we also acquired a large number of marquee clients during the quarter, both in the retail, telecom, consulting, infrastructure and manufacturing, I think all of this will add somewhere close about 15 to $18 million of annualized volumes to the corporate foreign exchange business. It is important to mention here that when I look at the recovery to 2019, we are in this quarter saw 106% recovery in terms of volume to 2019 and on a year■on■year basis growth we are at about 60%. If I look at the digital adoption on this business, we continue to be at about 21% which is the forex contract centre as well as the digital tool that we enabled our customers to book through overall adoption is at 21% and this 21% continues to be there despite an increase in the volume. So clearly if you look at the overall business per se we have had a very strong growth and getting into the current quarter and beyond we believe the tailwinds that are supporting the business will continue to drive for us.

Moving over to the travel segment quickly to comment on the overall recovery as far as travel is concerned, we are about 78% overall recovery and as you will recollect when we guided the market previously our expectation for the full year is anywhere between 75 to 85% recovery is what we expected. At this point in time the recovery stands at 78% for the overall portfolio and if I look at the growth from a year ago the growth is at 76%. So, the point that one will initially made, we have seen some smart volumes coming back to us. The drive to travel is back both the domestic and international recovery has been strong and I think you will hear from my colleague Vikram and he speaks about the

domestic traffic too, but clearly, we have seen some smart recovery happening on the domestic and international side. As a result of this recovery income from operations on the overall travel segment improved from Rs.675 crores to Rs.1,469 crores representing 118% growth and consequently the PBIT from a loss of Rs. 17 crores moved to a profit of Rs. 50 crores. This a broad highlight as far as the travel business is concerned, we went to some of the segments within the travel and talk about corporate travel which is nothing but the B2B where we operate as travel management consultants for some of the large corporate houses in the country, we have 109% recovery to the pre■pandemic level and a quarter■on■quarter goes growth perspective is at 25%. I would like to call out here that from a unit perspective that is volume perspective we still see our ticket growth at about 12% to pre■pandemic level and from a volume point of view we are already tracking close about 25% aided by the higher ticket prices that remain till June 2023 There has been some softening of ticket rates in the month of July and hopefully in August we will see some amount of softening,

but this is something that we will continue to monitor over a long period in time. It is also important to mention here that we also acquired a large number of marquee customers in the automobile sector, in apparel and manufacturing, banking and finance, and adoption rate on the corporate booking tool moved up from roughly around 35% in the previous quarter to about 48%. It is important to mention about this adoption of corporate booking tool because this is where we bring in the productivity benefits that Madhavan referred to. Increasingly more and more customers using self■serve model, reduces the number of hands that are required to process, brings in efficiency in terms of collection and that is a very important driver for the cash flow to the point that the Debasis mentioned on the balance sheet.

Moving onto the domestic holiday side of it and the international holiday, domestic holiday recovery has been better, but got subdued post May as you would remember that it was on May 3, 2023 when Go Airways announced the withdrawal of its flights that dented the demand on the domestic side because Go connected to some of the ports that used to be in the top five destination that we sold on the domestic side. So, there was a lot of cancellations that we saw roughly about 35% cancellations came in because customers did not want to travel by paying a higher price and you will appreciate that one, one airline goes down, the overall price in the industry goes up. So clearly the cost of operations for them was going up and customers chose to cancel some of those holidays that impact was there but despite the recovery on the domestic side was at 72% to the pre■pandemic level and we remain almost flat in terms of our growth compared to similar quarter of the previous year. It is important to mention here that we did a lot of initiatives in terms of the short breaks that people take which involved domestic minications, staycations, we managed large travel groups to Europe between SOTC and Thomas Cook we have roughly about 18,000 customers who travelled with us to Europe and our expectation is for the end of year will be closed about 25,000 customers. The Cherry

Blossoms that we launched was a huge success we had close to about 2,000 customers who booked with us on the Cherry Blossom tour. There are new destinations that we launched during this period which included Azerbaijan, Georgia and Kazakhstan other than the domestic circuit which included Odisha, Uttar Pradesh and Gujarat. We also had, as you would know the visa challenges continue to play the long■distance travel, the long haul as we call it. More importantly the Schengen visa and the rejection rates were close to about 7 to 8% of business tour, but despite that our international holiday volume recovered about 50% to the pre■pandemic level but as Madhavan rightly said despite this 50% recovery our overall profitability on the business grew almost equal to what we used to do pre■pandemic, so as the tailwinds on the holiday comes and support us, this will call add to our bottom■line and we expect this trend. If I look at the forward bookings in the coming quarters the holiday business is already trending at about 110% to the internal budgets that we have set for ourselves that represents roughly about 80% to the pre■pandemic levels. If I look at the MICE business, I think we have already surpassed our equal estimates for the business, but we expect the full year to close at about 20 to 25% higher than what we did for the pre■pandemic level.

Coming back to speak about some of the major events online G20 that is one of the events that we spoke about in the past we acquired, we are one of the three vendors that services the government on this, we have completed close to about 37 events for G20 and there are about four or five more events that will happen till about September 2023 and we will record some high volumes on the Government business. Apart from that 'Khelo India' an important sport even that the Government is promoting, we are one of the principal partners there and we have already done about four units of 'Khelo India' and there is one more on the anvil which we will do in the last quarter of the current calendar year. Some large movements of customers have happened close towards 6,500 people on 'Khelo India'. We had an inbound delegate group of about 325 delegates coming in. We also had large groups close to about 14,000 passengers between SOTC and Thomas Cook who travelled across the globe with us. Overall if I look at the trend the performance position looks very, very strong and we remain very optimistic of the travel business in the coming quarters. Over to you Vikram for an update on Sterling. Thank you.

Vikram Lalvani: Thanks Mahesh. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani and I represent Sterling Holiday Resorts as Managing Director & Chief Executive Officer. I am joined by Mr. L. Krishna Kumar our Chief Financial Officer at Sterling Holiday Resort Limited. It is a privilege to interact with all of you once again today. Q1 as we are all aware is traditionally a strong quarter for leisure business. Post COVID years Sterling had recorded a phenomenal turnaround last year Q1 with a turnover of approximately Rs.103 crores on income and a Rs. 28 crores PBT with operating free cash flow of Rs. 33 Crores. This year Q1 of FY2024 we are delighted to announce that Sterling has recorded its highest PBT of any quarter ahead of Q1 FY2023 by 27% to close with Rs. 35.8 Crores. It was supported by a healthy growth in total income by 13% to close at Rs. 116 crores approximately. Our operating free cash flow has been the highest in any quarter of the past and we closed with Rs. 41 crores as an operating free cash flow which is a growth of 24% over Q1 of FY2023. Our EBITDA margins are healthy at 36% grown also over last year by 16%. This is the 10th consecutive profitable quarter for Sterling. This reaffirms our approach towards becoming a leading leisure hospitality player in the country. The above growth was fueled primarily by the resort business, our resort revenues grew by over 15% over Q1 of FY2023 to close at Rs. 100 crores for the first time ever this quarter. This was driven by sustained occupancy of 79% a growth of 8% on average room rates to close at a high of Rs.7,454 in average room rates and an increase in guest ratios from 55% in Q1 FY2023 to 62% in Q1 FY2024. Other critical lines of businesses like food and beverage grew healthy at 13% to close at approximately Rs. 25 crores for this quarter. We continued our trust on increasing efficiencies in the membership business with readable onsite sales going up to 68% from 44% of last year and down payments at 73% in Q1 of FY2024 when compared to 47% in Q1 FY2023. Given the trust on growing Sterling as a hospitality brand with this resort business, Sterling shall continue to focus only on short term membership products and has progressively tapered down sales of long■term membership products. In Q1 FY2024 the mix of products sold reflects this change. Despite this we have recorded the highest ever operating free cash flow as stated above on account of growth in the resort business. Our strategic approach on expansions has been primarily on the asset light model. In Q1 FY2024 we had a full quarter impact of the six new resorts that we opened in FY2023 and additionally we also launched two more resorts during this quarter taking our overall strength to 42 resorts across 40 destinations and over 2,500 rooms.

Our confirmed pipeline of new destination and new resorts being added in the remaining part of FY2024 is very healthy and we could be adding approximately 6 to 8 resorts amounting to 400 rooms this year itself. Sterling's focused commitment to customer delight has also resulted in 22 of our resorts being awarded the 'Trip Advisors Travelers' Choice awards, which is recognized as top 10% of the accommodations globally and Sterling Kanha being awarded the Trip Advisors Travelers best of the best award that is up 1% of the accommodations globally. As a responsible hospitality brand Sterling has also partnered with the Government since 2019 on skill development programmes to develop young talent for employability in the hospitality sector. We have our resorts in Munnar, Mussoorie, Puri, Ooty and Kodai. We are happy to also inform you that we have been conferred with a special recognition by THSC that is Tourism and Hospitality Skill Council of the Government towards our efforts in developing this talent pool last year. Sterling is taking steps towards strengthening its operations and building blocks for scalability through technology. Sterling continues to leverage from a proprietary distribution platform Sterling One that connects seamlessly real time with our trade, corporate and association partners for business. The business materialized this year through Sterling One for this quarter. Sterling One is approximately Rs. 23 crores which is about 4x times of what had happened in Q1 of FY2023. Backhand financial reporting has been strengthened with cloud■based single view platforms being introduced as on April of this financial year. This is scalable as and when we keep adding more and more resorts to our portfolio as well. Our front■end property management systems of resorts are undergoing a change that focuses more on the hospitality metrics, transactions with a centralized cloud■based view. We have also introduced Net Promoter Score Online platforms to help us drive customer delights across all our resorts. Sterling continues to remain upbeat given the

strong fundamentals in the domestic tourism business and growing strength of brand Sterling and we are confident of a continued sustained strong performance even in the coming quarters of this financial year. Thank you so much.
Ramakrishnan: DEI had a fairly good quarter it is a tough quarter for us in the Middle East but our Far East business has grown pretty rapidly. Like Madhavan mentioned China has literally doubled our budgeted numbers and actually been probably five times over last year's numbers in China. We have both the resorts Universal and Disney doing full monty and giving top performance numbers that have never been seen by that market ever in the past. Pre■pandemic our past operators who are operating resorts have done probably half of what we are doing, so we see a very bright future in China for us going forward. The rest of the world in the Middle East we have had a fairly good quarter. Of course, we had Ramadan and Summer, which probably is one of our lowest quarters normally in the year that had been affected, elsewhere I had a resounding numbers for the whole global business of us in the quarter. We started the balloon this quarter and it was obviously we had some teething issues, some uptime issues, all of that has got sorted as of last month we started by clocking a 35% uptime, in three months we have gone to already 90% uptime, which shows us a brighter future for the coming quarters. Revenues will start trickling in. This quarter we were affected a bit by the balloons revenue and profits being the first part and the first start, but all in all three months are fairly a reasonable time for catch up and I think we have done a good job on that. The good news is as of July month we are doing a 94% uptime, so the numbers were very good and the coming quarter will be much more exciting overall. From overall perspective we also are invested and just getting ready to launch our new platform Hummingbird which is a complete new digital platform that will deliver photos and images

to people through cloud. It will be a real time online display of
images and memories that one can get as soon as the images clicked. Also, it is getting some interesting features, a facial recognition, etc. This is all going to go live by the last quarter of this year, so that would definitely change both our profit margins and our operating efficiencies multifold. Overall, the future for DEI looks very strong the next two quarters definitely are key quarters, the last quarter being the largest one, when I say the last quarter, I am talking about the October to December that is one of the most important ones for DEI. We literally do more than 60% of our profits in that quarter, so we are very excited about the year by itself it will be way better than 2022 we posted a good year probably one of the best years post■COVID 2023 I think we are poised to bring that number as we go along. Other than that, on the brighter side as I said about Hummingbird, the other idea of Hummingbird putting the new platforms is also into going into non■operating models where we will be doing a SAS model of our solution. This is the first time will be entering into that zone so 2024 looks extremely exciting for us with the balloon going on full time and the SAS model for a non■operating model coming up. So, we see fairly overall a very good future for DEI if this being acquired by Thomas Cook, I think we have not had any better year than last year and going forward this year looks even better than that. The next three years are very exciting for us so we are all excited about all that. Thank you very much from my side.

Debasis Nandy: Thank you, Ram. Debasis once again. So, before we start the question and answer just spend a couple of minutes on the international travel business what we call the destination management businesses. So, I will go region■by■region instead of giving overall outlook and that will help us understand each region better. I will start off with Asia Pacific region primarily Southeast Asia as well as Australia. So, this region was one of the last to get out of the COVID■related restrictions and it started recovering. If I compare the current year sales as compared to the same quarter last year, we have seen increase in sales from $4.4 million to $6.9 million which is an increase of 2.4 times. Moving on to Middle East as Madhavan has said and Ram also mentioned it is a summer in Dubai in the UAE and therefore the movement of traffic is restricted. Overall, it increased its sales by about 1%. The unit that we had in Desert Adventures went up from $20.8 million to about 20.9. Obviously as summer goes away and the gradual winter sets in this is going to do well from about October onwards in the next two quarters. East Africa, continues to do well increase its sales by about 63% from about $1.5 million last year to about $2.3 million. South Africa recovered fully from COVID and moved up its sales by 137% from $1.2 million to $2.9 million and to end with Horizon Travel USA although this is just the onset of the season it moved up its sales about 29% from $9.7 million to $12.5 million. As I said, in Asian sales the recovery has started and certain countries like Thailand, Indonesia, Malaysia and Vietnam are recovering very well. Some of them are actually ahead of what it did in the pre■COVID times. We have seen slower recovery in other countries notably Australia and China. China for obvious reasons, Australia because of the high airfares that are prevalent and that have reduced the traffic in that country. Of course, the political situation in places like Myanmar, etc., has restricted tourist traffic. In case of East Africa, the traffic is largely coming in from its traditional markets which is USA, UK, Germany but traffic coming in from newer places like for example Romania and Hungary and also a large number of Indians that are going in and probably

this will grow with the onset of new flight connections,
etc. In Desert Adventures primarily in the summer months we saw tourist coming in from the CIS countries as well as also India. US is traditionally set by European tourist. At overall level the DMS business saw a growth of 43% in turnover from about \$37.5 million last year to about \$53.5 million this year. That sort of updates our current discussion and we will open this up for question and answer. Thank you.
Moderator: Thank you very much. We will now begin the question■and■answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Akshat from Flute Aura. Please go ahead.
Akshat: Thank you for taking my question. I have a couple of them. So, my first question is on the cash plan so we are sitting at around 1,400 odd crores of cash. So, what are we planning to do about it, the next question is on the tax collected at source site, so if I am not wrong it has increased from 5% to 20% so how will it impact our business and my third question is on the cost of services like it has increased substantially so any guidance on that?

Debasis Nandy: Thank you for those questions Debasis and I will try to answer your questions one■by■one. Your first question is what we do with the cash. So, the cash that we have obviously reflects operating cash as well as any cash surplus that any of the companies including Thomas Cook standalone may have. A part of the cash obviously pertains to the flow that we have on the prepaid forex card which Mahesh had talked about. In terms of any surplus and what we do with the surplus or what they do with the cash in future, so obviously our first priority is to pay up our loans. As I mentioned a few minutes ago we have been reaping our loans, we brought down our loans by Rs. 78 crores during the quarter, but is still at a level of about Rs. 300 crores. The priority is to bring down the debt to as close to zero as possible and therefore reduce our finance charges obviously to a near zero level which will obviously improve the profitability. It will take obviously take a couple of years to do that. The business has just started earning cash in terms of free cash flow, etc., so it will take us couple of years and once the cash start accumulating, we will see how to go about it. If your question indirectly pertains to whether we are looking for acquisitions, etc., I think we are not looking for acquisition at this point of time. Till such time our cash positions get much better we will then see what to do with the cash. The second question pertain to TCS, so a bit of an update out here you might have missed it but while the Government initially increase rate from 5% to 20% there have been several corrections on that later. Thanks to the industry, coming in together and representing to the Government. At the end of it, to sum up I will get into a couple of details, but to sum up there has been little or no changes as far as we are concerned. On the foreign exchange side, the rate continues to be 5% for any remittance that goes beyond 7 lakhs, this is up to 7 lakhs and for certain purpose, etc., I will not get into that much of detail, but it remains at 5% and I can send you a 1 page to just explain what are the changes. In case of travel which was a big concern for the industry and the existing rate of 5% was changed to 20, so the Government has given us a good leeway so to say, so any travel up to 7 lakhs per passenger per year we will be charged that 5% if somebody exceeds the 7 lakhs cap in a particular year the rate for the incremental amount will go to 20%. Now you can safely say that about 97% to 98% of our travel business or the customers travel with us will keep their travel expenses at less than 7 lakhs per person per year, so the business is largely unaffected, largely in the sense vir

tually unaffected, this 97 to 98% is within that cap. So, we do not see the increasing TCS as any threat, for us life remains where it was. The third question was about the cost of services which is basically the cost of sales for us and the cost of sales reflects the increase in volume of business, so as sales go up our cost of sales will also go up. I hope you are referring to that, so if look at overall consolidated numbers and I compared to what it was in April■June 2022 our total revenue had gone up to Rs. 1,932 crores as compared to Rs. 990 crores. Corresponding the cost of sales has gone up by Rs. 654 crores to about Rs. 1,400 crores so this purely reflects an increase in the volume of business and largely variable. What matters really is the margin at the end of the day. If you look at EBITDA margin it has gone up from 5.6% to about 7.6% in the same period. I think that is the matrices that you are more interested in.
Akshat : So, do you have DTA for FY2024 and can you give tax guidance for FY2024?

Debasis Nandy : Yes, we have DTA because we lost money during the COVID period for the year 2020■2021 and 2021■2022 we lost money and therefore we created a deferred tax asset on that. I am happy to state that the deferred tax assets we are using it right now and deferred tax assets that we have had will get certainly get wiped out by next year by FY2024■FY2025.
Akshat : Any tax guidance for the year?
Debasis Nandy : What exactly giving tax guidance is how much tax we will end up paying?
Akshat : Yes, for FY2024. T
Debasis Nandy : here are multiple countries not only India and the India constitute the larger part of the business but there are obviously the overseas tax rates and tax structures, etc. change. At an India level we will be paying little or no taxes because we will be taking advantage of the DTA that we have created with tax losses. Overseas some countries have taxes and some do not and profit situation is different, so for overseas it will be more difficult to give a guidance.
Akshat : Thank you so much. Thank you for taking my question and all the best.
Moderator : Thank you. The next question is from the line of Mithun Aswath from Kivah advisors. Please go ahead.
Mithun Aswath : My question pertains to the travel■related business despite the improvement in the topline EBIT continues to be subdued on that part, obviously forex has delivered very good numbers so just wanted to understand is it because of the mix and what sort of an EBIT can the travel■related business do once you scale back to pre■COVID topline in the travel■related business?
Mahesh Iyer: You rightly pointed to that one it is because of the mix because the travel segment that you see here

getting reported has got barn holidays, domestic holidays, B2B holidays, which is MICE, corporate travel, which is the corporate management part of it that we do and we also have inbound India and DMS businesses, so all of this sits in here and if you heard the commentary from Debasis very clearly mentioned that the inbound into India and the DMS are not in the peak of the season, this is our visa shoulder months for them, so essentially we are not seeing any profitability addition from them whereas the revenue are getting calculated on the topline but their profit numbers are not there. So clearly when the tide turns and the quarter which is essentially Q3 and Q4 on FY2024 when they start showing those numbers, those margins will start looking better, but even on a comparative basis if you compare to April■June 2022 and compared to April■June 2023 our PBIT margins have improved from a negative 3% to a positive 3%,

the swing is about 6% in that sense. If you ask me for guidance, we expect that to be close to about 7 to 8% that is our indication at this point in time.

Mithun Aswath : On the travel■related business itself, EBITDA around 7 to 8%?

Mahesh Iyer: Yes, I am talking ab

out travel and related services, which is a mix of multiple businesses that I just mentioned.

Mithun Aswath : So, you could look at EBITDA 7 to 8% from that business?

Mahesh Iyer: Yes.

Mithun Aswath : Just wanted to understand when do you think you will get back to pre■COVID, I am talking about like FY2019 sort of numbers on the travel■related business, do you think that month■ on■month things are improving now or it would still take some time to get to those levels?

Mahesh Iyer: If you ask me from a volume perspective, I think most part of our business close to about 70% of our business in India are already tracking pre■COVID. It is the international holiday side of it which is slow to recover and there are challenges which are outside our control but as we guided and I mentioned this in my opening statement also our full year guidance reached to about 75 to 80% recovery in the current fiscal to pre■pandemic. We may actually end up being slightly higher than that but currently we still remain guided to that 75 to 80% recovery to the pre■pandemic in the current fiscal.

Mithun Aswath : Great, thanks and all the best Sir.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Arihant Capital. Please go ahead.

Abhishek Jain: Just one question on the digi portal side we have seen EBIT margins improved sequentially and can you give some light on how can we expect this going forward?

Ramakrishnan : If I get you right you said you have seen the revenue increasing consistently and how do I see going forward am I right?

Abhishek Jain: No, the EBIT margins going forward.

Ramakrishnan: The EBIT margins will get better, do not forget the last two quarters, three quarters we have been spending on our technology development with bringing a new technology the cost levels have gone high. Our markets

are opened, China etc., so generally in our business when a market opens up the cost of labor goes higher in the beginning and they get aligned, so obviously the EBIT margins going forward in the next two quarters will be way better than this one than the last quarter if I am answered you on that front purely because of some of the cost structures and also on the fact that the business coming back to full volume. So, our business still we do not come to 80% of our numbers we do not get profit, then what we make on the 90, 100 and 110% increase of our business while we make the larger margins, so that definitely is getting better and will increase. We have aimed and targeted to make nearly about 8 to 9% of EBITDA at the end of the year and we are quite on track to do that.

Abhishek Jain: Will we able to sustain those margins?

Ramakrishnan: Yes, these are all long■term contracts so sustainability is definitely all these contents run for three to five years and as a company we have an average renewal rate from the time we started 97%, so it is sustainable in that front. In fact, it is going to get better with that technology part because this margins will get better with the new technology coming in. Our new technology is into full light by January 2024 we are implementing it in the last quarter, so are we definitely see not even sustainability but even betterment of these margins as we go ahead, so for DEI it looks pretty impressive as far as earnings goes in the coming years.

Abhishek Jain: Got it. Thank you for taking my question and all the best.

Moderator: Thank you. The next question comes from the line of Sakshee Chhabra from Svan Investment. Please go ahead.

Sakshee Chhabra: I had two questions. One was on forex side if we see our margins have shot up considerably to 47% so is that only because of the volume and is this number sustainable going forward?

Mahesh Iyer: I think we have been talking about it for some time. Our focus on this business has been on yield improvements and I think we continue to see the benefits of

that coming through. Also, if you look at our prepaid card portfolio that we have been talking about this is a very sustainable business on that there are two streams of income that go through, one is the revenue that we get through the backend and other is the revenue that we get through the front end. So clearly as volumes grow on the prepaid card side and we move from currency to card, as you would appreciate that on the currency side. I only get one stream of revenue which is the margin that I can charge the customer, when I sell a card, I have two streams of revenue that comes to play with, so the more the penetration of the card the stream of revenue actually grows that is point number one. Point number two in the current quarter also as I mentioned we did transaction for the one of the largest banks in the country where we did a large movement of currency for them and that is the transaction that happens in the current quarter. It is more like wholesale B2B

transaction but the margins that we made were equivalent to a retail business so that also sits in the current thing. To your question are these margins sustainable on a sustainable basis the business operates at about 1.4 to 1.5% margin and we will guide to that margin for the rest of the year.
Sakshee Chhabra: My second question was on the DEI side. So like the China business that you spoke about and that was phenomenal, so that would have one of the reasons would have been because China just recently opened up so my one question was on that do you think that number is sustainable going forward or do you think that was like how a matter of fact that because people had not moved out and suddenly everything opened up that has what led to shot up in that revenue and second question on the DEI side was with so many new contracts that we have signed up what sort of revenue growth traction do you see in the coming year?
Ramakrishnan: On China business, China business is going to be sustainable. Yes, they have opened the internal China travel so that has helped us a lot. It is not a onetime burst you are seeing this has been consistent over the last three months and we anticipate it to be continuous because it is in alignment with the projections that both these parks had done on their attraction. Pre■pandemic what our projections are and we are sustaining the same numbers. Secondly mind you this business coming without international business into China, international payment to China is still not fully opened, so that gives us more opportunity that these numbers will not only sustainable but will get better, so as far as China goes, we are very confident that these are numbers are going to be sustainable and will get better. As far as the new contracts yes, we have been acquiring quite a few new contracts as we go along and that is from a revenue perspective, we have been posting about 20 to 30% year■on■year growth and that is again going to be continuous and sustainable because we have aligned up, we are opening Saudi Arabia soon next year that is going to be a huge, huge opening. Lot of you have known that Saudi is going to be next destination spot in the Middle East. We are very, very hopeful that Saudi will become another UAE for us in the next 3 to 5 years, so we are not only confident of being sustainable but also want to be consistent.
Sakshee Chhabra: On this Hummingbird can you just throw some more light as to what is going to be the revenue stream and how do you see that adding to our overall topline?
Ramakrishnan: Hummingbird is a name to our software and a solution that we currently have called as IMEX. Hummingbird is a game changer solution. Our current solution allows yes to take the pictures, get the pictures, transferred to them and enjoy those moments digitally post the experience. With Hummingbird coming in that is going to be more instant which means when you ar

e on a rollercoaster and your pictures taken by the time you are out of the
rollercoaster your phone receives the picture instantly. It is based on FR, so all you do is touch a button show your face in front of your phone and all those pictures that were taken across the park comes over that is not happening

currently. Currently the QR ticket given to you that you have to and scan it, sometimes it takes 5 minutes, 10 minutes, sometimes takes about two hours to get that picture downloaded. The new solution will do that instantly at the same moment. So, we see a huge opportunity in growth of revenue itself or at least an amount of people taking pictures. You do not need to pull your phone out of your pocket anymore to take it. Our full quest of making Hummingbird so easy and interesting is that eventually we look at an opportunity of us allowing against not to take his phone anymore, how to take his pictures and take all the pictures through us, which is exactly what we making and convenient too that definitely will help us in growth. Currently we capture about 4 to 5% of the total in revenue wise there is only 4 to 5% of the people who come to our park actually take pictures buy the pictures with this we see at least going to double digit. So, we are very, very optimistic, of course it is going to be a process in a time, it will take about six months to a year or full adoption and complete rollout, we are very optimistic of that.
Sakshee Chhabra: Have you decided any price point that we will be charging for this?
Ramakrishnan: It will be more; our price points in the digital data will become more competitive than what we are currently giving so that also is a benefit. Again, price is something that we play against volume so we are very careful to make sure that we play that balance right. Of course, there is a huge capital expense on building Hummingbird, which is also built, which shows you in our EBITDA and will show more as we go along. So, price point will be interesting, it will become more affordable for sure and more easier.
Sakshee Chhabra: Can you quantify the capex that would have been spent on?
Debasis Nandy: We are still in the process of spending we will probably get back to you later once we complete the project.
Sakshee Chhabra: Thank you so much Sir and all the best.
Moderator: Thank you. The next question is from the line of Pavas Pethia from Aditya Birla Mutual Fund. Please go ahead.
Pavas Pethia: So, this travel■related services margins EBIT margins you talked about close to 7% is this a steady state margin and if yes, when you plan to achieve it?
Mahesh Iyer: As I said currently we are at about 3% and this 3% does not reflect the full profitability of our DMS and the inbound business currently because we are in a non■seasonal shoulder quarter so once they start delivering those numbers, we expect this to be at 7% and I think that should be more like a steady state for us, but again it is the

seasonal impact that comes because this the segment that we operate travel has got seasonality in it, COVID has changed some patterns of seasonality for sure, but that is more relevant for the India part of the business or we still continue to be a little more seasonal and as Madhavan guided us in the initial comment he mentioned about the long haul travel coming in from the Europe I think those will continue to have that impact, but on a steady state basis we expect it to be about 7%.

Pavas Pethia: What was this number pre■COVID days on annualized basis?

Debasis Nandy: I will have to give a longer answer to that question because if we talk about the pre■COVID days it also includes the business, the DMS business that was acquired in late 2017 and if you remember we had acquired that business as a loss making business and the attempt was to turn it around over a period of three years that period got a little extended because of COVID ob

viously, but now the business is turning around, parts of it have started making money, if you compare what it was pre■COVID it would be more or less the same because that time the business was not making money for structural reasons, but the structural imbalances are now being evened out, the cost of structure has been completely revamped. They needed certain developments on the technological side, which has both technical or technology inputs have been provided. So, now the business is all set to sort of take wings and therefore we are more confident today as Mahesh pointed out to deliver the EBIT margin of 7%.

Pavas Pethia: In a steady state if inbound travel kind of return to normalcy can we see in FY25 itself?

Debasis Nandy: We expect so, but as Mahesh pointed out that we should be around 75 to 80% in terms of overall recovery about 75 to 80% normal volumes in the current year itself and then we know that we all see growth continuing in the travel business and therefore we should be reaching 100% level in the following year that is FY2025.

Pavas Pethia: Sure. Thanks.

Moderator: Thank you. The next question is from the line of Samir Sharma who is an Individual Investor. Please go ahead.

Samir Sharma: Question around seasonality. Your multiple businesses operate in multiple countries and the seasons are quite different can you give us a sense on the June quarter, the September quarter, how does the quarter■wise■ quarter seasonality function in each of the businesses that is my one question. The second is around capital allocation with the cash accumulation you did mention there are no acquisitions around and you would reduce the debt is there a policy around dividends that you would like to bring forward and announce at any point in time and three the optionally convertible debentures that you may have that could be bought back by the shareholders?

Mahesh Iyer: From the first part on your seasonality as you know travel businesses out of India typically the strongest seasonal quarter is April, June coincides with vacations and breaks for kids, the second■best quarter that comes is October■ December coincides with some part of Diwali vacations and festivities that come in along and the yearend break. So typically, there are two such quarters that come for the travel businesses April, June, typically will represent close about 55 to 60% of the overall volumes that we do in a year, October to December will do about 25% and the rest will be spent between Jan to March and July to September, so that is the broad breakup as far as outbound businesses from India are concerned. As I also mentioned, I would like to call it out here that those things are beginning to change; now holidays are becoming more like a year on activity, but again the longevity of the holiday changes. The short breaks are more like the two, three nights which are more domestic shortfalls, it is the long hauls where the ticket size is larger and that is why we as a GIT operator we get a lot of things coming from the market. If I look at inbound businesses the peak period starts in October and runs all the way till March. So, the two quarters of October, December and Jan to March is the peak for inbound into India. If I look at the DMS companies, each of the geographies have got different seasonality that they have, some coinciding with the Indian inbound like October, March and some in the July, September quarter. So, it is kind of spread between the five geographies that we operate so that is more about the seasonality. As we said these patterns are beginning to change at least that visible in the Indian businesses but as far as overseas is concerned we still have not seen that changing too dramatically, but we have to wait and watch for that.

Debasis Nandy: Yes, thank you Mahesh. I will try and answer your second question which is around on dividend and w

hat can we expect, etc. So, as I mentioned earlier, we would like to use our cash generations we have started generating cash and would like to use the cash primarily for reducing our debt to as low levels or near 0 levels because we would also like to reduce the interest costs in the process and therefore increase our PBT. A dividend of course as the business makes profit will continue to give dividends. There is we have not kept a percentage in mind right now, but obviously we will ensure a decent return to the shareholder in terms of overall earnings, in terms of EPS as well as well as distribution of part of that through our dividend process. On your last question which is on the optionally convertible debenture honestly, we do not really have any instrument like that in our balance sheet. We did have an optionally convertible preference share we have issued during 2021 to the parent Fairfax or Fairbridge Mauritius which was duly converted in two installments, one in March and one in June of 2022 into equity. So then that thing has now been converted to equity, which gives Fairfax at overall level about 72% ownership. We do not have any dentures on our books.

Samir Sharma: Much appreciated. Thank you.

Moderator: Thank you very much. That was the last question in queue.

Debasis Nandy : Maybe we can just hand it over to Madhavan for his closing comments and before we all sign off.
Madhavan Menon: Ladies and gentlemen thank you very much for having heard what we have said and I trust that all the questions were answered. Just as a sign of comment I just wanted to make a slightly forward■looking comment looking at our forward bookings, looking at our cost structures, I can confidently say that with this trend will continue over the next several quarters. When I said this trend will continue is this return to pre■COVID levels in terms of our turnover, sustainable margins and sustainable cost reductions and of course if we look at our forward bookings both in the outbound business, both domestic as well as short haul and long haul for SOTC and Thomas Cook as well as forward bookings that are being received by Sita, which is our inward business in India. I expect that it will be reflected over the next couple of quarters. I think we are still in that space where we can benefit from the restructuring that we went through and in my opinion, this can continue for some time. Thank you very much.
Moderator: Thank you very much. On behalf of IIFL Securities Limited that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2023

November 8, 2023

The Manager, The Manager, Listing Department Listing Department BSE Limited National Stock Exchange of India Limited Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1, Dalal Street, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK

Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,
Subject: Transcript of the Analyst and Investor Earning Conference Call
In furtherance of our intimations dated October 27, 2023, November 1, 2023 and November 2, 2023 giving intimations on the Q2 & H1 FY24 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 40(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please note that the transcript of the Earnings Conference Call held on November 2, 2023 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following weblink: https://resources.thomascook.in/downloads/T CIL_Q2_FY24_Earnings_call_transcript.pdf
This is for your information and records.

Thank you.

Yours faithfully,
For Thomas Cook (India) Limited
Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited:

Q2 FY 24 Earnings Conference Call - November 02, 2023

Management:
Mr. Madhavan Menon : Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer : Managing Director and Chief Executive Officer - Thomas Cook (India) L imited
Mr. Debasis Nandy : President and Group Chief Financial Officer - Thomas Cook (India) Limited
Mr Vikram Lalvani – Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Ramakrishnan - Managing Director and Chief Executive Offic er - DEI

Moderator: Ladies and gentlemen, good day, and welcome to the Thomas Cook Q2 FY '24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.
I now hand t he conference over to Mr. Ranjit Cirumalla from IIFL Securities. Thank you, and over to you, Sir.
Ranjit Cirumalla: Thank you, R ayo. Good afternoon, all. On behalf of IIFL Securities welcome, everyone, to Thomas Cook (India) Limited Q2 FY '24 Results Earni ngs Con call. Today, we have with us Mr. Madhavan Menon, Executive Chairman and senior management team. I now hand over the call to Mr. Menon to begin the proceedings. Thank you, and over to you.
Madhavan Menon: Thank you. Good afternoon, ladies and gentlem en. Welcome to the earnings call for the quarter ended September 2023. Let me kick off by saying that, we registered a decent set of numbers in this quarter as well as for the half year. Over a period of the last four quarters, we have registered what we w ould call a recovery from where we started immediately after the pandemic where, as you're aware, we lost most of our revenues. I think the time has come now to say that the recovery from the pandemic in comparison to the pre -pandemic is almost done, if no t

already done. And going forward, we expect to register growth in our business under normal circumstances. Having said that, some of our businesses are still in recovery mode, but considering that, major parts of the group have recovered.

A lot of this h as been driven by a variety of factors. I think the primary factor is that there ha ve been changes in the profile of the segments that travel with us. We are seeing a younger generation travel with us. We are seeing customization of holidays bec

oming the need of the hour. We are seeing

people who are technology savvy. So we're seeing a fair degree of change in the profile of the customers. And therefore, in anticipation of this, we have gone out and put technology into place,

which will allow our customers to deal with us seamlessly from beginning to end, if they did not wish to have a touch point.

An important input into the profitability of the Company has been the restructuring that we undertook alongside the technology upgrades at the same time. So this has resulted in the H1 as well as the quarter , savings of approximately 32%, and that has dropped to the bottom line. So we are actually able to manage our costs and maintain the savings while growing the business. And if we look at the forward bookings, a gain, there is a degree of optimism in terms of the growth of the business, and therefore, we expect it to continue.

At this point, I'll hand it over to Mahesh Iyer –who will give you a detailed view of the numbers and from there onwards.

Mahesh Iyer: Than k you Madhavan, and good afternoon everybody. Just to take off from where Madhavan left, I think it's been a decent quarter for us. And if you look at our income from operations, it has grown by about 52% for the comparable quarter last year. That's about INR 1,235 crores, it has moved up to INR 1,871 crores.

And consequently, our profit before tax has moved from INR 5 crores to INR 77 crores and the drivers behind this performance ha ve been the Financial services, Travel services, Leisure and hospitality r esorts and Digiphoto Imaging. Now what I mean to say here is that it's an all -round performance. All segments of our business have actually grown in high double digits, and that's a very good sense of how the business is panning out today and for the futur e.

If I look at the profitability, that's EBIT across these segments. Most of the segments have registered close to double digits, and when I say double digit again, close to the 40% growth in each of the profitability with a clear exception in the case of Travel businesses, which have actually grown manyfold.

Some of the key drivers around each of the segments is what I'm going to cover in the next few minutes. And to begin with, about Foreign Exchange. If you look at the income from operations on Foreign Exchange, we've moved from INR 64 crores to about INR 78 crores to a comparable quarter. Some of the key drivers for this income from operations has been the growth on the retail business. Our retail portfolio grew by about 21%. And within that, which is on the holiday side of it. And if I look at the education side segment, that grew by about 68%. So clearly, the retail holiday travellers as well as the education segment propelled our revenues and that flew into our EBIT. And if you look at our EBIT, that grew from about INR 21 crores to INR 29 crores. So clearly, a 21% growth in income and a 42% growth in EBIT.

It's also important to highlight that the business is now generating cash because there is a lot of float that is generated on the prepaid card bu siness. And that's now translating into, I would say,

interest cost savings on to the business. So, from an expenditure it has actually started to become an income on to the business.

One of the other key highlights during the quarter has been our digital adoption. We've been talking about taking the Foreign Exchange business digital, which is where the customer has the choice of transacting with us either on our website or on our call center or a combination of both, other than the physical stores that we operate. Our digital adoption in the current quarter has moved up from 18.4% in September quarter of 2022 to about 23.4% in the same quarter of 2023. So clearly, there is a 6% growth that we have seen, and that's largely driven by our investments and the n ew ways that we are getting customers to transact with us.

It's a

lso important to highlight here that we launched our 'WhatsApp Forex'. So, unlike most companies which use WhatsApp as a service tool, we've actually expanded that as a sale of sales tool als o. So today, the customer has an opportunity to transact with us on WhatsApp, do a KYC on WhatsApp, upload his documents and the last mile fulfilled will be done by our staff going and visiting the customer. So clearly, we have opened one more channel for the customer to transact with us.

If I look at the card issuance. Our card load improved by 35% on a year -on-year basis. And if I look at it in terms of number of prepaid cards sold, that's improved by about 21%. So overall, if I look at the portfolio, we had a steady growth in the current quarter. We've added some new corporate accounts to our portfolio. And I think for the coming quarters, we see this business continuing its run as we go on.

Moving on to the Travel and Travel -related segments. If I look a t the segmental revenue, it's grown by 59% from INR 899 crores to INR 1,432 crores. There are multiple segments within this, and I'll take you through the Holiday (B2C) as well as the B2B segments of Corporate Travel and MICE , and then I'll get Debasis to talk to y ou all about the DMS segments that we operate in.

So clearly, a 59% growth in revenue has resulted in about 1,354% growth in profitability. That's moving from INR 3 crores to about INR 50 crores. Now this growth in revenue has come from multiple channe ls. One, if you look at the B2C side of the business, I think while it was a bit of a shoulder quarter, as you would know, that April -June happens to be the peak travel quarter for us, and July, September is a bit of a shoulder months. But despite that, I think you've seen some fairly good run. Domestic demand was slightly subdued, as you would appreciate the fact that India was under monsoon and business does get impacted during that period. But our short -haul and parts of long -haul business continue. We h ad an extended long -haul in that sense, went all the way until end of July and some parts of August and that augured very well for the business. Apart from that, if you look at the B2B side of the Holidays, we had some large movements across both brands, S OTC and Thomas Cook, where we managed close to about 400 groups during this period. And this has kind of helped us to register a decent growth as far as our overall volume is concerned.

If you look at the MICE business within Thomas Cook, we also manage th e G20 events, as you'll appreciate that we mentioned that we are among the three vendors servicing the Government's G20 portfolio. And that got concluded in September 2023. We managed a total of 41 such events and generated a top line sale of close to INR 150 crores.

Now if I look at the domestic and the short -haul segment, we are seeing momentum in the coming quarters. As you will appreciate that festivity has just about started. November -December is when there are a lot of holidays. During Diwali and Chri stmas people will plan their holidays. So, we are seeing momentum. As Madhavan alluded to it, our forward bookings are currently tracking at about 32% ahead of what we had for the same period last year. So clearly the momentum has built up, and we believe this run will continue well into the next quarter.

If I talk about the Corporate Travel side of it, we had some major wins between SOTC and Thomas Cook. We added 8 new accounts to our portfolio with a total annualized billing of about INR 80 crores. Margin s on this business continue to remain stable. Our mix in terms of business remains fairly stable, and we are focused on managing our capital cost as far as this business is concerned.

So clearly, both of the Foreign Exchange and the Domestic Travel busines s, I think we are doing fairly well, and we remain fairly confident of how the next few quarters will pan out for us.

Debasis, can I

ask you to take the DMS, please.

Debasis Nandy: Thank you, Mahesh. On DMS side – Inbound and international , we registered a turnover of INR 662 crores, which is 40% up from what we did in the same quarter of last year. And it may be noted that it is 38% ahead of what we did in the pre -pandemic period. So, the business is back in full swing. I must add one point that this is no t the inbound season in many parts of the world, including India and Southeast Asia, where some of our major business die. And based on the foreign bookings of those specific territories, we can say the business outlook is pretty good.

As far as the curren t quarter or the last quarter that's concerned, I think the unit s that did very well include East Africa. We have business in Kenya, which reported an increase in sales based on volume generated from traditional markets, US, UK and Germany. The Middle East witnessed higher sales despite of the fact that this was the summer season, but again, it is still higher than what it was last year. Strong growth came in from USA with a 26% increase in sales, largely driven by inbound passengers coming in from the Euro pean market.

And coming to Southeast Asia sales, which splits across our nine countries in Southeast Asia, started recovering its volumes, specifically in countries like Thailand, Indonesia, Malaysia, Singapore and Vietnam. The next six months are critical for this business because that is where the maximum volume comes in. And we look forward to a similar trajectory of growth. That’s what I had to add on the Destination Management segment.

And I would like to now hand over to Vikram so that he can talk a bit about the Sterling Resort, the leisure hospitality segment.

Vikram Lalvani: Thanks, Debasis. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani, and I represent Sterling Holiday Resorts as its Managing Director and Chief Executi ve Officer. I'm also joined by my colleague, Mr. L. Krishna Kumar, who's the Chief Financial Officer at Sterling Holiday Resorts. It's a privilege to interact with all of you once again today.

Traditionally, in the leisure business, the quarter that has go ne by, that is July to September of Q2, from a seasonality perspective is actually one of the leanest quarters of the year. During this quarter, we also witnessed dramatic issues and disruptive business in some of the regions that we operated. The heavy do wnfalls in Himachal, Uttarakhand, Delhi impacted at least 35% of our portfolio for nearly eight weeks out of 12 weeks this quarter.

Despite the seasonality and the climatic disruptions, we are pleased to report that Sterling has yet and still continued to remain profitable, and this is the 11th consecutive profitable quarter that we have actually presented to you. Our supply has grown by 8% on a year -on-year basis given our thrust on asset -light expansions.

This is on account of addition of 8 new resorts du ring the preceding 12 months cumulatively, and this has also enabled our Q2 supply growth as well. On a year -on-year basis, Sterling occupancy is still stable at 63% and we have grown the non -member business ratio from 60% to 66%. This has enabled growth i n room revenues by 11% in Q2 and 18% Year -on-year. We continue to realize average room rates upwards of 6,000 across all our resorts on a Y -on-Y basis at the end. Our overall growth in revenues also has come in from increased food and beverage income, grew by 11% year -on-year and 8% quarter -on-quarter basis.. This continues to reaffirm our growth strategy towards being a dominant player in the hospitality segment. Our distribution reach continues to grow with the help of our Sterling One platform that cater s to travel agents, holiday partners and corporates across the country.

Our new non -member or 'FIT' product with the validity of one year was also launched this quarter called 'Sterling One'. This new product giv

es immense benefits to customers to holiday at any of our
resorts with value adds on food and beverage and flexibility of multiple holidays across our portfolio through the year. With the launch of this new non -member FIT product, Sterling has also sun set on the long -duration membership products in Q2. So, we'll have no more acquisition of the long -term membership products going forward as well.

The business continues to generate EBITDA margins of 30% and upwards based on seasonality, resulting in a healthy free cash flow of INR 542 million vs INR 4 63 million on a year -on-year basis. The company is also cash surplus of INR 1,580 million and considerably has also lowered its debt to less than INR 175 million.

As part of a growth strategy in an asset -light mode, we've added four new resorts in H1 FY'24 . Shimla and Panchgani in Q1 and Vythiri and Vadodara in Q2. The addition of Vythiri strengthened the presence of Sterling in the Wayanad district in Kerala with its second resort in that district, and now we have a total of 8 resorts in Kerala, and we wil l continue to grow that piece again.

Vadodara marks Sterling's foray in the resort management in the theme park segment. Sterling Aatapi being the largest theme park in Gujarat is spread over 70 acres. Some of our resorts like Nainital underwent a redevelo pment program in Q2 and has been subsequently relaunched in October 2023. Sterling has made its debut in Udaipur with two new resorts in October 2023. Hence, as on date, Sterling has 45 resorts across 41 destinations in India and is growing.

Our pipeline i s strong with the addition of at least another six or eight more destinations in H2, both Q3 and Q4, taking our resort count to at least 50 to 52 by close of FY '24 and at least 48 destinations in the country. And we will further drive the scale even in FY '25. This reaffirms the strategy to position Sterling as a formidable hospitality brand in the country. During the quarter, Sterling has also upgraded some of its product profiles in some of its resorts, rooms, restaurants in some of our large format reso rts like in Ooty, Kodaikanal, Yercaud and Munnar to cater to the demand that have higher spend propensities into Q3 and Q4.

The company has strengthened its IT system by moving to a cloud -based property management solution system tailored for hospitality b usiness in all our resorts during the current quarter. The cloud -based ERP solution Oracle NetSuite implemented within the previous quarter, further helped in bringing uniformity, processes across the resorts including better cost management views. The com pany continues to invest in various digitization or projects that will help bringing further efficiencies in the organization.

All our resorts are now ranked 4+ on TripAdvisor with 19 resorts being ranked in the top three in the respective destinations. Si x of our resorts are on 5/5. Sterling has also been awarded the Best Domestic Leisure Hotel Chain by Today's Traveler. Sterling continues to remain upbeat for the remaining part of the year, one with the upcoming festive holiday in Q3.

We also have all our destinations reopened post the monsoons in Q2. There is a strong sentiment of domestic demand and that's continuing and the Sterling's strong pipeline growth, a number of resorts in Q3 and Q4 helps build this confidence that we will close FY '24 with a st rong performance and also getting into FY '25. Thank you.

Debasis Nandy: Ram, can I request you to come in and talk about DEI?

Ramakrishnan: Yes. Thank you, Debasis, and good afternoon, everyone. We've had a fairly robust quarter Q2 2024 as in 2023. As you see, our revenue has grown by over 30% from last year same quarter to this year same quarter. Our EBITs have grown up by 50% during the same term, which has been a very, very aggressive growth.

This has been primarily due to a high revenue in markets lik e China, Hong Kong and Macau t

hat has
come back into full operations. In China, we have blown the roof off with both of our parks Disney and Universal, creating records of the highest selling ever achieved by the park in the past 10 years of its operation on photography.

We've had days when we had over $50,000 of sale in both these parks, in a single day. So, there's been an outstanding comeback for China and Hong Kong and Macau, China particularly on that front. Our overheads have increased a bit during th e same time, but they have all been levelled to a fairly good amount of consumption costs being reduced out. On a quarter -on-quarter, we've been doing pretty good both from an income from operations and the margins, and the EBITDA margins that we're gettin g. Over and above this, we've had some key partnerships renewed all across the world, whether it's in Maldives or in Dubai or in the Far East.

We've had five new partnerships added on, a good number of them have opened up in Indonesia with Taman Safari, wh ich is the largest acquisition we have had. This is an account that we've been trying for the last 10 years, and that's come over and that kind of makes us probably the single largest photo imaging operator in Indonesia going forward. Our market share, in Indonesia, Singapore and Malaysia, in all the three bases, are now crossing over 90%. And in Dubai, they are over 95% on the market share. So it's been an extremely great quarter, both from a business as usual performance, plus new business coming in for t he future.

Going forward, things look fairly even more interesting and aggressive. We have Saudi Arabia coming onboard. We are launching our first three locations in Saudi Arabia as we speak in the coming week. In fact, one of it is already launched yester day and two more are launching in the next two days as we speak. Saudi Arabia's business size is probably twofold of what UAE is in the next three years. And we are on the first call of all the RFPs out there. We've also been awarded one of the largest con tracts up there in Saudi Arabia. It's a Six Flags park that's coming up called as Qiddiya. So, the Middle East region has a very strong upward, forward -looking opportunity in the next two years. And all of this, thanks to Saudi, for sure, which is on the large that's opening up.

On the other side, in the Far East, our growth has been pretty strong. We have acquired and gone live with the only attraction that we didn’t operate in Singapore. In Singapore operations we had a market share of 95%. The ‘Singapor e Wheel Flyer’ was the only attraction that we didn't operate in. After 14 years of its operations, they transferred the photography operations to us. With that we have become the only imaging solutions company in the whole of Singapore. So, any attractio n that we do across the port is only covered by us. Singapore flyover was the last one and it's gone live yesterday, as we see. So, it's been a fairly good quarter.

Mind you, quarter two, probably is not the biggest quarter for us. Our biggest quarter is the last quarter, which is coming up now, which is October to December. And the team is all poised for complete traction on that. I think it will be one of our best quarters in the whole year. It has always been the highest quarter for the year.

So, we se e 2023 closing up in a fairly robust mode for us. Over and above, we arethe most excited that the whole DEI is waiting for is our new technology solutions. That's going to go live as we speak, starting from Maldives in December this year and in the first q uarter next year across the world.

This new solution is something that we've been very, very optimistic and looking forward for, which probably will open opportunity that we've never been able to on our current imaging platform for the last 15 years.

On th at note, thank you very much, and I hand over the mic back to Debasis for him to talk on this. Thank you.

Debasis Nandy: So that's what we have on the management side. And I'll now hand it back to Ranjit. And Ranjit, you may open up the floor for questions and answers.

Moderator: Thank you very much. We have the first question from the line of Senthil Manikandan from ithought PMS. Please go ahead.

Senthil Manikandan: My first question is with respect to Sterling Holidays. So just on the room addition, so le t's say, over the next three years to five years, what's the targeted room addition? And is it going to be 100% on the asset lead model? So that's my first question.
Vikram Lalvani: Okay. Let me take that now. See, last year has been a year of transformati on for us. And we've recovered exceedingly well after the COVID period. And this year has been a year of sustained acceleration. Now apart from increasing the capacity utilization of our existing portfolio, we will continue to grow our portfolio. In fact, when we started off last year, we started off with about 32 -33 resorts. And today, we are 45 strong. We aim to be 50 to 52 by the end of this financial year. And we will continue to grow our footprint in India and also possibly in destinations where Indian s travel to. So we are exploring those as well.
They will primarily be on asset light. Now, if there is a specific number you want me to attach to what I see three years from now, we are currently about 3,000 rooms with 45 resorts. Keeping the current pace of scale, we will see our portfolio growing significantly, and it will be mainly on an asset light model, right. So, our expansion is far more balanced and strategic rather than actually just blindly adding rooms across destinations.
Where we are able to network with our existing destinations as well as ramp up business quickly in those markets, we will certainly be present in those markets. So that's the strategic focus going forward. If we close with 52 resorts this year, we are looking at building even FY '25 with the same pace of growth that we've done in FY '24 and so on. So that will be the focus primarily in Sterling going forward.
Senthil Manikandan: Okay. Next please, with respect to the Travel segment. So, in the opening remarks, I think you menti oned that most of the recovery from the pandemic has been done. So, it's going to be normal performance. So, in terms of margins, so with these cost savings coming in, so what should be the margin run rate going forward?
Mahesh Iyer: I'll take that questio n on. So, if you look at our current margins that we are making on the Holiday business, our gross margins or the realized margin on the product, we are about 15%, 16%. And we've kind of grown that by about 250 basis points from the pre -pandemic level. Pre -pandemic level was about 13%, 13.5%, so we are now at close to about 16%.
Now this margin mix it's an average margin because the long -haul margins are different from short -haul to the domestic. And if you look at it, I think, from a portfolio point of vie w, we believe our

margins have come to a decent level, that could be another 50 to 100 basis points improvement that you can see from here on.
What's more important to highlight here is that the cost transformation that we have bought about has reduced our cost base permanently. We are seeing a 30% reduction in our cost base, and we expect to hold on to that savings for a long period to come.
The other important element to note here is that both brands, SOTC and Thomas Cook are very integrated at the back e nd today. And the economies of buying and the scale at which we are buying are also adding to our, efficiency in terms of pricing and better utilization of the inventory that we have in hand. So, it actually reduces the losses, if any, that come on the inv entory. It gives us economies of buying and then we get better terms from our vendors.
Some part of it gets passed back to the market in terms of growing our market share and in

some
part, we retain on to our bottom line. So clearly, if you ask me, we will retain our margin currently at the levels that we are or slightly improve that. But the focus will be now be to add more volume on to the top line.
It's also important to highlight when you talk about recovery, while we've seen some smart recovery happeni ng on the domestic and the short -haul side, the long -haul is far from recovery. We are about 58%, 60% in terms of recovery on the long -haul. Long -haul by definition is anything that is a travel beyond five hours of flight.
On that segment, as you know, the re have been challenges on visa, both in the European market and the US market. So that still leads to come back. A lot has been done. I think most embassies have woken up to this and we expect a better summer. As you would realize both brands, SOTC and Thomas Cook, have gone to the market and launched their European offering for the summer of 2024 and the initial reaction from the market has been very, very positive.
Senthil Manikandan: Great, sir. Just last question from my side. This is with respect to t he debt that we carry on the books. So, excluding the customer advances, so what could be our net debt on the book?
Debasis Nandy: At a net debt level, it's a negative net debt actually because there are cash surplus. Our overall debt position has gone dow n quarter -on-quarter. Right now, the overall debt at a consolidated level is INR 280 crores, down from about INR 313 crores. Overall cash and cash equivalents is about INR 1,233 crores. So, net positive is about INR 950 crores.
Senthil Manikandan: So, this cash balance of around INR 1,200 crores will include the customer

advances and the float?

Debasis Nandy: So, if you include customer advances, we'll also need to take out the vendor advances. –The customer advances will have to be netted against vendor ad vances. So, there are both asset and liability items.
Moderator: Thank. You. The next question is from the line of Anushka Chitnis from Arihant Capital Markets. Please go ahead.
Anushka Chitnis: Congratulations on a great set of numbers, sir. I just have o ne question in that now that FY '24 is a year of recovery for the Travel segment in general, how do you see competitive intensity shaping up for Thomas Cook?
Mahesh Iyer: I think the market has changed definitely post -pandemic. I think we've been saying this for some time now. Customer preferences have changed, habits have changed. The profile of the customer has actually changed. They are younger and we are now attracting younger travellers to our brand, both SOTC and Thomas Cook. And from a preference poi nt of view, customers are now preferring to take more shorter breaks and frequent breaks as compared to one long break and maybe one shorter break that used to be pre -pandemic. So, what we are seeing now is that there is a lot more demand.
There are new en trants into the travel market. The ability to spend, the buying power is much higher. So, you're actually going to see a market expansion. So to that extent, we believe that there is enough and more room for everyone to co -exist without having to meddle ea ch other's share. From an intensity point of view, as we have said before, we don't compete with OTAs because we are not opponent sellers. We are focused on package offering, and that's our core competency and we'll continue to focus on our goal.
We are al so very clear in terms of what we can offer to the market because India, if you take as an example, it's so far and wide. Can I be relevant in each of the states that offers an offering? Maybe not. So, we've chosen some markets, some destinations where we want to actually be material, and we want to be actually making a mark there. So, we will be focusing on that, and we have already identified those markets for ourselves. Similarly, both the brands, SOTC and Thomas Cook, are very strong in

Europe and the U S side, can we build some muscle on some short hauls too . I think we have identified that, and we're working towards it. So honestly, intensity of competition does not worry us at all because I think we have even more leg room and tailwinds for this business see ms very strong.
Moderator: Thank you. The next question is from the line of Ankush Mahajan from Axis Securities. Please go ahead.
Ankush Mahajan: Sir, earlier there was a news that this brand -- Thomas Cook brand could be expired on 2025. So , could you thr ow some more light on it? And sir, my next question is that if you talk about the DMS International inbound where 100 nationalities, they are entering the India, Sri

Lanka as well as Bhutan. So, these are coming from the US, Europe, where already been the recession is going on. So, would you throw some more light on it?
Debasis Nandy: To answer your first question, we had bought out the Thomas Cook brand for usage in specific markets of India, Mauritius and Sri Lanka back in October 2019. And so we now own t he brand in perpetuity. So there is no threat of the brand going away from us at any point of time.
As far as the second question is concerned, so I think the inbound and DMS business has a very large set of clients and a very wide range of clientele comin g in from US, Western Europe, parts of Asia, etcetera. In fact, the interesting part of it is that we have seen the DMS business actually recovering faster post -COVID than any other part of the Travel business. So to give you examples, the markets in US, m arkets in Middle East and in Africa were among the first to recover, even before the Indian market started recovering of the Southeast Asian market started recovering.
So, I think we'll need to consider the fact that while, yes, there can be recession in t he economy, the recession doesn't affect everyone in the economy in the same way, right? So, the set of clienteles that you are catering to maybe less affected by the recessions in those particular economies than others are.
And it may not be right to gene ralize that the country has a recession, and therefore, the need for travel will be less. It will depend really on the category of travellers. Maybe if you're looking at backpackers, yes, there could be an impact on that. But of course, we do not really ca ter to that segment.
Ankush Mahajan: Agree, so momentum is there in DMS International?
Debasis Nandy: Absolutely. The momentum is there, it's much more than what it was in, say, 2019. And

that's a point of reference before COVID actually hit us. We're wel l ahead of that and we'll continue to be ahead.
Ankush Mahajan: Sir, my last one is that in Q2, even in the PPT, the MICE portion in revenue is quite big this time due to G20. So how could be the provision in the upcoming quarters? Because the gross margin s are quite high in the MICE now.
Mahesh Iyer: So if you look at the MICE business, the MICE representation here is two brands, SOTC and Thomas Cook both. It's on the Thomas Cook side of the business where we manage the common portfolios, more specifically the G20.
Obviously, next year, we're not going to see a G20. But the big part is that we now entered the Government segment. We started working with multiple ministries as a part of this entire engagement with G20. And we believe as the Government now us es this opportunity to showcase India in a much bigger way.

There is also a rub -off effect on the domestic tourism management of this because India has showcased so many states, its culture, its tradition and everything else. So I think from a momentum point of view and an outlook for the next three years to five years, I think India has set the stage to welcome foreign users to come to India. This actually helps our inbound business. It will help our ancillary businesses. It will help our domestic business and also help build momentum through

a
new line of business, which is the Government business.
Apart from that, if you look at our international MICE business, they continue to do well. We've been actually growing at about 15%, 20%. And even in the curren t quarter, the growth as compared to the previous comparable quarter, it's about 25%. So that volume continues to come in and the spending, which is more the R&R programs than corporate funds, they have actually been coming back and investing in the distri bution channels, just as any other company will do to increase their sales.
I think most companies are now opening their growth and spending. So we don't see any slowdown that will come. Maybe some part of the portfolio will get replaced, but clearly, the momentum is there.
Moderator: Thank you very much. The next question is from the line of Ashish Chauhan from RV Investments. Please go ahead.
Ashish Chauhan: This is Ashish here. Sir, my first question was regarding the cash that we have on our books that is close to around INR1,200 crores to INR1,300 crores. So are we looking at some payment to the investors in the form of dividend or buyback? Or is this for a merger and acquisition that might take place toward our inorganic growth?
Debasis Nandy: So, to answer your question, yes, we have cash on our books. Obviously, part of the cash – also represents the float that we have on the card, on the Foreign Exchange prepaid cards. As of now, we do not have a plan to use this cash for either a buyback or for furt her acquisitions, etcetera. –Our strategy on this is, I think, fairly clear. We want to use our cash to pay off our debt over the next couple of years.
Thomas Cook as a stand -alone unit does not have any short -term debts as of date. It has some long -term d ebts, – which we 're– trying to prepay. Likewise –in some of the other subsidiaries, they have debt, which are gradually coming down. So as I mentioned, overall, our debt is around INR290 crores, which we 're trying to pay off in various ways. The first prior ity is to become debt free, which will obviously increase overall the PBT and, of course, the PAT.
Ashish Chauhan: Sir, I would like to give a follow -up question on this, that the cash is somewhere close to INR 1,300 crores and the debt is close to INR 200 c rores?
Debasis Nandy: Yes.

Ashish Chauhan: So the debt can be easily paid off, right?
Debasis Nandy: The debt, as I said, the debt we don 't really have short -term debt, which I mean overdrafts, which can be payable easily. The long -term debt usually has so me covenants on the impairment of when I can pay, etcetera, and we can only pay on due date. What we 're trying right now is to pay off some of the longer -term debt ahead of schedule. And obviously, that 's not an easy task because the banks –do not want to be paid early because this is loss of earnings.
Ashish Chauhan: Okay. Sir, – my second question was, since Corporate Travel is just 2% of our revenue, so are we looking to target that side as well?
Mahesh Iyer: I think that 's not the way to look at it. It 's not 2% of the revenue. It 's only that it 's just to be recognized from an accounting point of view. We only recognize the revenue that we make on the business and not the top line sales over the segment mix that you see there. Like all other

businesses wit hin the Travel Group are in the form of top line sales, this is only the realized revenue on the business and that 's why it looks like 2%.
Ashish Chauhan: Okay. So sir, can you put a light on over there? Like what is the actual thing there, except for the accounting area?
Debasis Nandy: So, if I look at the pure throughput, I won't like to call it turnover, but purely as throughput. Corporate Travel accounts for close to over 29% of the overall throughput number. Corporate Travel is that we managed to cultiv ate corporate relationships, which may be very useful for getting MICE contracts or

getting into the forex side of the business. Some of these corporate
relations can also lead to employees buying all the B2C leisure travel packages.
Ashish Chauhan: And si r, the last thing, since there was a World Cup over here, so this might have been a bit positive for us, just like G20. Was there anything that FX adds to our revenue?
Mahesh Iyer: I can't necessarily put a number to saying that whether the World Cup had a fillip. Yes, we got some inquiries, but obviously, we are not selling World Cup tickets. And people who come would want to buy a package which is inclusive of a World Cup ticket and we didn't have too many. There were a lot of inquiries for the coveted ma tch in Ahmedabad, but we managed to sell some. But I wouldn't say that is a large part of our business, that's a small portion. So not necessarily, but yes, I think the attention to India was very large or just after G20, World Cup happening in India, I think the world was looking at India. And I think the stadiums that we put up, the Lucknow Stadium and Ahmedabad Stadium. I think we've kind of made a mark in the global space. And that's what we will look at. These are not short -term benefits. We have to st art looking at it from a long -term perspective.
Ashish Chauhan: Sir, the last thing I just wanted is, can you give me the schedule for the debt repayment completely?

Debasis Nandy: We aim to b e debt free over the next two years to three years .
Moderator: Thank you very much. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.
Dhaval Shah: Sir, may it be possible to give a breakup of different businesses under Travel like outbound, DMS International, domestic, Corporate Travel? What is the rev enue for the quarter?
Debasis Nandy: So in terms of the mix, revenue mix, I can give you in percent times and I don't think again it's easy to decipher that. So, my source is about 31% for the quarter, Corporate Travel 2% like Mahesh mentioned, we account for only the money that we make there. DMS was about 46%, long - haul holidays 19%, short -haul 6%.
And obviously, all this will add up to a little more than 100 because there are some intersegment eliminations because we use the DMS businesses also to servic e some of our outbound business. And so we have to take a 5% cut on the intersegment elimination.
Dhaval Shah: Okay. Sir, so like last year, we did around INR1,000 crores in MICE. And this year also, we would be growing on that. How do you see this busines s over the next three -year period? And where would you compare it to like your experiences, how the MICE business has been in developed geographies or other comparable economies of the world? What is the opportunity size in this?
Mahesh Iyer: So look, I th ink from the previous question that was there, I kind of alluded to that. I think if we look at the MICE, the definition is Meeting s, Incentives, Conferences and Exhibitions . Each of it presents an opportunity within inside and out. Now there are multiple segments within that. Take the example of weddings. And that's a great opportunity for us. But we don't play in that space. There are parts of it that we do for some of our corporate customers, but that's not a large space. So that's an opportunity, if you want to say so.
If you look at sports, that has become a huge opportunity as far as the MICE is concerned. So as we speak, we are managing the National Games in Goa. So that's an opportunity that has emerged, didn't exist in the past. We spoke about G20, which we managed. So clearly, that's a new opportunity. If you look at the international destinations, most of our corporates have now come back and now looking beyond virtual events and domestic events to international events.
The public markets remain, a nd we are trying to create new itineraries, new destinations for them because a lot of these people who operate in this space, th

e paint industry, the insurance industry,
I think all of them have been to that place multiple times over because most dealers work with more than one company, so they have been to one destination or other.
So, I think the important thing is to create new experiences for them, new destinations for them and how you bring that wow feeling that you need to create. So I think it requi res a specialized set of skill and I think we believe we have that skill between both the brands. And we continue to invest

and looking at the new opportunity that comes about. If you look at the size of the MICE business, there is an estimation which says that this is likely to go by grow 7x over the 10 years. So clearly, I think we have enough and more room to grow.
Dhaval Shah: Okay. And sir, just one repeat question on the cash. I basically want to understand more clearly that INR1,300 crores, which we have on the book now adjusted for the float and the vendor advances, what will be that? What will be like the cash, which is free and which is an invest in mutual fund or like free cash? So what is the absolute amount, which is actually used to pay down the debt or you pay dividend?
Debasis Nandy: About a couple of INR100 crores.
Dhaval Shah: Okay, okay. And on the float, how much do we earn? And what will be the float number out of the INR1,300 crores?
Debasis Nandy: Okay. How much we earn is an interestin g question because probably I'll have got to go a little bit in detail into what is done in the float. Some of the money is kept into fixed deposit s, where we earn some amount of interest. It really depends on the currency in which the float is kept. Some currencies earn more interest than others.
Some amount of money we have to keep in nostro account because it also have to manage the encashment that happen on the cards on a daily basis. And the balance money, we also use to manage our working capital. And let me just take a little more time on this one. So what we typically do is to swap this money on a daily basis and convert that to INR only for the day to take care of day-to-day requirement. The advantage of doing that is that arbitrage on the short -term borrowings. So instead of borrowing money at 8.5% or 9%, I can do a swap at about 3.5% or something like that, and therefore, save close to about 5%, 5.5%. So that is what we keep on doing.
Dhaval Shah: Okay. And you do this like on a daily basis, right?
Debasis Nandy: It's daily basis, yes. And since it's a swap, there is no forex risk associated with this.
Dhaval Shah: Interesting, interesting. So in last six months, how much would you have swapped?
Debasis Nandy: See, every day, we swap, no? So I mean, how do I put a number to it? It will depend on the daily requirement of cash that we have. Our Foreign Exchange business is a money business, right? So if there is a great demand for encashing foreign exchange, so there will be a big amount of demand for rupee, which is what I need to service that demand. I will do more swaps. On days when the demand is less, I'll do less swaps. So it will really depend on the demand for the day. There is no specific number.
And very tightly, all I can assure is that we ha ve our own dealing room. We have a set of people who assign this task on a daily basis and they do that very diligently. It's a very, very tightly controlled

process. We need to remember that we are an authorized dealer and, therefore, under the continuous scrutiny of RBI. And therefore, we are as careful as the banks are or at times even more to make sure that we stick to the boundaries.
Dhaval Shah: Okay. And sir, even the banks are offering the currency cards. So we will be having some tie -up where, say, ICICI Bank is offering the cards? So where we will be the back -end partner or something like that. So one is a customer goes directly to Thomas Cook office and then he buys the card when you wa

nt to travel. But the banks are also offering the same thing. So how do we
manage that competition?
Mahesh Iyer: So, Dhaval, let me take that question. First and foremost, I'm not a redistributor of a card. I issue my own prepaid cards, with all the key network partners which is Visa, Mastercard and RuPay. Well, RuPa y is limited because it has the only offer in the Dubai region and it's not expanded to other geographies, but we offer all the three and we are compliant with the regulation requirement in terms of giving the customer the choice of the network partner tha t he chooses.
We also have variants of the card, which is multicurrency and one currency, which means the customer is traveling to a single point, he can choose the currency that he wants. Or if he traveling to multiple geographies, he can come to a multic urrency card. Each of them comes with its own benefits of safety, security, convenience, reloadability and it's accepted worldwide.
From a USP or a competitive landscape point of view, it's important to highlight that Thomas Cook for the last two quarters has been the number one issuer in terms of volume of prepaid cards in this space. And we compete here with banks and the money changers who operate in this space.
We distribute this card to our corporate customers, our retail customers and also through thi rd-party agents, which are booking agents. So we have a fairly good portfolio and product has its own USP in terms of how the commercials are fitted in. And I have been mentioning this before, we've been growing at 35%, and we expect that growth.
Dhaval Sh ah: Okay. And just to re -understand, so all our cards would be pure Thomas Cook cards, that is, nothing like co -branded, like Axis Bank Thomas Cook card?

Mahesh Iyer: So, what I would say is that everything is a Thomas Cook card. If Thomas Cook has signed up with a third -party partner, and I need to do a co -branding arrangement with him, it will be Thomas Cook plus them. But it will not be a bank plus Thomas Cook ever.
Dhaval Shah: Okay, understood. And sir, last question. Just on annual report, we have cer tain related -party transactions with other services of companies, now, say for example, 10 -plus. So would all that be related to the Corporate Travel service what we do, or will be something else?
Debasis Nandy: It will depend on what is the requirement. I t could be corporate, it can be ticketing, it can be hotels, it can be packages like, for example, MICE, etcetera. But let me assure one thing

that all the related -party transactions are audited with specifically there is no requirement for a third -party c ertification. But our Board insist on getting that done. So every quarter, we have an audit of all the related -party transactions just to make sure that they are done properly, meet the transfer pricing requirement, the benchmarking requirements and so on and so forth.
Moderator: Thank you very much. The next question is from the line of Mithun Aswath from Kivah Advisors. Please go ahead.
Mithun Aswath: Just wanted to understand your Travel -related business. Any outlook for Q3? As well as have you reached t he run rate of pre -COVID now or there's still some time to go?
Mahesh Iyer: Mithun, again, Mahesh here. I think you missed our initial commentary. As we said, most part of our business have reached close to pre -pandemic. It's in the India businesses, it's the long -haul part of our Holiday business, which is currently trending at anywhere between 58% to 62% of the pre -pandemic numbers. Short -haul and domestic have already crossed that benchmark. If you look at the DMS business and which is what Debasis cover ed, some parts of our DMS business have already got closer to pre -pandemic.
Some other markets are still trailing. They are about 65% to 80%. And we expect that run rate to catch up very soon. So there is a mixed bag. But within the India business that we op

erate, Corporate
Travel and B2B holidays have already surpassed the pre -pandemic level, and they continue to perform well.
Mithun Aswath: Right. Just wanted to understand, any outlook for Q3 and Q4 that you're seeing? Because your Q2 is actually nonseaso nal and you've done well. And Q3, you will have the festive season and the holidays between October to December. How is the outlook so far? Also do you expect margins to rise in the Travel -related business going forward?
Mahesh Iyer: Thank you, Mithun. Act ually, you answered the question. The festivities and the tailwinds that we see associated with it are very bind to our forward bookings. And I think we have quoted that in our press release also. Our current forward bookings comparable to a year ago are about 32% higher. And we see the tailwinds helping us, the festivity and some part of excitement around all the holidays will take this further.
As far as Q4 of FY '24 is concerned, it's a little early to comment on, but it's important to note here that bot h brands, SOTC and Thomas Cook, have gone to the market with their offerings on the European side. So we are heating up for the summer. And I think we are expecting from the initial response, it's just about two days that we've been doing. The initial resp onse tells us that the market is well tier to bounce back.
Mithun Aswath: Yes. Just –two more questions. On the margin front, in the Travel -related business, is there a scope for further improvement?

Mahesh Iyer: Well, if you ask me, as I said, from a gross margin point of view, we have expanded our margins from pre -pandemic by about 200 to 250 basis points. Can we go further? Maybe there is some room, and there are reasons why I say that because the input costs are higher and we can pass some of this back t o the customer. There is consolidation of buying that's happening. We are reducing our inventory losses.
So all of this keeps adding back to the margins that we do. So there could be some expansion. I think most of it has been done. Beyond that, we don't w ant to be at a threshold where we start getting expensive to the market. I think we've got to a decent 16%, 16.5%, maybe under 50 to 100 basis points, and that's where we'll pick up.
Debasis Nandy: Just to add to what Mahesh is saying, Debasis here. Listen , while you heard as Mahesh said, but there is scope for expansion at the EBIT margin level because volumes pick up, the volumes keep on growing, our fixed costs will not grow at the same rate, obviously. So there will be a gap that will be there. So if yo u see our current margins for the quarter, it's about 3.5% at an overall level.
We expect that to move up because the growth is coming back. We will probably see expansion of

about 150 basis points to that, I'm not saying next quarter, but over the next 12 months, or three quarters to four quarters, let's talk about. So we should see an expansion of about 150 to 200 basis points there.
Mithun Aswath: That's excellent. Just one last book keeping question. On the cash, INR1,342 crores, debt INR279 crores, wha t is your free cash? Let's exclude the float and what could it be?
Debasis Nandy: You probably missed the answer to one of the earlier questions. So somebody has asked the same question. And we said that ballpark is about a couple of hundred crores. That's what we have right now. But we expect this to grow. Our free cash flows are coming back, and we used to generate in the range of about INR150 crores to INR200 crores of free cash. We will move to that level and exceed that in the coming years. So you'll s ee this free cash growing.
Moderator: Thank you. The next question is from the line of Shubham Zope from Sicomoro Advisors. Please go ahead.
Shubham Zope: I have two questions on the margin front. First is on the forex side, forex services. So what was the primary reason behind EBIT margin contraction in financial services?

And what is
your long -term guidance for the EBIT margin I'm talking about.
And second, you mentioned in last question about EBIT margin for Travel segment. In last con call, you gave the guidance of EBIT margin of around 6% to 7%. So is that guidance the same at 6% to 7%? And if so, then when we expect it to achieve?

Mahesh Iyer: Okay. So let me take both the questions beginning with Foreign Exchange. I think, as I've mentioned, you'll ap preciate the fact that July, September quarter is not a travel quarter. It's not a peak quarter. The mix of business that we operate here is different from the previous quarter. So it's not necessarily comparable. I think the comparison is comparable quart er last year. And if you see, our EBIT margin on the financial services has moved from 32% to 37%. So that's a 500 basis points improvement.
Just to make a point in terms of the margin or EBIT margin for the sequential quarter, it's important to note that in that quarter, we also had a large movement for one of the premier banks where we were managing a large traffic for the Hajj, and we have delivered some large portfolios there. So some revenues that came in, which was a high -margin business. So that's no t available in the current quarter. But steady state, as you see, on a comparable quarter basis, we have expanded our margins from 32% to 37%.
Your third question on travel. I think you've seen the expansion in margin. And I think what Debasis and I have b een saying this, businesses are on different parts of recovery and they are still not fully there. As the revenue starts adding up, our fixed costs are not going to go up and a lot of that is going to flow back into our profitability, which will improve ou r EBIT margin. I think that's the way to look at this.
Moderator: Thank you very much. The next question is from the line of Hatim Broachwala from JM Mutual Fund. Please go ahead.
Hatim Broachwala: Sir, my first question is, if you can talk about the visa issue in some of the outbound long -haul travel, whether there has been some resolution in the visa availability?
Mahesh Iyer: Sure. So again, Mahesh here. Yes, there has been improvement. If you ask me, within the Schengen country where we had close to 16% , 18% reduction, we've seen that percentage is going down. Visa has become slightly more easier as far as Switzerland and France visa are concerned. Also, and we hear most of them embassy have beefed up their strength. We are seeing more number of people, more hands there to process. And one welcome change that has come in is that travellers to Schengen countries now can apply for a visa six months before travel, which was not the case before.
So I think from a forward -looking perspective, some of these pai ns of going last minute and trying to look at reductions will get eased off. The proof of the pudding is when the summer season gets operated. But I think directionally, we see the right steps being taken. If you look at the US side of it, which is under l ong-haul visitation, I think there's a report that's come out today, I think the number of wait days as far as Delhi is concerned has down substantially.
And I think Mumbai has also about 1.5 years, it's come down to less than one year. And I think as more people come up and the allocation for a number of visas goes up, you will see that coming

down. So, I think it steps in the right direction. We expect the situation to be much better than what we were while we were dealing with the summer of 2023.
Hatim B roachwala: And just one question is that H2 on Travel and Forex business should be much better than H1, right? Is that a correct assumption?

Mahesh Iyer: Look, it may not be absolutely correct because a bulk of our Travel business happens in the April, Jun e quarter. So, if I plot the financial year, April, June will be the largest quarter that we have followed by July, September in so

me form. And then October, December, again, slightly
coming up and then Jan, March will be, again, an investment quarter that 's when we start investing for summers ahead.
So, typically seasonality is high. Coming down slightly, going up slightly a bit and then coming down again. So that's the kind of shape you will see. It's more like a wavy curve. And from a percentage point of view, I can broadly say about 40% to 45% or maybe close to 50% will happen in the April, June quarter and the rest we'll expect in the next three quarters.
Debasis Nandy: Yes. And inbound, it's slightly different because inbound and DMS basically, they can to bulk up more in the second half of the year, which is because that's a winter season in Asia. And we have two key businesses there, Asia -- in Southeast Asia and in India. So that tends to bulk up and make up for some of the short haul, if I may say s o, on the outbound and MICE part. But still at an overall level, I would say, ballpark about 60% will happen in the first half, 40% in the second half, something like that, in that range.
Hatim Broachwala: This is for the Travel and Forex business, right?
Debasis Nandy: I'm talking about the Travel business specifically.
Hatim Broachwala: Okay, okay. Last question is in the resort business, what are the ARR and occupancy?
Debasis Nandy: Vikram, would you like to comment on this one?
Vikram Lalvani: Yes, yes , sure. So the occupancy is about 63%, and the ARR is about INR 6,000 for H1. And H2 will also follow where our Q3 which is October, November and December shall kind of be in sync with what Q1 has been. And Q4 shall be in sync with what Q2 has been.
Modera tor: Thank you. The next question is from Ashish Chauhan from RV Investments. Please go ahead.
Ashish Chauhan: Sir, this question was regarding the India -UK. FT A. So is that FTADA happening and there will be a lot more students travelling and travel taking place. So, will there be a benefit?

Mahesh Iyer: It should. Because as I mentioned in my commentary for the five segment, education product is a large segment for us. We've been growing steadfast in the current year with some issues around Canada. I think UK has become a very prominent market, so we'll see the demand going back to UK. And with this new F TA arrangement, we will expect a lot more students to travel. It's also important for them to note here that we also launched a prepaid product, specifical ly targeting the students, which is called ‘Study Buddy’. And clearly, we believe that there is more room for us to grow in the overall segment.
Ashish Chauhan: Sir, and one more question was regarding Sterling resorts. In the last con call, we had spoken that there might be an increment to six or more resorts in H1 FY’24 to Sterling. So has that taken place already?
Vikram Lalvani: Yes. In fact, we have added four, two in Q1, two in Q2 and we've already opened three in October. So, we have another five to six in the pipeline more during March end.
Ashish Chauhan: Sir, now occupancy rate is somewhere close to 63%. So when do we look like reaching close to around 70% to 80%?
Vikram Lalvani: Let me clarify this. One is there has actually been a growth in suppl y of almost 8%. And despite that the occupancy is actually at 63%. So actually, the number of room nights have gone up, number one. Number two, we are also in a seasonality business. So, in peak times, you can even hit 90%, 95%. In lean times, you are actu ally hitting 50% to 55%. So actually, that's how the weighted average actually goes between 60% to 70%.
Traditionally, leisure business, for example, weekends, we are actually running with high capacity utilizations. And weekdays, Tuesdays, Wednesdays and Thursday, they're trying to bring volumes. So, I'll be very frank, the 70% to 80% for the leisure business looks slightly impact the year. So therefore, we are looking at about 60% to 70%. 270 days

in a year are regular periods, 90 days in a
year as super peak periods. So in that ratio, you're running actually between 60% to 70% in an increased supply mode. So that's where we are actually today.
Moderator: Thank you. We have one last question. We take the last question from the line of Manish Parikh, who is an individual investor. Please go ahead.
Manish Parikh: Sir, just one question. Anything on revenue guidance for next few years? How you are looking in terms of traction because traction in all the businesses is there. So as an investor, can we get a ball park number in terms of revenue growth guidance?
Debasis Nandy: Manish, we do not really give out revenue. It's not our practice of giving out a revenue guidance. But if you've heard all of us over the last 1 hour or so, you get a fairly good idea

of what the trajectory of growth is likely to be across all the segments. And what we would request you to be patient and see the growth being delivered quarter -on-quarter.

We do not really want to make a specific comment on how the growth will be in percentage te rms or absolute terms over the next couple of years. But we have recovered for the record back to the pre-COVID levels at the turnover level. And at a profitability, we are far ahead of it. And the best of our days are yet to come.

Moderator: Thank you ver y much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Madhavan Menon: Thank you very much, ladies and gentlemen. I appreciate all the questions that you've asked. If you do have any fo llow -ups that you want more clarity on, please feel free to reach out to Debasis Nandy, who is Group CFO; and Urvashi Butani, who handles our Investor Relations. I'm sure you have access to both these names and their contact points. Thank you very much aga in, and have a great weekend.

Moderator: Thank you very much. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Feb 2024

February 9, 2024

The Manager, The Manager, Listing Department Listing Department BSE Limited National Stock Exchange of India Limited Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1, Dalal Street, G Block, Bandra-Kurla Complex, Bandra (E), Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK

Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,
Subject: Transcript of the Analyst and Investor Earning Conference Call
In furtherance of our intimations dated January 29, 2024, January 31, 2024 and February 5, 2024 giving intimations on the Q3 & 9M FY24 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 40(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please note that the transcript of the Earnin gs Conference Call held on February 5, 2024 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following weblink: https://resources.thomascook.in/downloads /TCIL_Q3_9M_FY24_Earningscalltranscript.pdf

This is for your information and records.

Thank you.

Yours faithfully,
For Thomas Cook (India) Limited
Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited:

Q3 & 9M FY24 Earnings Conference Call - February 05, 2023

Management:
Mr. Madhavan Menon: Executive Chairman - Thomas Cook (India) Limited
Mr. Debasis Nandy: Group Chief Financial Officer - Thomas Cook (India) Limited
Mr. Mahesh Iyer : Managing Director and Chief Executive Officer - Thomas Cook (India) Limited
Mr. Vishal Suri : Managing Director and Chief Executive Officer - SOTC
Mr. Vikram Lalvani : Managing Director - Sterling Holidays Resorts - Thomas Cook (India) Limited
Mr. Ramakrishnan : Managing Director and Chief Executive Officer of DEI - Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer - Thomas Cook (India) Limite d

Moderator: Good morning, ladies , and gentlemen. Welcome to the Thomas Cook India Limited Q3 FY24 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr . Ranjit Cirumalla from IIFL Securities Limited. Thank you, and over to you, sir.
Ranjit Cirumalla: Thank you, Lizan . Good morning, everyone. Welcome to the Thomas Cook India Limited ’s 3Q FY24 Earnings Conference Call. Today, we have with us Mr. Madhavan Menon, Executive Chairman, Thomas Cook India Limited and senior management team. Without much ado, I invite Mr. Madhavan to begin the call with his opening remarks, post which we'll tak e a Q&A. Thank you all over to you, sir.
Madhavan Menon: Thank you, Ranjit. Let me just introduce everybody around the table here. I've got Mr. Mahesh Iyer, Managing Director and CEO of Thomas Cook India, Mr. Vishal Suri, Managing Director and CEO of SOTC , Mr. Vikram Lalvani, Managing Director of Sterling Holidays , Mr.

Ramakrishnan, MD and CEO of DEI , Mr. Debasis Nandy, Group CFO; and Mr. Brijesh Modi, CFO of Thomas Cook India Limited.
Let me kick off by brief remarks in terms of the performance. I think when you look at it from a nine - month point of view or from the Q3 point of view, we've turned in a good set of results, reflective of the fact that, one, all the companie s in the Group have now returned to profitability. Some of our overseas units took a little longer, while the domestic units, specifically Thomas Cook , SOTC, TCI Sita and Sterling hav

e started firing on all cylinders.

If I look at the profitability -- let me address two points here. In terms of revenue, I believe that this performance has been achieved despite the fact that our volumes -- our sales numbers have not gone back to the 2019 numbers primarily because there are visa issues in certain market s. The IT companies are not firing on all cylinders as yet. So there are a variety of issues around that. But if you look at the profitability number, obviously, the performance is much better. It's a reflection of the fact that we are holding on to the co st gains and the productivity improvements that we achieved during the pandemic. And let me reassure you that it is our intention to hold on to these gains, primarily by focusing on the cost -to-revenue ratio for each company.
We have set target in the next quarter as well as the financial year 24-25, where we will -- it will be one of the primary metrics that we will watch . In terms of performances of the various businesses across the group, if you look at income from operations, you will note that all the businesses are firing
Very briefly on a 9M basis with the Foreign Exchange business has grown 29% from a period year - on-year. If you look at the travel and related services, which essentially represents Corporate Travel, Leisure Travel and MICE it's grown 62% from the previous year. If you look at Leisure hospitality -- Sterling Holidays resorts, which is the hospitality presence, it's grown 19%. And if you look at Digital Imaging Solutions, it's grown 21%.
Final point I want to make is that if you look our margins, the EBITDA margins have actually grown 270 basis points to 8.46%. And this is a reflection of a variety of factors. One, the productivity that we've witnessed and two, the higher input costs that we witnessed in terms of both travel, air fares, hotels and other travel costs. Our expectation is that we will hold on to these margins going forward.
I will now hand over to Mahesh, who will brief you on the performance in more detail and then to Debasis.
Mahesh Iyer: Thank you, Madhavan. Go od morning, everyone. Just to give you a quick summary on the quarter and the nine -month performance. To begin with, and if you look at our income from operations, we moved from about INR 1,562 crores to INR 1,940 crores. And consequently, our profit befor e tax moved from INR 30 crores to INR 107 crores.
So if you look at this in share numbers, it reflects the upward trend that Madhavan spoke about, which is the recovery in the loss -making units that we had, which was slow to start and currently are firing all cylinders and the continued momentum on the India outbound and domestic businesses.
If you look at the nine -month number, and I just want to spend a little minute talking about it, look at our PBT there, you will see that what we reported for the full year was INR 26 crores, and we are already reporting a INR 284 crores for the nine months ended December 2023. So that's a significant jump as far as our profitability is concerned. And some of the factors aiding that kind of return back to profitability and the growth are the metrics around cost efficiency, better buying, coordination and cooperation between the units that we have been operating and a lot of digitization of our

processes, which all of that is baked into our cost, thereby any improvem ent in revenue straightaway f lows down to the bottom line. And that's something that we indicated to the market before, and we continue to see that trend going forward, too.
If I focus on the segment -wise revenues, and I'll talk about that in specifics, beginning with -- for the quarter and then for the nine -month period. If you look at our margins -- and I talk about the EBIT margins, if you look at that, you will see that our margins on the financial services expanded from 30% to 33%, and I'm talking about Y -

o-Y. And if you look at our travel business, we expanded from
1.95% to 4.7%.
I'd like to draw your attention that last time around on the 3rd of November when we were on a similar call, we had indicated that our gross m argins -- or the EBIT margins at this point in time is close to about 3.5%, and we expect an expansion of about 100 to 150 basis points on that. I'm happy

to report that we've achieved almost 80% of that expansion that we spoke about. And our expectation f or the coming quarter and the financial year forward is that we should be trending close to the 6% - 6.5% range that we have indicated to you.

If you look at the financial service business for the nine months and on a comparative basis, you will see that for full year of 2023, we were at 29%, and our EBIT margin at this point in time stands at 39%. So that's a 1,000 basis point expansion as far as the margins are concerned. Similarly, if you look at the travel businesses, we were like 0.23% in FY23 , and we are at about 3.87% as far as the EBIT margins are concerned.

So clearly, I think for the quarter as far as for the full year, you'll see an expansion in margins, which is reflective of the cost efficiency and the recovery of businesses across the d omestic and the international portfolios that we have.

To quickly give you an update on the Foreign Exchange business. Some of the things that worked for us in the current quarter. I'd like to highlight here that this was a bit of a subdued quarter because the number of working days. You'll appreciate the fact that Foreign Exchange is a transactional business and every working day makes a difference in this business. This time around f or the current quarter, December had fewer number of working days. So we had about nine working days lower because international markets closed faster. And as a result of that, trading was impacted for that nine working days.

Also, you will recollect that the new TCS regime came into play from 1st of October, so the impact of a lot of people actually preponed or pre-purchased their requirements in the July, September quarter. So some impact of that was visible in the October, December quarter, w hich we had called out in the last earnings call also.

Also noteworthy to mention here that the Bangalore Airport bid that we had, we didn't participate or rather we lost that bid because the price point at which we were supposed to win that bid would not have made it profitable for us so we decided to let it go. The impact of that is visible on the

income from operations as far as the Foreign Exchange business is concerned. But if you look at the EBIT point of view, we are at the same level that we were co mpared to a quarter -- a year ago. Some of the reasons why we are there is because the efficiency in the business has already started to flow in. The margins are holding good. There is nothing wrong with the gross margins. And also we've kind o f front -loaded some of our investments because as you know, our Foreign Exchange business has now gone digital.

While we are expanding our physical footprint, we are also expanding our digital footprint and you will see a lot that is happening i n the social media on the SEO, SEM sites on the Google pages. And clearly, the investments that we are making are all front ended for the business. Despite that, our profitability, as com pared to the previous -- the quarter of the previous year, remains the same.

Some of the highlights of our performance on the Foreign Exchange business. One, we launched the WhatsApp on Foreign Exchange. As you will appreciate that a lot of the WhatsApp se rvices is a service -led process. In this case, we are actually using that as sales channel. I'm happy to report that we have done about 100 transaction s in about a span of 45 days after its launch.

Our card loads during the quarter grew 26% and new card issuances have grown by about 13%. Our retai

l portfolio continues to grow, and our focus on the education portfolio is -- continues to be very strong and have grown at 16% Y -o-Y. So clearly, I think if you look at from a directional point of view, I expect this bus iness to continue to grow about 15% to 20% and that momentum is visible to us. Our gross margins on this business will continue to be about 1.8% to 2%, and the EBIT margins will trend around 35% - 37%, which we have indicated to you before too.

Moving on the travel and travel -related services. I'll take you through the India bond business, and I hand over to Debasis to talk about the overseas ones. Just to give you a colour on the overall segment revenues that have come in, 28% of the overa ll segment revenues have come from the Holidays business. 45% has come from DMS (Destination Management Specialists) , which includes India plus international and 29% of the business has come from MICE (Meetings, Incentives, Conference s,Events) so more like a 50 -50 between India and overseas businesses.

If you look at the growth that we have seen on that, the income from operations actually grew 31% and consequently, EBIT improved by about 2X from INR 21 crores to INR 68 crores. Now clearly, that's a s trong performance that we have post in the current quarter, and that's at the backdrop of our improvement in our gross margins and our EBIT margins.

A lot of our digital initiatives and the common factor y that we operate has actually led to improvement our margins and we expect this expansion in margins to continue a little bit at a slower pace quarter -to-quarter, but I expect a 20 to 50 basis point expansion to happen over the next three to four quarters.

Some of the highlights of our operations on the travel side. On the Corporate Travel side, our transaction volume grew 20% for the nine months and 15% Y -o-Y. From an acquisition point of view, we added close to about a dozen new corpo rates , small and midsize, which will add close to about INR 200 crores to our top line over the next 12 months. And that's the acquisition pipeline that we added in the current quarter.

Also, our digital journey moved up to 46%. So 46% of our corporate cus tomers now are using our online booking tool to book their travel requirements, which is a bump up from about 42% that we had in the previous quarter. So clearly, from a digital adoption point of view, and all of this, as you will appreciate, will go to ad d to the productivity and the benefits that we will get in the long term.

On the MICE side, we spoke about our journey with the government business. I'm happy to report that we successfully completed the National Games in Goa. We had close to about 1,700 guests and 11,400 athletes, a large movement. We did about INR 91 crores of total volume of business in the National Games Goa. And also, we are currently bidding for some new projects as wel l as the government business is concerned.

On the international side, we handled multiple groups ranging from close to 200 to 2,000 delegates spread across Dubai, Spain, Indonesia and some domestic markets, too. We also managed the JIO MAMI conference, whi ch had about 100 different nationalities who participate d in it. It was a very prestigious event, and I think Thomas Cook and SOTC put together managed that event very well.

On the Holidays side, Madhavan indicated this. On the long -haul side, the recovery is still subpar. We are about 55% to 60% to the pre -pandemic level, and that's where we believe a lot of tailwinds will come to play. We expect the summers to be much better than what we had in 2023. And we have actually started -- or rather, we launched our product s very early in October of 2023. So from a momentum point of view, our forward bookings currently are looking strong. They are at about 25% to 28% higher than wha t we had for a similar period in 2023. So from a forward booking point of view, our long -hau

l business looks very strong. On the short -haul and domestic side, we have seen very good uptick in the current quarter. In fact, both the short -haul and the domes tic business came in -- came at par with our expectations. Margins continue to be very strong, and we expect this to fire in the summers of 2024. Debasis, can you take on the international ones.

Debasis Nandy: Yes. Thank you. Thank you, Mahesh. I will talk a bit about the inbound or the DMS business, which is represented by TCI India as well as the five overseas company that we have . The DMS business, both in India as well as overseas faced a very sharp recovery. If you compare it to the -- on a quart er-on-quarter basis as compared to the December '22 quarter, sales grew from INR 642 crores to about INR 860 crores, that's a jump up of 34%.

Major entities that were responsible for the growth were, of course, TCI in India, which came back to profitabilit y. Asian Trails , which manages the business in Southeast Asia and in Australia. Desert Adventures , which is the Middle East -based company and Horizon Travel, which is based in the US. Overall, operating margins also improved at an EBIT level. I think effectively, the overall margins improved by about 150 basis points as compared to last year, showing that the business has not

only grow n in size, but is able to gain the benefits of cost optimization that has happened across the group, and therefore, is able to improve the EBIT margins as well.

The business continues to be strong. We expect the same trend to continue in the year ahead.

I would now like to wrap this up and hand it over to Vikram to -- and request him to talk about Sterling. Vikram, if you can come in and talk about Sterling, please?

Vikram Lalvani: Yes. Thanks, Debasis. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani, and I represent Sterling Holidays Resorts Limited as its Managing Director and Chief Executive Officer. I'm joined by Mr. L. Krishna Kumar, who's the Chief Financial Officer at our company. It is a privilege to in teract with all of you once again today.

Sterling has again delivered a strong performance in the current quarter of Q3, driven in part by customer demand in the holiday season and in part by the fact that Sterling supply has grown by 12% over the same quarter of the previous year, Q -o-Q, from 2,02,000 room nights to 2,27,000 room nights on account of eight new resorts being added during the preceding 12 months.

Also, the non -member occupancy has grown further by 8% for the current quarter over the previous quarter. All these have driven a 21% Y -o-Y growth in revenues for Q3 FY24 at INR1,243 million.

Sterling has maintained the occupancy levels at 60% despite Q3 FY24, where the room capacities have grown by 12% over the preceding period.

EBITDA grew by 34% Q -o-Q from INR 352 million to INR 473 million. PBT grew by 74% for the quarter on account of lower interest and depreciation. Our debt has significantly been reduced from INR 491 million in FY22 to INR 100 million exit December '23. This is our 14th consecutive profitable quarter. Our operating free cash flow for the quarter is also healthy, which is at 28% of the overall

revenue.
For the nine -month period ending December 31, '23, that is YTD FY24, revenues grew by 19% to INR 3,378 mi llion, and PBT grew by 75% at INR 900 million over the same period in FY23. Operating free cash flow continues to be also healthy at 26% of the revenues YTD. EBITDA margins continue to be strong at 37%. And in this industry, 37% is far higher than many of the other brands as well.
Sterling continues to foray into the hospitality space with key revenue drivers being room revenues, food and beverage revenues, income fee from managed resorts and other incidental resort income constituting almost 80% of the ove rall -- company's overall. The management fee income has grown by 28% Y -o-Y, which reaf

firms our asset -light strategy. As mentioned before, the company has also
sunset acquisition of long -term membership products and shall continue to focus on strengthenin g its position in the hospitality space.
Sterling's portfolio currently constitutes 49 resorts in 46 destinations across the country. In the quarter gone by, Sterling has made its debut in a key market in Rajasthan, Udaipur, with two upscale

results, Balic ha and Jaisinghgarh. Sterling has also re -launched its Nainital resort post renovation, which was closed in Q2, and we re -launched it in October of Q3.
Sterling has launched resorts in three new destinations as well in early Jan 2024, Athirappilly, our ninth resort in Kerala, further strengthening our Rajasthan presence with two more resorts Pushkar and Sariska. We have a strong pipeline into growing our destination presence in 2024 with almost 900 incremental rooms in the pipeline. Our focus on distributio n has enabled us to tie up with over 3,600 partners in India using our proprietary distribution platform Sterling One and it has almost -- and it has yielded almost INR 680 million for this FY alone on room and F&B revenues.
Sterling continues to add new r evenue streams that drive incremental business growth. The company has launched three new thematic restaurants in Q3 out of empty spaces in Puri, Wayanad and our Alleppey resorts. With this renewed food and beverage focuse , we have also upgrad ed our restaurants , at Ooty and Goa. And all this has generated almost INR 5 million in the quarter and shall continue to do so as we go forward.
Our mobile food and beverage takeaway, Sterling On The Go was launched during the year, and it has also generated an incremental income of INR4 million. So Sterling is committed to growing new revenue streams, as we keep going along even in 2024. The implementation of the Oracle NetSuite ERP in the beginning of Q2 and our new hospitality pro perty management systems in the current year has now stabilized and continues to give benefits in standardization and centralization.
All our resorts are on the customer front, all our resorts are rated four plus of Tripadvisor with 82% of our resorts rate d 4.5 and above. Five of our resorts are rated five on five. 29 resorts are ranked amongst the top five in their respective regions. 22 resorts are awarded the Tripadvisor's Travelers' Choice that is a top 10 resorts in the world. And Sterling Kanha has be en awarded the Tripadvisor best of best, the top one resorts in the whole world -- 1% of the resorts in the whole world.
Six of our resorts have also been awarded in Q3 as Golden Circle award by Agoda for top guests reviews. Our resort in Alleppey , Sterling Alleppey is secured, the coveted Travel and Leisure IBA Best Emerging Resort award also in Q3.
The macroeconomic factors continue to favour the hospitality industry. Sterling is confident of continuing to deliver superlative performance on account of robust demand, fast expanding portfolio, increasing brand strength of Sterling and Sterling's ability to leverage our growth in a sustainable and in a scalable manner in its business levers. So hence, we are looking at a very promisin g close to given FY24. Thank you so much.
Debasis Nandy: Thank you, Vikram. May I now request Mr. Ramakrishnan to come in and talk about DEI.
K.S. Ramakrishnan: Yes. So good morning, ladies and gentlemen. This is K. S. Ramakrishnan and I'm the MD and CEO of the DEI. DEI has had sustained and continued its good performance in terms of revenue and its EBITDA margins from '23 to '24 quarter. We've posted INR 241 crores of revenue

against INR 146 crores of '23. There has been a slight dip there, but that's been more about us concentrating an exit out of the US market operations and moving into a non -operative model.
The EBITDA margin obviously for the same quarter has been much better, where we have done INR 30

crores against INR 26 crores. On a year -to-date nine -month basis for '24, DEI has achieved highest revenue ever in its history, standing at about INR 700 crores a growth of 21% against the same period last year. This growth has been fuelled by markets like Greater China, Singapore and

Indonesia coming back strongly and also opening of a dozen plus new partnerships across the Middle East and Far East region.

In all -- in the last quarter, we've done an excellent job in signing 11 new partnerships in the quarter. And above all, we have actually started and operated 13 new partnerships across Singapore, Indonesia, Malaysia, UAE and Saudi Arabia, which in turn will ha ve a full year of revenue addition in FY25. This signs up that have been done in the last quarter is value in excess of INR 40 crores for the whole year next year. For the same period -- DEI also has shown a 12% increase in the EBIT, achieving about INR 46 crores .

Looking forward, our new integrated cloud solution based front -office solution WeC , which has been developing for the last 18 months is piloting this quarter. And by the end of second quarter, this will be in full operations across the world. This, we believe, definitely will have a huge benefit in our year -on-year operations from '24 to '25 and going forward.

The revenue on quarter -on-quarter December was 2% lower. But despite the loss of, as I said, about US, we still covered on the other markets and been strong. On our future outlook in FY25, our focus will be on improving margins from the existing business and growing revenues from new acquired businesses, including geographies like Saudi Arabia and Vietnam.

Saudi Arabia, the good part is -- we've gone live in December. It was about a couple of weeks back, and we'll have the operations in Saudi, is fully poised to grow through '25, '26. Vietnam, we are on the initial stages of getting our licensing and other things sorted. We have signed contracts -- or signed prospective contracts in Vietnam that is fired up from quarter two and quarter three in this year.

That's all from my side. Thank you very much.

Debasis Nandy: Thank you, Ram. That concludes the management comments , and we can now -- open up the conference for questions and answers.

Moderator: Thank you. Ladies and gentlemen we will now begin with the question and answer session. The first question is from the line of from Himanshu Nayyar from Systematix. Please go ahead.

Himanshu Nayyar: Yes. Firstly, congratulations on a great performance team. So I had three speci fic questions, if you can address them. Firstly, Mr. Menon in the presentation he talks about the

proposed policy by RBI around money changing. So there's some change expected there, which should drive consolidation. So just wanted some more colour in how should -- how would Thomas Cook be benefiting out of that, both in the near and medium term?

Mahesh Iyer: Okay. I'll take that on Himanshu. So as you know, there is a discussion paper that RBI has floated and comments were invited unti l the 31st of January. Now what does it entail? It's RBI, wanting to reduce the number of entities that it regulate s or governs , which means it's wanting to do away with this category of license called FFMC, which is full -fledged money change rs. Essentially, the business is going to be around AD-I's and AD-II's. AD-1 by definition is bank and AD-II are other money cha ngers, who have got migrated to AD-II. And Thomas Cook is an AD-II

There's a new scheme of things that comes into play, which is called FXC, which is FX correspondence. There are nothing but a category that is going to replace the money changes. They don't have to go through a licensing norm, but they would actually become a fra nchise of an AD-I or an AD-II. And hence, whatever is permitted by an AD-I or an AD-II is what is going to be done by the FXCs.

Now from our point of view, what we see as an op

portunity . There is going to be a lot of consolidation that will happen because I think the time period of what has been indicated in the draft note is going to be between 12 to 24 months. That's the maximum validity for the FFMC license to be on. So some people have the option of keeping the license on for a maximum of 24 months, post which they will have to surrender the license or they will have to become an FXC.

Now we believe that this will lead to a lot of consolidation in the market because there have been an o pportunity for someone like Thomas Cook for sure, who would look at some of the distribution footprints that could come into play. As you know, we've been expanding our digital footprint in this business. And because Foreign Exchange is a product which req uires last -mile fulfilment, there is a vetting that has to happen in last mile fulfilment part of it. We believe our distribution footprint is something that we could play with.

Apart from that, because of consolidation also, you will see that there will b e better decorum. Because today -- when the Foreign Exchange market operates, there is some amount of ambiguity in terms of what the currency flow goes, who's regulating, who's controlling it. I think with this -- because it's going to be concentrated in a few, there will be better control over it. So we see that as two opportunities.

Apart from that, one other thing that they have proposed is to open this entire thing around trade transaction up to a limit of INR 15 lakhs, which I think is a new avenue that will open up for AD-IIs

That's not a category that's currently open for AD-II. It's a domain of the bank, AD-Is. So we believe that should be a new opportunity that will open up for the company.

Himanshu Nayyar: Understood, sir. The second question was on the travel business, where we are seeing, I mean, strong margin levels now, which I believe not done historic ally. I believe one reason, of course, is the cost efficiency where we are retaining a lot of the benefits. But going further as well, we're talking about a significant expansion in margins. So what do you think would be the key margin levers, which will s ort of make us reach those levels and help them sustain those? And what do you think in this business, a sustainable level of margins would be in the longer term?

Mahesh Iyer: So let me try and address both these questions in two parts, the first one being as to what are the levers. I think Madhavan alluded that too in his initial comment. We see a lot of headroom that's available as far as the top line sale is concerned. With a lot of automation and process improvement and common buying that we have done, I think the cost increase is not going to be proportionate to the sales series.

So a lot of volume -led revenue growth will come in and we intend to hold to the margins that we have. Actually, we have improved our gross margins by about 200 to 250 basis poi nts across the board -- across all categories, long haul, short haul and domestic. And we intend to hold on to those gross margins going forward.

So essentially, any improvement in volume is actually going to flow down to the bottom line, albeit some inves tment will be made in terms of the frontline sales organization. A lot of back -end investments that sat in our books have now been automated, and we expect those benefits to continue.

You also mentioned that our business is now -- one of the important metr ics that we follow is the cost-to-revenue ratio, hence any investments that we do or any expense that we make as cost will be proportionate to the revenue that it generates. So we believe that these margins that you will see are going to be sustainable.

The second point, in terms of how we -- what's our forward -looking guidance? We've indicated that we are currently at about close to 4.7%, 4.8%. We believe there is room for expansion. About another 50 to 100 ba

sis points expansion is definitely possible. Th at will be led by two things. One,
the improvement in revenue that you will see. And second, there are some units, which are still marginally profitable or still breakeven.

So I think when they start delivering the numbers, you will see them actually addin g to the bottom line and constantly the margins in this business.

Himanshu Nayyar: Understood. And the final question would be on the capital allocation. We've seen aggressive deleveraging by the company. And now we are seeing strong cash generation as well. And historically, we have had a track record of multiple acquisitions. Given that we see limited capex needs in our operating divisions, what -- if you can give us some colour on what would be the broad capital allocation going forward, whether it will be more inorganic? Or are we looking at distributing more cash to the shareholders? How is the Board thinking on that front for now?

Madhavan Menon: Hi Himanshu, Madhavan Menon here. I think in -- let me address this. There are multiple questions in this. I think in terms of inorganic growth, we don't intend to look at anything at the moment. Very honestly, we consider ourselves still to be in recovery mode from that perspective. As far as allocation of capital to subsidiaries, as and when a need comes up, we will allocate it.

I just want to mention that right through the COVID period, we actually encouraged subsidiaries to upgrade their technology and allocated funds towards their capex from that point of view. But right now, other than that, we have no -- nothing in focus. Having said that, as far as dividends are concerned, I don't think -- it's been -- it will be discussed at the Board.

And it will come up most probably after our financial year results are out, at which time they will discuss it. So very honestly, I don't want to share my opinion right now because it doesn't matter. It's the Board that has to make a decision on this.

Himanshu Nayyar: But then just a follow -up, sir, there. I mean in terms of capex, then what are our capex plans now? Because I believe a major chunk of the investments and technology, etcetera, has been done. So would we expect significant capex going forward, given that we are in any which ways going asset light on the resorts business and other businesses? I would not think would require too much capital going forward..

Debasis Nandy: Let me answer that question. Yes, you're absolutely right that we are very focused on asset -light model, and therefore, we will not need significant capex going forward. At a ballpark level, you can consider a capex of maybe about INR40 -- INR35 crores -INR40 crores at a consolidated level going forward. The capex will be largely on technology because technology will need continuous upgradation and therefore, we'll continue to spend on that.

But I do not anticipate any -- and there will be some expenses for setting up branches, which is largely in India for the forex and the travel business. But other than that, I do not really anticipate any major capex.

Vikram Lalvani: Yes. Let me also step in here. On the Sterling front in terms of acquisition of new rooms, it will be on a zero capex model for sure. The outlook for the next couple of -- at least for 2024 will be there. There will be a very small amount of capex towards upgrading -- setting up o ur facility because our customers are -- preferences and the average rates are going up. So there will be certain capex that will be put in only for upgradation of our own facilities and our own resorts. But primarily in terms of room expansions, it will b e on a zero capex mode.

Moderator: Thank you. The next question is from the line of Hatim Broachwala from JM Mutual Fund. Please go ahead.

Hatim Broachwala: Sir, my question is more on the long -haul travel. So last year, I believe there were two main issue s. One is certain bottlenecks

on the visa issuance? And second is higher air

travel rates. So if you can update on both this aspect, how it is likely this year?

Mahesh Iyer: I'll take that question. From a long -haul perspective, as w e said, we ended -- if I say, ended the year, December, with about close to 60% recovery on the long -haul side. Our expectation

for FY25 is that we should see closer to 100% or more as far as the long -haul target is concerned. And I say that it's because w e are seeing most of that business having invested in the infrastructure to process more visas.

Incidentally, some conversation happening with -- actually Europe was the major problem followed by US. And if you'd have seen not following the press reports, US will actually reduce the number of days that it takes for one to process the visa or even to give an appointment for that matter. As far as most of the European Union is concerned, most of them upgraded their technology, put in more people and have impr oved the infrastructure to process more visas.

The demand for Europe continues to be very strong, and I indicated that in my commentary that we are actually witnessing a 25% uptick in our overall travel business as compared to similar period last year. So I think from that perspective, there's a better preparedness, and we believe that it should be a much better outcome as compared to 2023. As regards input costs, they have softened a bit, at least on the airline side of it.

We've seen some softening, but I think it's not a large one. And typically, what happens is April, June, which happens to be the peak of the summers, where you won't find too many discounts and offers going in the market. So to that extent, a little early to say. Currently, there seemed to be a little softer when we look at their price, but not too many seats are able at that soft price. So yes, I would think that you're not going to see too much of a downward pressure on input cost there. They will continue to be what they were in 2023. But I think the good part is people are used to that. They're willing to pay and Indian's appetite to travel is very, very strong, coupled with the fact that disposable income continues to be high.

Hatim Broachwala: Okay. Thank you. Another question is on the resort business. So I see that the ARR is 6,500. So is there any scope for improvement in the ARR?

Vikram Lalvani : See, actually, what we are focusing is on RevPAR, which is revenue per available room. It's a combination of both occupancy and the average rate, which actually drives up the overall revenue. When we're saying 6,500, it will have a certain margin of elasticity, especially during long weekends or during summer season. So that's why w e will maximize on average rates. And during the rest of the period, which is 270 days, we will continue to maximize on occupancies.

So to an extent, we would say that there is a price elasticity, will be on the ARR front, especially over the holiday seaso ns, and we will continue to leverage that. But the focus will be on total revenue per available room.

Hatim Broachwala: Okay. And my last question is on the -- this business, Digi tal Imaging business. I see that the -- there's no growth in the top line or EBIT level. So basically, why is it in the outlook ahead?

K.S. Ramakrishnan: Okay. I'll take that and the -- you're talking on the quarter basis only, right?

Hatim Broachwala: Yes. Quarter, yes.

K.S. Ramakrishnan: Yes, so the quarter basis. So we -- I just mentioned that in the same quarter last year, we had the US business. We have consciously decided to reduce the US business out as the

EBIT margins are shrinking very low. And they are turning our model from an operating mode l to a non-operating model. And that, in spite of getting the US business out in the quarter, we've actually had growth in the other businesses, other markets, and that's how we're still sustaining the overall

number to be the same.
In the coming years, yo u have -- in the coming months, you have seen the growth because there's regular growth in the rest of the region. US has been a very standard business for us for a long time. It was an acquired business that we covered. They were low on margins. We've onl y kept those that were sustainable.
After COVID, some of these sites will not come back to the same level, while the cost of operations went much higher, particularly the labour cost. Hence, we've decided to get into a non -operating model. And therefore, t hat revenue dropped. What you're seeing is actually affecting to a better EBIT on the bottom line.
Hatim Broachwala: So, US business was what percentage of total?
K.S. Ramakrishnan: In revenue, it was about a $14 million to $15 million business globally -- annually. So, it would have been about 10% to 12% of our total top line. And that, over the last quarter onwards, we've got out of it.
Moderator: Thank you. The next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.
Dhaval Shah : Hi team, this is Dhaval here. Sir, a couple of questions from my side. First, on the travel business. Now on the long -haul side, I understand Thomas Cook has a good market share in the Europe segment. Now -- so on this -- so with the inc reasing market share, what is the benefit which we pass on to the consumer in terms of price and in terms of more services there? Like how does the high market share help Thomas Cook becoming -- I think growing in Europe segment?
And after Europe, which ar e the other geographies on the long -haul side, where we have a higher market share, where we are focusing more, trying to increase the market share? That's one. Second question, again on travel related on the domestic side. On the domestic side, how are we expanding to get more customers for the domestic tour? A lot of -- on Instagram, I see a lot of advertisement by Thomas Cook for pilgrimage where we have specific packages.
And also, there's a lot of travel volumes in those locations as well. So what's th e strategy outlook on Thomas Cook for domestic travel? And third question, again, related to there is we see Thomas Cook outlets in the -- like in Bombay, we see a lot of Thomas Cook offices. Now there -- at the India level, what is the number right now? A nd how are we planning to increase our retail touch points to

become more visible, get more customer footfalls and get more business. These are my three questions on travel.
Mahesh Iyer: Dhaval, you said, right? Dhaval, I got your name right.
Dhaval: Yes, sir.
Mahesh Iyer: Okay. Dhaval, hi this is Mahesh. And I'll take all the three questions that you had. Coming to first, Europe, yes, you are right. We've got a large market share there, but we are not only a Europe operator. We are a world operator. So we send customers all across the globe. And at this point in time, we are not focused on market share because I think the market is expanding. I think it will be very futile for us to, at this point in time, focus on market share because the moment you go into a market share conversation.
You are trying to nibble somebody else's share and that's where the price pressure starts playing in. When the market is expanding, you want to play that wave and expand our reach, expand our distribution, expand our customer base and get as close as we can to the customer and stick with him for a longer period in time. And that's what our focus is. So other than Europe, we are large in US. And as you know, on the Holiday side, we represent two brands, Thomas Cook and SOTC and each one has got its unique positioning.
SOTC is very, very large as far as the US mark et is concerned. Thomas Cook is also large. But between the two brands, we do a lot of coverage for that long -haul segment of US. If I look at Australia, another long -haul destination. I think we have seen

a very sharp rebound in the current year, and
we e xpect that also to fire. So if you look at our overall destination, whether it is Europe, whether you look at US, whether you look at Australia, I think all of this are beginning to fire in the years to come by.
Also to mention here, Japan. Cherry Blossom was a launch that we did in 2023. We had about 250 people who travelled with us in the whole of 2023 and at this point in time, we are already holding bookings for close to 1,800 people. So we are already seeing a close to 40% expansion or growth in that b usiness.
So clearly, we are opening up new destinations. We are covering new markets, and we will continue

to ride the wave as far as the expansion is concerned, rather than focusing on market share at this point in time. Coming to your point on domestic, I think you're right. There's a lot of focus on spiritual or devotional tourism as one would call it to be. And I think what happened on 22nd of January is also -- is only going to actually further augment this entire business.
Our focus is not only spirit ual tourism, we are also looking at adventure. We're looking at biking, and there's a category around honeymoon. So we are experienced providers. So we are looking at categories that appeal to customers and honeymoon being one such category that we are goi ng after.

So we'll be focused on destinations in the domestic circuit, which appeal to customers, and there is a lot of demand coming in.
I must also qualify here that India is a very difficult terrain. I can't be operating the whole of India and say that I'm relevant to everyone. So we have chosen about six or seven destinations that we believe is relevant to us, and we will continue to build on that. You will also see that we have actually launched a charter to Bhutan in the current quarter. We have annou nced that. So that's another expansion that we are doing on the domestic side.
So clearly, religious tourism, honeymoon, markets where we can be relevant, charter operations, I think these are the expansion portfolios that we're seeing as far as the domest ic is concerned.
Dhaval Shah : Got it, sir. Got it. And sir, on this domestic side, honeymoon being a targeted segment for us. So year -over -year, what sort of growth would you have seen, given India has the highest number of weddings in Q3? So some wo uld stay from -- honeymoon would still Q4 also. So overall for Thomas Cook in honeymoon segment, what is the growth?
Mahesh Iyer: See -- look, we didn't have a product as -- honeymoon as a product, but people book packages. Some of them happens to be honey mooners. Now we have created a booking of offering for them, which is -- can specifically and appeal to a certain market. We are not a budget provider. We are a premium provider in that segment. And if you see from a growth point of view, you've seen about 35% growth in that segment, and we anticipate this growth to further accelerate in the coming quarters because now we are focused on that as a market.
Dhaval Shah : Got it. And sir, on the retail...
Mahesh Iyer: Sorry, Dhaval, just to take the last question tha t you had on the network. Between SOTC and Thomas Cook, w e had about close to 200 outlets that we have owned as well as manage and that's where we distribute our products from. Our strategy so far, we do that physical, and we also do the digital side of it .
On the physical side of it, our expansion is based on the footprint that expands for the Foreign Exchange business and that's what we expect. And we keep evaluating markets. Our focus at this point in time is to look at Tier 2 and Tier 3, where we believ e a lot of demand is coming from, and that's where our strategy will be focused on.
We are adding about 10% new distribution channels every year, and that trend will continue over the next two to three years.
Dhaval: Got it. And sir, a bit clarification on the margins. So you s

aid 50 to 100 basis point expansion
in the travel category so that's at an EBIT level? 4.5%... or EBIDTA Level?
Mahesh Iyer: At an EBIT level

Dhaval: Okay, 4.5%, which is currently? Got it. And sir, on Digiphoto side, so our relevance is more going to be on the Middle East and Far and Southeast Asia?
K.S. Ramakrishnan : That's correct. Our focus area would be the Middle East, Far East and even India. We are already expanding in India, too. Although the numbers in India are smaller, but our largest focus will be in the Far East and the Middle East. We have consciously decided no t to go on to an operative model in the US or Europe as the cost of operations are higher. And our new technology is going to definitely help us fire that very efficiently.
So we're very confident that once our new technology is out, we will even expand in the US and Europe on a non -op model, which means we give a SaaS model of our solutions and they'll be operating it.
Dhaval Shah : Sorry, I didn't understand early difference between operating and non -operating model. Can you explain.
K.S. Ramakrishnan : Yes. So the photography business that we do have, basically, we provide -- we're a turnkey solution provider. We have -- we give the technology and we give the people, and we've put up the -- all the capital is invested by us. And we operate and gi ve a lion's share of the revenue back to the partner. In the non -operative model, we only provide the capital of the equipment and

the technology.
The partner invest into all those that including the human labour part and the revenue share is a bit differe nt. We get a smaller share of the revenue, and they keep the larger share. That's the basic difference. So we -- on our operating model, it's a full turnkey. Currently, DEI has more than 95% focused on operations model. With the new technology, there's a s izable opportunity to go to the non-operative model or what we call as a sell model or license model.
And that's what we'll be focusing on in the coming years in addition to what we are doing . So we have an extremely aggressive three years ahead, where we have a double benefit of growth in revenue, both on operative and non -operative models.
Dhaval: Got it, sir. Got it. And sir, on the Digiphoto, we have 51% stake. So now are we going to be at that number? Or how is the -- how is our shareholding going to increase? And how do we get...
Debasis Nandy : As we have mentioned in the past, we are -- this is a joint venture between Th omas Cook and Ram. And Ram as you know, that he also manages this entire thing. We want to stay where we are. We do not have an intention of increasing our stake.
Moderator: The next question is from the line of Meet Shah from Finnovate. Please go ahead.
Meet Shah: First of all, congratulations on the excellent process. I have recently started covering your company. So I have a few questions and would like to have some clarity on that. My first question is on Sterling resort. In a previous confe rence call, you have mentioned that your focus is more on short -term memberships and you're taking down your long -term memberships.

However, we did some general check, and we were offered long -term membership with no mention of short -term memberships. So h ave you changed your strategy? Also, I would like to know how do short -term and long -term membership affect your performance?
Vikram Lalvani: Okay. Let me answer that. My name is Vikram. From our company's strategic point of view, we are more inclined towards repositioning ourselves as a hospitality player is what we've actually focused on. That's why the entire focus is on the room revenue, F&B revenue, like any other typical hotel or resort. Now when we have sunset the long -term membership program in a month of July. Now let me just rewind back to what happened last year.
Last year, while we continued to acquire a long -term m

embership as well as we had a 10 -year
product, which is a shorter -term membership program. We upped the efficiencies last year in terms of the down payment moving up from 20% to 25% to 80%. The variable sales actually also moved up from about a 20%, 25% variable sales to approximately about 70% variable sales. So we upped the efficiencies last year.
This year -- during the course of this financial year, we did sunset the 25 -year product. Now when we say sunset the 25 -year product, we have actually stopped acquiring new customers over there since July, but there must have been leakage that must have happened because of leads that were there. But in terms of numbers, we are very much reduced in terms of the long term.
Short term are actually two clients . One is the 10 -year product, whose yield is actually far in line with the yields that we have in terms of what the average room rate s are selling at . And the third one is actually a one -year product, which is a circle, which we have actually soft launched it only in the month of October.
We have actually not spent any money on that. And that's only sold actually at a resort at a very soft level . So that actually does not even impact the membership, that actually impacts more FIT business in resort , it’s a clear one year product . So the entire game has actually changed from what it was the DNA -- our membership DNA in '18, '19, even back to that, who actually is the hospitality leg, and that's the direction that we will take forward.
Meet Shah: Okay. Sir got it. Also, can you give the revenue contribution of membership and non -membership?
Debasis Nandy: I would suggest that we take these sort of questions maybe on a one -on-one basis, and you can always be in touch with Urvashi because these are mostly data -related questions. Since we have all the CEOs here along with our Executive Chairman, it would be better if you foc us more on the strategic part or the tactical part rather than the data -gathering part. The data gathering, we will help you, but Urvashi and I are there for that. We can connect after the call.
Meet Shah: Okay. Okay. Also I have a couple of questions on f orex -related segment. So what is more profitable for you? Like when a customer do a foreign exchange transaction normally or when they use your prepaid cards?

Mahesh Iyer: Well, the way I look at it is that both are profitable. Both make money. The only advantage of putting the customer on the prepaid platform is that I sign the customer for five years.

So there's a longevity that I built, number one. Number two, there are incentives that I call back in PLBs that I earn -- on the spend t hat happened on the product. So it's -- to that extent, it's profitable. But when you look at the front end, while the currency note will fetch a higher margin when I sell it to the customer upfront, prepaid card would be slightly more finely priced, becau se I know there are some back -end incentives that come. But at the end of the day, from a customer's perspective, it will be more like a prepaid. I would think prepaid makes a lot of sense, easy to carry, safe, secure. And I think from our point of view, the longevity of the customer for five years is something that we are focused on.

Meet Shah: Okay. Got it. And my next question is, can you provide some detail like contribution of various segments like student segment or corporate segment to your Foreign Exchange revenue? And also if you could share the margin of this segment?

Debasis Nandy: We'll talk about -- as I mentioned, data -related question, please direct to Urvashi post this meeting, and we'll be happy to assist you.

Moderator: The next question i s from the line of Senthil Manikandan from iThoughtPMS. Please go ahead.

Senthil Manikandan: And congratulations to the entire team for a good set of results. Just my question is on DEI. So, in terms of changing this business m

odel to non -operating. So if you can just quantify in terms of how it would impact the margins and our return metrics going forward?

K.S. Ramakrishnan: So, the non -operative model is a choice we take in markets where the labour cost is high or the setting of the business is cumbersome . The margins there are larger, but the revenues are lower. So in a typical case of an operative model, more than 40% to 50% of the revenue goes back to the partner where I operate. We don't have a rental model. Ours is completely revenue share model.

In the non -operative one, it comes down to asset. That's 10% to 15% of the revenue comes back to us and 85% remains with them. Lion's share of the money or the cost is labour or people who operate that's taken care by the partner. From our perspective, we look -- future looking, we look at about 15% to 20% of our overall revenue probably over the next three to five years, will come from the non -operative model.

And that's in markets where it is not profitable or where the margins get thinner. It's the technolog y that they're implementing, gives us the benefit of doing that from a centrally controlled environment that helps us to make sure that efficiencies and any kind of leakages are completely controlled and benefited out.

Senthil Manikandan: And on the profit ability metrics and the ROCE of this new model is the -- is in line with the current model? Or it is better? So just with this non -operative model, how will be the EBIT margins and return on capital employed for this non -operative model?

Debasis Nandy: So, at a very broad level, this will obviously improve the -- it will improve the return on capital employed because in this case, the capital employed is going to be very minimal. So -- I mean that's actually more of a common sense answer than anything else. I think we have to wait a while to figure out the success of this model. And we are not in a position to share any data right now because we have just started our journey on this part. And over a period of time, we get to understand better and compare the statistics between operating and non -operating model.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Madhavan Menon: Thank you very much, ladies and ge ntlemen, for all the questions, which we thought were very insightful. As Debasis has said that if you have any further questions, which are essentially data related or if you have other questions, please connect with Urvashi. She will be able to either an swer the questions or get the concerned person to the conversation. Thank you very much again and have a good day.

Moderator: Thank you. Ladies and gentlemen, on behalf of IIFL Securities, that concludes this conference call. We thank you for joining us, a nd you may now disconnect your lines. Thank you.

Call: May 2024

May 23, 2024

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
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Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK

Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Subject: Transcript of the Analyst and Investor Earning Conference Call

In furtherance of our inti mations dated May 7, 2024, May 16, 2024 and May 17, 2024 giving intimations on the Q4 &FY24 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 40(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on May 17, 2024 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link :

https://resources.thomascook.in/downloads/TCIL_Q4_FY24_Earnings_call_transcript.pdf

This is for your information and records.

Thank you,
Yours faithfully
For Thomas Cook (India) Li mited

Amit J. Parekh
Company Secretary & Compliance Officer
Encl.: a/a

Thomas Cook (India) Limited:

Q4 FY 24 Earnings Conference Call - May 17, 202 4

Management:
Mr. Madhavan Menon : Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer : Managing Director and Chief Executive Officer - Thomas Cook (India) Limited
Mr. Debasis Nandy : President and Group Chief Financial Officer - Thomas Cook (India) Limited
Mr. Brijesh Modi: Chief Financial Officer - Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director and Chief Executive Officer - SOTC
Mr. Dipak Deva: Managing Director Travel Corporation (India) Ltd.
Mr Vikram Lalvani : Managing Director and Chief Executive Officer - Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer - Sterling Holidays Resorts
Mr. Ramakrishnan - Managing Director and Chief Executive Officer - DEI

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Conference Call of Thomas Cook (India) Limited, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca ll, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Viral Shah from IIFL Securities. Thank you, and over to you, Mr. Shah.
Viral Shah: Yes, thank you, Michelle. Good morning, everyone. Welcome to the Thomas Cook (India) Limited Fourth Quarter and FY '24 Earnings Conference Call. Today, we have with us Mr. Madhavan Menon, Executive

Chairman of Thomas Cook (India) Limited, and senior managem ent team. Without much ado, I invite Mr. Madhavan to begin the call with his opening remarks, post which, we will take the Q&A session. Thank you, and over to you, sir.
Madhavan Menon: Thank you, Michelle. Thank you, Viral. Good morning, ladies and gentlem en. Thank you for joining the conference call after the fourth quarter of the financial year. I just want to introduce the people around the table. We've got Mr. Mahesh Iyer, Managing Director and CEO of Thomas Cook (India) Limited; Mr. Vishal Suri, Ma naging Director of SOTC Limited; Mr. Dipak Deva , Managing Director of TCI Limited; Mr. Vikram Lalvani, Managing Director and CEO of Sterling Holidays; Mr. Ramakrishnan, President and CEO of DEI; we've got Mr. Debasis Nandy, who is Group CFO; we've got Mr. Brijesh Modi, who is the CFO for Thomas Cook (India) Limited; and Mr. Krishna Kumar, who is CFO for Sterling Holiday s.

I think the numbers speak f

or themselves. Effectively, this was the fourth successive quarter of profits in the
post -pandemic era. Income from operations at a consolidated level, for the fourth quarter was 28% year -on-year. If you look at it from full year FY24 , it was 45% year -on-year. If you look at the profit before tax, we are talking of growth from a loss of INR 62 million to a profit of INR 607 million for the quarter.
And if you look at it on a year -on-year basis, it's grown to INR 345 crores as ag ainst a loss in the same period previous year. Essentially, all businesses are back in profits. And we are now beginning to see a return to normalcy across every business as well as every geography. Admittedly, the volumes are still catching up in terms of transactions.
But however, on the back of higher input costs, we are actually able to show more profitability on lower low volumes. Our expectation is that we will witness a comeback to normalcy during the year of 2025. Having said that, some of our businesses have actually overtaken the pre -pandemic numbers even in terms of transactions and my colleagues will go into that detail. In terms of geography, some of our geographies have been a little slower. And I think, clearly , Hong Kong and Southeast Asia have been slower in recouping.
But having said that, I think Thomas Cook, Sterling Holidays, SOTC and TCI have led the charge back to profitability. In the case of TCI, as my colleague, Dipak Deva will explain, though we star ted late in the year, we actually caught up very fast. And in terms of prospects going forward, I think we will continue to see a good environment, both from the travel as well as from the tourism angle, and I differentiate this because of the outbound, we are seeing adequate demand on the inbound, which is tourism into India, we're also seeing a lot of demand. We are seeing similar signals across our businesses.
The last point I want to make is that you may have read about the announcement of our dividend of INR 0.60 per share. This has been driven and split into 2 parts, INR 0.40, which is the normal dividend and INR 0.20, which is the special dividend. And this, in our opinion, is a gratitude to our shareholders for having stood by us. The last point before I hand over is the fact that our earnings per share has grown to INR 5.57 for the financial year ended 2024 as against INR 0.10 in the previous year. With this, I will hand over to Mahesh and to all my other colleagues who will give you i ntroductory remarks, and then we'll come back to the question and answers.
Mahesh Iyer: Thank you, Madhavan, and good morning, everyone. Madhavan has already given us a summary of some of the profits for the year at a group level and I will straig ht on jump into the segments that we have for the businesses. And I'll talk about the forex and the travel -related services. Let's also tap Dipak here on the call. He will along with Debasis will cover the DMS (Destination Management Specialists) which is more overseas and India, and I'll take you through the B2C segments on the travel side.
To begin with, on the foreign exchange business, if you look at the income from operations , it actually grew 23% year -on-year from INR 246 crores to INR 302 crores. And consequently, the EBIT margins improved from

29% to 41%. As you will appreciate that in the previous calls, we had guided the market to a more like a 40 %-45% range. I'm happy to report that for the full year, we actually ended the EBIT margin at about 41%. And if I just look at the quarter that went by, which is the fourth quarter for FY '24, EBIT margin actually expanded even faster. It was at 44%. EBIT for the business grew from INR 73 crores t o INR 124 crores, registering a 70% jump on the backdrop of this improved revenue and a lot of cost transformation measures that we've undertaken in the business.
It's also noteworthy to mention here that the retai

l portfolio during the year grew 19%, aide d by the student
segment growing at about 15%, holiday business growing by about 57% and the remittance business growing by about 20%. Our digital penetration of transactions improved from 17% to 22% for FY '24 as compared to FY '23, which means our journey towards getting and acquiring customers digital is also playing off very well. Our card portfolio improved by about 40%, roughly about $600 million to about $795 million, and that's a strong momentum that we have on the portfolio also. Consequently, the flo at that we generated on the

business improved from roughly about INR 800 crores in FY '23 to about INR 1,200 crores in FY '24.
If I focus on the quarter for the business, for the foreign exchange business in specific, income from oper ations grew 6%, and you'll appreciate that the last quarter, I guided you to the fact that we had given up operations in Bangalore Airport. So the impact of that was visible there. But as we said, then too, it doesn't impact the profitability because it wa s more like a breakeven business because the payouts on the airports are much higher. And clearly, that's reflected here in the current quarter also.
While, the the revenue only grew by 6% , EBIT actually improved by 57%, and that's the reflection of the strength of the business. Some of the key drivers for this has been the retail volume growth, which grew again at 18% in the current quarter. And again, I want to highlight here that for the full year of FY '24, the retail growth was 19%. And in the last quarter, we actually grew at about 18%. So clearly, that's visible. We are seeing growth, and this is not a peak of any travel season in that sense. So the aided growth that comes in this business was not there. Despite that, our reta il business actually grew by about 18%.
Also noteworthy to mention that despite the challenges on the IT/ITeS sector, FX to corporates actually came back closer to the 2019 levels. So our volumes were at 2019 levels, which was in the previous quarters sub -90%, 92% levels. So we are actually now seeing a 100% recovery in the March quarter also.
Card loads during this quarter improved by about 21% to end at about $171 million and gross margins improved from 1.2% to 1.4%. Notably, our digital adoption actually improved by 110 basis points for the quarter for the comparable quarter from 20% to about 21.5%. So clearly, across all lines of business within the foreign exchange, we actually saw double -digit growth and also an expansion in margin.
Some of the developments that we have done and which is important to update, the last time I spoke about a product on the prepaid side for the student, which was called Study Buddy, and I also guided the market to

say that we are working on an enterprise p roduct. And you would have seen that we have actually launched an Enterprise card, which is a green card. Again, it's a plastic that you contribute to the environment, and we believe that's the first of a kind that any travel company or any pre paid card company has launched in this market. So that also gives an edge to us to go to the corporates and say, you will do your bit when you spend on these cards to the environment. Again, it comes packed with a lot of features, which includes lounge access, calling cards and stuff like that, which our internal survey told us are things that corporates are looking for. So that's something that we did.
We also are currently running a Grand forex Festival where people can participate and stand to win a Harl ey-Davidson. So a lot of initiatives on that front. Two big developments during the quarter or rather just about in end of March and April has been our video KYC. If you recollect, we spoke about Ghar Baithe forex and delivery of forex in 2 hours, an extension of that has been the video KYC that we have launched. This essentially means customers can now order foreign

exchange from the convenience of their home.
And if there is a currency involved, we'll deliver it to him in less than 2 hours. And i f there is no currency involved and if it's a seamless remittance transaction or a card transaction, the entire KYC process will be completed digitally and the card will be delivered to him. So essentially, we're getting closer to the customer and actually ensuring that he has more reasons to come back and deal with us. So that's on the foreign exchange piece.
Moving on to the travel vertical. Coming to the income from operations growth. Income from operations on a year -on-year basis grew 54% from INR 3,643 crores to INR 5,618 crores and that growth has come on the backdrop of a smart turnaround in all travel businesses and Debasis and Dipak will talk about how the inbound business has contributed during this quarter. Other than that, the outbound business a lso came in very good.
Like you will appreciate that the period between Jan to March is not really the peak of the travel season. But despite this being an investment quarter, I'm happy to report that a lot of our businesses act ually came in at profit or at a breakeven level. And that's a positive beginning where we are taking the seasonality out of travel and moving towards more like a stable quarters going forward.
EBIT margins on this business improved from just about 0. 233% to 3.42%. And I will call out again, we guided the market to close to a 5% EBIT margin that we are targeting on this business. And I think the path towards that profitability seems very much in the near horizon. From a recovery point of view, long -haul rec overy in the current quarter was close to about 78%. And for the full year, we were at about 72%.
And the short haul and domestic business actually trend higher than the pre -pandemic level. The MICE business again had a good quarter. You will appreciate th at last year same time, we had the G20 and Khelo India volumes that were sitting in our books. This year, obviously, there's no G20 and there's no Khelo India

that happened. Despite that, our volumes stood ground and the profitability and the margins on th is business actually came much higher.
On the corporate travel side, the volumes continue to grow higher than pre -pandemic level actually grew

about 16% as compared to the previous year. The mix of business continues to be lopsided towards domestic, 90% to wards domestic and 10% to international. But from a value perspective, I think we are seeing the shift moving towards international.

So international recovery is close to about 45% as compared to 42% in the previous quarter and domestic remains at about 54%, 55%. The non -air services, which has been an important lever and strategy for us to grow our revenues and yields on this business has inched up from roughly about 4.5% - 5% to about 7% at the end of this quarter. And we expect this to move towards more like the 7% to 9% in the quarters to come.

OBT adoption, which is an important productivity driver for us, has improved substantially. We have about 47% of our customer base now on online booking tool, which means now we have the ability or rather customers have their ability to issue their own tickets, and we can take that many hands off transactions.

All in all, I think within the foreign exchange, the travel businesses, I think we have seen some steady growth. And as Madhavan said, our forward bookings for the current quarter on the holiday side looks promising. We have about 18% growth over the previous year at the same time, and we believe that we are in for a good season ahead.

The impact of elections, what the sta tes have gone through, we are actually visibly seeing a larger conversion, a large amount of people coming back and converting. So our expectation is that this year, we are going to see probably a longer summer. It may not end in June or first week of July . We will probab

ly see this all the

way running into August of 2024. On that note, I'd like to hand it over to Dipak to walk us through the inbound business and then Debasis will take it on. thank you.

Dipak Deva: Thank you, Mahesh. Good morning. I'm Dipak Deva, I'm the Managing Director of Travel Corporation India, the DMS arm of the Thomas Cook Group based here in India. So I'd just like to talk about our growth. That has been 122% year -on-year for FY '24. As you all know, during COVID, there was a standstill. There was no clients moving from overseas into India, which changed last year. Last year has been a phenomenal year for the inbound business. The last quarter, there was 82% year -on-year . So I'm delighted with the way the business has moved. The margins have remained strong and steady, which is also a good sign.

Now I'd move to the key driver s for this growth. Basically, demand for the long haul has come back from the key source markets of Europe and U.S.A. China has not been picking up business and China used to be a large inbound market for Europe with about 60 million people traveling there. That hasn't picked up. So there is demand that's available, they are traveling to different parts. The war in Gaza and Israel has also moved

business to different parts of Asia, including India, and we have gained from that. And India's image is very positive overseas, and this definitely is helping the inbound business.

I'll now talk about some of the source markets where all this positivity is taking place. India basically has 5 key source markets: U.K., Germany, France, U.S.A. and Australia, which are the key markets. And for us, the growth has happened from all these markets. U.K. has grown close to about 180%, Germany over 250%, France 129%, U.S.A. over 50%. And interestingly, new markets have also emerged with Eastern Europe, which has given us a 150% increase from these markets.

I'll now just quickly touch upon the outlook for the coming year . We expect a growth of 18% for the coming year and as now business has stabilized. Incredible India will soon be releasing a new campaign, and we feel that this will definitely help demand. We expect Incredible India to really do a serious campaign post the elections are over. And last but not the least, being a long -haul destination, we need good airlines to bring people into India. And with Air India's investment of over 500 aircraft over the next year, especially the ones that have the new routes that are being opened in the next 12 months will definitely help us with inbound tourism. So with that, I would now like to hand over to Debasi s Nandy.

Debasis Nandy: Thank you, Dipak. Good morning, everyone. So , Dipak has taken you through the India DMS , I'll just take you through the international DMS part of it. If you look at the international DMS, they performed very smartly during the year. Overall, they grew by about 27%, and it's about 16% for the quarter.

It is interesting to note that the international DMS segment now contributes to about 41% of the travel segment turnover. And this n umber used to be about 30% pre -COVID. So , they have gone well beyond , they have actually grown about 35% over the pre -COVID that is 2019/'20 numbers.

Where is it all coming from? It's actually coming from all over. Till last year, we were talking about the lack of growth in Asia. But in the current year, we are happy to state that all the regions are performing well. In the Middle East, our unit Desert Adventures is actually showing very good volumes in spite of the fact that there is major disturbance going on because of the conflict in Israel. And also because of the fact that in the last quarter, operations were hampered to some extent because of the weather conditions in Dubai and Abu Dhabi. But the demand will be getting primarily driven by the CIS countries, obviously, from India and as well as the developing sports segment.

The demand from Europe is a little muted because of the geopolitical issues an d the economic problems that we know about. As far as Africa is concerned, booked average in East Africa and South Africa continue to do

well. South Africa especially has shown a sharp turnaround and they keep increasing volumes driven by the European market s.
U.S.A., the unit, which is called Allied TPro continues to do well. Volumes are far higher than what it used to be in the previous year or even in 2019. And we are looking forward to a great summer.

Last, but not least, Asian Trails, which was a unit, which recovered later than anybody else, is showing very strong volumes in countries like Thailand, Malaysia and Vietnam. Even key countries like Laos and Cambodia, which are not expected to do well, has started doing very well, and the sales are now exceeding pre -pandemic levels. We expect the DMS segment to continue to do well in '24, '25 in spite of whatever geopolitical and economic issues are there across the world.
One last point, unrelated to DMS, but I wanted to make is, this year has been a bit different for us in the sense that the Q4, which is a Jan -March quarter, we normally took it as the investment quarter, and we either reported a loss or very minimal profit . But this year it's been a very sharp turnaround, and we are now showing a substantial, a healthy profit for this quarter as well. And this has never happened before. And so it's probably the beginning of a new future for us. Thank you. And I'll now hand over to Vikram. Over to you, Vikram, for Sterling.
Vikram Lalvani: Good morning. Thanks, Debasis. Good morning, ladies and gentlemen. My name is Vikram Lalvani, and I'm from Sterling Holiday Resorts Limited. I'm Managing Director and the Chief Executive Of ficer of Sterling. I'm joined by Mr. L. Krishna Kumar, who is the Chief Financial Officer at Sterling Holiday Resorts Limited. It's a privilege to interact with all of you again today. Sterling has delivered a strong performance in Q4, Jan -Feb-March with a growth of 39% in revenues to INR 1,179 million, driven primarily by the growth in ARR by 7%, an increase in non -member occupancies by 9% from 62% to 71% and higher room inventories also by 12%.
During this quarter, Sterling has also launched 3 new r esorts Athirappilly in Kerala, Pushkar in Rajasthan and Sariska in Rajasthan, resulting in this increased room supply. Our food and beverage revenues also grew handsomely by 15% this quarter as well as the sale of room nights by 13%. All this resulted in a growth in EBITDA of 67% to INR 451 million, with a very healthy EBITDA margin of 38% in this industry. Sterling has ended the financial year FY '24 with its best -ever results again for the second time in a row.
Sterling grew by 24% over the previous years to INR4,557 million on account of the growth in sale of room nights and resort spends. The EBITDA increased by 46% to close at INR1,711 million, while the EBITDA margins have also grown from 31.7% of FY '23 to 37.1% in FY '24. The operating free cash flow or OFCF also grew by 6% year -over -year. With strong cash collections and higher margins, the company is also happy to report that we've become completely debt -free as on March 31, 2024.
The company's focus continues to strengthen its presence in the hospi tality space with a clear focus on organic growth in its current portfolio and adding new streams of revenues through asset -right expansions. As mentioned in the previous quarters, the company has also retired acquisition of long -term membership products in June – July of 2023. And despite this the company has been able to deliver a strong growth - oriented performance in FY '24 because of its direction towards hospitality.

Sterling also continues to leverage it s technology -based proprietary distribution channels, SterlingOne to ramp up occupancies from various source markets in India in t

he most scalable manner without adding fixed
costs. We have over 4,500 active partners, resulting in a total of 25% of the roo m nights sold in FY '24 without adding any incremental fixed costs again.
Sterling has also reengineered its back -end ERP and the front -end property management systems in FY '24, in line with the requirements of the hospitality industry with cloud -based sc alable solutions for future expansions. With the company's focus and direction as mentioned above, we are also happy to inform you that exit Q4 FY '24 , Sterling has remained profitable for 15 consecutive quarters. We are also glad, are delighted to keep you informed that we have for the second consecutive year, been featured as the best in customer ratings in TripAdvisor. Our brand has been featured for Sterling Kanha in the Boutique Hotels category and is rated as a top 1% globally out of 8.6 million lis tings, and this is the second time in a row. 26 of our resorts have been recognized as top 10 globally. This apart from the coveted recognition that Sterling's Alleppey resort received in the travel plus leisure for the best domestic resort during the past year. This is a testament to the growing strength of the Sterling brand. Sterling shall continue to expand its portfolio, and we have a healthy pipeline of over 20 resorts in India to be added in the next 15 months.
The company shall continue to focus on balanced and a strategic expansion on an asset -right model. In FY '25, the company should continue to focus its stride in the hospitality space and leverage opportunities for both organic growth and expansion. With continued favorable macroeconomic factors , we continue to remain positive even into the FY '25. Thank you.
K.S. Ramakrishnan: Good morning, ladies and gentlemen. My name is K.S. Ramakrishnan, and I am the MD

and CEO of Digiphoto Entertainment Imaging, DEI. A warm welcome to this call, and thank y ou very much for being patient and hearing all of us. Our quarter -on-quarter compa rison from 2024 versus '23, we've had a 5% growth, INR 222 crores in 2024 versus INR 212 crores in '23 as a quarter.
On the year, we have had a 17% growth on the full year, w hich is a from INR 789 crores to INR 922 crores. Some of the things that worked in our favor on the growth has come from -- our revenue has grown at 5% range despite some of the low -margin price predominantly in U.S.A. and China. Saudi operations have started earlier than what we had planned for, although they're small in nature.
The new partners hips that we have signed up which has been the largest in the quarter was 17 partnerships. We've renewed 22 partnerships during the same quarter. And we also have started testing the pilot version of our new technology, WeC . I'll tell a little more about it after I finish the year's assessment on our performance. On our year's performance, I think we have totally covered 15 new partnerships in the year 2024 against 2023. And we have renewed 34 partnerships in the same time. It is noteworthy to mention that in the last quarter, which has been the most robust quarter from our portfolio renewal rate , more than 73%

of our portfolio has been renewed in the first quarter itself, which makes us more viable to look for new partnerships in the next few quarters.
Also in KSA, in Saudi Arabia we have started we've started operations in 5 sites, and that has the potential of doing about INR 21 crores in a complete year. The biggest spurt of growth in new business was in Indonesia, particularly with the Taman Safari Group, which is the large group that we acquired wi th revenues to the tune of roughly about INR 35 crores to INR 40 crores. Again, this is from an overall perspective the outlook is extremely healthy. We have increased our focus on G CC opportunities, mainly Saudi, Qatar and Egyp t to follow. We are also looking at expanding further on profitable Asian markets, where o

ur margins are better.
So Indonesia as I said and Malaysia are two places where we had a lot of traction happening.
With the overall imaging platform WeC our new technology, we have been successfully been able to do our MVP version, our minimal viable product version in Maldives and has been running pretty smoothly for the last 2 months. The enhanced version with all the more B2B features is under UAT as we speak. We have new features like F acial recognition , and payment integration, mobile based, web based, instant fulfilment , that will really help us in expanding our portfolio and making our margins a bit better. After monitoring this will be ready to release in the end of second or early third quarter of this year. That's all from my side. Thank you very much.
Urvashi Buta ni: Michelle, you can go ahead and take the questions, please.
Moderator: Thank you very much ma'am. We will now begin with the question -and-answer session. The first question is from the line of Himanshu Nayyar from Systematix.
Himanshu Nayyar: Congratulations on a great performance across the 4 divisions. So I had a couple of questions. Firstly, while the trajectory of the other businesses is quite well understood and appreciated. I mean, if you could give us some more color on the forex busines s specifically because we are seeing soft growth but record margins there. So as we build in estimates for this business, what should we look at? Should we look at the 4Q trajectory as a more steady trajectory for the business or FY '24 as a whole, would that be a good benchmark to have?
Mahesh Iyer: Himanshu, Mahesh, and I'll take that question. I think first, to begin with, I think we've been saying this. It's a large business. Annual volume on this business is about $3.5 billion. And we've alway s guided saying that this business can grow at about 10% to 12% year -on-year, and that's the kind of growth rate we're talking about. Specifically talking about the current quarter that went by. As I said, the retail volumes have grown by 18%.
So there's a bsolutely nothing wrong as far as volume is concerned. Because there is an election that's going to come, we've seen a little bit of a drop on the wholesale side of the volumes. And as we have been saying,

wholesale is not a focus area. Our focus has been building scale on the retail side, whether it's the student market, whether it's the remittance market, whether it's the corporates or whether it is the holiday product. So I think we are taking strides on those segments. And my expectation continues to be that the retail business will continue to grow at high double -digit numbers. Corporate portfolio will grow at about 12% - 15% and overall business will grow at about 10% to 12%. The sweet spot of this business is the gross margin that we operate at. And t he closer we get to the customer with a lot of our digital initiatives, my expectation is that margins will continue to improve. We're actually seeing a 20 basis point improvement in an overall gross margin. But if you look at the retail margin in specific it has actually improved by about 25 basis points. So clearly, the trajectory for growth is very strong and with a lot of digital initiatives that we have put in place, I expect this to continue to ride for the next few quarters.
Himanshu Nayyar: Understo od. Got it. So second bit was on our overall near -term and FY '25 outlook, now that we have seen broadly a normalization in our businesses for most of the segments. Do we expect for FY

'25 a mid -teens sort of growth for the entire business or with some nor malization still pending, as you said, on long haul, et cetera.

Should we expect a better number in FY '25 and then normalization of the trajectory, FY '26 onwards. And for the very near term, with the elections in the current quarter and the high base tha t we now have for 1Q. I mean, with elections, do we see some sluggishness i

n our current quarter performance? If you can comment on these 2?

Madhavan Menon: So let me address the first question that you raised in terms of what we see as the focus going forward. I think the point I need to make is while we're seeing normalization in terms of the absolute numbers, the reality is that the transaction base is still growing. And my expectation is that across all our businesses, without excepti on, you're going to see the transaction volumes come back to normal over the next year.

So I think that's an important point that must be considered when you consider FY '25. The second aspect that I want to mention is that the objective of each of our bus inesses is to sustain margins. It's not about going back into a discounting game or this thing. So I think each of my colleagues have mentioned it in one form or the other that they're focusing on retaining their margins where they are.

And this is a new environment that we are facing in the post COVID situation where we've seen that our input costs across all our businesses have actually grown, whether you look at air fares, whether you look at hotel rates, whether you look at transfers, guides, everybody 's rates have gone up. And we live in a world where there is a degree of inflation that's factoring itself as well as disruptions in the supply chain.

So I think that's another factor. The third factor is that we've kept our costs under tight control. Regardless of the businesses that you're talking about, obviously, we need to factor in, for example, DEI went into 2 large parks post -COVID and therefore, t hey're hiring increased in those segments.

But if you look at headcount, if you look at employee costs across all the other segments, we are actually holding fairly firm in what we are pursuing. The last aspect that I want to mention is the fact that techn ology is being constantly upgraded. Gone are the days when you used to take 5 years over a project. Today, we constantly have projects running. And the primary focus has been on productivity.

So in summary, I'm talking about sustained margins, I'm talking about controlled costs, and I'm talking about continued improvement in productivity through the introduction of technology. So that's the part I'm addressing. Anybody else wants to add in?

Mahesh Iyer: So Himanshu, I'll take the second part of you r question, which is the sluggishness on account of elections. As I mentioned in my commentary, we did see in parts where states were going into elections, the inquiries actually coming down. But post those states having finished their elections, the inqui ries have actually bumped up and so has the conversion.

So as I said, we expect that this year, we are going to see probably a long tail to summer, and our expectation is that it may run well into August, mid -August or so. So yes, there's no sluggishness p er se. We are witnessing an 18% growth in terms of our overall volumes as compared to previous year, and we expect that trend to continue.

Himanshu Nayyar: Understood. And final question would be on the capex. We see INR 104 crores capex number for the yea r if you look at the cash flow statement. So if you could just give a broad breakup on where we are spending this money? And going forward with our asset -light strategy, I don't think we'll be spending this much going forward next couple of years. So with the strong cash generation, any color if you can give on future capital allocation plans, if you have thought about that? That's it from my side.

Debasis Nandy: I'll take that question of yours. So this year, the spend that we have seen is largely on technology, especially in two key units, one is DEI and the other is Sterling. DEI, as you know, is embarking on their next phase of technology improvements. They are completely upgrading their technology. I won't say even upgrading, it's a completely new technology that they're introducing

which should be available to them later this year.

And this expenditure, INR100 crores, a large part of it actually is accounted for by DEI. The second unit, where technology up gradation happened is in Sterling, which is for the booking systems and for their back -end operations, and they have spent a good amount of money on that. We discussed this in the past that our spend is largely going to be on technology and a bit of the usual stuff of wherever there are branches being set up.

We haven't done too much of branch set up this year. But our capex is not expected to be in this range. We expect it to go down, most of this technology development spends happen once in 3 or 4 years. So we don't expect to maintain this level of spend in the years coming.

Vikram Lalvani: Let me just step in also for Sterling and add on to what Debasis has said. You are right. In Sterling, what has happened? Yes, our future approach is currently asset -right. We are adding on new hotels and inventories on the basis of either revenue shares, leases or management contracts. The capex that we had spent was about INR10 crores to INR15 crores during the year. That was primarily one apart from amount towards technology, but a larger part of the amount was actually towards upgrading our existing products, our existing rooms, repairing our existing room and upgrading our existing ro oms. .

Because as you've seen in the entire shift that has taken place, we are getting new customers in the hospitality space. And we are competing with the rest of the brands. So to a large extent, our own resorts that were there, we did spend some amount of capex on adding new facilities in those resorts and upgrading the existing rooms in those resorts.

So that's why even for the coming year, FY '25 to a large extent, the capex allocation would be only towards upgrading our existing products as well as adding new facilities within our existing products and it will be in this range. So that's how we are looking at even in FY '25. Going ahead, we could possibly even evaluate a coup le of greenfield projects but that could be towards the end of FY '25 or FY '26. So that's why from a Sterling perspective, I thought I'll add that on.

K.S. Ramakrishnan: Yes, I can add a bit on the DEI perspective where this technology change, li ke Debasis mentioned on an average in the world it's one in three years but in our case it will be after 7 years. In fact, we have been very patient to make sure that we build something that's completely ahead of the curve as we build . And as I've mentioned in my earlier conversation, we are changing to an FR based solution.

So any guest that comes to a park doesn't need to take a picture, turn and go off. He can just go and instantly access his images on his mobile just by facial recognition. So a large part of it has been done in '24 and some more that will be d one in '25 but we believe that this will be a robust investment for us for the next decade as such.

Moderator: Thank you. The next question is from the line of Dhaval Desai from Girik Capital. Please go ahead.

Dhaval Desai: Great set of numbers. A couple of questions from my side. First is on the recovery compared to the pre -COVID time. So India outbound in FY '19 was around INR2,600 crores by when do you think we can get back to that number? Yes, that's my first question.

Mahesh Iyer: So, Dhaval, this is Mahesh. Two parts to it, I think you must look at the India outbound in two parts, there is B2B and B2C sitting there. Th e B2B is represented by the MICE part of the businesses, which is SOTC and Thomas Cook both representing that part.

As far as that part of the business is concerned, we are already trending ahead of the pre pandemic, in fact, 15%, 20% ahead of the pre pandemic. If you look at the holiday side of it, B2C part of it, over there, there are 3 subsegments to it, there is short haul, domestic a

nd long -haul. As I mentioned, short haul and domestic is already trending to the pre -pandemic level, and the long ha ul is where the recovery is subpar or sub pre pandemic.

For the quarter ended March '24, we were about 77%, 78% to the pre -pandemic level. Our expectation, as we have guided before, is that FY '25 should see more like 100% recovery to the long haul. I will also call out here that we are seeing some trend changes. The long haul is getting redefined in some form.

We are looking at people who are taking more shorter breaks, so whether it will remain now to be defined as long haul or it will be visible in the s hort haul growth is how we have to start looking at it. And as Madhavan alluded to it, look, while the input costs have gone up and the overall volumes look great. There is still a lot to do in terms of count of transactions. And I think the number of cust omers who deal with us and all that is coming back. Our expectation is FY '25 should see that recovery.

Dhaval Desai: Interesting. My second question is on Sterling. So, we are doing phenomenal there. The tailwind is also helping us, now going forward, will the margin trajectory be broadly in this range if we change the model to more greenfield resorts rather than the partnership model, what we're doing right now? So, what is your sense on the margin side? And also, at any point in time in future, would we think of demerging Sterling and listing it separately?

Vikram Lalvani: Let me take the first part of the question. Now generally, the margins in the hospitality space are about 30%, 35%, right? And in fact, several brands are eyeing to get towards 35% margins or EBITDA. And we have already reached that particular level. Now even going forward, it will be in this range of 34% to 36%. I think that's the right ran ge to actually be in. So that's to do with the entire margin set

Now when we get into expansions in terms of an asset right, obviously, there is a balance that between -- when we say asset right is a balance between management contract rooms and taking P& L rooms, which are either on revenue shares or on lease. So that's the balance we will continue to maintain so that we are able to maintain this EBITDA of 34% to 36%. As far as potential Greenfields are concerned, which could possibly get into FY '26. We w ill do a careful evaluation of those Greenfields and the results that we would get and how fast we are able to turn them around . And then I would be able to comment on that. So that's my answer to that question.

Dhaval Desai: Sure, sir. Sir, the occupancy rate is around 61%, and we are also aggressively adding a lot of rooms. So would that number be at this level for '25 as well? Yes, your thoughts on it?

Vikram Lalvani: Okay. Good question because we keep adding on inventories. And as you're aware, in the leisure space, depending on seasonality, it does take time to ramp up the new inventories. But having said

that, I will clearly state that we do have a headroom in occupancies. Typically, leisure occupancy should be at about 65% through the year because of the seasonality factor as well. So we do have a headroom in occupancies. And to that extent, we are looking at even bridging that headroom gap that we have and getting into faster ramp. So to that extent, our headroom is still available to us for future g rowth as well, both of the current properties within our portfolio as well as the new ones. So to that extent, we have an opportunity there.

Dhaval Desai: Okay. Wonderful.

Madhavan Menon : To answer your question, if I give you any answer, it will be speculative in nature. So let me say that there is nothing planned at the moment, and that's where we stand.

Dhaval Desai: Okay. Okay. Just last thing. What will be our ROCE for Sterling for '24?

Vikram Lalvani: I'll have to just get back to you on that. Just give me a minute, all right? So we can probably proceed

, and I'll come back on that.

Dhaval Desai: I'm done with my question. You can just answer it during the call.

Moderator: The next question is from the l ine of Anushka Chitnis from Arihant Capital.

Anushka Chitnis: So I have a couple of questions. The first is about the DMS business. What is the current contribution of profitability on the travel side from the DMS business? And what can we expect from this next year? And my second question is regarding the associate income component on the P&L for the quarter has grown substantially Y -o-Y and Q -o-Q. So can you throw some light on that?

Debasis Nandy: So Anushka, on the DMS, as I think I mentioned this when I spoke, that DMS now contributed 41% of the turnover for the travel segment, which used to be about 30% pre -COVID. The business has grown about 27% during the year. So it effectively improved its contribution as a percentage of the overall mix substantially during the year. Your second question is on the breakup of the associate income. For the quarter or for the year? Sorry, I missed that. Are you talking about the quarter or the year?

Anushka Chitnis: Yes, si r, for the quarter.

Debasis Nandy: So for the quarter, the associate income is rising out of two of our JVs, two of our associate companies. The other one is a JV, which is TCI Go Vacations. There's income of about INR 13 million from there. The second is an associate company, which we have in Sri Lanka, which gives us INR5 million for a total of 17 million out of that. So that's the breakup.

Anushka Chitnis: Actually, the DMS question was regarding the contribution of the profitability to the travel business. So on the bottom line, how is it looking?

Debasis Nandy: We normally do not split the EBIT beyond the travel sector. We don't get into EBIT at a subsegment level. That's how we have always done it. But I can assure you one thing. But then if you look at DMS as a whole, it is certainly very profitable right now.

Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Congratulations on a very good set of numbers. So 2 questions. One, coming back to the travel side. If you look at the leisure segment of this, we are now almost 60% compared to FY '20 level. So when you say that we will see a rebound in FY '25, overall, h ow much rebound from the pandemic levels do you expect for FY '25 and '26 overall.

And what implications will it have on the overall Travel segment margin? So right now, your EBIT margin is 3.4%. And considering that transactions are likely to com e back and long haul is also slightly coming back, plus your DMS is getting profitable, which you mentioned in the presentation and press release. How do we see the travel -related margins going ahead? That's my first question. I would just ask my second qu estion after this.

Mahesh Iyer: Jigar, I'll take that question. Mahesh here. As I said before, and I think this question came up before, too, we expect the recovery in 2025 on the travel segment to be almost closer to the pre -pandemic level. There will be some subsegments within that, let's say, ou r DMS operations here and there, which may not be 100% of the pre -pandemic. But I think the focus for us, as Madhavan has always emphasized, is to say that we are not discounting on our margins.

So we are actually going to see the travel segment EBIT margi n is going to be improving for two reasons. One, when the volumes contract, your gross margins will stay intact. And that will flow through to your bottom line because the cost transformation that has happened will not let the cost go up. And the digital transformation that we have done will ensure that the productivity measures are kept in place. So clearly, we expect a lot of flow -through of the increased revenue to come to the bottom line. And hence, it's reasonable to estimate that our EB

IT margins wil l improve from where we are currently based on the higher
volumes that will come through.
From a recovery point of view, as I said, outbound businesses, we expect the recovery to be 100%. Dipak, during his conversation, spoke about inbound businesses and s aid how he expects the recovery to happen and expecting an 18% - 20% growth in the current year. And I think on the DMS business, Debasis alluded to it in that we had a strong growth in the financial year that went by. And our expectation next year is that we should be rather repeating a similar growth trend. And I think if you add those 3, you would see that our overall top line or revenue income from operations actually resonate to what we were in the 2019 year levels.
Jigar Jani: Okay. Understood, sir. And does it imply that you could get mid -single -digit kind of margins on travel given all these factors are playing in our favor?

Mahesh Iyer: Well, Jigar, because that is what we have always maintained. Our ambition is to move our EBIT margin to close to that 5% range. We are currently about 3.5%. So there is some room for us to grow. But I think that will come from the volume gro th that will come because we're not giving away our margins or the cost bene fit that we have had over t whe few years. So we're going to retain that. So it's reasonable to expect that when the volume growth comes back, some of the improvements will stay with us.
Jigar Jani: Right, sir. And on the MICE business, obviously, we are sitting on a high base right now, even that FY '24 had G20 and Khelo India in that base. Steady state, we should see MICE also growing at a double -digit kind of 15% odd mark given that whatever you ha ve spoken about inbound travel coming back overall. So 15% kind of growth should be expected on MICE given on the high base ?
Mahesh Iyer: So Jigar, first, I think I'd like to mention here that MICE is not to be looked at from an inbound perspective. It's more from an outbound perspective. It's more like a B2B outbound. We are taking large incentive groups and events and conferences and stuff like that. Traditionally, t his business has been growing at about 12%, 15% post -pandemic. Obviously, the recovery was slow because not too many markets were open and stuff like that. The domestic was the first to come back.
But post '22 and '23, the whole of FY '24, what we've seen is the recovery on the long -haul MICE, which is more international has come back very, very strongly. All the destinations are attracting India. India has become a very strong outbound market and enough and more tourism bodies are coming and investing i n India and tryin g to attract customers to visit their countries.
So we see there's a strong demand coming. Appetite from corporate to spend is there. And you'll appreciate the fact that the entire MICE business is based on rewarding your distribution netw ork. So if you talk about the pain t companies, you talk about the insurance companies, you talk about a whole lot of people who depend on a large distribution network to distribute their products. This is more like an R&R program for them. So if you are go ing to see their volumes grow by 15%, 20%, it's reasonable to expect that they will be spending on the distribution networks, too. So yes, I would expect that you will see that teen double -digit growth.
Jigar Jani: Right, sir. And any acquisition plans giv en that across any of the businesses, given that we have been generating or we will generate significant free cash flows overall over the next couple of years and we have historically been acquiring companies to build businesses? Any plan in the future as of now?
Mahesh Iyer: Not really, Jigar. I think you've seen the pandemic did have an impact on us. We took a bit of a hit on our balance sheet. We're back into the cash generation cycle. Our objective is to start building the cash on our balance sheet, and we'

d like to conserve some cash. We don't have anything in the horizon, neither
are we in any conversation with anyone at this point in time.
Jigar Jani: Sure sir, thank you so much for answering the question and best of luck.

Vikram Lalvani: Yes. Vikram, here. Can I just step in? Mr. Dhaval had a question. Krishna Kumar :: On the ROCE part, I think on the FY '24 financial results, if you take the capital employed, which is the return we have generated, it's close to around 20%.
Vikram Lalvani: It's 20% and it's ahead of the peer comparison.
Moderator: We'll take the next question from the line of Prolin Nandu from Edelweiss Public Alternatives.
Prolin Nandu: Sorry to harp on the same question which Jigar asked. So if I look at your FY '19 numbers, right, the total top line from the travel and related service was close to INR6,000 crores. And if I look at the breakup of that number, right, I mean there is a segment of MICE already, which was there in FY '19, right, whi ch was, if I'm not wrong, I mean, close to around 18%, right? And travel outbound and inbound was close to around INR3,000 crores.
So what I'm confused is that when you mentioned that long haul is going to come back to normal. Wh at is the number in absolute terms that we are comparing it with, right? and what is the number in FY '24? If you can help me. I mean otherwise, it's a bit confusing because MICE was already included, and you mentioned that MICE was part of the t ravel segment. But MICE is a separate pie chart item in your FY '19 presentation. So if you can give like -to-like numbers, that would be great.

Mahesh Iyer: Prolin , I think what I was trying to make a mention is because Jigar mentioned MICE with the breadth of inbound. And what I was trying to say is that for us, MICE is measured in terms of outbound and not inbound. I think that was the point I was making. So I jus t thought I'll give clarity on that.
Yes, in the overall travel segment, we have B2C, which is holidays. We have B2B, which is MICE and corporate travel. And then we have got inbound businesses in India and overseas. So that's how the entire travel segment is built up. What we are trying to tell you here is that if you look at the outbound business, there was roughly about INR2,400 crores in FY '20. And our expectation is that we will see that number coming back in FY '25. That's the point we are making, ye s. And that comprises of your short haul as well as long haul. And also, we have an outbound unit out of Hongkong that's also sitting in the outbound unit, and that would also be showing a recovery. You will realize that Hong Kong as a market didn't recove r for a large part of 2023, and we expect the full recovery to happen in 2025.
Prolin Nandu: Sure. And what is that number? I get your point, and I'm looking at that INR2,400 crores. What was that number in FY '24 for the like -for-like comparison?
Mahesh Iyer: We were roughly about close to about INR1,400 crores.
Prolin Nandu: Okay. We were at INR1,400 crores. So that number should go back to INR2,400 crores is our estimate, right? Okay. And sir, this number itself going to INR2,400 crores will lea d to a substantially -- I mean maybe the rest of the segment will also grow. And we are -- on an overall total basis, right, you have INR5,600

crores of top line. You have INR6,000 crores in FY '19 and maybe similar to kind of INR5,700 numbers in FY '20. S o you mentioned that we would be on an overall basis right there, right? But we are pretty much there, right? So the growth should be substantially higher, right, in terms of overall revenue?
Mahesh Iyer: Yes. I think it's important, Prolin, to un derstand that the questions that were done was more about how do we see the trajectory on the outbound. As I said, from an overall travel perspective, we are already there. But I think it's all about saying what portion of the outbound recovery will you se e

because
we've been always saying that we were a little backtracking on the long -haul side of it. We expect that recovery to come back. And will the INR1,000 crores addition will come out of long haul or accelerated pace on short haul? I think time will t ell.
Prolin Nandu: Okay. Understood. Understood. No, that's very clear. And my last question would be on your free float, right? I mean this is close to INR1,200 crores. Now obviously, part of this free float fund some of the other businesses, right, in te rms of working capital, right? But in terms of if we were to – punch in a number as to how much of this free flow can we invest in some of the risk -free instrument back in India at around 6.5%, 7%, what should that number be, Mahesh, according to you? What should that number be?
Mahesh Iyer: So Prolin , as you rightly said, when I say free float, these are floats coming out of my prepaid product on the foreign exchange business. Now in a form, this is restricted cash. This is not free cash, yes. And these are cardholder's funds. Hence, I need to ensure that we are well protected and well managed. We deploy them in instruments which are liquid by nature and at the same time interest -bearing. So we do a fair bit of treasury management on it.
If you look at our portfolio growth on the prepaid side, the last quarter, our portfolio grew by about 20%. Last year, year -on-year comparison portfolio grew by 14%. Typically, in a model like this, floats account for about anywhere between 4% to 5% of your overall portfolio. And we expect that this addition year -on-year will be anywhere between $20 million to $30 million.
Now we will be very, very cautious in how we deploy these funds because, as I said, these are cardholders' funds, and hence, it should be better managed and has to be in instruments which are liquid by nature. And that it's a Board -approved process that we follow, and we will continue to do prudent treasury management as far as these funds are concerned.
Prolin Nandu: But what would be that number? Sorry, again, to harp on it. The working capital requirement that is there in your other businesses, what could that number be right now which you are investing in safer instruments? I take your point that this is not free cash in a technical sense. But what would be that number out of INR1,200 c rores that we are investing in risk -free instruments for a shorter tenure?
Mahesh Iyer: Prolin, we really don't invest into investments. We actually do swaps, yes, because what happens is you will appreciate that when I sell a prepaid card to a cu stomer, I sell in foreign currency and he

pays me in rupee and there is a delay from the time that I raised an invoice for the corporate to process the invoice and take the payment back to me. So in the intervening period, what I do is I take forwards and then I kind of manage the forward to swaps. That's the mechanism that I follow. But essentially, I really don't deploy funds out of these into my working capital. It's more about the day -to-day management in that sense. It's not a working capital in that s ense.
Moderator: Thank you. The next question is from the line of Yash from Stallion Assets. Please go ahead.
Yash: First of all, I just want to congratulate the management and the entire Board for a successful

turnaround for the business. I mean 2 years a go, we were north of INR250 crores of loss. And this year, we made INR250 crores of profit. So really, really well done on that front.

And my question basically is that looking forward to FY '25, given the expected demand recovery in your transaction volum es and your margin delta, especially in your travel business, and as we said that Q4 is the first quarter ever where Thomas Cook has made a profit, even before pre -COVID. Like FY '19, Q4, you had almost INR20 crores of loss. So you have -- I mean, I just f eel that the business is at an inflection point right now. So do you feel that we can make about INR400 crores of PAT for the next year? How do you feel about that in terms of a trajectory going forward?

Mahesh Iyer: Yash, I'm sorry, I can't comme nt on a number like that. We have already guided to say what kind of growth trajectory we see and the kind of initiatives that we are taking to control or rather operate at the margins that we are at, manage our costs and focus on our productivity improvem ents. But to give a straight number to say what can that be, I'm sorry, I won't be able to comment on that.

Yash: Sure. No problems. No problems. I just wanted to understand that -- because your tax rate and our interest costs have been very volatile. So i s it something that you can guide from FY '25?

Debasis Nandy: So maybe, Yash, Debasis here. I can take that question. So actually, interest costs are not volatile, to be honest. If you look at our current year interest cost and if you take the current quar ter, which is probably a better presentation, our total finance charges, as I would like to put it, is about INR26 crores as against INR23 crores last year, same quarter last year.

Out of the INR26 crores, about INR5.5 crores is the real interest. About INR6.5 crores is the interest on lease rental, interest component of lease rental, which is more of accounting thing than anything else. And the balance, which is the bigger part, the INR14.5 crores, is bank charges for various things. This could be for usage of credit card. This could be for cash management charges. This could be for even payment gateway charges.

Important to note that these are vol ume related. This actually indicates when these charges, the bank cards go up. They indicate higher volumes of business. And most of this is actually recovered from the customer because, for example, payment gateway charges or credit card charges are actually recovered from the customer. We don't bear it.

So going forward, we'll continue to see a reduction in interest. For example, same quarter last year against the INR5.5 crores of actual interest, we have paid INR8 crores. But the bank charge has actually gone up from INR12 crores of last year to INR14.5 crores this year. That indicates the increase in volume. So at the overall level, yes, the overall finance cost will keep on going up, but it really ind icates the improvement in volumes rather than charges for working capital.

Yash: Okay. Okay. And what about your tax rates? Do you think we can have like a normal 25% going forward? Or how do you look at that?

Debasis Nandy: I think our taxes are fairly no rmal. I mean I'm not really getting the drift of that question. Is there something specific that you say?

Yash: Because last quarter, your PBT was 61. I mean if you see the quarterly numbers, I mean, I think it was a 7% tax rate. So I mean it's f luctuating quite a lot.

Debasis Nandy: See, we are a group. We are not a one single company. And we are across multiple countries. So if you look at the tax rate, Thomas Cook, the stand -alone company operates at a higher level of tax and we a re still in the old regime of tax and not the new regime. The rest of the company in India are on the new regime, which is at a lower rate.

There are also some of the companies in India and abroad have accumulated tax losses because of COVID, et cetera. And those are being utilized now. And therefore, the tax rate does look a little -- the ETR, so to say, the effective tax rate, does look a li ttle off. But if you see the financial year, if you want to get guided, you can take the average tax rate for the full financial year and be guided by that at least for the next couple of years.

Moderator: Thank you. The next question is fr om the line of Anil K from K16adviser. Please go ahead.

Anil K: All my questions have been answered.

Moderator: Thank you. The next question is from the line of Naveen Baid from Nuvama Asset Management.

Please go ahead.

Naveen Baid: Could you give some sen se on what could be the growth and margin outlook on the DEI segment?

Ramakrishnan: Yes. So the outlook for DEI, as I said, we have increased focus on the GCC, mainly Saudi, Egypt and Qatar. And in UAE, we said that we have some more opportunity to grow. We also are expanding and looking at huge, more profitable business in the Asian mark et, mainly Indonesia and Malaysia. Indonesia and Malaysia have been important in the last years. Post pandemic, we've seen a rapid opportunity of growing

this. More outlets are opening there. So those are 2 main areas. Our focus is to increase our offering and increase our updates from the rest, which is where our technologies are coming in.
And our tech piece, this is very important for us. This is where we are deploying all our energy towards because the entire mode of transaction is going to reduce some time by at least 70%. So if average transaction time if we assume is 3 minutes, it can be done and lessened in about 40 - 50 seconds. So also in the technolog y, we are in adding mobile base d instantly, which is currently when people go and take the pictures.
We offer them the see it on a screen. they can buy it and go home and then download it. With the new technology, it will be instant downloading on their mobile, so which means when we capture the picture, it goes up on cloud and then on their phones in less than 14 seconds into their phones. So that we see as a real opportunity going forward. Although all of this will take time and has gestation ,(01:11:50) we are deploying the solution. So we see a full blown benefit of this in the next year, precisely.
Moderator: Thank you. The next question is from the line of Akshat from Flute Aura. Please go ahead.
Akshat: So most of my questions have been answered. But I just want to understand the seasonality for FY '25 in travel and related businesses. So I was going through the previous numbers. So the FY '19 Q2 was the best quarter in terms of revenue, and Q1 and Q3 were kind of similar. So going forward, how can we assume seasonality for travel and related segment?
Mahesh Iyer: So Akshat , Mahesh here. I'll take that question. Well, that used to be traditionally the model. April to June is the peak of the travel season. It coincides with holidays and vacations in India, and outbound is a large part of it. Similarly, MICE is to also peak ou t during this period. So you used to see a bulk of those volumes coming in. And those were also the periods when the DMS entities were not to their full scale. So when you look at it now into '24 and '25, you will find that volumes from DMS will come, and there are seasonalities that pay out for them, too.
But the new trend that we are seeing is that holiday is actually now becoming a 12 -month affair -. And as Debasis mentioned in his closing comments when he was talking about it, that this is a new qu arter for us. For the first time, we've actually seen FY '24 last quarter, which traditionally used to be an investment quarter has turned out be profitable, and we believe that this is a new way to look at the businesses.
And our belief is that with custo mers now choosing to take shorter breaks, multiple breaks, travel is going to be less and less seasonal. And we will have to wait out for maybe 1 or 2 seasons to see as to how it plays out. But current trend actually tells us that it's going to be less sea sonal going forward.
Moderator: Thank you. The next question is from the line of Manish Parekh, an individual investor. Please go ahead.

Manish Parekh: Congratulations for a good set of number. Sir, on a blended basis, how do we see margins going forward? Is there still room to expand in FY '25 as well considering that we are expecting growth in revenue for FY '25?
Mahesh Iyer: So Manish, again, as we said, across all lines of business, we are focused on

improving our
margins. We've been helped by some of the improvements in the input costs and the appetite of the customer to continue to travel despite the input costs being higher. We are being opportunistic. We are trying to capture what we can.
I believe that a lot of it has already been done in F Y '24. Wherever there is more opportunity, we'll definitely grab them. As you'll appreciate that we also have got benefits of common buying between SOTC and Thomas Cook and also working with the DMS units. So all of those benefits on the higher volumes tha t will flow in will definitely be reflected in our gross margins as we go along.
Manish Parekh: Okay. Because I had watched Mahesh's interview on CNBC wherein he talked about there is still scope for margin improvement from current levels. So that is why t he question was there.
Mahesh Iyer: And the logic was the same that I just mentioned, Manish.
Moderator: Thank you. The next question is from the line of Dhaval Desai from Girik Capital. Please go ahead.
Dhaval Desai: Yes. Thank you for the repeat opportunity. Sir, my question is on the MICE business segment given you mentioned that the target customers are growing in size, and that's why you're going to see a double -digit kind of volume growth. Now with regards to the pre -COVID, the size of your t arget customers is quite big, and the future also looks quite good.
Has there been a change in the way they were organizing travels for their dealer, distributor network, their own staff and employees? And when this company become large in size in terms of their employees and distributors, does your scale advantage come to play and you can flex your muscle and defend the competition in a much better way, offer more services to your clients? So some thoughts on how have been your size, scale is helpi ng you to get a competitive advantage in this MICE segment?
Mahesh Iyer: So Dhaval, two parts to your question. First, I'll talk about how we see the opportunity and how corporates are behaving. As you will see that every company is looking to expand their reach. They are going into new markets. And when you enter new markets, either you can set up your own store or you go the distribution route. And I think a lot of the FMCG and other companies are using the distribution route to

penetrate into Tier 2 and Tier 3 and Tier 4 markets.
MICE as a business, as I said, is more like an R&R program. They like to keep rewarding the distribution network. And there are new entrants coming in. If I take an example of a paint industry, and I'm sure you would have seen that happening, there are 2 or 3 new entrants who were coming in that space. If you talk

about insurance, there are new players coming in that space. So clearly, each one trying to expand their volumes will either go and get new set of distributors or piggy bank on the existing network. And there is this race to be better than the other.
So op erators like SOTC and Thomas Cook will have to constantly keep upping their game in terms of experience we provide. We are not just big players who joined the dots, but we also focus on experience because that's what differentiates us from the rest of the lot. So clearly, where experience comes into play, I think we get an elbow room to flex and also make a little more margins than a new player can do. So to that extent, there is some availability to us in terms of flexing our mussels.
Talking about how we see the trajectory of growth, I think we've already said the market is looking good. Appetite to travel is strong. Corporates are spending. They are looking to grow their bottom line as a result of the growth in the top line. So we expect this growth to be in the, as I said, high double digit, in the range of about 15% to 20%. That's the kind of expectation we have for FY '25 and beyond.
Dhaval Desai: Sir, a lot of corporates take their teams to Thailand, Vietnam segment,

which I hear are the
highest. So no w from our perspective of giving something more, also on profitability perspective, do we also focus more on that, I mean all other part destinations or the same country? Because I think the competition could be very high. I've seen some small -time travel agents tour operators also, organizing MICE events for companies and taking 300 to 400 people to these Thailand, Malaysia kind of destination. So yes, your thoughts on it.
Mahesh Iyer: So Dhaval, I think you must appreciate the fa ct that the entry barriers on the travel business are actually none, yes. But as I said, and I alluded to that to say that we are experienced creators. You may probably get a group of 100, 150 from a corporate getting into Thailand. You can probably manage that. But when you want to create that experience on to a place called Iceland, you want to create that experience in a place, New Zealand, you want to create something 30 -feet down under in Maldives, I think it requires a specialist like Thomas Cook to b e able to create that. And that's what our core competency is.
So we know our space that we play, and corporates also evaluate us. It's all about saying that you need to operate with someone at the first time, see what he delivers on ground and compare it with somebody else. And please bear in mind, the distribution network that we are talking about are not distributed only to one, but they distribute multiple company's products.
So when they travel with someone and see the experience, they come back and say, I went on a tour with Thomas Cook, and that experience was far superior than this, which means that there is a word of mouth that happens. And then the corporate starts inquirin g with us, saying that what is it that Thomas Cook did and can we replicate that for us. So that's how the business is built. It's more relationship. It's more experience driven. And we are trying to focus on that.

Moderator: Ladies and gentlemen, this wil l be the last question for today, which is from the line of Meet Shah from Finnovate. Please go ahead.
Meet Shah: Congratulations on a great set of numbers. My question is on 2 of our business segments that may go through disruption. That is financial serv ice and Digiphoto. With more and more adoption of UPI, and now UPI is going global, how will our product differentiate UPI and why an individual will use Thomas Cook's forex card over a UPI? Also, nowadays with the advent of technology, camera quality in t he smartphones has improved a lot. So the service Digiphoto provides can be really replaced using smartphones. So why any individuals will use ourselves?
Mahesh Iyer: What I'll do is I'll take this question in 2 parts. The first part on forex, I'l l take it. And the second part of the question, I'll put my colleague Ram to answer that. He's been running this business successfully for the last 15 years. So I'm sure he knows the success formula there.
Coming to foreign exchange and UPI, you'll appreci ate, yes, UPI is going global. It's operated in the, I would say, cross -trade transactions. But clearly, the acceptability of that is currently much lower. If you look at the prepaid card, it's no different from what UPI can do. It is a prepaid plastic. It can also inside on your phone. And that's the next set of innovation that you will see coming from the Thomas Cook stable where you don't need to even carry a plastic and have to keep it on your phone.
So essentially, what you're saying is that like UPI, you have your currency on your phone. You can go and tap anywhere that you want to do. It's also important to highlight that tap and pay as a model or QR code as a model globally is still coming off age. It's not at every place. Especially the markets wher e customers travel to us, we haven't seen that penetration to be large. And we are cognizant of the fact that that's an area that

we need to keep working on.

The sweet spot on getting to the prepaid card space is that the card is valid for 5 years, which m eans if you book the customer for 5, and we are trying to build that journey with the customer so that he knows he has an experience of being with Thomas Cook. And he likes that the product does the same that UPI can do.
I also had to let you know that we also have -- while we distribute Mastercard and Visa, we also distributed the RuPay cards. We are in active dialogue with NPCI, working on some of the options that we can bring, which can be taken global. So yes, we are c ognizant of what can come, and we are working towards that. But I must emphasize here that our prepaid card today, we represent about 26% of the market, and it's been growing at about 40%. And if I look at the 10 -year CAGR on this, we've been growing at ab out 15% on a 10 -year period.
So yes, we've been getting some scale, and we believe that we will be able to differentiate ourselves in the marketplace as we go along. And the proof of that is when we launched our Study Buddy, we understood what the customer s want, what that need of the customer was and created an offering. I spoke about it in

my commentary about the enterprise product. So we understood the need of the enterprise and launched something. We are working on a holiday product, which we believe wi ll be superior to what we currently offer. So essentially, we are segmenting the customer and creating products that suit their requirements. And I believe that's a good strategy to go forward.
Madhavan Menon: Can I just add? The thing is I think as a grou p, we are focused on clearly adapting to new innovations that are appearing across our businesses, be it the conventional, I mean, ground structure, be it our distribution channels, be the way we interact with our customers. That entire exercise has been g oing on for a couple of years. So it's not a question of whether our model works or not. It's our ability to adapt to the requirements of the market, and that's something that we have done. I mean today, if we look at our distribution channels, we operate through multiple channels, which was not the case 5 or 7 years ago when there was only one channel and nothing else.
So I think it's important to recognize that we will continuously innovate, adapt to achieve alignment with the market's expectations becaus e at the end of the day, all of us are selling experiences. We are not selling a hotel. We are not selling a flight. We're not selling a sightseeing event. The business that we are in, we're selling experiences, and that needs to come in multiple touch poi nts. So I think that's what I want to say. Thank you.
Mahesh Iyer: Ram, do you want to take the second part?
K S Ramakrishnan: Yes. I would like to say that if you can just repeat the second part of your question, if you don't mind.
Meet Shah: Yes, sure. So nowadays, with the advent of technology, camera quality in the smartphones has improved a lot. So the service which Digiphoto provides can be easily replaced using smartphones. So why any individual use our services?
Ramakrishnan: Okay. So on a lighter note, I will say for the 20 years I've been thinking why do people still buy our pictures? We've been growing year on year. One of the facts that you have to understand is smartphones taking good pictures have been there for the past 5 years, ok ay? It's not been any different. Now the pictures are getting better, but the pictures were there good pictures from last 10 years from smartphones. Last 5 years, fairly high -end technology.
Our image is sold due to the emotion. Like Madhavan mentioned, we are selling experiences. We're no longer just selling a simple picture. We are selling a video part of it. We are doing a lot of stuff. We're adding a lot of enhancements on it. We're doing augmented reality on it. So it's way a lot more than just another complete picture.

So it's an interesting model that we've been embarking on, and the response of the consumer is growing. Everyone , no one wants to refuse buying that moment where they spent a lot of money and throw ing a lot of monies to come and pay.
That emotion is something with your own phone, you're not undertaking , either it's you or you are requesting somebody else to take your picture. Our technology and our presence makes the entire company to be together looks the the best when we compose it to gether So I hope I've answered the question on why people do like using Digiphoto. And as far as technology go, we are ahead of the smartphone in that what we can do, you can't do it on your smar tphone image . You can't add augmented reality. You can't add video elements. You can't do auto edits. You can't do auto correction. How much ever you do on your own , both still and standard and video offerings.
Meet Shah: Okay, sir. Got it. My next question is related to white paper published by RBI related to the money changer. How will this move impact our foreign exchange business?

Mahesh Iyer: So I think there was a discussion paper rolled out by RBI. I think different participants in the industry have given their views. We have to wait for the regulator to come back and give us some direction as to how we are thinking about it. One of those things that they have spoken about is they want to in troduce this concept of FxCs, which is FX correspondents.

We believe it will bring us a lot of consolidation in that space because we have about, give or take, 1,500, 1,600 money changers who operate in this country. When the FxC concept comes, they have to actually fold unde r an AD2 or an AD1 , which is a bank or akin to Thomas Cook. And I believe some amount of consolidation will happen in that space. But we'll have to wait out and see what's the policy statement from the regulator is and then accordingly measure our actions or strategy around that.

Meet Shah: Okay. Sure, sir. If I can chip in a small question, we have over 15 billion of cash on the balance sheet. So is there any plan for buyback to reward the shareholders?

Madhavan Me non: I think we've already answered that question earlier when I talked about the dividend. I think the word reward depends on how you perceive it. In our case, it's not a question of reward, but it is our way of showing gratitude to our investors who stay ed with us through this period. And as and when we see opportunities, we'll address it as it comes up. But definitely not rewards.

Moderator: As that was the last question for today, I would now like to hand the conference over to Mr. Madhavan Menon for cl osing comments. Over to you, sir.

Madhavan Menon: Ladies and gentlemen, thank you very much. I think we covered a lot of distance today in terms of questions as well as the answers. And let me just conclude by assuring you that we are very focused on cost management. We are very focused on margin management and constantly upgrading our technology so that we can stay at pace with the market.

There are things that are happening in the market. I mean today, everybody thinks that AI wi ll fit every pocket that you find in the world. We are one of those pockets. And we'll have to review it and understand how it's going to impact us or how it's very good to implement it. So I think there are a variety of opportunities out there. But right now, our focus is to get our business completely back to normal across all the segments that we operate in. And the reality is we operate in multiple geographies as well as multiple segments.

So with that, I thank all of you again. Thank you very much.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of IIFL Securities Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

August 9, 2024

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra ■Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earning Conference Call

In furtherance of our intimations dated July 25, 2024, July 31 , 2024 and August 2 , 2024 giving intimations for the Q 1 of FY 2024- 25 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 40(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on Au gust 2 , 2024 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link :

https://resource s.thomascook.in/downloads/TCIL_Q1_FY25_Earnings_call_transcript.pdf

This is for your information and records.

Thank you.
Yours faithfully,
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl a/a

Thomas Cook (India) Limited:
Q1 FY25 Earnings Conference Call - August 2, 2024
Management:
Mr. Madhavan Menon: Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi: Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vish al Suri: Managing Director – SOTC Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day and welcome to Thomas Cook (India) Limited Q1 FY'25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the confere nce over to Mr. Ranjit Cirumalla from IIFL Securities Limited.
Thank you, and over to you, sir.
Ranjit Cirumalla: Thank you, Steve. Good morning, everyone, and thank you for joining us on Thomas Cook (India) Limited Q1 FY '25 Earnings Conference Call. From the company, we have with us Mr. Madhavan Menon, Executive Chairman, and the senior management team. We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. I would now like to invite Mr. Madhavan Menon to make the initial remarks. Thank you, and over to you, sir.
Madhavan Menon: Good morning, ladies and gentlemen. Let me just introduce the management

who will participate in this call. Mahesh Iyer, the MD o f Thomas Cook India ; Mr. Ramakrishnan, the MD of DEI; Mr. Vikram Lalvani, MD of Sterling Holidays Resorts; and Debasis Nandy, the Group CFO. I would like to address several issues in today's call, so just bear with me.

First of all, thank you very much fo r participating in this call. If I look at the results, the consolidated profit before tax was INR 107 crores, which is a growth of 17% year -on-year after excluding the mark -to-market numbers. You will appreciate that the mark -to-market numbers last year are really not comparable anymore because the nu

mber of Quess shares that Thomas Cook holds is significantly lower this year than it was in the previous year.
If I look at the total income from operations, it was 11% at a consolidated level, and if I compar e that to the PBT, it will be very evident the productivity benefits that the company continues to carry as well as the benefits of the cash holdings across the group. In terms of travel services, and I'll talk briefly about each of our businesses, travel services and foreign exchange had a good quarter. The ir combined EBI T grew 20% over the previous year.
As far as Sterling is concerned, I would like to draw your attention to a press release that was released to the exchanges this morning, which has a deta iled explanation of Sterling's performance.
However, I will leave it to Vikram to address your questions on that. Having said that, I think I need to draw your attention to the fact that Sterling, in essence, is in an investment and expansion mode and has been in this state since the previous year. Just for the record, if I take the calendar year '24, they have already opened five resorts this year, and they are planning to open another eight to ten resorts during the rest of the year. You will appreciate that opening a resort has a gestation period. It doesn't mean that you open the doors and it will start doing business the very next day.
I would like to address the last point. If you look at the earnings of the group, it clearly reflects diversity both from a business point of view as well as from a geographical point of view. So, in some ways, and I'm not justifying the performance of any particular company here, but the ability to manage movements in the performance of companies across t he group through this diversity is a strength that Thomas Cook has carried for a long time and continues to carry. This is the last mention: SOTC, celebrating its 75th year, actually had a record profit in this quarter, and they will continue to hold for t he year.
Just one more point that comes to mind: If I look at the performance in this quarter, I expect that there will be some points that you will have questions on. But I just want to assure you that in terms of margins, we have stable margins. I know t here have been some concerns about it being flat, but I think the correct word is stable. Stability in our margins is something that we will persevere as we go forward. With that, I'm going to hand over to Mahesh.

Mahesh Iyer: Thank you, Madhavan, and good morning, everyone. I'll take off from where Madhavan left and quickly give you some key highlights before I get into the segments. As Madhavan said, income from operations, adjusted for MTM impact, grew 11% to INR 2,132 crores. This growth is largely attributable to travel and travel -related services, which grew 15%, led by holidays, where the growth was 21%. MICE, adjusted for the government business, you will appreciate the fact that last year we had done government businesses during the first half, in fact, actually the whole of the year. If I just look at this quarter and specifically if I adjust for that, the growth in the MICE business was 31%. India DMS business, which is inbound into India, grew 58%, and overseas DMS grew 26%. Consequently, EBITDA m argins remained stable and resilient at 7.6% despite headwinds that we saw in some of the geographies that impacted certain segments of our businesses. As Madhavan said, there were some headwinds in some of our markets. Despite that, we held our margins at 7.6%. PBT, adjusted for MTM, grew 17% to INR 107 crores, which, as Madhavan rightly said, reflects the group's ability to withstand seasonal and external disruptions by the geographical and business segment diversification.
Moving on to the segmental performance, I will first talk about the foreign exchange segment. Revenue, albeit while it looks flattish, is important to call out , as I have been mentioning in the pre

vious two calls, we had Bangalore Airport that we operated in last year. We ceased operations at Bangalore Airport from September of 2023. So, for one more quarter, you're going to see the Bangalore Airport revenue sitting in our books, but there was no profitability because it was either breakeven or a marginal loss case. So, we exited the Ban galore Airport contract, but that revenue sat in the last year. If I exclude that and the higher volumes on Hajj that we did last year, revenue actually grew by about 10%.
If I look at the growth that has come into the revenue, it is primarily coming from the retail volumes led by holidays, where the volume grew by 10%, and the student segment by 21%. Gross margins for the business improved from 1.35% to 1.5%, an increase of 15 basis points, largely led by the retail volumes. Card loads increased by 13% year

-on-year, and the incremental float generation was
INR 210 crores. Distribution footprint for the foreign exchange business expanded by 7 outlets during the year, specifically in Tier 2 and Tier 3 markets, aligning with our strategy of last -mile fulfillme nt and supporting our digital journey.
I'm happy to report that our digital adoption at this point in time continues to be at that 21% mark, and we'll continue to build scale as we go. As I mentioned the last time around, we introduced VKYC

and TCPay, two pioneering products to the market, and we believe that will give further momentum to our digital adoption as we go along.
EBIT margins improved by 500 basis points, from 47% to 52%. I'll just call out that this is high but not necessarily something that we will hold on for the rest of the year. We have guided the market to a 40% to 45% range, and I believe that's the range that we will operate for the full year. This time,
specifically, the expansion in retail margins and some benefits on our card portfoli o led to an expansion of our EBIT margins, but we remain committed to the 40% to 45% guidance that we have given, and we believe that's sustainable in the long term.
Moving on to the Travel segment, revenue grew by 15%, led by Holidays, where the revenue g rowth was 21%, and MICE at 30%. The 21% growth in Holidays actually came from short- haul, domestic, and long -haul, with short- haul leading the pack with a 30% growth, followed by domestic at 21%, and long -haul at 13%. Outbound Holidays, as a part of the tr avel segment, stood at INR 610 crores for Q1 FY '25.
I think there was a question last time around, and we expressed that while if you look at FY '20, the total outbound market or the volumes that we did were close to INR 2,400 crores. Currently, in Q1,
we actually had about INR 600 -odd crores. So if I look at it from that perspective, we are at about 25% of the annualized volume. I believe what we guided the market to be more likely to be closer to 100% recovery, plus or minus some vagaries in the environ ment that may come along.
At this point in time, our confidence is that we would see a full recovery in the current year. Gross margins have improved, specifically on the B2C business, by about 50 basis points, largely contributed by the domestic and the s hort -haul segments. Consequently, EBIT margins improved by
40 basis points.
Again, I'll call out here that we guided the market to an expansion of margin. Our medium- term estimate is that the margins will go up to close to 4.5% to 5%. We have expanded our margins in the current quarter by 40 basis points from 3.45% to 3.85%, and we believe that over the next 4 to 6 quarters, we should be moving to the 5% range that we have guided the market to.
If I look at the forward bookings that we currently have, they look fairly strong. We had also mentioned in the previous call that the impact of elections will see a longish holiday /summer season, and we are witnessing that specifically in our short- haul or domestic volumes forward bookings, where they are actually trendin

g double -digit growth. Long -haul is slightly picking up, but

we believe that because it's a longer trend that we're going to see, we are witnessing strong demand coming in for the long -haul segment specifically in the winters.
MICE volumes, adjusted for the government business, grew about 20% Y -o-Y, reflecting the strong demand from the corporates for MICE events and indicating the corporates' appetite to spend. We managed large groups ranging from 300 to 2,500 people, and our forward bookings on this look very
strong and indicate close to a double -digit growth at this point in time.
In Corporate Travel, ticket volumes increased in double digits, and we saw stability in the average ticket price. It's important to highlight that input costs have stabilized, whether it is land or airline.
Despite that, our volumes have grown. So I think that's a good measure to have because the market is seeing some amount of normalcy, hence the growth trajectory can be better predicted.
As mentioned in our previous earnin gs call, the shift to international is visible. In the current quarter, the international volume was close to 52%, which moved up from about 45%. Domestic continues to be about 40%, and non- air contributes 8% of our volumes.
Before I hand over to Debasis, I would like to mention the recent announcement in the budget that allows the setup of TCS with TDS. We believe that this will leave a little more cash in the hands of the holidaymaker and should allow or help consumer discretionary categories like ours, where customers will have more money in their hands to spend. On that note, I'll hand over to Debasis to give you a little more lens on the India inbound and the overseas DMS segment. Thank you.
Debasis Nandy: Thank you, Mahesh. The DMS business in India and internationally had a fine performance this quarter. Between the two, the total turnover was INR 607 crores as against INR 475 crores last year, which is an increment of 28%. Compared to the pre -COVID years , it actually
grew by 33% over the FY '20 number for the corresponding quarter. The inbound and the DMS business together constitute over 36% of sales for the travel segment.
If I go a little more granular and start talking about the individual countries, the Travel Corporation

of India, which works on the India DMS segment, reported a growth of about 58% in this quarter. It is important to note that the April -June quarter is n ot a time when foreigners typically come to India,
but even then, the business has done very well. The upcoming seasons, which starts from late October and goes until the end of March or early April, has good order bookings for that period.
As far as the o ther territories are concerned, Desert Adventures, which operates in the Middle East, reported a steady performance compared to last year despite disruptions caused by weather

conditions, unseasonal rains, and flash floods in Dubai and Abu Dhabi in April. There was also a slowdown in Jordan due to disturbances in Israel and Palestine. The U.S. registered very strong volume growth in this quarter compared to the previous year. This is the peak summer season for the U.S., and the business is expected to deliv er very strong results in this quarter as well.
Moving across to Africa, Private Safari in South Africa was slightly disrupted because of the elections.
Now that the elections are over, we expect the business to come back strongly. And in case it is doing much better than what it was doing last year. In East Africa, particularly Kenya, where we have Private Safaris , sales are stable. The volumes are fairly steady in key markets such as the U.S.A., Germany, and the U.K.
In the Asia Pacific region, where we have one of our large units, Asian Trails, this is the unit which came back on the recovery path much later than others because the markets opened up fairly late last year, but business is doing pretty well. This is, ag a

in, not the peak season for inbound in Asia,
just like in India, but the markets of Thailand, Vietnam, Malaysia and Singapore have done very well.
One call out that I need to make. In this quarter, we have to take a provision for a doubtful debt of close to about USD 0.5 million between entities in East Africa and in Asian Trails. This was
necessitated by the sudden declaration of bankruptcy by a large European travel unit called FTI which happened to be one of our customers. And while the process of greater settlement, etc the resolution process is on we thought it's only prudent that we take this provision for doubtful debt
at one go. So, the results that you see in this quarter is down by about INR 5 crores on account of this alone. So, on that note I wo uld like to hand over to Vikram Lalvani so that he can talk to you more about Sterling Holiday Resorts
Vikram Lalvani: Thanks, Debasis. Good morning, ladies and gentlemen. My name is Vikram Lalvani, and I'm the MD and CEO of Sterling Holiday Resorts. I'm joined by my colleague, L. Krishna Kumar, who is the CFO. It's a privilege to interact with all of you today. As we've seen, Sterling has delivered a Q1 revenue of INR 1,257 million. Despite some temporary headwinds due to the elections in April and heat wave conditions in some parts of the country, Sterling has been able to deliver a growth of 9% to 10% in its Q1 revenues over the previous year.
With the addition of two resorts, one in Dehradun and the other in Udaipur during the quarter, I'm happy to inform you all that Sterling has now reached its first milestone of 50 resorts, hotels, and retreats in India. Just to repe at, about two years ago, we had about 30 resorts, and today we are at
50. Our presence has been strengthened with this expansion, including six resorts in Rajasthan. Last

year, during the same quarter, we had only one resort in Rajasthan, and now we have s ix in Uttarakhand.
Over the last 12 months, Sterling has added nine new resorts to its portfolio, and many of these resorts are in the ramp phase, with seasonality expected to impact from Q3 onwards of this financial year. This includes the five resorts th at we opened in the last five to six months, mostly in Rajasthan,
which are all in the ramp phase. We did witness a temporary headwind in April because of the elections. April is a month where we have a large conferencing business, and many of these confer encing business blocks have actually moved to the future quarters of this financial year.
However, we managed to replace this business with individual holidayers during the months of May and June.
With that, our available room nights actually increased by 9%. The occupancy was stable at 69%, mainly due to the fact that we have five or six resorts currently in the ramp phase. We had an average room rate (ARR) stable at INR 7,100 during the quarter, despite some pressures in occupancy, especially in the month of April. However, the growth in non -member room nights by
12% over last year, coupled with the growth in F&B of about 6% to 7%, resulted in an overall revenue growth of 9% to 10%.
In line with our rapid geographical expansion and a robust pipeline of contracted inventories on an asset -right model, the company is also investing in building key talent to cater to this growth. We
have a total of 20 new resorts in the lineup to be added to our portfolio, which is currently at 50, and a growth of 40 over the next 12 to 18 months, or 1,000 keys. These will start coming in phases on a monthly basis. We continue to remain debt- free with a healthy cash reserve of about INR 2,000
million.
At this point, I would also like to reiterate that Sterling continues its tran sformation trajectory towards hospitality, having completely sunset the acquisition of long -term membership products

from July 2023. Hence, the brand is growing aggressively using this combination of asset- light and low capital -i

ntensive models for its exp ansion. As mentioned, we have a strong pipeline of 20 resorts and over 1,000 keys to be launched progressively in the next 12 to 15 months.
I would also like to state that we have maintained our profitable streak for 16 consecutive quarters. Our EBITDA sta nds stable and healthy at 34%. I will address two points which reflect the slight drop in EBITDA percentage values over the same time last year. First, we have five resorts, all in Udaipur, which opened in the last five months and are in the ramp phase. At this point in time, as new hotels

open, especially in highly competitive markets, we have initial costs which hits you directly , but the revenue trajectory is upwards. This will become a multiplier in Q3 and Q4.
Second, with the expansion of almost 20 res orts and 1,000 keys, it was necessary to start investing in leadership and manpower in advance, which is what has happened in Q1 of this financial year.
Just a few other highlights I'd like to mention: 19 of our resorts are ranked number 1 in their respect ive locations on TripAdvisor, and 65% of our resorts are in the top 5. 42 out of our 50 resorts are ranked 4.5 and above out of 5 on TripAdvisor.
Sterling Puri was also awarded the Best Resort for Destination Weddings at the second ET MICE & Wedding Touris m Awards 2024. All this is a testament to the growing strength of the Sterling brand in the hospitality space. Going forward, we expect the long -term demand to continue to grow in the hospitality sector. With many of our new resorts completing the ramp pha se, we anticipate a force multiplier effect from Q3 and Q4.
This year is an important year where we will be investing in expanding our portfolio, as that is one of the key growth levers for us in the future. We have grown from 30 resorts two and a half yea rs ago to 50 resorts today, and we are looking to reach at least 65 resorts as we move forward. It is an investment phase in progress, but EBITDA will remain stable and in line with, if not above, the hospitality industry average. Thank you so much.
K S. Ramakrishnan: Good morning. This is Ramakrishnan, I'm the CEO and MD of DEI. I would like to take you guys to the quarter and the year. In general, financial year 2025 and quarter 1, in particular, is going to be a challenging, unique, but extremely enriching and rewarding year for DEI in the long run. The quarter that went through, obviously, our revenue had dropped by about 7% from INR 223 crores to INR 207 crores .
This is predominantly, as Debasis had mentioned again on -- due to the bad weather that affected UAE, which is one of our primary markets. and substantial contribution comes from there. That was in the month of both May and June. April started and May and then June got a bit better. China also was under a cold wave, which also affected some of our revenue up there, albeit with these 2 major markets having some drops, our supplementary markets, particularly in Singapore, Malaysia,
Indonesia, saw some substantial growth about 30% to 35% in revenue.
The quarter also while comparing with quarter '23 when we compare the quarter -on-quarter last year had Korea and Mauritius in operations, which we have discontinued due to non -profitability. A

sizable amount of this revenue also was affected by U.S.A. where we have moved out from non profitable busine sses and now focusing more on profitable businesses.
All of this over and above has been quadrupled by the fact that we are right now investing into a new technology that's going to go live by the end of this calendar year. And that makes it even more challenging because we have double costs going on with our old technology and the new one. But
that's particularly only for this year. The road ahead is pretty strong and solid for us. We've had new businesses nearly about 13 -odd partnerships signed for this -- in this quarter alone, which tantamount to about roughly abo

ut INR35 crores of new business.
Also, it's also been a very, very unique year, as I mentioned before, because this is a year when more than 70% of our total portfolio is under renewal and the good news is more than 91% of that has
been renewed. So overall, that makes us in a very strong position to face with a new technology coming in to maximize everything that comes along.
So in a nutshell, a lower revenue did impact the gross margins. Direct cost which are more or less fixed in nature also had a slight impact, but that's purely because of the quarter having weather and stuff that will be under control. Having said that, we have also some technology costs that was
overlapped. Albeit with all t his we are controlling our indirect cost pretty well, and there has been a sizable benefit of that, that's offsetting the net impact.
With that, I can summarize by saying that we've had a fairly good performance from year -to-date as of 2024 and our balance 6 months are fairly robust enough to cover up what we've been losing on in the interim. Thank you very much.
Urvashi Butani: Steve, you can open the floor for questions and answers.

Moderator: Thank you very much. The first question is from the line of Dhaval Shah from Girik Capital. Please go ahead.
Dhaval Shah: Good morning sir.. Thank you for the opportunity. Couple of questions. First, on the Travel and related segment. Sir, what was the outbound revenue for the quarter?
Mahesh Iyer: As I mentioned, that number was INR 610 crores. That's a volume of business that we do. And I sa id in my remarks, because this question had come up last time also on the earnings call. FY '20, the outbound specific total volume was close to INR2,400 crores. So we are at about INR610 crores and that's the 25% reference that I made when I gave my comme nts to be on the travel instances.

Dhaval Shah: Okay , So that means domestic was only around INR 14 crores. Is that math right? If the total is INR 1,682 crores and I deduct all the other segments , then you are left with domestic revenue somewhere. So what was the domestic revenue?
Mahesh Iyer: Dhaval, you're missing that out, sorry, I would not do a complete reconciliation here, but there are multiple segments. What I made as a reference to is only the outbound, there is domestic, there is international DMS. There is India DMS, there is MICE, Corporate Travel. So there are multiple segments within the travel. So what I made a reference to is specific to a part of the holidays business and specifically outbound, which is international.
Dhaval Shah: Sorry, I could not hear you say, your voice went blank. Can you repeat?
Debasis Nandy: Maybe I try and explain that Debasis here.
Dhaval Shah: Yes, I Could not hear Mahesh. I can hear you now yes.
Debasis Nandy: No issues on that. See the outbound turnover is INR 610 crores for the quarter. Out of the INR1,682 crores, INR 610 crores came from outbound. The balance came from other parts. For example, very broadly around INR 600 crores came from the DMS business, India and international . MICE contributed INR425 cror es and the rest was coming from other parts of the business- like corporate ticketing etc,
One thing that you need to keep in mind as far as corporate travel is concerned,. We are not allowed to account for the total volume of the business that we transact. We can only account for the income that is generated. So as you know corporate travel operates at within 4% and 5% sort of margin. So that's the margin that we actually s how in our books as far as the accounting standards, as far SEBI results are concerned. Does that answer your question?
Dhaval Shah: Yes. So what lead I get from your answer is that. the absolute domestic number because the domestic travel number is very less, it is only INR14 crores. Correct?
Debasis Nandy: Domestic travel number is INR 77 crores. I don't know how you are gettin

g INR 14
crores. Maybe we should interact more later on because I'm not sure how you're getting this math.
Dhaval Shah: Yes. No p roblem, I'll connect with you offline. And on the outbound, we are at INR610 crores. And given Q1 is the peak season for us, is there enough visibility for us to reach our pre - COVID number?

Mahesh Iyer: Dhaval, I think, I've mentioned this, and I'll repeat this again. If you look at our volume growth or revenue growth, we grew by about 21% on the holiday side. And within this 21% large amount of growth or close to 30% growth actually came from the short haul and the domestic segment. So the growth on the short haul and domestic has been much larger. Long haul has been a little tepid. I mean, we've grown at about 14%, 15% on the long -haul side. And there are multiple reasons. And as we alluded to the same one last time around, we saw the impact of elections. There are warmer summers in Europe.
So people have either taken a decision to postpone or maybe moved to other destinations or rather short haul destinations. That's a trend we are witnessing. So I think the entire playbook around long haul may get rewritt en as we complete the current season. And also to mention here, if I look at my forward booking, getting into the next 2 quarters, it actually reflects that the long -haul side will move more towards the winter and the short haul and others still continue t o run in the September quarter. So that's the kind of growth rate that we're seeing. And we believe that we should be closer to the FY '20 numbers as far as the overall holiday portfolio is concerned.
I think there will be some change in the mix , but the overall portfolio, we remain confident that we should get closer to that number in the current year. Okay.
Dhaval Shah: And sir on the forex side why has there been no growth? I understand the two reasons which are mentioned. So one is the Hajj mo vement. So does it mean that last year and this year, the number of Indians going for Hajj is less or something and the second is that the Bangalore International Airport operations, we have shut down. But at the same time, we have given several press rele ase with regards to opening new outlets in several cities. So those new outlets, the number is far higher compared to one shop which we have shut down at Bangalore International Airport.

So I can't understand that why the revenue is flat. And at the same time, our travel business has grown. So anyway, people who go for tour with Thomas Cook, they should ideally be buying the forex out of Thomas Cook. So can you just explain this flat number of forex revenue?

Mahesh Iyer: Let me try and give a perspective t o it, Dhaval. First and foremost, if you compare last year to this year, it's looking flattish. And the specific reason for it are the 2 that you mentioned first is the impact of BIAL. In terms of revenue recognition , we only recognized the gross margins o r the gross revenue that we make here. That number is close to INR 5 crores. Last year, that INR 5 crores does not sit in the current year. So that's the top line. But if you look at the profitability, which is defined as EBIT, actually, it has grown by 9%.

So which means it only says that INR 5 crores that sat in the revenue is getting compensated by some other segment that grew and that growth has come from the retail segment. And in the retail segment, there's digital, there is the prepaid card and the new stores that we have opened. The other impact is on account of Hajj. Last year, we did close to about INR400 -odd crores of volume on the Hajj. This year, the volume was close to about INR 300 crores. This is also the lower number of people that have been allocated. You will understand, it's a subsidy that the government gives for these travel and the number of passengers allocated this year was much lower. So that impact sits in the current quarter, but it's also impor

tant to highlight here. And this we h ave been talking for multiple quarters now.

The FX business has transcended into a model which is more prepaid card driven. Currently close to about 30% of my portfolio is on the prepaid card on the retail side. And on the corporate side, it's still highe r, it's close to 80%, 85%. Now when you look at it float becomes an important element of this business, the interest that I get on these floats necessarily do not sit at the EBIT level. So if I add a delta between what I got last year to what I see this ti me, the incremental amount is double. That's roughly about INR 6 crores. So if I add INR 6 crores to that revenue, you will actually see that my profitability has grown close to 20%.

So that's in reality the reconciliation as to why you see the numbers lik e this. I will reassure you here that business is growing, the growth both in terms of segments within retail, which is holiday grew by about 10%, the student market continues to grow at about 21%, prepaid portfolio grew at 13% and volumes and the attachme nt rates are actually going up.

Dhaval Shah: Got it. Also from getting a perspective on this year and next year, like in several of our past conversations, what we understood is that financial services, we should assume 10%, 12%, 15% kind of growth. So now if you see last 3 quarters, the forex business, on a year- on-year basis has not grown. So now how should we understand the revenue and EBIT growth for next 2 years? What is the nature of this business?

Mahesh Iyer: So Dhaval, I think you sho uld keep your eyes to the profitability in this business, which is EBIT. And obviously, part of that sits in other revenue, which is the interest income for this business. I think the profitability of the business will continue to grow. I also mentioned th e expansion in margins that happened. If you look at the EBIT margins, they have expanded from close to 44%, 45% to about 52%. That's an exception that in that sense. We have guided the market to more like 45%.

From a revenue point of view, I'll still guid e the market to a 10 %- 12% growth on the forex revenue side. You have to adjust for onetime events that happen. I mean having said that, Bangalore Airport went out last September 2023. I'm also making a mention here that we've got the contract again, albeit we're going to share it with somebody else, but that income will come when the airport operations get operationalized which we expect will be Q3 of FY '25. So some of these vagaries in business will keep happening.

Our existing investment and distributi ons have actually started to play and you must appreciate the fact that in forex, most of the new locations that we opened either breakeven or make money in the first year itself.

Dhaval Shah: Got it. And sir last question. Sir, we are hearing that Fairfax is bidding for IDBI in the newspaper. Is there a possibility that there could be an OFS to fund some of the acquisition money required?

Madhavan Menon: Dhaval first of all we don't comment on rumors or speculation. This is entirely in the realm of speculation. So I don't think we're even going to answer your question.

Dhaval Shah: Okay. No problem sir. Thank you.

Moderator: Thank you. The next question is from the line of Deepak Lalwani from Unifi C apital. Please go ahead.

Deepak Lalwani: Sir, my first question was on the long -haul recovery. So in the seasonally strong quarter of Q1, I understand there were elections, people travelled less and the environment was soft in terms of demand. But you've i ndicated that this Q1 season is somewhat getting pushed to

July, August as well. So can you just throw some light on the current quarter in terms of bookings and the reasonable assumption that you're making for the full year for a full recovery, should it be from the Q2 or we are banking on the winter demand only?

Mahesh Iyer: Deepak. Again, Mahesh. If you look at t

he long -haul recovery, as I said, we will see a total long -haul recovery as far as the overall holiday portfolio is concerned, but there will be a change in the mix. As we see the trend, the long haul is a little softer. While they are growing double digits, but they are in the early teens. Whereas if you look at the short haul and domestic, they are actually growing in high double digits.

And obviously, reasons are quite obvious, if you look at the short -haul destinations, people are preferring visa- free, easy visa destinations which they can hop on tomorrow and get onto a flight

and go without having to worry about how easily they can get the vi sa. On the long -haul side, getting a Schengen Visa is still a problem. I'm not saying the rejection rates are high or any of that sort, but people have to wait through. Wh ile there was an announcement to say the visa for a 2 -year, 3 -year and 5 -year regime is going to come, but I think all of them will take some time to play out. It just happened in the beginning of April. So it's going to take some time to play out. In the U.S., there is still a wait period for the visas to come. So I think we expect the recovery on the long haul to come. There will be growth on the long haul. Will it match what it did in FY '20? I'm a little too early to predict that. We've seen a little softness on the long -haul side. But I think, it will be well compensated by the short -haul and the domestic side of the business.

So overall, at a portfolio level, we definitely will be closer to what we did in FY '20. It's also important to note that if you look at our margin , the short haul and the domestic will be a better margin y ield for us. And the expansion that you saw even in the current quarter where we moved from 3.4% to 3.8% is led by the increased volume and value, both on the domestic and the short -haul side. So I think it does work in our favor. But yes, clearly, we don' t want to be not present in that market. So yes, that's the way we look at it.

Deepak Lalwani: Okay. Understood. And sir, coming to the Sterling business. Again, you had a similar phenomenon in terms of occupancy because of election and heat wave , but an a dditional reason cited there was the muted wedding sales and the conferencing business. So can you please indicate what's the share of wedding -related business and the conferencing business in that revenue piece?

Vikram Lalvani: So let me just elaborate on both these aspects. For example, last year, in April, I'm talking about the conferencing business right now. We did approximately about 15,000 room nights on conferencing. And this year it dropped by 15% to approximately about 12,000 mainly in April, that's when you have the capacities to take on conferencing. Most of the companies are starting new financial years.

So that's why we tend to do the meetings in the month of April, which actually did impact by about 15% because of the impact of elections. Tam il Nadu went for election on April 19 and it was a very highly phased out election. But we managed to substitute that with individual FIT holiday goers because of the summer season having kicked in and we leveraged our portfolio in the hills for that. That 's number one, in terms of meetings and conferences.

Number two, in terms of wedding. Wedding, let me tell you, two parts to it. Last year, in quarter 1, we had 23 Saya dates or auspicious dates. This year, we had only 3. Last year, we did a total wedding share of business of approximately INR 2 crores. And this year, we had approximately only INR 50 lakhs. So that is the drop that has happened in the wedding business. Now, having said that, a large portion of my portfolio has been ramped up in Rajasthan, w hich was not there last year in quarter 1. In Rajasthan, we had 5 new resorts in Rajasthan in quarter 1 this year, which was not there in quarter 1 last year. Rajasthan is a huge market for weddings

, especially Udaipur, Pushkar. They are huge markets for w eddings. So therefore that also slowed down our ramp in Rajasthan. So we were expecting a wedding business to actually be far bigger in terms of a pie because of the expansion in Rajasthan.

But having said that, let me tell you that the Saya days actually in Q3 and Q4, I am giving you the positive now. In Q3 and Q4 is up by 12 days over last year. Last year was about 41 days of the Saya wedding days and this time it's about 41 plus 12. So therefore many of them are actually coming in Q3 and Q4. And by then, we would complete the ramp phase in Udaipur as well. So which is where our wedding market is expanding. And that's why Rajasthan was actually critical for us. So this is how the wedding and the MICE business actually played out in quarter 1 when compared to what it was earlier.

In terms of the component of business MICE I said, is about 40% of our overall room revenues comes

actually from meetings and conferences. So that portion declined, but we managed to substitute that. But in the weddings which got affected in Rajasthan, especially, so that's where the ramp was
slower in Rajasthan in Quarter 1. I hope I answered your question Deepak.
Deepak Lalwani: Yes, sir, I had another question in Sterling. So the Wedding and this Conferencing
business, which is 40% of your revenue piece. So is that sort of getting shifted to the next few quarters? Or is that a business which possibly won't come back? And the seco nd part question is on
the margin guide because you are ramping up and putting up a lot of inventory, the expectation that we should have in terms of margins because we are at ramping up stage. Should be on the lower side Y -o-Y? So these are the 2 questions.
Vikram Lalvani : Okay. So, the first question. Now there are some companies, especially in the
pharma sector, they have pushed it out. They do come back in Q3, they will come back in Q3. But having said that, in Q2, Q3, and Q4, we would even generate new MICE business. So that component

overall, from your perspective, should not get impacted. In fact, we see expanded inventory, it could
infact grow .
So while the share of the pie would be about 35% to 40%, but the overall quantum wise, it will grow
in the subsequent quarters because of the fact that even our inventory size is growing, number one. So that's a big growth driver. Yes. Sorry, your second question was on -- if I remember...
Deepak Lalwani: On the overall margins for the Sterling business.
Vikram Lalvani : Okay. So yes, as I said, we are, in fact, expanding our portfolio. And in fact, we're
expanding it almost 40% of what it is today. But having said that, yes, you will have -- so I'm
considering this year as an investment year, but I we will still hold the EBITDA margins between 33%
to 37% through the entire period, irrespective of these ramps that's happening, and that's a very, very healthy stable EBITDA. I would say that impact that probably in line, if not ahead of many of the other hospitality brands business.
Deepak Lalwani: Okay. Understood. And sir my last question was to the CFO sir what should be the
tax rate that we should assume for the full year ?
Debasis Nandy: Yes. So I think going forward we can consider a tax rate of about 30% for the group.
Obviously, different units have a different rates of tax. But as you've seen all the units are now started coming back into profitability. So the taxes that overall will start rising. So you can take it about 30% from now on.
Deepak Lalwani: Sure sir. Sir because in the previous quarter we had clearly indicated that our tax
rate should be around 22%, which we did in the full year of FY '24. So what has led to this increase in tax rate? And I was assuming that we had tax losses in the DMS enti ties and in the Sterling
business. So this sharp increase in tax rate for this year was sort of surprising
Debasis Nandy: Okay., maybe we

are not very clear at that point of time. 22% obviously is not a
sustainable rate of tax even that the rate of tax in India is minimum of 25% which is there for some
of the companies and Thomas Cook is still the old regime because it's got MAT credits etcetera
which need to be utilized over the next couple of years. So 22% is not sustainable.
In addition, of course, you all know that the companies in Dubai have started paying tax from this
financial year, actually from July onwards. Although it is a low rate of tax it does eat into the overall
price. In addition, as far as Sterling is concerned Sterling we are probably looking only at the deferred tax asset part of it. There are two parts to this. One part, of course, is a deferred tax asset which has

created on losses which is getting eaten away as the company makes more and more profits which
is actually a very good thing.
But there are also what we call deferred tax liabilities which is created on two things, on the valuation of the land that Sterling has and you know that it ha s substantial amount of land and that
as a practice we revalue that every 3 years and every time we do that our deferred tax liability also
goes up. There is a technical part in this. It's a deferred tax liability on the difference in depreciation
between the companies Act rate and income tax rate.
Now might sound complicated, but the long and short of it is that the deferred tax liabilities have
started growing, okay? The deferred tax assets are shrinking. And therefore, the differences between the 2, which is about INR6.5 crores this quarter has come and hit the PAT line. But it should
not be a concern because growth in PBT is what we aim for. Tax is something that the finance
minister decides, we don't decide. I think we should target the growth in the PBT, the PAT would happen. If the growth in PBT happens, the PAT will also happen.
Deepak La lwani: Sure. And the second I wanted to clarify from you is that the last year in Q3, you
had a one -off other income, right? So can you just quantify that and what was it relating to and any
possibility of it repeating again?
Debasis Nandy: I can't off hand recall that what you are referring to, but let connect offline because
last year Q3 is a long way , anything more than 3 months is nowadays gets irrelevant. So anyway
we'll talk about it.
Deepak Lalwani: Sure.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Edelweiss. Please go ahead.
Prolin Nandu: Thank you for taking my question. Few questions from my side. On your forex business apart from the retail and wholesale mix what is the reason beh ind such volatility in margins, on a quarter -on-quarter basis?
Mahesh Iyer: So I think that there's no other specific reason for volatility in margins because what happens is we look at in April, June quarter, and I think a reference was made by the previo us participant, where he asked this about the peak travel season. So when you are in a peak travel season, your retail volumes will actually go up and your wholesale volumes will come down. And

when your retail actually goes up, the margins on the retail are higher as compared to margins on the wholesale, typically the wholesale margins are 1/3 of what we do on the retail side.
So higher retail margin will drop down straight to the EBIT margins, and that's exactly what is happening because there are no incr emental costs that we are associating with that because the
factory is created, capacity is there. We're just running the volume through it.
Prolin Nandu: Sure. So that would be the only reason, right? Nothing else?
Mahesh Iyer: Yes.
Prolin Nandu: Yes. And sir, second question is on Travel, the second segment. Now I'll tell you where the confusion is coming from most of the participants. If you look at your last year's Q1 FY '24 presentation, there's the segment breakup is based on growth and there y

ou also include domestic,
for example, right? So I mean, my suggestion would be, could you be please consistent with the subsegment in terms of either growth or breakup when you probably see the press release because in last press release there is a mention of domestic holiday in Q1 last year's presentation, which is not there also. So that makes a comparison challenging for us. So that's one suggestion.
But Mahesh, on the part of the outbound travel, right? I mean, forget about long haul and short haul, right, because there's a lot of confusion there, you mentioned you reached INR610 crores, and you are aiming for INR2,400 crores, right, which is the FY '20 number. Now obviously, if I look at the outbound travel and the seasonality there, at least 43% to 45% of your annual outbound travel used
to be contributed by first quarter. And this is in FY '19 and FY '20 numbers that I'm looking at.
So this time, when you said that you are already there at 25%. Is there a change in seasonality that we are witnes sing? Is that the case?
Mahesh Iyer: Prolin, as we mentioned, we've actually started to see that, which is what I said in my remarks also, one impact of election, severe summers in Europe and stuff like that has impacted, and we are seeing a longish kind o f a trend for people to travel. Also what's happening is we're not only just focused on long -haul. We are also talking that the short -haul growth is much faster. We are actually seeing the short -haul. That also sits on the international holiday side a bit . That portfolio is growing at 30% .
So what is happening is there's a shift that is happening, and we also make better margins on the short -haul side of it. So I'll qualify here, we're saying that the overall volumes on international will mirror closer to w hat we saw in FY 2020. And the mix within that may change between long -haul

and short -haul. The recovery on short- haul or the growth on short- haul will be much faster, much bigger as compared to long -haul. It's also important to highlight here that when yo u look at input costs between 2020 and 2025, they are very different, input costs have gone up.
From a volume catch -up point of view, which is a number of passengers, that one unit of measurement to ol we still have a long way to go. So there is so much mor e in the market for us to do. Currently, we are well be talking at a value perspective. And I think the value has actually gone up. So , we are quite optimistic that we should be very close to the 2020 numbers.
Prolin Nandu: Okay. So again, 2020 number is I NR2,400 crores. Am I correct? That number we should be close to, right?
Mahesh Iyer: Correct.
Prolin Nandu: Okay. Right. And so my understanding was that long -haul is more profitable. Is that not the case? Short- haul is more profitable than long -haul?
Mahe sh Iyer: Well, let's put it this way, both of them run at a gross margin range between 14% to 16%. But again, what happens is if you look at the short- haul, we got the benefit. There was a lot of demand coming in. We operated charters, we had demand coming from a new geography like Japan, where our volumes actually grew 2x.
So sometimes when there is demand and people are all moving in one direction, you will appreciate that during the pandemic Maldives was a sought after place. And it was selling at a pre mium. Maybe that's not the case today. So yes, when the market and the going is good, you also get an opportunity to see some margins. So we are seeing better realization this time around on the short -haul and on

the domestic also. But yes, more or less, y ou can take the point that the business operates at about a 15% gross margin.
Prolin Nandu: But before this short- term thing, long -haul used to be more profitable, right? When we used to do the INR2,400 crores somewhere?
Mahesh Iyer: Not from a Margin perspective, long -haul from a share size perspective because if you

multiply the margin with the volumes that we do on the long -haul, that will look like a larger chunk of our revenue, as compared to short -haul or domestic.
Prolin Nandu: Okay. So no , I'm talking about percentage margins, but let's leave it at that...
Mahesh Iyer: Nothing much to choose between the 2.

Prolin Nandu: Right. Okay. Understood. Now lastly, on your Sterling business, right? Again, I'm a bit confused on your calling out that you opened 5 resorts in the last 5 months. Now if I do a quarter -to-quarter comparison, last year also in Q1, you opened 2 resorts, right, Shimla and Panchgani. So is there something specific in terms of the teams of the keys that we added or the average capex that we have done for these 2 resorts that we are adding with this quarter, which is higher than the average that we spend on any resort which is creating a drag or is there something else? Because we have been opening these 2, 3 resorts in a quarter every time most of the years. So anything specific that you want to call out that is different in this quarter versus in the past quarter?
Vikram Lalvani: Okay. Let me clarify that, as and when we are growing our portfolio. I mentioned this earlier, and I 'll mention this again, as a first step from an intent point of view because, one, this is a growth lever for us. Number two, if you see even during the period of COVID what actually put a lot of risk on the company, was that the company was highly depende nt on only one season which was the summer season where almost 40% or 50% of its revenues would come only from those 2 or 3 months.
And when COVID hits during those 2 or 3 months it in fact impacted the entire company for the year. So from a strategic stan dpoint we needed to derisk our presence only in the hills and start
widening our presence across various holiday types. So that was the intent. Number three, the focus of expansion has always been using an asset -right model. And no capex model or a low cap ex model.
So while we have our own lands as well, we have yet not taken our decision as to when we are going to use capex to build our routes. So therefore, what we are doing is we are actually partnering the expansion that's happening with various owners. Now the partnership can happen in 2 parts.
Number one, it can happen in form , I will define it very simple. What is your P&L -related hotels? And what is your commission -related hotels? When you're going in for a management contract, typically, these are c ommission -related hotels. That means based on the top line and the bottom line results of that particular hotel, , Sterling is in charge of the operation of the hotel.
Sterling is responsible for business into that hotel, but the P&L is in the owners' book s. So we are managing the entire property for the owner. So in that case, our capex is completely zero. The owner build the inventory for us and as per our specs , what does Sterling get out of it is the Sterlings makes a certain percentage at the top line or in percentage of the bottom line. So that's one.
Number two is, the second model is the P&L -related model. The P&L -related model is where you're building your own inventory, your own capex. That's something that we've not got into it yet.

Number two, it could be on a small fixed lease or it could be on a variable lease which is a revenue share. In both these cases, the P&L is in your books.
So having said that, we've been incrementally adding resorts into our portfolio, depending on 2 things. One is th e destination and the importance of the destination. And number two, when the
project is also complete, when the project starts getting complete is where the room start coming into our pace. Now in terms of number of keys, for example, when we started off last year, as we had indicated, we were approximately 2,100 keys.
Now today, after all the expansion that we've done 8

or 9 resort, we are currently above 2,700 keys.
So to that extent, in terms of number of keys has gone up. In terms of number of resorts, it's gone up to 50, in terms of number of destinations that we ha ve presented is now 45, in terms of the portfolio that we have, we have a far wider spread holiday -type portfolio. Apart from hills, beaches, river sites, heritage, culture and pilgramage and jungles as well which is where we also have become very strong.
So what has happened is over a period of this 2 - 2.5 years and incrementally we are adding it on every quarter is to expand our portfolio and is to derisk our portfolio for being very present and very strong only in one holiday type and not present in any other holiday type. I'll give you another example of Rajasthan, when are focused on expansion, we've being a key leisure hospitality player.

We could not not-be present in that and Rajasthan is a big market for weddings and etc.
So therefore there is a c onscious effort to actually build your destination with presence in various states which have a very strong leisure component of business. So therefore we had 1 resort of Rajasthan probably a year ago exactly and now today we have 6. Our next focus of expa nsion is Karnataka. So we're going to be launching Badami very soon. That's on a managed model. We will be launching Sakleshpur very soon. So we are going area by area and actually strengthening our presence based on where the potential is and based on whe re the market demand we could actually drive it there. Does that answer your question?
Prolin Nandu: Actually, it does not, but I'll take that offline, right? So let me ask the second question again on the Sterling business. Now food and beverage has grown at a slower pace than your overall top line revenue as well. And I remember you had mentioned in the past calls that you have got the bar license only in the last 1 year, right? And sometimes you have been applying a few places and then got the bar licens e there.

Now in terms of your FY '24 revenue, it was close to 15% of overall revenue, right, food and beverage, 14.8% to be precise. And we know that this is a high margin kind of business, right, versus an overall business margin. So where should we look , what proportion of our overall revenue will eventually come from food and beverage? And why is it a lower growth and even the top line growth right in this quarter?
Vikram Lalvani: Okay. Let me just clarify one thing. See, food and beverage in terms of m argins, what actually drives the profitability in our Resort business, frankly, is the room revenue. Because the fixed costs are sunk in there, but the marginal cost of selling an incremental room is not that high. In terms of food and beverage, they are actually the typical direct gross margins should be about 60%, but if you have to take the direct or the indirect cost to it like salary wages, heat light power etc it would be in the range of 20% to 25% in terms of margins.
So therefore rooms will drive the overall margin to a large extent. Number two, food and beverage is a critical component especially in the leisure business. You're absolutely right on that. The total contribution on food and beverage if you say in a base of 100 , food and beverage i s 25%. Is there an opportunity to increase that size of the pie? Absolutely, there's an increase to the size of the pie.
Also, let me tell you that weddings is a large component that actually drive revenue and we had a muted wedding season this this quart er. So typically, we grew 6% with, as I said, 5 or 6 hotels ramping up, if I had to eliminate those 5 or 6 hotels, we've actually grown at 11% to 12%. Is there an opportunity there? Yes, there is further opportunity there. And hence, the way we actually approach it food and beverage business is more towards an experience kind of food and beverage business those margins will eventually be higher. So there we

re lot of work is going on in that aspect and it is a critical component, but rooms is the ones that d rives the GOP.
Prolin Nandu: Sure. So when do you target that 20% of overall revenue should it be in a year's time or 2 years' time because we are at 15% right now?
Debasis Nandy : I'm sorry, but I think there are a lot of questions still pending we have a long list and we have hard stop at 12:30. In the interest of time, may I request that each person ask only one question because otherwise I think a lot of people will not get a chance to ask any question?
And any questions that you may have we can always c ome back to you or rather you can order come back to us Prolin and we can answer you. I'm doing this in the interest of time. Thank you very much.
Prolin Nandu: All the best. Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Nayyar from Systematix. Please go ahead.
Himanshu Nayyar: So just one bit on the forex first, I mean, Mahesh can update us on the RBI discussion paper which talked about the consolidation of money changers and allowing you guys to do business transactions. So what's the update on that?
Mahesh Iyer: Nothing, Himanshu. We haven't heard anything back from the regulator. I think it's still work in progress. We believe from some of the other circulars that have come out, I think there is a method in the madness I would say, but very difficult to call out at this point as to how the regulator is thinking about it. But active discussions are happening. We have participated in some conversations with them. But no concrete policy decision has been made on this at thi s point in time.
Himanshu Nayyar: Understood. And just one small bit, if I may. I mean, any thoughts on which the management has deliberated on your capital allocation plans in the medium term, given the limited capex requirement that we have and the incre asing amount of cash that is now expected to be there on the books going forward next couple of years?
Mahesh Iyer: So Himanshu, as we've said, our cash is not completely fungible in that sense because this is also the funds coming from BPC, yes. So the fr ee on that book will be roughly about INR250 crores INR300 crores that we have. And clearly, we've been guiding this and we're beating this again. currently, we are focused on keeping the cash on the balance sheet. Business is coming back

stabilizing.
We've been s aving in last 4 or 5 quarters of good profitability and we continue to build on it. At this point in time, there are no active conversations, no plans on any capital allocation at this point in time. As and when we are ready for any conversatio n markets will be informed about it.
Himanshu Nayyar: Understood. I will jump back in the queue. Thanks for this.
Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.
Jigar Jani: Just one question o n the domestic leisure segment, if I look at the numbers for FY '20, I think full year, we said about INR110 crores in this quarter itself we are at about INR77 crores if I heard correctly. So do you foresee that there will be a considerable contribution from domestic in the overall recovery because if you're looking at FY '25, we are saying outbound at INR2,400 crores

full recovery and we have already done INR74 crores in the domestic this is in first quarter. Do we expect second half to be significantly s tronger for the leisure segment overall?
Mahesh Iyer: So Jigar as I said our growth on the domestic side even in the quarter that went by has been very strong. Our forward bookings also reflect similar trends. You must appreciate the fact that in the domes tic the conversion cycle is much shorter. People make decisions very quickly. So clearly, the trend is very positive. Well, there will be events that will impact like a rain or a natural calamity happening either in Uttarakha

nd or maybe for that matter Ker ala. We'll see if some of the impact in the short to medium run. But clearly, there is a lot of demand that's coming. And I think the government has also announced a series of measures in the budget, which focuses on pilgrimage and spiritual tourism.
So I think domestic as a market is likely to grow, and we are seeing that growth even in our portfolio. And we believe the double -digit growth on this business is here to stay. It will trend obviously much higher than what we did in FY 2020. And as I said, ther e will be a shift in pockets. The mix of the business will change. Short -haul and Domestic will become larger or rather will start playing a larger -- will be a larger part of the pie as compared to long -haul, and that's the changing trend of the business.
Jigar Jani: Right. And just to follow up very quickly. When you say 100% recovery you guide for the entire leisure segment as a whole or just for outbound?
Mahesh Iyer: We're talking about the overall holiday business. So we look at short -haul, long -haul and domestic. This is the overall portfolio that we're looking at. So we expect and honestly, to be frank look we don't want to dissect this because at the end of the day the customer is a holiday seeker and that's how we look at it. We are experienced pro viders whether he's coming from a domestic , short -haul or long haul, we want to give a great experience and come back and repeat that holiday with us, that's what we are focused on.
Jigar Jani: Sure. And just two very quick bookkeeping questions the FTI im pact...
Moderator: I am sorry to interrupt you sir. Could you please fall back in the question queue for further questions.
Jigar Jani: No worries. Okay. Thank you.
Moderator: The next question is from the line of Mayur from Wealth Managers. Please go ahead.
Mayur: Hello. Am I audible?

Moderator: Yes Mayur go ahead.
Mayur: Thank you for taking my question. A little longish commentary before I go to the question and my sincere apologies if this is a question not to be asked on the concall, but it's a lit tle strategic question. I hope some color on that. The company is quite diversified in terms of various segments within that, each segment has got various levers, various aspects, whether it is travel whether it is forex, whether it is Sterling even in eac h of them, and we as analysts and fund managers are continuously focusing on the subsegments and segments and quarterly movements.
I wanted to understand how does the management look at your overall strategic intent in terms of the overall travel and tourism space for the company? And can you guide us for instead of yearly, can you tell us what is the 3 - to 5-year vision from an overall perspective because if we get lost into the -- in some quarters, something is moving in some quarters, something else is m oving.
So in terms of overall where do we stand in 3 - to 5-year vision? And does the management look at as the company has an integrated play or is it also looking at various sub segments I understand accounting and legal aspects of risk and how do you do the segmentation. But at a strategic level do you see as an integrated play and that is what you should encourage us to see and how do you see that 3 to 5 years? That's it.
Madhavan Menon: Okay. I think let me try and take a stand that and then I'll get M ahesh to come in. I think the vision very clearly is to , while we have diversified businesses, we clearly see

overlapping opportunities across businesses. And when I say across businesses, essentially, it is to focus on -- if I use the example of holidays and foreign exchange. Clearly, there is an opportunity for the foreign exchange business, as the Holiday business grows.

Now be it short -- what we call short international travel, let me just classify that as international travel. If we look at Sterling H oliday resorts, an expansion that they undertake. It represents an opportunity to both Thomas Cook and SOTC as far as their domestic holiday business goes. If I look at the destination management businesses, then the outbound businesses out of India as wel l as the MICE businesses out of India, clearly offer an opportunity for our destination management businesses to integrate that business.

While we don't come out and set targets for each of these businesses to integrate with each other. The reality is that is the priority. That is what we are continuously driving. Now it may not be evident from the data that we shared with you for various reasons. The reality is, it is the business needs to be integrated as far as possible while maintaining alignment with the laws in terms of arm's length . And you'll appreciate that we are governed by laws, and we have to therefore protect that. We have ensured that each business that is going to provide a service to another business within the company has got a first righ t of refusal if it believes that the margins do not meet their requirements. So there are multiple movements that happen at a strategic level, but that is our focus area.

Obviously, there are markets where we don't have our own group companies. But again, here, we will try and see how, for example, Thomas Cook and SOTC. The integration of the back end was to give us the benefit of purchasing. The integration of the back end was to give us greater benefits as far as hotels as well as transport is concerned b ecause we push our entire volume through identical hotels. We use coaches that carry customers.

So there is this constant process that is going on, and each of the MDs are focused on how they work with each other. Again, Sterling, if you look at it, as Ste rling has expanded its footprint around the country, both Thomas Cook and SOTC had been trying to do more and more room nights through the Sterling business.

And this will continue. Now it has taken us time primarily because each is a profit center by itse lf, and therefore, they need to look after their interest while simultaneously trying to align themselves across our business. Ma hesh , you want to add?

Mahesh Iyer: I think Madhavan you covered it all. I think it's just an additional point I'll mention here is that, look, in the 3 - to 5-year horizon, we are an experience provider, we are not component sellers. Our focus will remain on package holidays and creating th at memorable experience for the customer. And that core is never going to change. We'll remain true to that.

Mayur: Sir, we are very used to having tangible targets as our benchmark anything for 3 to 5 years yes?

Madhavan Menon: Sorry, we can't give you gu idance on that. That's the policy of the group. I'm unable to give you guidance that far out. But if you do want to interact with us both at a group level or a unit level and get a further in -depth understanding, we'd be glad to give it to you.

Moderator: Thank you. The next question is from the line of Andrey Purushottam from Cogito Advisors . Please go ahead.

Andrey Purushottam: Now what has happened is that I see some parts of the business doing well, other parts of the business doing relatively poorer. S o in the travel and business, for example, you've highlighted several destinations that have grown by more than 26%, but there must have been destinations also that have grown much less than that because your overall is 15%. When your Digi business degrew, your foreign exchange business was flat. So we are going through a transitional phase with some of the business are pulling northwards and some are pulling southwards?

And do you see a change in the climate that all the businesses will move in a fashion t hat actually gives a mix for much higher growth rate overall? So this is somewhat related to the question that was previously asked from the previous participant, where we can look for growth which are much higher than what we've achieved in the recent pas t.

And are there some underlying trends such as use of the unblocking of long -haul, the long -haul opportunity or any other opportunities that you see in terms of key mega trends relevance on your business that might enable that process of much higher growth than what you've achieved right now?

Debasis Nandy: Okay. Thank you for the question. I'll try to answer this question. So I think probably you're only reading a little too much into one quarter event. As you know our business is highly seasonal and we h ave always mentioned that, that one quarter doesn't make or break the business.

If we need to look at it as a 12 -month period to get the right-- business in a seasonality in place.

That's number one.

As far as some businesses is going northwards and some bu siness is going southwards. I do not see any business is growing southwards at all. As probably you're referring to Sterling when you say our business is going southwards, but as I think Vikram time and again explained during the last 1 hour or so that he is in the investment phase. First of all the business has got impacted because of certain climate conditions and elections and things like that. And the other thing which is the bigger thing is that he is an investment phase . This is the investment year where the results will be preparing for the next year because it will get impacted by that. However, once this investment phase is over, the benefits of that will obviously come into play .. As far as your question on some destinations yes some destinations show 20% growth and there are destinations that don't, say, for example, the easiest example, which all of us know about is Maldives.

We have in the last 3 years or so post COVID, Maldives has drawn exceptional number of people . It has been all over the front pages, but this year post one particular incident the traffic has virtually gone down to zero, not completely but virtually zero. If I take the Middle East the weather conditions this year both in the first quarter as well as -- rather both in the Jan- March quarter as well as the April- June quarter have stopped people or sort of people have stopped going there or reduced their trips there because the weather conditions have not been favorable. People have been affected by that and so there is a drop and therefore the rise that you've seen in some destinations probably also because of the fall in other destinations.

As an example of this is Vietnam. You see a huge growth in Vietnam, this year. And obviously, as I explained to somebody else like Thailand. So this will continue to happen. We should not try to read too much in individual destinations. I think what we should look at is the overall growth of the business rather than getting into individual destinations. And that's how we also look at it.

Andrey Purushottam: So perhaps, you were misled a little bit by my southward comment, but my comment was between businesses, which are in good growth and just showing marginal or no growth right? So for example, are there any long -term things that you see in terms of even revival of the long -haul part of the business or in terms of ease of restriction of visa travel such as Schengen, etc that might enable the long -haul business to flourish? Is something that we can look forward to in a 6- to 12 -month horizon that will lead us to believe that will benefit almost all aspects of our business.

Mahesh Iyer : Sure. I think the way to look at it, if you look at the travel portfolio, see first, you must understand that we are a diversified group, and we've got 4 lines of business within that. Each one of it, as Debasis rightly said, will go through some impact at some point in time. And in this specific case you look at maybe 2 businesses going through it. But from the real meat of the business or the moat of the business, as we would call it to be, I think we've said that, look, the recovery on the holiday side is still subpar. When I say recovery, sub par is purely because volume growth have not come in. The number of passengers travelling in some of the long -haul destinations are nowhere closer to what they used to do in 2020, but that's got filled up by short -haul and domestic and stuff like that. So will the long -haul recovery help, of course, it will help. It will bring more passengers to us, it will bring more volumes to us. But I think what we would like to mention here and that's the way we look at it is that the more customers who come into the domestic are the ones who will stay with us for a longer period in time.

The l ong-hauls are more mature customers who have done maybe two domestic trip with us, one or two short -hauls and then that's how they go to long -haul because long -haul typically happens to be a little more expensive from a price point also. So clearly, I thin k I would look at domestic, I would catch them young, have a wider net for them and then build on that portfolio and get them as repeat customers. So I would think there is so much more in this business for us to grow. And specific to some businesses where we haven't had a good thing.

I think it's just a temporary phase that we are going through -- we are either an investment or expansion or there are these double -dip as Ram in DEI mentioned, happening because of investment in technology and stuff like that and some challenges with weather, but I don't think we should read more into for 1 quarter, rather focus on the long -term trajectory for the business.

Andrey Purushottam: But are you seeing this growth green shoots of recovery of the business as a whole that is my question?

Mahesh Iyer : Yes, of course. And I think I've been talking about it so as Ram and Vikram, all of us have been talking about that. We are seeing that. I mean, it's not green shoots. They're already much, much bigger plant at this point in time and we are only trying to reap benefits and what we are trying to do is plant new sa plings so that the growth trajectory continues.

Andrey Purushottam: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for thei r closing comments.

Madhavan Menon: First of all, I just want to apologize to a couple of people who didn't get to ask their questions. I would request them to approach Urvashi and Debasis and we'll answer those questions. I think I just want to quickly ro und up what is being discussed today. I think a point that both Vikram and Debasis had explained at length, is that we are in an expansion investment mode at Sterling and to some extent, at DEI.

Therefore, looking at a result of one quarter does not necess arily a reflection of what it is. In terms of margins, I want to reiterate that we are focused on maintaining stability of our margins. And while there may be opportunities which allow us to grow our margins going forward, we will exercise those options. A nd I think several of them have been discussed as we go forward.

Productivity benefits from managing costs continue to be our focus and they will continue to be a focus in the current year. Current run rate will be steady and are expected to continue over the rest

of the year. I also expect that the opportunities will appear as we go forward and we will capitalize on that. So there is potential for upward growth out there. I want to reiterate the diversity of the businesses and the geographical diversity be cause this is essentially a hedge against any tailwinds.

You'll appreciate that we live in a highly unpredictable world where geopolitics and economics seem to be mixing at a much higher rate and therefore we need to be protective against that. Essentially, I want to say that there is a positive environment in the business

. There has been no change in our outlook and we continue to operate in that environment.

Just as a last point we are hosting a Capital Markets Day on August 23 at the Jio Conve ntion Center .

If you're interested in participating all are welcome. Please contact Urvashi Butani to register yourselves. Thank you.

Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

November 19 , 2024

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra ■Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earnings Conference Call

In furtherance of our intimations dated November 11 , 2024, November 13 , 2024 and November 14, 2024 giving intimations for the Q 2 of FY 2024- 25 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 4 6(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on November 14 , 2024 has been uploaded on the website of the Company within the prescribed timelin e and can be accessed on the following web link :
https://resources.thomascook.in/downloads/TCIL%20Q2FY25%20Earnings%20Call%20transcript_19112024.pdf
This i s for your information and records.
Thank you.

Yours faithfully,

For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl a/a

Thomas Cook (India) Limited:
Q2 FY25 Earnings Conference Call - November 14, 2024
Management:
Mr. Madhavan Menon: Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limit ed
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi: Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director annd Chief Executive Office r – SOTC Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day and welcome to Thomas Cook Q2 FY25 Earnings Conference Call hosted by IIFL Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the c onference over to Mr. Arun Jain from IIFL Securities Limited. Please go ahead.
Arun Jain: Thank you Joshua. Good evening everyone, welcome to the Thomas Cook (India) Limited Q2 FY25 Earnings Conference Call.
Today we have with us Mr. Madhavan Menon, Execu tive Chairman, Thomas Cook (India) Limited and the senior management team. Without much ado I invite Mr. Madhavan Menon to begin the call with his “Opening Remarks”, post which we will begin the Q&A session. Thank you all, and over to you, sir.
Madhavan Menon: Thank you Arun. Ladies and gentlemen , a warm welcome to the Quarter 2 FY25 Earnings Call of Thomas Cook (India) Limited.

Let me sort of kick off by first introducing my colleagues in the room. We have Mr. Mahesh Iyer – the Managing Director and CEO of Thomas Cook India Limited; Mr. Vishal Suri – Managing Director and C EO of SOTC Limited, Mr. Vikram Lalvani – Managing Director and CEO of Sterling Resorts; then we have got Mr. Ramakrishnan – President and CEO of DEI. We additionally have Mr. Deba sis Nandy,

who is the Group CFO and Mr. Brijesh Modi – who is a CFO of Thomas Cook (India) Limited. And, of course, Urvashi Butani, who is responsible for Investor Relations.

I am going to sort of make my opening comments and then hand over to the conc erned peopl

e so
that we can sort of walk you through our numbers, so that you will have a better appreciation of some of the numbers that we reported yesterday. So, we declared a reasonable set of results to the market, with a 9% growth year -on-year of the total income from operations, without the mark to market number related to Quess.

Our operating EBITDA margin increased from 7.04% to 8.05%. The operating PB T, we closed with Rs 1,063 million as against Rs 775 million in for the same quarter in the previous year. From an earnings per share point of view, we closed this quarter with Rs.1.39 as against Rs.1.01 in the previous year.

While the performance has bee n good across all our businesses, barring certain businesses , the reality is that there are several challenges out there, essentially geopolitical and the economic slowdown that we are witnessing across the world. While we have built internal controls to mitigate and manage these risks, it's important that we recognize given the very diversified geographic nature of our businesses, one business or the other is likely to get impacted by this. And in the quarter gone by, if you look at the results of DEI as well as Desert Adventures, to some extent, they have been affected by these geopolitical issues that exist in the Middle East.

In terms of consumer appetite from the Indian market, we continue to see su stained demand, especially if I look at the leisure business, both in the short -haul as well as in the domestic markets. If I look at the foreign exchange business demand, our billings on the card have grown year -on-year, and this has supplemented the floats that we have as well as the margins that we have, if we look at the MICE business, it continues in both companies S OTC and Thomas Cook to report good numbers. And of course, most importantly our destination management business both TCIL, Sita in India, as well as all the other entities across have started firing on all cylinders, and most of them with the exception of the , South Africa, and Allied T -pro who are the in the Southern hemisphere, who go into winter. All these companies, will report a very good season based on the forward bookings that we have received. I will end by saying, once again that, we see great benefit in the diversity of our geographical locations , i.e., the DMS bus inesses spread all over the world, with Thomas Cook and SOTC in the B2C space in India, you have got the B2C business out of Hong Kong and the rest being B2B but we are getting the benefits of that diversity in our businesses and

lastly, the geographic spr ead again, I will reiterate that it's an important beneficiary for us during a period of crisis. So, with that, I will hand over to you Mahesh.

Mahesh Iyer: Thanks Madhavan. Good afternoon everyone, and I will just take off from where Madhavan left, a quick summary on the numbers that we have at a consolidated level. We look at the income from operations, we grew by about 9% as Madhavan said from Rs 1871 crores to Rs 2043 crores. And what worthy here is to look at the PBT number as Madhavan spoke about the PBT margins, we expanded from about 4.1% to 5.2% that's about 110 basis points improvement on the PBT margin. If you look at the absolute number, we delivered a PBT of Rs 106 crores, which is more comparable with what you look at a seasonally very str ong quarter, which is the April, June quarter. So, despite the fact that this is not a seasonally strong quarter, as a group we have delivered a strong set of numbers, led by the travel services and within the travel services, the DMS operations, Sterling Holiday Results, and of course, the MICE and the Corporate Travel Business within Thomas Cook and SOTC. Noteworthy what we also mentioned here is the foreign exchange services which has had a very good run in the current quarter. And I will give some synop sis of that in the segmental review. Moving on to the seg

ment side of it. And if you look at the foreign exchange business, the income
from operations grew by about 8% from Rs 77 crores to Rs 84 crores. I will call out here again and as I have been saying in the last three quarters, if you look at the Q2 of FY24 we had the Bangalore airport sitting in Q2 FY24 which is not there in Q2 FY25 and hence they are strictly not comparable. If just to put a number to that, that Rs 77 crores had a Rs 5 crore of re venue sitting from Bangalore airports. It didn't have an impact on EBIT or EBITDA, purely because it was a break even case, but it

did have an impact on the revenue side of it. So, if you look at from that growth point of view, essentially this growth will look more like a 10% or 11% growth. If you look at the EBIT margins, they have expanded from about 37% to 48% and if you recollect we have guided the market to a 45% EBIT margin. And this 48% that we are talking about in the current quarter compares to th e sequential quarter, which is the April, June quarter where you are close to about 50%, so we have been holding on to these margins, and sequentially healthy margin that we have.

Some of the key highlights on the foreign exchange business has been the gro wth in the retail business, our overall retail business grew by about 23% in the current quarter, led by education, which is the overseas education business, which grew a strong 49% as compared to the comparable quarter last year. This was driven by a strong rebound in the US market and also in the markets of Australia. Canada was subdued and as you know, there is a lot that's happening there, and we expect

the impact of that to continue in the next year, also. So, not much to be expected o ut of Canada, but markets like US and others will catch up on the deficit that will come out of Canada. If you look at our card loads, they increase by about 6% in the current quarter as compared to the previous quarter. So, we are talking about $250 milli on of load s that we did in the current quarter. Now, if you look at from a run rate point of view we are inching closer to a billion dollar mark for the full year, and my expectation is that we will come very close to that number.

During the quarter we als o added two new currencies to our forex portfolio, forex prepaid card portfolio, which is Saudi riyal and New Zealand dollars, which means now we have more options for the customers to choose from, also reducing the dependency on customers looking at curre ncy note and preferring prepaid cards as an offering to go. Speaking about the digital side of it, I spoke about it last time around, we have invested in a lot of technology, using technology not only as a route to get across to the customer, but also to m anage productivity. Our app bookings , the forex app that we launched has actually grown by about 119% albeit on a small base so if you look at the number of transaction s, same quarter last year, we were at about 68 transactions we a re at currently about 140 transactions. So, clearly, 2x growth that has happened in that range, in a limited period of time. On the VKYC, which is the video KYC, we have had about 1350 + bookings, which represents an 85 % or close to about 80% -85% g rowth, and also high success rate and 85% success rate on a digital mode is remarkable. And there are some fine tuning that we still need to do on this process to make it far more seamless for the consumer. And we are working at it.

WhatsApp, as I mentione d previously again, which generally is used by most companies as a service tool. We are actually using it as a sales tool. We have close to about 2000 interactions that happen on WhatsApp every day. We have about close to 5x growth in terms of leads and we have about 370+ bookings that have happened through that. Consequently to these initiatives that we have taken, the EBITDA improved for the business from Rs 29 crores to Rs 42 crores and EB IT i

mproved

from Rs 29 crores to Rs 41 crores. And in a healthy E BIT margin of 48.8%.

Looking ahead, into the quarter of October to December, we believe there will be some softness that will come in the month of December, because a lot of travel is not happening during that time, or spends will rise as compared to loads. We believe that the business is poised to that 8% - 10% growth in terms of revenue and about 12% to 15% growth in EBIT, and our guidance to the EBIT margin on this business remains steady at about 45%. Moving on to the travel vertical, as we have spoken about it in the past, there are two segments of B2B and B2C to it. And as you will realize, the

pie consists of the MICE, Corporate travel, Holidays and DMS. So, if you look at it from an income from operati ons perspective, they grew 11% from Rs 1432 crores to Rs 1591 crores. That's a strong growth of about 11% on a very high base. If you look at from an EBIT margin point of view, if you will again recollect, we guided the market for a full yea r guidance of close to about 5%. I am happy to report that in the current quarter our margin stacks at about 4.9% , this is at the backdrop of a very strong comeback on the DMS performance, as Madhavan and Debasis will speak subsequently, we have had some g ood accounts coming out of it. A lot of those units, which were either break even or loss making, have turned profitable and they are adding to the profit margins in the current quarter.

If you look at the mix of business, 24% of our business is B2C, and 7 6% is B2B which consists of the DMS, MICE and corporate travel. If you look at some of the key initiatives that we have taken, or that's helped the performance during the quarter has been, are range of product offerings for the customer, be it in the long haul or the short haul side of it. We guided the market last time around that we expect a bit of a longer summer this year, and we saw some shades of it in the July, September quarter, while long haul continued. It was not a very strong long haul, but the short haul and the domestic side of the business actually held the business very strongly in the current quarter, we actually saw the short haul business growing by close to 30% and the domestic business actually growing by about 10% during the current qua rter. You will appreciate that domestic is not the flavor of the season, people preferred the delay or rather the delay in travel that happened because of the elections in the April, June quarter. Actually it resulted in travel happening in the July, Septe mber quarter and hence people prefer to do the short haul destinations thandomestic. But if you look at the overall domestic portfolio on an H1 basis, the full year that we did for FY20 , we are actually at the same level in H1 of 2025. So, clearly, the comeback on the domestic side is very, very strong. The short haul side of the portfolio is also firing very, very strongly.

Our focus on digitalization, on this business continues. We were trying to acquire customers digitally, and conti nue to do a lot of activation on the marketplace. Would have also seen that we have gone to the market with our offerings on Europe for summer of 2025 with some attractive price points. And I believe that we are trying to excite the market as we prepare ou r journey for the long haul in FY26. If I talk about the MICE businesses, as you will again recollect, last year we had the benefit of G20 and government events that happened during this quarter. Obviously, this whole year we haven't done any G20 or govern ment initiatives. Notably so because of the election and some indecisiveness on their part. But despite that, our MICE business continued to grow ,

specifically mention of SOTC, while they are having a record year , they will actually surpass all t heir previous numbers in terms of top line as well as profitability. As far as Thomas Cook is concerned again, w

e are having a good year. My expectation is that we will close on a high on the MICE side this year too.

If you look at the destinations that we have covered, right from USA down to New Zealand, we have got customers traveling all across which also says that almost all the markets are now ripe, and customers are choosing their destinations to travel, and we are making them to travel to. If you loo k at the corporate travel business again, if you look at the mix of the pie you will look at it as a small contribution of 2% but that's because we only recognize the revenue here. And putting that call out, because this question usually comes out to us , saying why is it a small component but if you look at the portfolio, that's a very strong portfolio, that's about close to Rs 650 odd crores of volume every quarter. In that, volume has grown by about 13% in the current quarter as compared to the comparable quarter last year. We added six new corporate accounts during the year, digital adoption has been very high, we nudged that by about 400 basis points moving from 54% to 58%. Again, we have spoken about margin expansion as an opportunity on this business. If you see our non-air and car business, they have grown by 49% and 23% respectively. I had mentioned this in my previous conversation also, our focus is on the non -air side of it, which is we believe the margin expansion will happen. And we have executed well on that front.

Overall, it's been a good journey as far as the travel vertical is concerned, both on the B2B and the B2C side of it. And we believe that the growth rates that we have indicated to the market will help sustain this in the medium term. D ebasis you want to talk about the DMS.

Debasis Nandy: Yes, thank you Mahesh. So, as Madhavan said, and Mahesh was alluded to it, the DMS business as well as the inbound in India grew by about 25%during the quarter. Of course, this is not the se ason for the inbound business in India. This isn't really starts on October and goes on till early April. But nevertheless, in spite of that , it has a descent quarter. The overseas DMS business grew very strongly, especially markets related to Southeast As ia, where you have entity called Asian Trails, we saw good growth in countries like Thailand, Indonesia, Vietnam and Malaysia, as well as Singapore. Likewise, in US, our unit Allied T -pro experienced strong growth in this quarter, largely because of group travels. And South Africa delivers steady growth in this quarter with focusing mostly on the group travel as well as MICE.

Our unit in the Middle East, Desert Adventures, lag ged behind, primarily because this was not the seas on for Dubai or UAE. This is the summer for Dubai, and also it did get influenced by the geopolitical tension that exists in the Middle East . . In East Africa, the performance has declined slightly because one of our key customers had gon e bankrupt in the first quarter we have spoken about that in last meeting that we had, and obviously it is taking time to recover lost ground and find new customers to replace that volume. But overall, it's worthwhile saying that the DMS business has reall y sort of come back on its own. It has recovered greatly, and today as a group of companies, it's a far cry from what it was when we took them over in 2017, that has become profitable. And between the DMS and the inbound India business, they contribute to 50% of the overall travel sales and volume. With that, I would now like to hand over to Vikram Lalvani and his team in Sterling.

Vikram can you take over from here?
Vikram Lalvani: Yes, sure thanks, Debasis. And good afternoon, ladies and gentleme n I am Vikram Lalvani, the Managing Director and CEO of Sterling Holiday Resorts Limited. I am based in Chennai, and I am also joined by Mr. L Krishna Kumar, our Chief Financial Officer of Sterling. It's such a privilege to speak with all of you again toda y. I am pl

eased to announce that Q2 FY25 marks our
17th consecutive profitable quarter at Sterling. Q2 is typically the leanest quarter in the leisure business as we are all aware. Sterling has delivered a respectable EBITDA margin of 32.7% up from 31.9% i n the same quarter last year. Our EBITDA has grown by 25% from Rs 313 million to Rs 391 million, and our EBIT has increased by 24% in value terms, resulting in margin improvements of 80 basis points and 50 basis points respectively. From a turnover point o f view, we have grown by 22% reaching close to INR 1200 million. During this quarter we also took the opportunity to ramp up our inventory supply, and we have added and opened five new resorts in the previous 90 days. This brings a total resort count now t o 54 resorts across 47 destinations in India, and with over 3000 rooms. So, Quarter 2 actually we had two milestones achieved. One is the 50 resorts, and the second is 3000 rooms. I am also pleased to announce that we have achieved these two milestones in Quarter 2 by September 30th of this year.
Just to give you a sense of indication as to how the ramp has taken place in the last 18 months, we have added practically on an average, one resort a month. We remain committed to our focus and strategy of expansi ons to an asset right model, thus adding revenue lines going forward. And we have a pipeline of another 23 resorts , slated to open in the next 18 months. We will continue to invest in strengthening our leadership, given the ramp that's comi ng in the next couple of months, investing in pre -opening leadership teams, and shall also continue to invest in the right

opportunities involving technology and processes for efficiency and scalability. As you are aware in the past, we had putting a lot of investments in revamping our entire ERP system , the back end and changing our entire property management , the front end. Apart from that, we have also launched Sterling One, which is our proprietary digital distribution platform, and we are now investin g also in leads generation platforms as we go ahead.
In Quarter 2, our occupancy rate was 49% which includes the new resorts added during this quarter in a staggered manner over these 90 days, with over 250 as a room base. So, therefore there was a increas e in 8% in the total inventory. We sold 124,000 room nights in the quarter, when compared to 113,000 room nights in the same quarter last year, and we maintained a healthy average rate despite a lean season of Rs 5400. Our F&B revenue has shown a strong growth of almost 18% year - on-year, driven by increased participation in dining at our resorts, food and beverage remains an important area of focus, and we expect it to contribute to our top line as well going forward in the coming quarters.
We continu e to remain debt free and with healthy cash reserves, as previously communicated, we sunset the acquisition of members for a long term membership product that is the 25 years in July 2023 as part of our shift towards ramping our hospitality segment . This strategy also enabled us to expand our number of resorts quickly and on an asset right model, just to give you an indication again, that last year same time we had 41 resorts, and today we have 54. I would also like to share that with effect from Septembe r 2024 we have also sunset the acquisition of new members for our short term membership product, which is a 10 year term and have significantly reduced its member acquisition activities during this quarter. As a result, Sterling will no longer acquire new vacation ownership customers, but will continue to service our existing eligible member base by focusing also on growing our hospitality business. On the customer satisfaction front, we have seen significant improvements in our Trip Advisor ratings, 65% of our resorts are now ranked in the top five in their respective locations, and 25 resorts hold the number one position

in the market.
Looking ahead, we expect our Q3 to be a strong quarter, given the holiday season that's kicked in and the wedding season a s well. On a longer term basis, we continue to remain optimistic on a growth trajectory. We expect the demand to continue to grow at a CAGR of approximately 10% over the next few years and driven primarily by a strong domestic demand growth of 20% that's w here Sterling's major focus is. We are excited about our ongoing portfolio expansion plans as well. That adds on to new lines of businesses on the top line and shall continue to focus on delivering strong

financial performance and enhanced customer experie nces as inclusive as well as –(inaudible 25:32). Thank you.

Debasis Nandy: I would now like to pass on and hand this over to Mr. Ramakrishnan, who will talk about DEI.

K.S.Ramakrishnan: Good evening ladies and gentlemen. My name is K S Ramakrishna n, I am the president and CEO of DEI. We at DEI had a fairly challenging, but anticipatedly challenging quarter. It's not our best quarter in the year always particularly because most of our business is in the Middle East, and it is the warmest month in th e Middle East for that matter. Our revenue has dropped from Rs 235 crores in the previous year's quarter to this year to Rs 209 crores. This drop has been largely due to one of the US operations closure. Looking into the profitabi lity, we had decided to wind down the US operations, which had a revenue gap and has a costeffect until the last quarter of this year. The geopolitical situations, as quite a few of my past colleagues have mentioned, has not been in our favo r in the Middle East, and Maldives in particular. But with the US presidential elections of f the back we are anticipating the environment to get a bit better.

To hedge ourselves we have focused a lot on our acquiring more accounts in the far East, for exam ple we have grown the Indonesian market by 50% this year, which will continue to be accretive in quarters to come. In our business typically when we start, when we expand into new partnerships, it takes about two to three quarters before we start de livering profitability on the same. As we hit the peak season this quarter, we believe the pent up travel from the Western tourists will be hopefully in our favor both in the Middle East and Far East. To add to this, the quarter also has been challenged wi th again a planned double cost that comes to us on our technology implementation. This would probably continue for another quarter or two as we go live on the second half of next year, fully with our new technology solution.

Over and above this, the good p art of the business has been that we have had some successful renewals of 13 odd partnerships between UAE, Maldives, Malaysia, Singapore and Indonesia. More than 80% of our key partnerships that was due for renewal for 2024 has been renewed. There are 14 n ew partnerships signed in the UAE, Maldives, Malaysia, particularly in Indonesia and China we have had about eight new partnerships signed up. Nine of these partnerships have already been launched as operations, predominantly in Malaysia, Indonesia and Chi na. On a concluding note, this while is an aberratio n, as I call it and will be there for a quarter or two, but would not be a norm. We are very hopeful that the future looks much better than what it was in the past. Thank you very

much. Deba sis Nandy: Madhavan may just make some closing comments before we start with the Q&A?

Madhavan Menon: I will draw your attention to the last paragraph in my statement made in the press release, is that, so far our primary, our first priority w as recovering the business volumes, and our focus looking forward is on ensuring sustainable growth and profitability. This is an important point that I would like to reiterate, because it does allow a degree of change in our focus. Thank you.

Moderator: Thank

you so much. We will now begin the question -and-answer session. The first question is from the line of Chetan from Systemati x. Please go ahead.

Chetan: My question is on DEI, where all our bu sinesses are showing steady growth, DEI has seen a high single digit decline in the first half of the year. So, what kind of growth and margins can we expect for the full year and for FY26?

Debasis Nandy: First of all, before I hand over to Ram , let me also just remind everybody on the call that it is against our policy to make forward looking statements. So, we can talk about the performance of this quarter for which this call is intended, and we can talk in general without any numbers, about h ow the business is shaping up in the current quarter. But if you want definite guidance in terms of numbers for the rest of the year or even the year after, we would be constrained to avoid that. Thank you so much.

Chetan: Qualitative guidance would do.

K S Ramakrishnan: So, to answer you, as I said, the last quarter in fact the last two quarters are not our best quarters. Our best quarters are the next quarter, that is October to December and January to March. From that perspective, fundamentally, our busine ss is looking robust and strong from our operational perspective . We did close US, and that was a sizable reason. The reason we closed it was it not profitable. We took that call to make sure that we focus towards only profitable businesses. So, on that aspect we are staying pretty comfortable. As I said, one of the biggest reasons was the geopolitical scenario. 50% of our business is focused between Middle East and Maldives and that, I guess I won't have any foresight of how quick it will get settled out . The current trend looks that it's getting better, and hopefully we should not have the same thing recurring next year. As far as future goes, we are, as always been focusing on growing our business. We have been signing new businesses all the way through for the last couple of years, and that will continue.

Chetan: Okay, thank you. And one more question, what is the cash for the business, excluding the restricted cash for forex as on the end of the quarter?
Debasis Nandy: Okay, so we have ove r Rs 1800 crores of cash on our balance sheet on which about close to about Rs 1500 crores is on account of the float. So, the balance can be considered to be unrestricted. And by the way, I would also like to mention the BPC cash is not really restricted , yes in terms of of long term usage we cannot use that money for long term but it is perfect within the rules to use that money for short term purpose, for managing working capital.
Moderator: Thank you so much. The next question is fr om the line of Dhaval Shah from Girik Capital. Please go ahead.
Dhaval Shah: I have a couple of questions. Sir first question, bookkeeping one. So, what is the India outbound number for the quarter, which was 610, last quarter?
Mahesh Iyer: Dhaval , this is Mahesh. Thank you so much for the compliment on this performance with that number that you are referring to is Rs 385 crores.
Dhaval Shah: 385 this is including both long and short right?
Mahesh Iyer: Excludes domestic.
Dhaval Shah: Yes, exclu de domestic, this is outboard India, including long haul and short haul.
Mahesh Iyer : Yes.
Dhaval Shah: Got it. And sir, my second question is, on that RBI, some paper which was floated, I forget the name which was we should have basically led to consolidation in the forex market. So, any new development happening on that, you would like to highlight?
Mahesh Iyer: Dhaval, we haven't heard on that. We understand that there have been conversations and if I have to just look at an indi cator for that, in the recent past over the last two quarters, RBI has been cancel ling a lot of FFMC licenses, and there will be multiple reasons for it, not saying this is directed towards that policy only

, but a lot of cancelation that I have seen indica tes that, RBI is likely to move in that direction, but I am conjecturing at this point, I don't have data to do that, but on this specific policy that we referring to which is around consolidation and trying to govern a few set of entities. Th ere has been no fresh update, either from RBI or no discussion paper. Obviously, there was a discussion paper that was rolled out. And as industry participants, we have participated and given our view also on that.

Dhaval Shah: Got it. And sir my third qu estion is again, on the outbound travel so broadly when we talk about upgradation of the consumer, more premiumization. So, in our outbound business, how do we see a customer upgrading. So, one is, taking its first foreign holiday, or it could be taking on e more holiday, and within that foreign holidays, do you see a trend where, they are upgrading from your say, a different categories of packages, an upgradation within that anything, just to understand the trend of how the spending is changing over the las t three year period?
Mahesh Iyer: Last three year may not be a good comparison at this point in time, purely because we have seen only recovery coming from ‘23 and we are in ‘24 so I really don't have a ‘22 data to comment on, but just to give you a sense on how the market behaves, typically we can acquire customers as first time holiday seekers going overseas, or they could be domestic travelers. You will appreciate that Thomas Cook was not a dominant domestic travel player prior to 2013 -14 it' s only in 2013 -14, that we started to do some noise around this business, and we build it to scale at this point in time. And, India is a very dispersed large market, so we are not relevant at every place. We are looking at certain markets, certain states and then we are very focused on those, and that's where we want to continue to build, because otherwise we will be very irrelevant and a small market share in many of those parts where people travel to . So we have chosen our space where we want to be, and we are wanting to stay relevant to that market that's point one. Point number two, from a customer lifecycle or customer journey point of view typically, it could be acquired as a domestic customer, who then probably will take a short haul trip with us an d then migrate to become a long haul travel ler. Even if he comes to us as a long haul journey, he may probably start with a group tour around Europe, and then probably go to US and Australia again on group tour. And in most cases, what we see is that peo ple who actually have gone on a group tour either to Europe, then become an FI T customer and you want to do a little more deeper to understand the culture, experience the culture, food and others in those specific countries. So, that's the journey typicall y customer follows. Prior to the pandemic, we used to have about two and a half times, that's the kind of repeat ratio that we had for a customer. We have not been benchmarking that today. Obviously we have to have two good seasons behind us to kind of sta rt tracking that again. But probably somewhere in FY25 - 26 we should be able to start projecting those numbers again.
Dhaval Shah: Interesting. And lastly, sir this Cox and Kings has been acquired by a PE and so any comments you would like to give with reg ards to, what you expect in terms of competition, and they

have acquired couple of Indian brands also, holiday package brands. So, any thoughts on that. So, last two years, when we were discussing about the players in Indian market there, as SOTC we

acquir ed, Cox and Kings was out, and now that old brand is coming back to the market. Maybe it will take some time, but any thoughts on it?
Madhavan Menon : Dhaval, it's just an announcement of that having acquired the brand, it's too early to make any p ronunciations about how successful the brand will be at this

stage, so we will
refrain from commenting on it. Let's wait and see. This market is big enough for another startup. And I am using the word specifically startup because the owners of the old bran d are not the owners of the new brand. This is in a completely different environment, so we have to see how the startup functions.
Dhaval Shah: Interesting and any inflationary pressure do you see on your cost going forward?
Mahesh Iyer: So, D haval not actually if you see, as I mentioned, if you look at our EBITDA and EBIT margins, we have been holding steady on our gross margins, or rather improved in some cases, like on forex, we have improved by about 10 basis points, if you look at the holi day or the B2C side of it, we improved by about 50 basis points. So, we are seeing some expansion on margin, low inflationary pressure at this point in time. And we have been fairly good in terms of managing our costs also, and discretionary cost, where it has to be. We have been very cautious about how we spend our money, and as I said, our focus has been on the digital adoption, we have been spending money on the technology side of it, improving productivity. So, we are trying to fin e balance that, so th at the inflationary pressure, it will come by some point in time. But we are managing it even better, just to give you a case in point, if I look at the H1 numbers, or rather the cost numbers they still trend 15% below what we were in FY20. So, to tha t extent, we are managing it fairly well.
Madhavan M enon : I will also add that some of the input cost in our industry have been high for some time, especially airfares and hotel rates. So, these are stabilized so any inflationary pressure in terms of t he costs other than maybe salaries, in reality may not be significant.
Dhaval Shah: This you meant for domestic, hotel and airfare, or overseas also?
Madhavan M enon : Internationally, as well as domestically, airfares are fairly stable. If you look at the last couple of quarters, airfares have been stable, hotel rates while they are going up in certain markets. In reality, they are more seasonal otherwise, they have been stable. So, their contribution to inflationary pressures will be limited. I am not saying they will disappear completely, but it will be limited, to say the least.

Dhaval Shah: Understood. So, in that context, generally if we compare some domestic destinations, the airfare plus the hotel is expensive, then going to Southeast Asia, or go ing to Dubai, or somewhere in nearby on a short haul outbound. So, are you seeing a trend, more and more trend we have been discussing this since couple of quarters on the call, but you see that trend continuing and increasing where customer is making a co mparison and then taking a outbound package?
Mahesh Iyer : So, Dhaval, people do that comparison, they will compare a domestic versus a short haul to that extent. But please remember that when you look at the domestic in the price point that you see high either whether it's on the hotel or it's on the airfare, this is more like the weekend, holiday, long breaks, kind of a period. There are the shoulder months, or the shoulder weeks or shoulder days, where you actually don't find that kind of high pric e, the data point that Madhavan was also referring to is that, you look at our corporate travel, and that's a good barometer that we use, if you look at the average ticket price on the domestic side, they have remained flat compared ‘23 to ‘24. On the inte rnational side, actually we have seen close to about a 1% dip, average price. There will be the separation that you will see on certain destination, on certain segments, but overall, they have remained flat.
Dhaval Shah: Okay, great. And sir on MICE, how many in terms of the corporate holidays, what we do for corporates, that would, how many new customers you would have added in last one year, any data point you can share?
M

ahesh Iyer: Not offhandedly, but I guess if I have to just do a quick b ackup done, look we would have added about 20, 25, 30 customers to our portfolio. On an average two customers a month, that's the kind of run rate we run.
Moderator: Thank you so much. The next question is from the line of Neerav Savai from Aba kkus . Please go ahead.
Neerav Savai: So, my question is pertaining to this other income part, is it mainly related to the

forex float which we have, or any breakup if you can provide?
Debasis Nandy: Largely, hi this is Debasis here. Largely the increase in other income, which has gone up from Rs 27 crores to Rs 43 crores, is contributed by the additional interest on the bank deposits. Each out of the Rs 16 crores comes from there. And there is some exchange gain on foreign currency transactions, which is contribut es to the balance. There are some pluses and minus here, and there, I am not getting into the small numbers, but these are the two primary reasons.

Neerav Savai: So, generally, on every quarter basis, we see some fluctuations happening because, you put the forex part separately, and then there is other income apart from the forex part. So, how do we see this going forward, at least for FY24, excluding the forex part, any number if you can help us out with?
Debasis Nandy: I can't give you a numbe r, but as a principal again, it's very easy to say that the interest and bank deposit will continue and actually will rise with the volumes, because the company has a lot of cash, which is trying to deploy in safe deposits with banks and other places. And therefore the returns of that will continue to increase the other income. Of course, things like exchange gain is something that we can't predict that would obviously fluctuate quarter -on-quarter, but the bank interest and deposits will continue.
Neerav Sa vai: Alright. The second one was on the tax rate side in the last call you had alluded that you will continue with the previous regime for FY25 and how long would this continue, even for FY26 would be having higher tax rate, or how do we see that?
Debasis Nandy: So, you need to consider the fact that Thomas Cook is not one company. We are talking about multiple companies in the group , for example there are four companies in India, four large companies in India or rather I can say five. , Except Thomas Cook, others have shifted to a 25% tax regime. However, Thomas Cook is in old tax regime because of reasons which I have spoken and you are also aware of it because of carry forward match benefits, et cetera. And it will tak e us another couple of years to sort of utilize that and move out of it. Thomas Cook continues to as on a standalone basis, continues to be the most profitable and therefore the tax rate, the Thomas Cook pay, plays a significant role in determining the ove rall effective tax rate. And of course, overseas entities have taxes at various rates that also has a role to play in the overall ETR.
Neerav Savai: So, I understand the overseas would be relatively much lesser than 34% we are paying here, right?
Debasis N andy: May not be actually, we always think that taxes overseas are lower. It may be lower in places like US for example, when the last President brought it down. But there could be higher in certain other destinations.
Neerav Savai: Okay, so ov erall at consolidated level.
Debasis Nandy: Finally, one thing that I started off with this, and let me also end with this. One thing that we need to keep in mind is, what is the contribution of Thomas Cook as a standalone entity to

the overall PBT, if I take the current half year, it's easier to do it on a half year basis. If you look at the entire half year, the total PBT is about Rs 219 crores, out of which our Rs 125 crores has come from Thomas Cook. You can see that reflecting in our stand alone and the consolidated results. So, Thomas Cook effectively is mor

e than 50% of the total, and Thomas Cook tax rate is about effectively
on about 35%. So, therefore that has a bearing on the overall tax rate, and does it make sense or should I?
Neerav Savai: Subsid iary performance and international companies would have also become profitable now, which were not there, particularly last year?
Debasis Nandy: There is also a seasonality matter, like for example, in a given quarter, some units made profitable, but other units may not be, so even in a like for example, let's talk about TCI. TCI will not be profitable in the first six months of the year because the season starts from October. Likewise, Desert Adventures in the Middle East will probably be profitable only in the last six months and not in the first six so, there always the fluctuations exist. So, what would finally matter is actually the overall tax rate for the year, rather than going quarter -by-quarter. Bu t for guidance, you can consider it to be in the range of, 30% -32% -33% because Thomas Cook will continue to have the highest weightage.
Neerav Savai: Right, but 32% is something which you feel at consolidated level and annual basis, it should be?
Debasi s Nandy: Yes, there could be a percentage here and there fluctuation, but by and large that's the guidance.
Neerav Savai: Right. And lastly, what could be the total value of land which we are holding now?

Debasis Nandy: Vikram would you like to answer that question, what is the total value of land held by Sterling?
Vikram Lalvani: This is what we have, so close to Rs 500 crores.
Neerav Savai: Okay. And Sterling would not be using it as the asset light model is something which will c ontinue going forward?
Vikram Lalvani: Yes, we are using an asset right model right now, when we get into green fields, we will evaluate at the right time when to get into green fields, the opportunity is there right now to ramp the portfolio using an as set right model, because that's a faster way of ramping, number one. Number two, even in our existing resorts, our own resorts we have potential to sweat the asset. For

example, in our Kodai valley, we have 108 rooms, but we have actually built the entire back end for 150 rooms. So, this incremental CAPEX that's required to expand even in so me of the current assets. So, those are the priorities right now, as and when we get into a green field, possibility of feasibility, we will certainly look into tha t. But right now the focus is on the first two.
Moderator: Thank you so much. The next question is from the line of Deepak Lalvani from Unifi Capital. Please go ahead.
Deepak Lalvani: Sir my first question is on the B2C travel, we have recovered about 60% versus the pre-COVID levels in the first half. So, can you provide an outlook on this number going forward?
Mahesh Iyer: Deepak, hi Mahesh here. We have been talking about it in the last two calls again, and I will repeat this , the patterns of tr avel have changed. Our guidance remains to the fact that we expect this to recover close to 85% to 90% for the full year. We are not changing that guidance at this point in time, unless something changes in the external environment. The mix of the business definitely will change it was driven by long haul in the pre pandemic. It's driven more by short haul and domestic now, we remain committed to that change of 85% to 90% recovery to the pre - pandemic at this point of time.
Deepak Lalvani: Understood. And s ir we were earlier indicating a higher number. So, this 90% recovery, how should we read this number, is there a challenge on our market share and relevan ce of a product, or?
Mahesh Iyer: It's got nothing to do with market share. You must real ize that we have to sell what the customer buys. If there is no demand for the long haul, or if there are challenges around visa and others, we will not be trying to push that market, because we will be spending marketin

g dollars
trying to create a demand for which doesn't exist in the marketplace. So, clearly, we have to go out with products that customers buy. And today, if you look at the social media, people are talking about destinations like Baku, Azerbaijan, Georgia, Vietnam, and that's the flavor o f the season. So, I would rather put my money where the mouth is, rather than trying to close the money on destinations that are currently not seeing traction, that's point number one. Point number two, Madhavan spoke when he was talking about the B2C busi ness, because B2C also includes Hong Kong. Now, in terms of recovery on Hong Kong because its dependency on the China traffic, we expect the recovery on Hong Kong only to be at about 50% for the full year, or maybe 55%, 60%. So, there is some shortfall tha t's coming out from the, but from India business point of view, you actually see the recovery to be closer to the 85%, 90% that we have been consistently maintaining.

Deepak Lalvani: Understood. And so your growth in DMS business is actually phenomenal. S o, what is backing this growth, what is the company doing, the initiative if you can explain, that would be helpful, and should this growth rate sort of continue basis your initiative that you have taken?
Debasis Nandy: So, I will take that question. Deba sis here. So, we have executed a turnaround strategy for the DMS business, and we started this process soon after we acquired the units, but obviously our effort got delayed because of COVID. But now post COVID we have been able to execute the strategy tha t we had in mind, which consists of several things, actually very, very briefly if I talk about the key initiatives, it was around rationalization of cost, automating the entire business, and also findi ng new customers from new source markets. So, this has been executed over a period of time, and we are now seeing the benefits of that. So, this is not something that will, it's not a flash in the time this is going to be a sustainable thing. It's an initi ative that will sustain over a period of time. And therefore we do not see any reason why the growth rate would dip. Of course, if there is geopolitical disturbance like what we have seen in the Middle East, those sort of disturbances will happen, and hone stly we cannot do much about that, but at an overall level, the growth will continue. This is what Madhavan also alluded in his opening remarks. This actually shows the benefit of having a diversified portfolio, a geographically diversified portfolio to be precise, so even if one region is affected by circumstances beyond our control, the other units will continue to

flourish.
Deepak Lalvani: Sure. And thirdly, my question is on the Sterling business, we have done well on the cost side. Sequ entially, our cost are down despite opening new resort. So, how should one view the cost line item and the EBITDA margins for the segment?
Debasis Nandy: Vikram you may like to answer the question?
Vikram Lalvani : I am so sorry, can just repe at the question again please?
Deepak Lalvani: Yes, sir. So, our cost in the Sterling business are down sequentially despite opening new resorts. So, how should one view the cost line item and the EBITDA for this segment?
Vikram Lalvani: See, w e open five hotels this quarter. But a lot of these investments in those five hotels actually were executed in quarter one, I would say in the months of May and June, because lot of these hotels would open July, August and September. So, a lot of large por tion of these costs are actually consumed in quarter one, which gets reflected in quarter one. So, as and when we open the hotels, we don't incur that expense of pre -opening only on that day when you open it, we actually incur it at least 30, 60 days out. So, therefore, when you opened five this quarter, we

actually did see that impact in May and June. And as you are aware, in quarter one

April was a very
bad month for various reasons. So, therefore, the most of the investments have actually happened in May and June in terms of pre -opening. So, similarly, this quarter we are looking at opening two or three hotels, which we have already taken that cost. In quarter four, we are looking at possibly five or six hotels to open, so which means that at least 30, 60 days out, the typical pre -opening cost starts kicking in until you open the resort, and then you are able to monetize that result. So, does that answer your question.
Deepak Lalvani: Sure it does. And sir, what should one look at the EBITDAs for th e segment, because on the last year basis, in Q1 we were down, so for the full year what should one look at?
Vikram Lalvani: Again, I will not give a particular guidance number, but let me tell you that while we saw the headwinds in Q1 we were still, while we may have been down even over the last year, we still maintain a healthy EBITDA of 33% despite the impacts even in Q2 we are about 30%, 32% and most of the hospitality industry that anything between 31% is a very, very healthy EBITDA. So, ev en going forward, depending on seasonality, if you look at it from a hospitalit y's point of view , we will be in the range of how the hospitality play is at this point in time, obviously we will try to have a premium over the rest. If you have to see Q3 and Q4 the y are much better quarters involved compared towards Q2, Q2 is always a dangerous quarter for leisure, and weather could also play the spoil sport. This year thankfully only ha ppened in one small region. It did not happen in most of the other regions as well. So, that's how it's adding out to be.
Deepak Lalvani: Got it, thank you sir.
Vikram Lalvani: We will continue to invest in leadership because these keep adding on to the revenue lines ad in m ost of these cases, it was mentioned when I had opened most of these resorts in March and right up to Q1 and Q2, in those regions like Rajasthan where we needed to ramp, which was traditionally not the season at that time, but we had to open those hotels, other which ways you would miss the season even this year, so which is why we have seen the ramp in those hotels from October onwards.
Moderator: Thank you so much. The next question is from the line of Mithun Aswath from Kiva h Advisors. Please go ahead.
Mithun Aswath: Just wanted to get a sense on the travel related business, you have seen improvement in margins despite this quarter revenues being lower quarter -on-quarter and not really being the season. What actually drives your margin, because obviousl y last quarter was

slightly disappointing in a more seasonal quarter, but this quarter, in a non -seasonal quarter your margins are higher. I am just trying to understand for us to judge how margin trajectory will move. What are the monitorables that we sho uld follow?
Mahesh Iyer: Mithun , hi, this is Mahesh here. I am not sure why you treat this as the last quarter not being a good quarter. I thought we had a strong set of numbers that we delivered in a traditionally strong seasonal quarter. So, I would lik e to stand that corrected on that one, on the point of saying what worked in the current quarter, we have spoken about it in the initial field also, and Debasis also spoke at length about it when we spoke about the DMS business. There are two or three traj ectories that have helped the margin improve in the current quarter. And I am specifically referring to the EBIT margins which has moved up from close to 3.9% to 4.9% that's 100 basis points improvement. The drivers for it is obviously the DMS business. An d I am talking in the order of priority. DMS business because some of them were either loss making or break even, they have all

started to make profits. So, those are added to the profit that we stayed on so incremental revenue has gone into incremental pr ofit also. Cost base remai

ning the same. Also, if you look at the B2B and B2C businesses within India, they have registered a strong growth. They have had 11%, 12% growth in some of the major markets, and they have also expanded their margins by about 30 t o 50 basis points, all of which has added to the increase in the EBITDA and the EBIT margins. Also to mention here, our focus has been on productivity improvement, technology enhancements, all of this which helps in reducing or keeping on cost const ant on an higher increasing revenue base.

Mithun Aswath: Right. I am just trying to understand in the first quarter we didn't see as strong a EBIT margin. So, is it that the seasonality of the DMS businesses will actually kind of drive the quarterly difference s in EBIT margin. That is what I am just trying to understand or is this structurally an improvement which we will see quarter -over -quarter now?

Mahesh Iyer: So, Mittal the way we have said it, and you will recollect, and I will request that you look at the transcripts of our previous call, we have guided the market to a 5% range on the EBIT margin for the travel business as a whole. Now you will appreciate that there is B2B, B2C in it and there is seasonality of business it's in within India and oversea s DMSs, so obviously we will find a quarterly fluctuation that will happen in this. But overall, we will look at for the year, it should end up at closer to that 5% mark, which is what our guidance to the market is, and clearly, as I said again, the driver s for it is, the margins previously did not stack up because some of this overseas DMS weren't in the profitability, and now they have started to become profitable, and they will continue

to add to our profit going forward. There will be some seasonal imp act that will come in, but our guidance to the 5% range remains good.

Mithun Aswath: Right. So, when you say 5% range, we are almost hit that or do you say the overall for the year will be 5% so the next two quarters will be better?

Mahesh Iyer : We are not saying that it will be better, but we are saying that we will work towards a 5% range for the overall travel segment, that's the guidance. So, you will have a quarter where it will look like a 4.2 %, 4.3 % because of some markets not firing or som e business not firing but overall, our endeavor is to push the margin towards a steady state of about 5%.

Moderator: Thank you so much. The next question is from the line of Sukant Garg from Equi ble Research Private Limited. Please go ahead.

Sukant Ga rg: My question is specifically from the app business. What kind of numbers do we have from Thomas Cook app and given these times where people mostly go online to search for travel needs, what is our focus on this app business?

Mahesh Iyer: So, there are two parts to this Sukant. One, while I mentioned about it, I was giving a reference to the foreign exchange app, which we just launched it's pretty young in that sense. We have seen some fairly decent traction . Am I quite pleased about how we perform ed? No. Maybe there's a lot more for us to do, and you will appreciate that a lot of GUI changes and customer experience that comes in will enhance the usage of the ad, and the app, and we have to create more use cases for the customer to keep c oming back on the app so that's work in progress. On the holiday side of it, we enter the reference that you made. People are going online, we have always said we are a n omni channel operator, though we allow the customer the choice of choosing the channel s that he wants to access us from. It could be a physical, digital it could be a call center, or a combination of all. That's how we enable the customer to come . Are we focused on pushing the customer to an app ? Yes, we are doing that to the extent that it's a straight through, so somebody coming to book probably a holiday or a vacation to Goa, or looking only for a flight option to Goa, we

will try and nudge him to go to the app so that I don't have to spend my expensive labor, priceless and expensive l abor, to end up service that customer and rather pursue a straight processing so yes, app has its own advantages and disadvantages. Advantages in the sense that, you could reduce your cost base lower, disadvantage is that, that much more upselling opportun ity is reduced. So, we will have to fine balance that, it's a journey we are also upgrading our app because we also believe that for it to become a self -serve customer, customer usable app, there are changes that we need to do.

So, as you will see, we keep adding more features to the app. Currently, our focus has been on servicing customers who are booking our holiday and that's what we focus on it over the last six months or so, and now we are trying to make it a sales app where we will engage a lot more w ith the customer, along with the service options so that he sees more compelling reasons to keep coming back on it.

Sukant Garg: So, I can say that our share from the application business is going to increase in future for you or the competition like mak e my trip or Yatra have such high app downloads, and the customer accessing those apps will hamper your business in future?
Mahesh Iyer: The way I would look at it is that, our digital businesses will continue to grow that's our focus, that's g oing to be but it's a choice that the customer makes how he wants to come across to us. We will nudge the customer to go digitally and transact with us, but please understand for an experience business that we are, for an higher ATV business that we are, a lot of customer choose to work with us offline or through a contact center. And that's how this business is stacked up, but yes, if you look at from a trajectory point of view, our online adoption, or rather our online penetration on the holiday business in specific was in single digits prior to the pandemic we are currently closer to about 15%, 16% so, we kind of improved our journey there, and we will keep investing in growing that journey as we go along.
Sukant Garg: Okay. Another question is for from Sterling Resorts, I believe you said that you are pausing some new customer acquisitions for the resort, have I heard it correctly?
Vikram Lalvani : I am so sorry, I didn't get your question again can you repeat it, please?
Sukant Garg: So, I ju st heard, while on this call only that you are pausing new customer acquisition for Sterling Resorts. Have I heard it correctly or is there some?
Vikram Lalvani: That’s right, we had paused it for the long term membership last year in July, and we have not bought even the short term membership, which is a 10 year product.
Sukant Garg: So, just wanted to know why we have done this in the light of where we have only 50% occupancy in those resorts there are lot more that needs to be covered. Is th ere any specific reasons for that?
Vikram Lalvani: See, the idea is actually to move towards the hospitality segment, we understand that there is a headroom in occupancy and despite the fact that imagine the headroom we are able to actually mee t actually, our growth will be far more phenomenal. We believe that, the hospitality

segment has room to grow that's how we have been able to even scale and expand and add new revenue streams and new revenue lines. We do have headroom’s and occupancies to that extent the upsides are there. Also number two is, this being the leanest quarter in those nine days we just had three days which are holiday dates, which are typically those Independence period. How leisure business works , out of 365, 9 0 to 95 days are the days where you access revenues through occupancy And in the remaining 270 days, you are actually filling up a volume using other segments, like MICE, weddings and various other demand generators to induce people to travel even during a week day. That's

why you are attracting different market segments and et cetera. So, to that extent, the headroom is there. But we believe that the future growth in Sterling will be when we are in the hospitality sect or. And in fact, as we say that we have been recognized very much as part of a hospitality and more and more today, in fact we are even in the top 10 in the country as far as the number of hotels and locations are concerned, and we will continue to keep gr owing that route.
Sukant Garg: So, are you saying that we will be in spite of holding down new customer acquisitions, we will be, still be moderating or still be moving into the resort like the hotel business kind of a thing?
Vikram Lalvani: Yes, that’s the idea and only the member acquisitions have stopped. We are servicing the existing members that we have and in fact, if you see that is also an advantage for us, because fulfillment is happening even during weekdays which is traditionally a low demand period. So, we are well poised to that's how we have been able to transform and scale as well, if you have tracked us in the last two and a half to three years, and we believe that this is the route that will make us succeed.
Sukant Garg: Thank you for that. Just want to have one remark, kind of a suggestion that we have, have asked a question on application, and my point with the application is that, because we have a very low kind of star ratings on applications of Thomas Cook with certainly, I am not say bad, but certainly not so good reviews. And if we can monitor that, we can get away with that. That would be a nice thing, as I have heard with my own friends that, using Thomas Cook they first go to the application reviews and then might cont act Thomas Cook for that, use it as a suggestion and nothing else, so that’s all.
Mahesh Iyer: Sukant thank you so much for that suggestion. We take that on board, and I will just like to reiterate here, look our app journey is not fully develo ped, and one of my colleagues here in the room just reminded me that our website that we use is very mobile friendly, so our journey has

been more on the website at this point in time, and app is work in progress, so we are not fully

there, but your sugges tion and recommendation from your friend is well noted. We will look at that. Thank you so much.
Moderator: Thank you so much. The next question is from line of Akshat Bairathi from RSP N Ventures. Please go ahead.
Akshat Bairathi : So, I have just two questions. One is on the financial service margin guidance. So, we have been guiding the market for 45% and we have done around 50%, so would you like to reiterate the guidance, or are we seeing any, are we expecting any dip in t he H2 and my second question is a book keeping question. So, in your segment results, there is a line item below EBIT that is common expenditure. So, before just understanding, can you tell us what are the expenses that are included in this. Thank you.
Mah esh Iyer: Harshit, I will take the first part of it, and then leave it to my CFO to come on the second part of it. This is Mahesh, your question. Yes, we have done well in the last two quarters in terms of our EBIT margins, and it's stacking up really wel l, but our guidance to the market remains at about 45% doesn't mean that we are going to lose or we are going to give away the margins that we get on the business. But, it's more important that we give a steady state kind of thing, rather than talk about o ne offs and one time, because you will come the next time around and say that your EBIT margins have dropped. So, I don't want to be saying it. I am talking from the lens of saying what the business is now it operates. Obviously, if there are opportunities for us, there are these onetime things that come our way, and we take the benefit of that. Clearly, you will see a shift that may happen over a period in time when our portfolio on the prepaid ca

rd keeps growing, because
that's what the dependency on cash will go down. And when you look at the prepaid you will not only make exchange margins, but you also make money on the float, which all adds up to the overall margins in this business. That's the way it stacks up, but it's a journey we continue to be guid ing the market to the 45% but obviously we are not going to leave away any opportunity that comes our way to grab that additional business (1:13:50) that come.
Debasis Nandy: On the second part of the question, which is on common expenditure, these are expenditure incurred which is not allocated to any of the businesses, any of the four segments, but kept at central level, those are the expenses, and those are regular I really don't see too much of movement in those expenses. So, you can consider wha tever the current level expenditure that will continue for guidance.

Moderator: Thank you so much. The next question is from the line of Meet Shah from Finovate. Please go ahead.
Meet Shah: My question is B2C side of the business. While we have given the new guidance of around 80% of the recovery of FY20 numbers, despite lowering our guidance, we still need to grow 70% in the second half of this year, and generally the second half is kind of slow compared to the first half. So, do you really see that we w ould be able to meet this number?
Mahesh Iyer: So, Meet, as I said, you have to also look at the overall portfolio as to how it's shaping up, the deficit that you see is coming out of the long haul, and not necessarily out of the short haul, short haul and domestic is actually firing. So, for us, when we look at a holiday , we are holiday makers for our customers. We are experienced creators for customers. So, we look at it as an overall portfolio. Well, obviously it's important to look at as to how different parts within that portfolio also play out. But if the customer preferences are changing, we want to be staying relevant to that preference of that customer, that point number one. Point number two, as I mentioned, we have not seen smart recov ery as well as one of our B2C business, which is overseas in Hong Kong, as in that recovery sub par , and we don't expect that to change dramatically over the next six months or so. So, that's also a bit of a drag on the overall numbers. But from a growth perspective, and if I have to just look at some of those forward looking trends that I am seeing, I feel very confident to the guidance that we have given in terms of the full year.
Meet Shah: Okay, that got it. And my next question is on the MICE side of the business, while we are seeing the slowdown in the economy, there is a slowdown in paints and FMCG sector, what kind of growth outlook you would like to give for the second half for the MICE business?
Mahesh Iyer: So, again, Meet. The good part of the MICE is that we start getting to get a feel of the book, the order book a little ahead because most of these events are planned well in advance. So, looking into that, we have a decent good order book. But yes, I agree and there is a bit of a s lowdown that's happening in that space. The profits earnings aren’t looking up very strongly. But, you must also understand a lot of these businesses that happen on MICE are dependent on the distribution network that they have, and when the competiti on intensifies, they have to do that much more to keep the distribution agile and active. So, there wouldn't be too much of sharp cuts that may happen in that and when new competition, or new competitors come into the market, you have to do that much more to keep it's like running faster on the same treadmill to stay where you are. So, that's the kind of syndrome that you will continue to see. So, I wouldn't worry too much about it. We have

said the business has the ability to go at about 12%, 15% on t he top line, and that will hold good for the current year,

unless something dramatically changes in the economic environment.
Meet Shah: Okay, sure. And what about the government business, because in H1 we have seen the slowdown on the accounts of electio n, and what kind of demand are we seeing in H2 from government portfolio?
Mahesh Iyer: So, Meet, we are in conversations . There are multiple bids that are at this point in time happening. Not that government has put up a lot of bids out there, specifically in the sports category which is what we did last year. There are some inquiries, there are some that has happened in fact, I am happy to report that in the month of October, we did one such event, not the government, that's semi gove rnment in that sense. But, there are some events that are happening, and we have started to participate in it, but very early to kind of predict what the next six months will be, because some of these take a longer gestation to happen. And as you will appr eciate, it's a bidding process so we will have to be very intensive and then we also need to plan for how the money cycle works, because some of those government bids money doesn't come in so very easily. And since we have some learning curve coming out of the previous experience, we want to be very careful about how we plan for this.
Meet Shah: Okay. And my last question is on the Sterling Resorts, while we have seen a healthy growth in the numbers, the average room rate is at multi quarter low. Is it onl y on the account of inventory, or is there any another reason and any guidance or any aspirational number which management would like to give ARR and occupancy rate?
Vikram Lalvani: Okay. So, let me answer on the ARR as mentioned, Quarter 2 is the leanest quarter for leisure business, and we actually practically had only three or four long holidays out of the 90 days. But despite that, a Rs 5400, 5500 is still a very respectable number to maintain and hold. We operate in three diffe rent segments of hotels. One is the upper midscale, the upscale and the upper upscale, so depends on the seasonality. So, average rates also tend to start changing, like take for example in Q3 the average rates are bound to go up over Q2 because of the num ber of holidays that we have and the number of weddings also that we have. So, it's a lot of the seasonality factor that comes into play. So, the quarter three will have a stronger average rate realization when compared to Quarter 2. As far as the occupa ncies are concerned, the occupancy, as I said , we have ramped up five hotels which is almost 250 rooms over a staggered period of 90 days, and out of a base of 3000 that we have currently, that itself forms actually 8% so to that extent, the occupancy is actually

slightly understated, because technically if I have to remove this 250 room, I would have done 49 plus 8. That would have been my occupancy percent. But in terms of number of rooms that we sold, as I mentioned, the number of room nights that we sold is 124,000 room nights versus 130,000 room nights. So, the demands gone up, the number of room nights sold has gone up, but just because there is a base increase in the 90 day period of opening. That's why it got impacted by 8%.
Meet Sh ah: Okay, but sir I was comparing average room date on Y -on-Y basis, I feel that is comparable, if not Q -on-Q.
Vikram Lalvani: Technically, if you see Y -on-Y, the entire first half it takes into account both a peak season and the leaner season , except for the fact that only this year April, when we had severe headwinds because of the elections. But technically, you see even in the month of May, I will just give you an example, we did an average rate of 7,448 . In the month of September , it wa s 5,166 and then it averaged out to what it is. So, it all breaks from the seasonality of the business and the month the average rates tent to fluctuate. This is because we have a dynamic rate system of management, numbe

r one. The fungibility of the rate c an go from a 5000 level, even up to 8000, 9000 level depending on the demand and depending on the kind of season it is in. So, to that extent, the fungibility is huge, and that's the advantage that we have. We have a high rate fungibility, the mix of resul ts will keep changing as we keep ramping up. As I said that we ramped up the resorts in Rajasthan in the first half. Now they would start producing far better ARR even in winter, because that's where the Rajasthan Hotels work, and they don't work in summer s. But in summers, you have to actually try to gather volume as much as possible to cover your fixed cost and to gain an incremental amount so that you are able to get the EBITDA that you want. So, we have to look at it in totality for both what an occupan cy and an average rate can both in combined produce, and that's what the entire effect is in terms of room revenue.
Meet Shah: Okay, sir. So, if I were to look at the two years perspective, what kind of aspiration al

numbers which we would like to on both ARR and the resort occupancy?
Vikram Lalvani: See as we all mentioned, the guidance and the aspiration numbers is something that we will avoid mentioning. But let me tell you that, as I said that the current quarter is a leanest quarter. Most o f our res orts have ramped, the idea is to actually sweat the asset so that we are able to grow the revenue line. It's a combination of volume and rate, we play very tactically, depending on demand & supply, depending on what happens . Someone was spea king about high, airline rates,

then we swivel the market into more drive to destinations, et cetera. We do this thing every day so as to actually get tactically the highest deals.
Debasis Nandy: Thank you. That concludes the session, thank yo u so much.
Moderator: Thank you so much. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Madhavan Menon I only have, we have said enough about the various aspects and the questions were very interesting and enriching in terms of the information. So, I just want to mention one thing, that based on some suggestions we received from you and queries, we have expanded the way we presented some of the numbers in our presenta tion. So, I would request you to sort of go through several of the additional slides that we have included. We believe that those will be of help to you, and we are as always open to suggestions of additional things that you want. Thank you. Thank you very much.
Moderator: Thank you so much. On behalf of IIIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

February 11 , 2025

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra■Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earning s Conference Call

In furtherance of our intimations dated January 29, 2025 , February 3, 2025 and February 5, 2025 giving intimations for the Q 3 of FY 2024 -25 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on February 5, 2025 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link :
https://resources.thomascook.in/downloads/TCIL%20Q3FY25%20Earnings%20Call%20transcript_11022025 .pdf
This is for your information and records.

Thank you.
Yours faithfully,

For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl a/a

Thomas Cook (India) Limited:
Q3 & 9M FY25 Earnings Conference Call – February 5 , 202 5
Management:
Mr. Madhavan Menon: Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director – SOTC Limited
Mr. Vikram Lalvani : Mana ging Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar : Chief Financial Officer – Sterling Holidays Resorts
Mr. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day, and welcome to Thomas Cook Limited Q3 FY '25 Earnings Conference Call, hosted by Systematix Shares & Stock Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the confe rence over to Mr. Chetan Mahadik from Systematix Shares & Stock Limited. Thank you, and over to you, sir.
Chetan Mahadik: Thank you, Sejal. Welcome, everyone, and thank you for joining us on Thomas Cook India Limited's Q3 FY '25 Earnings Conference Call. F rom the company, we have with us Mr. Madhavan Menon, the Executive Chairman and the senior management team. We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A s ession.

I would now like to invite Mr. Madhavan to make the initial remarks. Thank you, and over to you, sir.

Madhavan Menon: Good afternoon, ladies and gentlemen. Thank you very much for the introduction. I think consequent to Monday's Board meeting, we c ame out with a spate of several announcements simultaneously. And I'm going to take a couple of minutes just to address each of those so that there is absolute clarity. I think the first one I'm going to address is the fact of my own retirement. I've compl eted 25 years at Thomas Cook. And having done all that I've done over this period, I thought it was time to pass the baton on to Mahesh, who has worked with me through

these entire 25 years, part of it in the foreign exchange business as well as various ro les in management starting 2013.

As far as I'm concerned, this will

be a very systematic transition, given that both of us have worked together all these years on matters where the company's governance, performance, etc, are concerned, the transition will be much easier. And therefore, I can assure you that there should be no hiccups. Mahesh is a Thomas Cook veteran of many years. We also have Vishal and Mr. Ramakrishnan in this room , all of them are veterans in their respective fields. Each of our managing directors come with extensive amount of knowledge in their respective businesses. And therefore, there's no shortfall in leadership .

And I'll -- just to give you a sense of the level of succession planning that we have in place. Today, if anybody leaves, there are multiple choices for the number of people who can occupy that seat at any level at any position within the senior management.

So, I think the succession planning, which is a part of the group's psyche has been implemented down to the te e and ther efore , there should be no concerns regarding leadership transitions or replacements. The second important announcement that we made was obviously about the consolidation of the Nature Trails brand and its operations into TCIL's domestic operations.

Post -COVID, we have witnessed dramatic surges in some of our businesses and the domestic business was a classic case of this situation. While Nature Trails was an integral part of Sterling, Sterling themselves over a period of time came to the realization that th ey wanted to focus on their business, which is effectively in the hospitality sector Considering Thomas Cook ’s growing interest across multiple segments of the population, starting with the 25 - to 35 -year -olds and all the way up to the 40 -, 50-year olds. W e thought this was an opportunity to consolidate three resorts that are coming with this and expand our offering.

Now you will ask the question why it couldn’t have been done by Sterling. The very simple answer is that once it's in the Thomas Cook ’s table, we actually can get our distribution to focus on this and sell properties. So, I think that's the second most important thing. You will appreciate that Sterling Resorts is a 100% subsidiary, and Nature Trails is a wholly owned subsidiary of Sterling. Ther efore, doing this transaction did not require any regulatory requirements and hence it was the easiest option that we could have examined.

It also was triggered by the fact that over a period of time, we have seen other companies asking us if we were inter ested in similar segments. And therefore, we thought that this would be an

opportunity that we should pursue. Third element is the results. And I just want to address a couple of points before I hand over to Mahesh and Debasis and of course, Ram and Vikram Lalvani, is the fact that if we look at the India businesses specifically in the quarter gone by, they actually led the growth.

If you look at financial services, the turnover increased 16% year -on-year. If you look at DMS, it increased by 19% year -on-year. If you look at the B2C segment, was up by 29%, along with a 12% increase in leisure and, hospitality under Sterling holidays. Now the Indian businesses clearly saw strong demand, something that we've been talking about for some time. And therefore, I think that is in line with our expectations.

Some of our businesses were impacted by one -offs that we had in the year gone by and some changes that we witnessed during the year. But let me assure you that I believe all our businesses are on track to achiev e their numbers in the coming quarter. And I think an important point I want to make here is that 2024 was a year where we witnessed a lot of challenges in the geopolitical space.

For example, if you look at Dubai, demand in Dubai was tepid all the way thr ough November because of the problems that Israel and Iran had and combine that with Syria, Lebanon and Yemen. The reality is with the fa

ilure of the government in Syria, the situation just dramatically changed.
If you look at the first 2 weeks or 3 weeks of this year of January in Dubai, the hotels were running as high as 85% to 90% occupancy. And you'll appreciate that if I look at Dubai by itself, it most probably has more 5 -star hotels than the whole of India put together. Now to be able to fill those hotels at that rate is quite difficult.
Secondly, if you look at sales, of both at Dubai Desert Adventures as well as DEI, we've seen a marked change that is reflective of that sentiment. So, I think that's one area of concern that we had. The US is another example that was strained last year because of the political problems in Europe with the Ukraine and Russia. But we didn't see any major change in demand there because I think Italy, which is one of our main source markets, really did not get affected by that.
So, I'm going to leave it there, and we'll be glad to answer any questions. Either on my departure or on Nature Trails or the results once the Q&A starts. I'll hand over to Mahesh at this stage.
Mahesh Iyer: Thank you, Madhavan, and good evening to a ll of you, and thank you for joining us on this call and the discussion on our performance for Q3 and 9 months of FY '25. Let me start off by

first covering our performance for the quarter ended December 2024. As Madhavan said, our financial performance th is quarter was driven by some healthy performances of our India businesses. Noteworthy amongst them is the Financial Services business, the India travel business, which comprised of the B2C holidays.
The India DMS business represented by the brand TCI and SITA and the Leisure Hospitality business by Sterling Holidays Resorts. And Vikram Lalvani, the Managing Director of Sterling, will talk about it in the subsequent conversation. Just to begin with, I want to give you some lens on our quarterly performance to begin with. And if you look at our income from operations (without MTM) for the quarter, we actually saw a 7% increase from INR 1,938 crores to INR 2,083 crores.
I'd like to mention here that these are not strictly a comparable number. As you will recollect, we've been mentioning this over the last 3 or 4 calls that in the year 2023, we did a bulk of government business under the subhead of MICE, which is the Meetings, Incentives, Conferences and Exhibitions business.
Now that business was not prese nt in the year 2024 and specifically in the quarter of October to December 2024. Just to give you a colour to that, in the October -December 2023, we had about INR 935 million worth of income that we got from the government business. And if I exclude that f rom the last year numbers and compare d to this, you will actually see that our growth stands at about 13% as compared to the 7% that you see on the results.
Now what this reflects is that our growth in the business has been very stable. Our India businesse s have actually fired. And as we have guided the market to a 12% - 15% growth in our top line income from operations, actually, our business have delivered. But since it's not a comparable number, you're seeing the impact of the one -off that sits on the in come from operations.
Before I get into the profitability, I just want to give you a colour on the segment so that you understand as to how some of the segments in India has fired. If you look at our Financial Services segment, they reported a 16% growth i n our revenues, and an EBIT margin expanded by close to about 592 basis points. So, if you look at for the quarter, you will see that our income from operations grew from INR 64 crores to INR 74 crores, reflecting a 16% growth.
And our EBIT improved from INR 21 crores to INR 28 crores, which reflects a 36% growth over a comparable quarter. If I flip that over to the 9 months, you will see that our income from operations actually grew by 7% from INR 233 crores to

INR 249 crores and our EBIT actually improve d by 25%

from INR 92 crores to INR 116 crores. EBIT margins in the Financial Services for the 9 months, actually improved by 700 basis points.
Now some of the factors that led to this growth are strong growth on the retail segment for foreign exchange, led by Education segment, which grew by about 11% and the Holiday forex segment, which grew by about 15%. We continue to make the operational efficiencies that we have built. Our digital adoption on the FX business continues to be very strong. We're currently at about 22% digital adoption and the float on the borderless prepaid card continued to grow.
Our borderless prepaid float at the end of Q3 FY '25 stands at about INR 1,364 crores, representing a 13% growth over a comparable quarter last year. From a digi tal penetration point of view, as I mentioned, the 22%, we've done about 2,900 video KYC enabled transaction, and that has happened with about 85% success rate. You will appreciate that sometime mid or rather the last quarter -- second last quarter of last year when we met at an investors meeting, I had shown you some demo on how the entire video KYC journey will work.
I'm happy to report that, that journey has actually moved forward. And as we speak, we are actually

onboarding more and more customers throu gh this channel. Forex via WhatsApp, which is another channel, which typically most organizations or service or industry use as a service channel, we also use as a sales channel. We are actually tracking close to about 2,000 transactions on that channel, albeit it's a very low base that we started off, but we are actually seeing very good traction on that channel, too.

Coming back to the travel and travel -related services and their performance to the quarter. Again, as Madhavan said and we highlighted that for the quarter in question, our income from operations actually grew by about 11%. And that's reflective of the fact that from a sales line point of view, nothing has changed. While the profitability, and I will comment on the one -offs that we have on the profitability a little bit, I think from a sales point of view, all our businesses continue to grow. And in specific reference to our India business, we actually clocked a very high double -digit growth. Now if I have to exclude, as I mentioned about the M ICE business, specific reference to the National Games in Goa that we did in Q3 of FY '24, and I exclude that, the growth will actually be close to about 19%. And that's a very sizable growth that we are talking about. If I transpose that number for the 9 months that we ended, you'll see that, that growth actually translates into close to 20%. Commenting on the profitability for the quarter, and then Madhavan alluded to that, and I'll give you a little more lens on how that has panned out. First, the impact of the National Games. On a

comparable basis, the INR 935 million of top line sales that we had, which is the income, had a bottom -line impact of INR 60 million. Now this INR 60 million that we had in Q3 FY '24 is definitely not available in Q3 of FY '25. So that's one element that I would like to call out here.

Secondly, from our international operations point of view, Madhavan spoke about the geopolitical situation. We also had some one -off currency fluctuations. And you will appreciate that we've seen some large movements in currency in a short duration of time. And I think there has been ample coverage in large media over the last 2 days talking about how ASEAN currencies have moved in relation to dollar.

And we saw a sharp swing in some of the currencies and specifically in the ASEAN regions. Typically, our business is insulated when we look at the swing between 1.5% to 2%. But when you see a large swing ranging between 5% to 6%, and some of these business es are pre -contracted, obviously, we are not prepared to take that kind

of a swing that came in.

So that impacted our business and the impact of that was roughly about INR 60 million on our profitability. Also, there was this one -time grant that we got on DEI last year in Q3 FY '24, which was a grant that we got in U.S. was about $1.6 million, about INR 134 million. Obviously, that is not available in the current year.

So clearly, if you look at it, this is not an apple -to-apple comparison or it's not a lik e-to-like comparison. But if I look at the overall sales growth, that reflects a 7% growth. And if I adjust for these one -time items, our profitability in the current quarter actually grew by about 5%. I'd also like to mention that during the quarter, we e xpanded our market and network by adding 7 new locations, 5 in the North state and about 2 in the Western part of the country.

Moving on to talk about some of those events that we are currently doing. As you all know, there is a lot of conversation around the Kumbh Mela. I'm happy to report that SOTC and Thomas Cook, the 2 brands that represent the domestic market here, have activ ely participated. We've booked about 1,000 tents, close to about 1,400 passengers have travelled through us till date. And we expect by the time this season ends or the Kumbh Mela ends, we would have roughly close to about 2,000 passengers who would have travelled through us.

Similarly, we spoke about Japan last year, and Japan was a big bang event for us. We actually launched Japan last year. We had close to about 2,200 passengers for Japan. This year, Cherry Blossom is actually getting delayed. We are ac tually going to see the season running all the way till about 15th or 20th of April. And as we speak, we are already close to about 85% to 90% of the

volumes that we did last year. So I expect the Japan to contribute very positively in the quarter to come.

Commenting on the Corporate Travel business, we have seen a 13% year -on-year growth in terms of top line sales. Our focus on this business has been on margin expansion. I'm happy to report that our non -air and card business has grown by 54% and 131%, resp ectively. These are 2 levers for margin expansion. From an overall portfolio point of view, in 2023, non -air business was about 5% of our portfolio.

In 2024, we ended at about 8%. So clearly, we are actually seeing the shift that's happening on the non-air side of our business, and we expect this growth momentum to continue, which will add

positively to the gross margins on the business.
Last but not the least is the MICE business. On the MICE side of the business, we continue to manage large groups. You wi ll appreciate that we had close to about INR 245 crores of the government business that we did in the 9 months ended December 2024 last year. And for the current year, we have none of that reflecting into our P&L. But despite that, our MICE business has act ually grown. And I'm happy to also report that as we speak in the current quarter, we actually bagged a large business from government.

We are actually doing the National Games in Uttarakhand, which the total size of that business is roughly about INR 120 crores, which will now reflect in the current operating quarter. From a forward booking perspective, I'm specifically referring to the summers, we've begun all. The long - haul business is starting to show up. We are seeing some smart recovery that's hap pening. Albeit airfares continue to remain elevated. But despite that, from a volume perspective, we are actually seeing close to about 20 -plus percent growth in terms of volumes. And in terms of value, we are saying close to about 35% growth .

On that note , I would like to hand over to Debasis to take the DMS part of it, and I'll be happy to come back to any questions that you have later on.

Debasis Nandy: Thank you, Mahesh. So, on the India DMS part, this is the beginning of the 6 -month period -- the 6 -mon th season,

and they have done pretty well during the quarter. They are up about
24% over last year in terms of top line, benefiting from rising foreign tourist arrivals. As far as overseas DMS is concerned, at an overall level, sales have improved by 18% y ear-on-year for the quarter.

And if I try to give you a little more lens on that, we have seen very good growth in Asia - in Southeast Asia. In Asian Trails, the growth has been upwards of 30%. In South Africa, the growth has been about 35%. In Desert Adventure s in the Middle East, which as an area has been impacted by persistent geopolitical tensions, as you are aware of that. But despite that, the Desert Adventures has seen a 7% increase in sales during the quarter.

As far as the U.S. market is conce rned, Allied T-Pro, they have had a fairly healthy growth of about 9% during the quarter. This is obviously not a season for them, as you can well appreciate. The only unit which has not done well, and we have been talking about this unit even in the earli er quarters, was East Africa. East Africa suffered because , one of their customers went bankrupt in the month of May.

And that customer alone contributed to close to about 25% of the sales annually. And while they've been trying to get additional customers to make up for the deficit, that process takes time. It usually takes 12 to 18 months to replace that. And therefore, their sales have dropped by about 30%. However, overall, in spite of this setback, the overall increase has been 18% for the overseas DMS segment.

I would now like to hand over to Vikram to talk about Sterling.

Vikram Lalvani: Thank you, Debasis. Good aft ernoon, ladies and gentlemen. I'm Vikram Lalvani, I'm the MD and CEO of Sterling Holiday Resorts. And I'm also joined by Mr. L. Krishna Kumar, the Chief Financial Officer of Sterling. I shall be happy to take you through the Sterling Holiday Resorts result s for Q3 FY '25 and also for the 9 months YTD FY '25.

I'm pleased to report that Q3 FY '25 has been the strongest ever quarter performance for Sterling, following 18 consecutive quarters of profitable growth. This comes on the back of a quarter with strong holiday demand, coupled with our expansion of supply by Sterling. We are pleased to report double -digit growth in income, EBITDA and EBIT. Our income grew 12% in Q3 FY25 versus Q3 FY24 with a 14% growth in EBITDA and a 13% growth in EBIT.

Our EBITDA margi ns for Q3 FY '25 has exceeded our intended threshold of 30% to 35% to close at 38.8%. Our income stood at INR 1,389 million, EBITDA at INR 539 million and EBIT at INR 427 million. We had a onetime exceptional expense of INR 37 million towards an Amnesty scheme that we had undertaken. Traditionally, ladies and gentlemen, Q1 has always been the most significant and the strongest quarter of any financial year for Sterling. This time, Q3 has exceeded Q1 on account of

portfolio balancing that we had undertaken as part of our expansion plans, thus expanding our revenue base in quarters other than just Q1.

It may also be noted basis my previous commentary that the investments we made in Q1 have fructified in terms of results in Q3 with the completion of the ramp up of the resort s that we launched in Q1. Our occupancies for Q3 were at 61%, also indicating the headroom available actually for us for further revenue expansion. This is despite our available room nights having gone up by

16% over Q3 FY '24. Our average room rate is healthy at INR 6,788, clearly depicting that Sterling now operates its portfolio of resorts in the upper mid , upscale and the upper upscale segments.
Our other significant line of business, Food and Beverage has shown a healthy growth of 20% Y -o-Y and we shall continue to strive to increase our contribution in food and beverage as well. On a YTD basis, Sterling has had a 14% growth in income at INR 3,942 million and at an EBITDA of about 35%. During

the quarter, Sterling launched three new reso rts, Sterling Lontano in Wayanad, Kerala. This takes us to the third resort in Wayanad, Sterling Coorg in Karnataka and Sterling Ranthambore in Rajasthan, thus also increasing our presence in Rajasthan already. This now takes our portfolio up to 48 locatio ns in India and 57 resorts, hotels and retreats across the above -mentioned various segments.
Our expansion focus shall continue to be on an asset -right model with limited or no capex investments only to sweat our existing assets for scale. On an average, we have opened one resort a month in the last 18 months, and we have a healthy pipeline of additional destinations being made live in 2025. This wil l keep adding additional revenue stream to the company.
Our focus shall also continue to be on scaling lines of businesses of additional revenues also driven by operational cost efficiencies, use of digital practices for process stability and scalability, and continuing to scale our distribution channels without significant addition of fixed costs. Investments towards leadership and some refurbishments in our own resorts to cater to scale and the new customer shall continue even in the future.
Sterling has also launched Sterling Sankalp, our ESG initiative, having undertaken several initiatives under energy efficiency, waste management and water conservation. Some of the significant initiatives that we have undertaken in our resorts are as far as energy con servation is heat pumps, from a waste management, organic waste converters and rainwater harvesting and water recycling in some of our resorts.

A testament of our growing brand strength of Sterling is reflected with the industry -wide recognition that some of our resorts have got over a period of time. And in Q3, we are also happy to inform that we've got such four significant recognitions . Our S terling Aravalli Udaipur won Travel + Leisure India's Best Awards for Best Emerging City Hotel.
Sterling Lake Pa lace Alleppey won the Hospitality Horizon Hotel Awards, top 5 luxury resorts in India.
For the first time, our restaurants have started getting prominence. Our restaurant Amo Odisha in Sterling Puri won the Food Food Awards as the Top 50 restaurants of Ind ia in 2024. And Sterling won the 27th Today's Traveler Award 2024 as one of the fastest -growing hospitality brand in India.
On the people front, our focus continues to be on upskilling key potential talent within our resorts and to make them future -ready at various positions in the new resorts that we launch. Towards this, we have successfully completed a capability building exercise with the Indian School of Hospitality for our executive assistant managers, making them ready to run our future resorts as r esort managers or general managers independently.
We have also groomed our almost 245 departmental trainers in Q3 across all our resorts for being the flag bearers of upskilling frontline talent. On a look ahead, we expect to close FY '25 with a healthy do uble -digit growth and with continuing to build our base on business for FY '26. Thank you.
Debasis Nandy : We will now hand you over to Mr. Ramakrishnan, who will talk about DEI.
K.S. Ramakrishnan: Good evening, ladies and gentlemen. This is K.S. Ramakrishn an from DEI. Talking about our revenue between Q3 financial year '24 to '25, we have seen a 7% drop from INR 241 crores to INR 224 crores. I would take this despite all the geopolitical issues, harsh climate conditions and the China attendance and local re duction of spend and the US closures, I think we have ebbed very well with our revenue still going down only by 7% to INR 224 crores. This basically reflects that our December was a good comeback.
From an EBIT or a PBIT perspective, from between Q3 financial year '24 to Q3 financial year '25, we've had from INR 22 crores drop down to INR 6 crores, as Mahesh and Madhavan already menti

oned. Let's keep in mind, that there was a one -time grant that was included in the Q3 '24 of INR 13 crores, given tha t not being there this year. And in spite of having double cost on software, etc, that we've done, we seem to be holding good on that front.
As such, I've been maintaining this in all the quarter discussions with all of you that it's a one -off year '24, wh ere we have multiple things happening at the same time. The good part of the story is

we weathered all the negatives that could possibly happen for the business through the single year

and '25 looks pretty strong going forward. Attendance in December and January improve d significantly, returning to normalcy.
Our tech platform seems to be in full form to get released by second quarter. And by third quarter, we should be able to see the results. I'm talking about third quarter calendar year 2025. And from a business perspective, we have been fairly robust in our renewal rates. We've had more than 92% renewal rate, 17 new partnerships renewed in UAE and Maldives and Singapore. We have 2 new partnerships just onboarded in India and Maldives.
And we have operati onally launched 3 new partnerships in India, Maldives and Indonesia. With that forward -looking, we see 2025 to be a fairly strong year for us to get back to where we were -- where we have left it in the past. '24 has probably weathered all that could have done, some that were planned and some that were unplanned. And I look forward for a good 2025.
Management: Thank you, Ram. We can now open the floor for Q&A please.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Sanjay Shah from Pranisha Technologies Private Limited. Please go ahead.
Sanjay Shah: Thank you very much for the opportunity. I think you went through some of the reasons for the shortfall in margins, including the national games and a couple of other areas. Could you briefly summarize the decline in EBITDA margin from 8.3% to 6.7%. What are the components that led to it and how much, if that's possible?
Debasis Nandy : I think Mahesh summarized it well. I will sort of reiterate the ke y points , and you can ask questions for further clarification if needed . But primarily, we are talking about three one - time impact s.
One is, of course, in case of DEI. We had a one -time grant received in the US during Q3 '24, amounting to about INR 13 crores or $1.6 million. That was a one -time grant, so not likely to repeat. So that's one.
The second factor , which Mahesh also explained, is the impact of the national games, the business that we had last year, where we made a INR 6 crores of profit. However, this year, that contribution is missing. However, as you also pointed out, we have bagged the National Games Uttarakhand business for the current financial year. It's happening as we speak. So, we will see a reflection of that in the January - March quarter. So, I would say it's more like a timing effect than anything else.

The third impact is related to the foreign exchange impact, what you are talking about. Now let me dwell on this. This is primarily in the Southeast Asian business that we h ave, and it relates to the exchange fluctuations that happened during the period October and November. Now just to put some numbers in perspective, between 30th September and the 15th of November, the Thai Baht depreciated against the dollar by an astoundi ng 8%, which is very unusual. We don't see a currency depreciating by 8% in a matter of 45 days.
Now as you would appreciate that the inbound business where our inflows are in dollars or similar currencies and outflow obviously is peg to the local market. Now these rates are fixed well in advance because the contracts usually happen between 3 months to 6 months ahead of the actual date of arrival.
So, when we fix the contracts, we take the current rates int

o consideration and therefore we quote
a particula r price. And let me just tell you that the business is fiercely competitive. We can't expect to keep high margins for exchange fluctuations because somebody else will take the business away. Therefore, while there could be a 1% or 2% leverage or margin lef t in order to allow for exchange fluctuations, we certainly don't keep an 8% margin in a matter of 45 days.
Now that created a big impact vis -a-vis last year. Last year, it actually it was between September of '23 and the December of '23, the Thai Baht gai ned 6.5% against the dollar. So that actually helped us. This year it was just the reverse. So, this is more like a one -time impact. It's sort of change of rates by 8% over a 45 -day period took us completely by surprise to be very honest.
And that's what has caused the difference. By the way, just to clarify further , the rate has been fairly stable since then. On 15th of November, the Thai Baht was 34.99 to US dollar. Currently , it is fluctuating between 34.1 - 34.2.
Sanjay Shah: And the la st part contributed to how much in terms of an EBIT loss or a difference and the...
Debasis Nandy : So if I compare only the current quarter, the impact is approximately INR 5 – 5.5 crores. But you have to just suppose that against the gain that we had last year, the exchange gain because there the exchange rate worked in our favor. So, there we gain something like over INR 6 crores. So, the difference between the two quarters, which is what analysts are interested in is about INR 11 crores.
Sanjay Shah: Thank you for the clarity. I really appreciate it.

Moderator: Thank you. The next question is from the line of Sani from Axis Securities . Please go ahead.
Sani: Thanks for taking my question. So, I'm just trying to understand what forms the other expenses, we could see some rise there. So, there is one component on the console basis, mark -to-market which is reported separately that is around INR 18.7 million, but otherwise also the other expenses have increased significantly. So, could you just throw some light on that?
Debasis Nandy: Yes. This is Debasis Nandy. Let me try and answer your question on this one. So, the MTM thing that you see is actually a regular feature. It's on the holding of the small amount of Quess shares that we have for our employees. It's held in a trust. And the shar es will be there in the trust till such time they are given out to employees, but as per the accounting requirements, we need to do a mark -to-market and that entirely depends on how the share prices of Ques s move.
So, some quarters, we get a gain out of th at, some quarters we get a loss out of that. Honestly, we cannot do anything about it really. But quite apart from that, I think the gap I'll try and explain that in four and five elements. One is the increase in in rent and utility expenses. This is about INR 8.5 crores.
This is largely on account of the new airport counters that we have got in Delhi and in Goa. So obviously, the rent and utility expenses are being accounted for here, whereas the revenue will sit in the top line. There is an element of abo ut INR 3.5 crores on account of marketing spend, which is over and above last year. And that's obviously the increased focus on leisure travel, domestic tourism, so on and so forth has resulted in that increase.
There is an increase of about INR 2 crores on account of items like power and fuel and such other establishment expenses. This is largely on account of Sterling. Now Sterling, as you know is setting up resort , expanding its footprint fairly quickly. And this is a result of enhanced busines s within Sterling.
The fourth one is on account of repairs, which I think we undertook some repairs of some of our branches and offices, etc which is not only in Thomas Cook, but across the group and this is about INR 2.5 crores.
Lastly, there is about cl os

e to INR 8.5 crores and this can be split into two parts. One part is which
Ram briefly spoke of US business closure, which happened earlier in the year. There is some

inventory write -off consequent to that, and which has been considered in this quarter. And the balance is actually more like a regroup.
Sterling pays some contract wages, obviously for contract work. This works out to about INR 5 crores. This has earlier been classified as employee benefit exp enses. That is how it was shown till last year. This year the auditors have said that it should be moved away from employee benefit expense because these do not represent full -time employees and should be clubbed as part of other expenses. So, all of this together, if you add up, it explains about INR 25 crores out of the INR 30 crores. I hope that answers your question.
Sani: Yes. So, in terms of run rate, do we think this will be normalized a bit at least in the next quarter?
Debasis Nandy : See, as I said, see some of these items bring in additional business, additional top line. For example, the increase in airport rentals, etc is obviously getting compensated by the additional top line. The increase in the -- if we talk about the expenses that increa sed in Sterling on account of power , fuel, etc, is obviously finds more than compensating effect in the top line. And marketing is something that is discretionary. We -- our marketing spends are very tightly controlled and it really depends on how much sal es we make.
And if we see the -- do not see commensurate sales coming out of the marketing efforts, we tend to hold that back. So I think one -- the only one -time out of this is about INR 2.5 crores of the write -off or the provision I won't say write -off, provision that we have taken for the US business closure on account of inventory. That's the only one -time. Other than that, anything that will get spent will also find a reflection in the top line.
Sani: So sir, that INR 2.5 crores and the repairs related INR 2.5 is that correct?
Debasis Nandy : Yes. I can't call that one -time because repairs will continue as there are branches and there are offices, repairs will continue. We won’t see a INR 2.5 crores growth every quarter, I admit. But honestly, it's very difficult to sort of predict a clear spend there. By and large, at annual level, it should be remaining the same.
Sani: Makes sense. Thanks a lot that for that explanation.
Debasis Nandy : On a 9 -month basis, I think Mahesh just added that. On a 9-month basis just about 8% or 9%. So that's fairly close to the inflation rate.

Sani: Thank you. The next question is from the line of Nirav Sahai from Abakkus Asset Manager Private Limited. Please go ahead.
Nirav: My question is regarding the margins in the travel business. So, in the last quarter, you had guided that you're looking for a 5% EBIT margin. Now in a business where there are so many one - offs and exceptions based on currency swings, how do we see this a sustainable margin going forward? Because this has been an extremely weak quarter in the travel business when you look at the operating performance.
So, when do we see this 5% EBIT margins and is it something which you had indicated the near -term future, at least my sense was it was by FY '25. But is there any timeline or any strategy to make sure the volatility in margins can be reduced going forward?
Debasis Nandy: Let me try to answer this and Mahesh can supplement if that's not enough. I think first of all, on the guidance that he gave on the 5%. I don't think we g ave a guidance for the quarter. Our guidance, which we had given some 6 months back was that our ambition or aim was to reach a 5% level over the next 18 months to 24 months and it is a journe y. It will not happen overnight. It will happen over a period of time, one.
The second point is that from time to time and if you look at on a quarte

rly basis, there will be
aberrations like the one that you have seen now. There will be national games in a particular December quarter and the next quarter and next time a national game may happen in January. Remember that we have got the contracts on both the occasions. It's not that we lost the contract , or we got the contract in 1 year then lost the contrac t in the subsequent year.
But timing is something that we can't really do much about, which is why we would encourage you to look at our full year results, so the full period, 9 -month results rather than the quarter. Travel is a very seasonal business. The re will be aberrations like that as we go along. And number three, as far as exchange fluctuations are concerned, honestly, when we talk about a 5% EBIT margin, we expect that exchange fluctuation would be at a particular level.
We obviously budget for so me fluctuations here and there, but you will appreciate, I'm sure you'll agree with me that very seldom we see a currency going down by 8% in less than 1.5 months. So that is something that took us on unawares. I admit that. We are taking corrective steps for that. And I hope it will not recur in the future.
Nirav: No, sir, my point is that Q3 is our best quarter as far as...

Mahesh Iyer: I just want to add something to what Debasis just said. This is Mahesh here and I want you to please focus on the 9-month results that are there. And if you look at our EBIT margin on the travel vertical, we are holding at 3.9% . Now if you look at FY '24 and compare that to FY '25 for the 9-month period, the 3.9% is despite the one -offs that we have seen in the curren t quarter. If I was to adjust for those, you will actually see the margins actually going closer to the 4.1%, 4.2%, which is actually moving forward to the guidance that we have given that we aim to get closer to the 5%.
And I think it's also important to mention here that when we spoke about the 5%, we also guided the market to the fact that there are some of our overseas DMS entities who are not fully out of the woods. They are coming back. Some of them have come to breakeven. Some have started to generat e profits. And there are some units which are still not doing it.
And Debasis in his commentary spoke about a specific unit, which is East Africa, where there was a customer who went bankrupt and there's a customer loss that happened. It contributed 45% of the top line business. So that income has obviously not come in the current quarter. Now if those kinds of events were not there, I think we would have been much closer to the guidance that we have given.
So obviously, there are some events which are exte rnal in nature, which are beyond our control, but our guidance to the 5% holds good. But if you were to ask me, will this happen in one quarter. Maybe that's not how we look at it. We actually looked at more like a period. And it's the same that applies for the foreign exchange business.
If you were to see it, we've guided the market more to a 40%, 45%. And there are quarters where we have done 47%, there are quarters where we have done 42%. And there is a seasonality to the business because foreign exchang e flows up from the travel that happens. So obviously, you'll see some amount of the seasonality playing out.
Nirav Savai: So why I was emphasizing more on the third quarter is because particularly third quarter is the best quarter, which is seen for the holiday part of it within the B2C business?
Mahesh Iyer: No, I don't think. No. Definitely not.
Nirav Savai: On the holiday part of the business, I'm saying, not the entire...
Debasis Nandy : Not even for the Holiday part of the business. I suggest you go a nd look at our trend

in the past, and we can share more data on a one -on-one basis. I think, especially if you are talking

about in the past. But quarter 3 has never been the best quarter for us. But I suggest that you hav

e
a chat with Urvashi, who will he lp you to understand the trends a little better.
Moderator: The next question is from the line of Advait Lath from Nippon India Mutual Fund. Please go ahead.
Advait Lath: Just wanted to get some clarity on the measures you're taking to mitigate the foreign exchange volatility moves, such tail end move. So, could you just give some light on that?
Debasis Nandy : Yes. I think I talked about that while I answered the previous question on this one.
Advait Lath: I'm asking for more granular level actions that you might be taking, sir?
Debasis Nandy : So, I can't give out my business strategies in this forum, I'm sorry. But we are taking sufficient measures to make sure that this doesn't come back again. It doesn't surprise us the way we have been surprised this time. But you'll appreciate that in a public forum, it's very difficult to talk about business tactics and things. It's something that we execute in the future. I do not really want to talk about now. But I can promise you that you'll see the results.
Madhavan Menon : I also think you need to realize that an 8% depreciation in currency over a very short period of time is literally one in a many, many years event. No country can allow its currency to depreciate by 8% or even 5% or even 4% in such a short period repeatedl y that the economy will collapse. So, I think you need to recognize that this is a very, very rare event. But having said that, Debasis will advise you as to what we are doing to mitigate potential risk.
Moderator: The next question is from the line of Dee pak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: I had three questions. I'll cut them into one. So firstly, on the B2C vertical, you mentioned that forward bookings are running at 35% growth. But if you assume that on a lower base this year , that we'll still be at 80% recovery when the endeavour was for 100%. So, is that assumption right? Will the revenues be better or lower?
So secondly, on the DMS vertical, the growth rates have been strong. So, any qualitative feedback that we should take on what you're doing on ground, whether it is regarding the B2B customers that we are onboarding, the productivity. So, if you can give some sense on that. And again, on the margin guidance of the travel segmen t, the 5%, I understand is for maybe a longer time. So what should be a number that analysts should be working with for '25 and '26?

Mahesh Iyer: I'll try and address your first and third question, and I'll get Debasis to comment for the DMS part of it. On the first part of it, look, we've been saying this repeatedly and Deepak, you've been on this call asking the same question over and over again. But for the sake of repetition, I'll say this again.
Look, when we look at the business, we don't look at indi vidual, whether it's long haul, short haul. At the end of the day, we are holiday makers. We are here to make people travel and enjoy a good experience, come back with some good memories. And that's the aim for the brand, Thomas Cook, SOTC and brand in Hon g Kong.
Now clearly, our recovery rate on the domestic and the short haul has been very, very strong. Our domestic business actually has grown more than 30%. Our short -haul business growth has been more than 25% . Long haul - And then we've been repeatedly saying this, was impacted because of visa-related issues, heightened airfares, availability of inventory and some of the stuff that has impacted that business.
Having said so, October -December quarter, we actually saw a decent growth. When I say decent growth, I'm talking about double -digit growth in our long -haul business also. If I look at -- and I guided the forward bookings, which represents not only summers, but also the Jan -March quarter, we are actually seeing fairly stable kind of growth rates and i n high double digits.
When I said in terms of volume, when I say

refer to volume, I'm talking about PAX growth. I'm
looking at more than 20% PAX growth in the current quarter, and I'm looking at volume growth, which tops 25% to 28%. And going forward into the summers, our Europe are actually -- the Europe bookings have actually picked up, and we expect that as we complete our booking cycle, which will go on until the last week of March and early April, we will come and talk about it in the next quarter. But I expect this season to be much better. From a recovery point of view to the pre -pandemic levels, we've said that we will endeavour to get closer to the 85%, 90% mark, and we stay true to that. Whether we'll end up there or some other segment will fire on the long -haul side, I really can't say. But if you combine the B2B and B2C put together, we are actually going to be closer to the 95%

mark or 96% mark to the 2019 levels.
And I think that will be a very commendable performance as far as the comeback for the business is concerned. Commenting back on the margins. And as I said to Nirav to previously, I think from the 9-month period, the margins are stable. We are at 3.9%. If I factor in the one -off items that we faced in the current quarter, you will see th e margins actually would have expanded.

So, this one quarter impact should not be overread. I think if we were to exclude those one -off items, the margins would have expanded by about 20, 30 basis points already, and we will be closer to the guidance that we have given, which is close to 5%. Now the 5% margin is something that we hope to achieve by the end of FY 2026.
There are parts of the businesses, which are currently in different phases of recovery. And as Madhavan said in his opening remarks about the Middle East markets, Desert Adventures, one of the business was also impacted by the geopolitical conditions . While the top line has grown, profitability has not because we focus to garner as much business as possible and stay ahead of the game.
And some of them has come at the cost of some margin compromise and stuff like that, but that's not necessarily the situation in 2025. So we expect a lot of recovery to happen there, which will all positively add to our margins going forward. Debasis, do you want t o talk on the DMS?
Debasis Nandy: Yes. I think on the DMS, the story on DMS, we have been talking about for a while and the story hasn't really changed. I think that because this is a long -term story. So the thing s that there are 3 things that we have been trying to do in the DMS business. The first thing is automation. We have overall -- the software that they're using, and these are different softwares for different people. It's not the same.
So that's been completely overhauled so that the level of produ ctivity goes up. And obviously, we achieve better cost rational, better cost structures. The second is the expansion of the customer base. Each of the units have been encouraged to go out and get more external business. The dependence on Thomas Cook is act ually very minimal, in some cases, almost nil. And of course, the third one is the expansion of offerings that they do. So, in terms of products, etc.
So, these are the 3 things that we have been trying to do for a while. As you understand that as you know , the progress was obviously hampered by COVID. So, things went down for a couple of years. But now I think all the efforts have started paying off, which is why you see them growing in spite of issues like what Mahesh talked about, issues like the geopoli tical disturbance in the Middle East or one of them suffering because a couple of their key customers went down in one financial year, so on and so forth. But again, so overall, you can see we can continue to -- we expect that the business will continue to grow the way it is.

Deepak Lalwani: Okay. That is good to hear. Sir, your qualitative assessment of the current pricing trends in th

e market, any challenges that we see with regards to discounts or the schemes that you have to give to your customers? And will that be a risk to growth and margins?
Mahesh Iyer: No, Deepak, we don't think so. I think we are very measured in terms of how we set our price to the market. We're also cognizant, and this is something we called out previously also that when we give margin guidance, we are also cognizant of the fact that we don't want to out price ourselves in the marketplace. And there will be some tactical moves that we'll make based on either a competition reacting or a price point operating at a certain point in t ime.
Just to give a case, I mean, look at kumbh , the kind of demand we have seen, where we see an opportunity to put the price up. We've actually done that because the demand was outpacing the supply in some form. So obviously, where there's an opportunity , we'll do it. But there will be times and there will be pockets or markets or products where we anticipate a certain amount of demand, but that's not coming in.
Our competition is playing a different game. Obviously, we don't want to be losing that market too. So, we will have to play that game. But we'll be very cognizant of how we play this. And currently, the pricing and discount strategy that we play is well benchmarked to how the markets across are operating.
Moderator: The next question is from the l ine of Meet Shah from Finance 360. Please go ahead.
Meet Shah: I have a couple of questions on MICE segment of the business. Earlier, we have -- earlier the management has told that we are being conscious on the government contract given the payment cycle. So now what has changed? I mean, have we negotiated with government entities on this front? And on the demand outlook for FY'26 on both government and non -government portfolio from MICE segment? That's question number one. And the other ques tion is, now in India,

we are seeing this mega trend going on concert economy, we have seen with Coldplay and other Diljit that the tickets get sold and they are fully occupied. And even Prime Minister is emphasizing on the infrastructure. So, are we -- as a Thomas Cook Group, are we planning anything to serve this trend which is happening in the economy in any sort of pace?
Mahesh Iyer: Meet , again, Mahesh here. I'll try and answer both these questions. Commenting on the MICE, I don't think we ever said th at we will be not looking at the government business. I think what the statement that we made for 2024 is that it was a year of an election and not that there were too many government contracts that were coming up for bid s.

The last quarter of 2024, we act ually got the opportunity to bid for the national games in Uttarakhand. And as we speak, we are actually executing the games, which started on the 25th of January and will go on till the 17th of February, which is the ultimate day when the events end. Ther e are close to 10,000 athletes, 5,000 -plus support staff, 3,000 -plus government officials, 2,50,000 -plus meals in about 10 to 12 venues. It's a large -scale operation. We've got about 300 of our people who are on ground managing in a very difficult terrain in Uttarakhand. So that's the scale of operations that we are currently doing.
From money safety point of view, I think in all the government business that we have done till date, we have recovered all the money that we have to get from the government. Whi le there are some delays, and I think we have also been wiser in terms of how we have priced our products also. So, we are factoring in some capital cost that goes into pricing some of these contracts.
Having said so, the contracts are drawn out in such a way that there is a payment schedule that the government has agreed with us. And I'm happy to let you know that payments as per that schedule have come in, in most cases. It's always the last part of it, where there is a certa

in percentage of the
contract value, which is paid only after the events are completed and final submission. And that ultimately takes a delay of about 3 to 4 months. But I think that's something that we have already factored into our workings.
Coming to your second point on the concer ts and other e -cultural events that are happening. I think, look, we've seen 2 such mega events. One, as you said, Diljit Dosanjh. The second one, Coldplay. Look, one of the bigger challenges is trying to procure the tickets for these events. It's not abou t providing accommodation or transport, but I think most of the people who want to go there also look for tickets, and there are unfortunately no bulk suppliers of these tickets that I can pre -package and sell.
But we have our eyes and ears to the ground. We will keep evaluating that opportunity. But currently, I think we have a plateful of offerings that we have to the marketplace. And if this opportunity grows up, and we see more opportunity or more revenues to grow our business and revenues there, we'll definitely consider that.
Meet Shah: Okay, sir. Got it. And sir, any qualitative or quantitative view on the MICE segment for next year?
Mahesh Iyer: Look, both on the private and public -- sorry, I didn't respond to that question. I should have. On the pr ivate sector, we haven't seen any slowdown. I think our forward -looking pipeline,

both for SOTC and Thomas Cook, the two operators in this space from the Thomas Cook Group perspective are very strong on the private side.
On the government, we had absolutel y no business in 2024. We had a bulk business in 2023. And in 2025, we've actually started off with a decent score. I think we will continue to keep our focus and balance our portfolio. It's not going to be over dependent on one segment. But I think we hav en't seen any slowdown. If the question is around to say whether the corporates are slowing down, no, we haven't seen.
And actually, we have expanded our offerings into the marketplace, both in terms of destination and our reach and the customer segments w ho travel with us in the MICE business. So, I think there is more leg room available for us, and there is more firepower left in the MICE business to expand and grow.
Meet Shah: Okay. Sure, sir. And sir, last one, is it reasonable to expect 12% to 15% growth for this segment?
Mahesh Iyer: Meet , I think that's what we've always guided for the overall travel segment. We've said 12% to 15% growth is our guidance on the travel segment. And I think MICE is going to be no exception to that.
Moderator: The nex t question is from the line of Parvin Sharma, who is an Individual Investor.
Parvin Sharma: I have a question on the DEI segment. The margin here remains enigma, because

my understanding is once you have a tie -up with the property, and you put up the softw are and cameras and everything, a major part of the revenue, which is accrued should go into the bottom line. So why is the margin so low? And when we say that in '25, '26, we will go back to a good margin scenario. So, what is the margin we can expect the re, in the DEI?
K.S. Ramakrishnan: Okay. I think I'm amused with the word enigma, but nevertheless, the business, your understanding probably is still completely not clear. Let me help you. When we tie up with the property. We get a contract to operate in that property, but we still depend on the attendance that comes to that property. And the attendance of tourists that come to the property, I've already explained, have been hampered, due to a few issues, geopolitical weather, etc, last year.
Again, that's a one -off case and doesn't happen every year. In the past 20 years, Dubai has never had that weather issue. It was the first time it happened. And hopefully, it will not happen again.

The geopolitical issues, again, is no one's prediction, but it was what it was. So, it is not like whatev

er
-- once a contract is signed, the revenue is backed.
The contract is signed only to secure opportunity to create that revenue. And we do that diligently. And I think our purpose of saying that our comeback will be back in '25, '26 is because December, January has started showing that trend back from all those aberrations that otherwise happened through the year of '24. So that helps you understand the confidence level, we can say, plus we have a 20 years background behin d us. We have been consistently delivering that in the past. So that gives us complete confidence that things are not going to change on that format.
Parvin Sharma: No sir, once the footfall is there and the revenue is accrued, why doesn't it go to the bottom line? What are the major expenses? Can you detail on that also?
K.S. Ramakrishnan: Well, I wouldn't be able to give a lot today but let me just give you a brief background. The business once the revenue is accrued, the revenue gets accrued only when we capture the images. Our business is the only business where every morning, you start with a zero inventory.
This is the only business where your retail , we run a retail operation s with zero inventory when we start. And the inventory of capturing those pictures are facilitated by people we use for, which is where your cost is. So, we are priced in on the people that we invest to capture these pictures and technology up to a certain extent, that captures the pictures. We still are not a fully automated model, and that's why we are the largest and the best revenue operators in the souvenir imaging business across the world because of the human touch.
So those are all up to a certain extent, fixed costs, variable in some nature. So, there is a certain amount of fixed cost is always there. So, unless we don't bring into nearly about 100% of our revenue, we will not be able to make 100% of our profits, it’s committed. If the revenue drops by 10% - 20%, the profits dropped by 40% - 50%, and the revenue drops by 20% - 30%, which is rare, was an aberration in 2024, our profits have been affected. That helps you understand why.
Parvin Sharma: And this WeC software will automate a lot of stuff, correct?
K.S. Ramakrishnan: Yes. So going f orward, the WeC software will, but please keep in mind, the technology once deployed, which is in the third quarter, will take some amount of time to stabilize. We have a very, very healthy projection of our future in our minds right now. But as far as mar gins goes, we are very confident to bring back margins that we originally operated on pre -'24.

Once WeC gets deployed, come '26, we are also anticipating even further betterment of those margins. And that's the reason we are investing in that technology. I t is up to a great extent fully automated there.
Moderator: The next follow -up question is from the line of Deepak Lalwani from Unifi Capital.
Deepak Lalwani: I had a book -keeping question. Sir, on the tax rate, since you have utilized the DT A in Sterling, so what is stopping us from moving to the lower tax regime, at least in India?
Debasis Nandy : It is not yet fully utilized. There is still something left, which will happen in this quarter, in the current quarter. And thereafter, the company will take a call on that. Nothing is preventing us. We want the DTA assets to be fully utilized. There is some amount which is still left out.
Deepak Lalwani: Okay. If you can help us to quantify that amount, sir, how much is left?
Debasis Nandy : It's a very small amo unt. Let's not get into so much of detailing. I think then it becomes a company -specific discussion rather than a group -specific discussion.
Deepak Lalwani: Okay. Got it. And the takeaway for us should be that we are thinking about the lower tax regime nex t year, right?
Debasis Nandy : Are you talking across the Group or are you talking about Sterling?

Deepak Lalwani: No, I'm

talking about across the Group, not specific to Sterling.
Debasis Nandy : Across the Group, I can't commit like that. We are spread in 29 countries .
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Madhavan Menon : Ladies and gentlemen, thank you very much. I just want to thank all of you. This is going to be my last call that I'm going to take. Mr. Iyer will take control of the analyst calls from here on. I'm sure he is already doing the heavy lifting, if I can use that word, along with Debasis and Vikram and Ram. Just very quickly want to mention that this is a one -of-a-kind quarter. And our expectation is that it will not repeat itself when we're looking at trends, be it the forward bookings, be it other markets which we operate in, we are seeing far better numbers, primarily because of the impac t of the geopolitical situation.
In the foreign exchange space, there has been some degree of volatility because of the Trump -- the new US regime that's in place and talking up the dollar with tariffs, etc. But I don't think that's going

to make a dramati c change from here on. So, my expectation is that we will be back to normal in the coming quarter. And as you will appreciate, that's the end of a financial year for us also. Thank you very much, again.
Moderator: On behalf of Systematix Shares & Stock Lim ited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May 20, 2025

The Manager, The Manager,
Listing Department Listing Department
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Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38

Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earnings Conference Call

In furtherance of our intimations dated May 8, 2025 , May 12, 2025 and May 14, 2025 giving intimations for the Q4 & FY25 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 4 6(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on May 14, 2025 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link :

https://resources.thomascook.in/downloads/TCIL_Q4FY25_Earnings_Call_transcript_20052025.pdf
This is for your information and records.
Thank you.

Yours faithfully,

For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl a/a

Thomas Cook (India) Limited:
Q4 & FY25 Earnings Conference Call – May 14, 202 5
Management:
Mr. Madhavan Menon: Executive Chairman – Thomas Cook (India) Limited
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director and Chief Executive Officer – SOTC Travel Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. K. S. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Thomas Cook (India) Limited, hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant line will be in listen -only mode and the re will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is be ing recorded.
I now hand the conference over to Ms. Purva from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, ma'am.
Purva Zanwar: Thank you, Sejal. Good morning, everyone, and thank you for joining us on Thomas Cook (India) Limited Q4 and FY '25 Earnings Conference Call. From the company, we have with us Mr. Mahesh Iyer, Managing Director and CEO, and the senior management team. We would like to begin the call with a brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. I would now like to invite Mr. Mahesh Iyer to make the initial remarks. Thank you, and over to you, si r.

Mahesh Iyer: Thank you, Purva. Good morning, everyone. Thank you for joining us today as we present our results for fourth quarter and full year of FY 2025. It is also my pleasure to share with you an overview of our company's performance, progress and prospects, and I appreciate your continued interest and support from all our investors and stakeholders. I also want to take this opportunity to thank you for the inputs that you have given from time to time, and you will appreciate that we tried to capture s ome of that in the investor deck that we presented to you.

Before I begin to give you a commentary o

n the Q4 and FY '25 performance, I'd like to introduce the management team who joins me on the call today. I have with me in the room, Vishal Suri, Managing Director and CEO of SOTC Limited. I have Debasis Nandy, Pr esident and Group CFO, Thomas Cook India Limited; Brijesh Modi, CFO of Thomas Cook India Limited; Vikram Lalvani, MD and CEO of Sterling Holiday Resorts; and K.S. Ramakrishnan, MD and CEO of DEI. I'm also joined by Urvashi Butani, whom you all know, manages the Investor Relations.

As you can see, Thomas Cook India Limited delivered a robust set of numbers for the full year ended March 2025. Our results demonstrate not only a resilient financial performance, but more importantly, the strategic momentum across all our business vertica ls. We have continued to build our strength while adapting to the evolving industry landscape with agility and foresight.

Before I get into the numbers and dwell into it, I'd like to mention that Thoms Cook India Limited was presented the Best Annual Reports Award 2024 in the travel service category presented by Free Press Journal.

Moving on to the performance for the full year as well as the quarter. Income from operations for the quarter ended Q4 of FY '25 grew 18%. And consequently, our profit before tax improved by a sharp 51%, moving from INR 61 crores to INR 92 crores. If I look at the full year numbers, our income from operations grew from INR 7,299 crores to INR 8,140 crores, registering a growth of 12%. Consequently, our profits before tax improved from INR 345 crores to INR 385 crores, which is a growth of 1 2%.

As you will appreciate that this quarter typically is an investment quarter, but for 2 consecutive quarters in FY '24 and in FY '25, the quarter turned to be profitable. Goes on to reflect upon the fact that the seasonality of travel is beginning to ebb off and you will start seeing more of a flattened curve as we go along.

Some of the factors that are driving our performance or drew our performance in Q4 and for the full year was strong performance in the travel and travel -related segments, foreign exchange, Sterling Holiday Resorts. The one business in our group that didn't do well is DEI, and Mr. Ramakrishnan will dwell upon that during his conversation.

Let me first start talking about the quarterly performance. On the profitability front, as I said, our profitability grew by a sharp 51%, moving from INR 61 crores to INR 92 crores. And I think that's the

highest ever quarterly profit that we've seen for this specific quarter. If I look, this was aided by a strong performance on the travel and travel -related segments.

While on the foreign exchange segment you will see a slight bit of degrowth on the EBITDA margins, and that's largely on account of the front -loading of investments that we did, and I will cover that when I speak about the foreign exchange services.

I like to quickly dwell on the financial services segment before I move on to the travel segment. Our financial services reported a 14% growth in revenue with EBIT margins at 43% for Q4FY25 . For the corresponding period in the full year, our income from operations grew by 8% and EB IT improved by 21%, moving from INR 124 crores to INR 150 crores. Our EBIT margins improved from 41% in FY '24 to 46% in FY ‘25 , and this is largely in line with what we had guided the market to the range of 40% to 45%, and we bel ieve that's the range the business will operate in.

Some of the key highlights for the performance for the quarter and for the full year has been the strong growth on the retail segment. Our retail volumes grew by 11%. You'll appreciate that the numbers that you see in the results does not reflect the gross output. It only reflects the revenue from businesses. I'm trying to give you a lens on the gross volumes that we have clocked in. Our retail volumes grew by 11%, aided by education segment, which grew 26% Y -o-Y and the holi

day

segment grew by about 5% Y -o-Y.

If I look at the corporate s, that was another segment, which grew about 3% year -on-year. Our prepaid card business had a very strong momentum. Our overall volumes inched closer to the $1 billion mark, growing by about 5% as compared to FY '24. And consequently, our float on the

business inched closer to about INR 1,325 crores.
From a card segmentation point of view, I've spoken about it in the past. We had an Enterprise Card focused on the corporate segment. We had the Study Buddy Card focused on the education segment. And I'm happy to report that in the quarter that went by, we launched our holiday card called the Borderless Prepaid because this segment that we are referring to is the largest segment as far as the LRS data is concerned.
If you look at the LRS data published by RBI, the total volume is roughly about $30 billion exit in FY 2024. And I think the FY '25 numbers will be closer to that or a shade lower, considering that the numbers till February was 1% lower than what was reported in FY '24. Given that we are looking at

an addressable market of about $18 billion, consisting of the enterprise business as well as the holiday travellers, this was a big opportunity for us, and we wanted to do a big bang approach.
And hence we roped in a brand ambassador in the form of Kartik A aryan. It's an investment that we have made, and this is one of the reasons why our EBIT margin as well as the EBIT for the quarter came in a little lower than what we delivered in the same quarter of last year. This is a front -loading of the investment. Th e returns on that will come in the subsequent quarters.
One more point on the forex side. Our digital adoption continues to be very strong. Our digital adoption has moved from 20% to 21% in the quarter and for the full year remains at about 21.5%.
So, we have seen a steady progress as far as our digital adoption is concerned . Digital KYC, the WhatsApp tool, the FX mate tool , I think all the digital tools that we use in the marketplace are seeing good traction, and we will continue to build on the momentum that we have created.
Moving on to the travel and travel -related segments. As you can see, we've given a little more color to it in our investor's deck. It consists of 2 parts, B2B and B2C. The B2B contributes about 74% of the overall volumes and the B2C businesses contribute 26% of the overall volumes. We had a very strong growth across both the segments, which is the B2B and B2C. My colleague, Debasis, will talk about the B2B segment and specific reference to the DMS units, India and International, and I'll walk you through th e B2C segments here.
If you look at the B2C segments for the full year on a comparative basis, our overall volumes grew 20%, moving from INR 1,463 crores to INR 1,750 crores and for the quarter moved up from INR 253 crores to INR 303 crores, reflecting a strong double -digit growth. I'd also like to highlight here that for the fourth quarter of FY '25, both the international domestic and the overseas international business came higher than the pre -pandemic numbers.
This is something that we've been calling out for some time saying that we expect the recovery to happen, but the last quarter saw the recovery higher than what we had in the pre -pandemic levels.
Obviously, for the full year, it still trails. That's because the first 3 quarters were not so strong. The recovery on the long haul did not pan out as expected, but the last quarter was a v ery strong one, and that kind of aided the profitability and the growth in the income from operations.
Moving on to the MICE and the corporate travel segment. We had some strong momentum both on the MICE side as well as on the corporate travel side of it. On the MICE side of it, you will recollect

that the large part of FY 2025, we didn't have any government business. But the last quarter, which we called o

ut in the previous earnings call, we were executing a government business, which is the National Games in Uttarakhand. We completed that in mid o f February 2025 and clocked a volume of about close to INR 100 crores, which kind of helped the business.
What's important, if you compare it from FY '24 to FY '25, you'll see that despite the government business coming about 50% lower than what we had in the previous financial year, our corporate business grew by 6% from INR 1,188 crores to INR 1,256 crores.
On the corporate travel side, I think typically, March is a low quarter, seasonally low quarter, , because a lot of budgets got frozen and the new budgets are allocated much later. So, we had a bit of a slower offtake, I would say. And there is also some impact of the tariffs that came in because there was a lot of ambiguity about what the impact of it on corporates. So, we saw a bit of a delayed decision -making. Also, some of the new wins that we had, which were likely to go live in the last quarter of FY '25 is actually moving on to the first quarter of FY 2026.
Overall, I'm happy to report that our focus on improving our non -air share on the corporate travel has worked. While our non -air share in the previous year FY '24 was 6%, it's trend up 200 basis points higher at about 8%. And I think that's a healthy sign because that improves our yields and margins in the businesses. We've continued to acquire new customers on the corporate travel segment, and we added about 11 new corporates in the quarter in question.
On the B2C side, before I hand over to Debasis, I just want to mention that we continue to expand

our distribution network. Between SOTC and Thomas Cook, we've added close to about 11 locations during the quarter and for the full year, roughly about 21 new locations. That represents about roughly 12%, 13% of our overall distribution network. And we continue to invest in growing our distribution more specifically in the Tier 2 and Tier 3 markets.

Our digital spends and our digital adoption continues on the holiday side, and we continue to invest in newer technologies, and you will realize that we've actually went live with Tacy and E ZY, the 2 voice bots or rather chatbots that we have made live, which enables customers to convert web leads into leads, which can then be converted into actual bookings. I think overall, I'm pleased with the performance of the group. I think we have had a go od set of numbers. And I'll now hand it over to Debasis to take you all through the DMS units, both India and international. Over to you, Debasis.

Debasis Nandy: Thank you, Mahesh. Good morning, everyone. So , I will take you through the DMS, Destination Management Services, and I split in 2 parts, the India business and the overseas business. The India business resides in Travel Corporation of India, contributes about 18% of the overall DMS business and operat es in India, Nepal, Bhutan and Sri Lanka.

The inbound business had a good year. The turnover grew by 17% in the quarter and 21% for the full year, reached about INR 629 crores for the full year. This was largely driven by the strong business from the top 5 source markets, which included U.K., France, Germany, U.S.A. and Russia. During the quarter, the company also saw an 11% increase in the passengers in the leisure segment. And on the charter segment, they saw a 2.3x increase on a year -on-year basis. The India inbound business has also opened a new office in Darjeeling and has onboarded new reps in Russia, Mexico and Scandinavia in a beat to sort of broaden network and capture new markets.

Moving on to the international DMS entities, which contributes about 82% of the turnover. So, I'll try to give you some color on the composition of that. We have Asian Trails, which operates largely in Southeast Asia across about 9 countries, and they contribute about 40% of the international business. Desert Advent

ures operating in UAE, Jordan and Oman contributes to 34% of the business.

Allied TPro operates in U.S. and Canada, contributed 19% of the business. And then you have Private Safari, South Africa and East Africa contributing 4% and 3% of the business respectively.

Overall, the DMS business has had a good year and a good quarter. And I will try and add some specific comments on the individual entities now. So, for the quarter, the DMS business grew about 26%. And for the full year, about it grew about 23%. Desert Adventures saw a healthy increase , more particularly in the MICE segment. The FIT business was a little subdued because of lower contribution from CIS countries, but the MICE segment, which operates under a brand name of Gulf Dunes saw significant bookings, i ncluding major events such as for Amway which had a record top line of about INR 108 crores and BMW.

And in addition, the luxury travel segment, which operates under the brand name of Arabian Lux and the OTA business showed very encouraging growth. Asian Trails delivered positive growth in the quarter and the markets that did well are Thailand, Vietnam and Australia and also Indonesia. It is a low season for U.S., but it did particularly well during the quarter, and it is expected to do even better as the summer sets in.

Coming on to Africa. South Africa showed very steady year -on-year performance with improved contribution margins, both from the group tours as well as MICE. East Africa lagged behind. That's the only unit which lagged behind a bit, primarily due to the abs ence of the business that used to get from FTI. As we have mentioned in the past, FTI is a large customer, a German customer, which went bankrupt sometime during the first quarter, and that has affected the East African business. However, the company continues to make progress on strengthening the business from the existing partners and is also accessing new markets to make up for the shortfall. That's all I have, and I will now hand it over to Vikram Lalvani, who will talk to you about Sterling. Vikram, over to you.

Vikram Lalvani: Yes. Thanks, Debasis, and good morning to all of you. Thank you for joining us on this call today. My name is Vikram Lalvani. I'm the MD and CEO for Sterling Holiday Resorts. And I'm joined by my colleague, Krishna Kumar, who is the CFO, and we are joining in from our Chennai headquarters at Sterling. Sterling closed FY '25 with a 10% revenue growth from operation s and an EBITDA margin of 34%, underscoring the transformative journey and the turnaround the company has taken since FY '22.

This has been a year of consolidation and strengthening our position in the hospitality sector, driven up by scaled -up room supply, completion of robust technology and distribution transformation that can now even sustain us for a scaled up 2 to 3x the num ber of resorts and destinations without much incremental fixed costs, the onboarding of critical leadership to support the significant

expansion planned in FY '26 and what we had undertaken in FY '25.
We crossed several key milestones during the year. The company's revenue crossed INR 5 billion for the first time. This represents a 10% growth over FY '2 4 operationally. Total revenue, which includes other income, reached a figure of INR 5,200 million, marking a 12% year -on-year increase. EBITDA stood at INR1,697 million, reflecting a 34% margin, which is still above industry average. Absolute EBITDA remained in line with the previous year despite investment -related costs incurred during the ramp -up of new resorts and the sunset of our mem ber acquisition model and product.
Profit before tax stood at INR 1,181 million, and Sterling now has remained profitable for 20 consecutive quarters. We are debt -free, and we continue to remain debt -free. We have strong cash reserves of over INR 2,700 million. Our operating performance was driven by a significant expan

sion

of our resort footprint in FY '25 , a 6% improvement in the guest ratio from 69% to 75%, even as the room supply grew through the year and a 16% increase in guest food and beverage spends.
During FY '25, progressively over the year, we opened 1 3 new resorts, averaging more than opening 1 resort a month. In Q4 FY '25 alone, we launched 4 new resorts in Ja wai, Jaisalmer in Rajasthan, Tipeshwar in Maharashtra and Amritsar in Punjab. The full year performance of these 1 3 properties shall be reflected in FY '26. We expanded from 48 to 61 resorts in FY '25, growing the room inventory from 2, 672 to 3, 254 rooms, almost a 2 1% increase. Our footprint now extends across 17 Indian states with strong regional clusters in Rajasthan, Kerala, Tamil Nadu, Maharashtra, Uttarakhand apart from other Indian states.
Our portfolio spans several leisure themes with 13 resorts in Wildlife destinations, 13 resorts in the Himalayan network and 9 in spiritual circuits. We continue to scale through an asset -right model and through sweating our existing own ed assets as well. With most of the fixed costs already incurred, we are well positioned to maintain this growth momentum even into FY '26.
Our occupancy for FY '25 stood at close to 60% with an expanded room supply base that ramped through the year. We sold over 600,000 room nights , a 14% year -on-year increase and maintained an average rate of INR 6,200 , reflecting a strong dynamic pricing discipline.
In the leisure segment, as you're aware, we are largely leisure driven. Apart from room revenue, the next big significant line of business is food and beverage. Food and beverage crossed INR 1,000 million for the first time, growing at 16% Y -o-Y, driven by higher in -house guest dining participation, innovative restaurant concepts and increased revenues from weddings and from MICE, which is conferences and meetings. In Q4 FY '25, the revenue st ood at INR 1,164 million and EBITDA stood at INR 345 million.
The quarterly EBITDA was impacted partly in Q4 FY '25 onetime, impacted by the sunset of membership acquisition approximately 20%, a onetime year -end provision reversals in FY '24, which is approximately 25%, 30%, onboarding of new leadership and investmen t in technology platforms and reskilling and transitioning of membership acquisition teams into new roles. From a customer experience and the brand recognition perspective, we continue to set benchmarks in our guest delight.

We are pleased to announce that Trip Advisor Travelers' Choice Awards, our resort in Kanha, Sterling Kanha won the Best of the Best for the third consecutive year. That is the top 1% of the resorts being recognized globally amongst 8 million listings globally. 30 of our resorts were awarded the Trip Advisor's Travelers Choice Awards, which is top 10% globally. 10 of them won it for the third time in a row and 8 of them won it for 2 times in a row. Our flagship property, Sterling Puri, 121 rooms was awarded the Best Family Resort for the year at the CMO Asia Odisha Leadership Awards in 2025.
In the last couple of quarters, Sterling has embarked on a journey called Sterling Sankalp, which defines our sustainability and ESG banner. Sterling's ESG initiative continues to focus on sustainability and community upliftment with several initiatives. E nergy efficiency, we've deployed heat pumps in most of our hill stations, EV charging stations and investments in solar and wind energy, waste management, plastic elimination via in -house water bottling plants in several of our resorts, water conservation initiatives in rail water harvesting and gr ey water recycling. From a CSR perspective, we have supported the project Dialysis in FY '25 through Fairfax India Charitable Foundation.
Notably, Sterling Munnar was also awarded the gold winner in the 14th RCI Green Awards sector, becoming the first resort in the entire Middle East, Africa and Asia Pacifi

c region to receive this
prestigious honour from them. This award recognizes the excellence in environmentally sustained

operations, spanning energy and water conservation, waste management and community engagement.
As I look ahead, we believe that FY '26 marks a transition from a phase of transformative to a high growth. The year has already started strong with Q1 FY '26, tracking almost a double -digit growth and more. With strong demand tailwinds continuing in domes tic circuits and tourism, a strong robust pipeline of resorts, at least 1 3 more resorts that will have a year -round kick in of revenues this year. Core investments already done, we are confident that of delivering another year of strong growth and results and value creation for Sterling as a brand and as a company. Thank you so much.
Urvashi Butani: Thank you. Over to you, Ram, for your opening remarks, please.
K. S. Ramakrishnan: Thank you very much. Thanks, Vikram, and good morning, ladies and gentlemen. My name is K.S. Ramakrishnan. I'm the MD and CEO of DEI. As mentioned by Mahesh in the beginning, DEI has had a fairly challenging year in 2025. Almost everything that had to go wrong

went wrong from the weather not playing up in the first quarter to the challenges of the geopolitical situation in the Middle East that lasted nearly up to 2 quarters in the beginning of the year.
And to add to it, we saw that and also took some conscious calls on our costs and trying to make more profitability as our focus. We added the closure of U.S. operations that went on. Another thing that was very unnatural in the year was having 2 Ramadans. In this calendar year, we had 2 Ramadans, Middle East being the sizable portion of our business , Ramadan is the time when there's low business . So, we had to face Ramadan last year was in April '24 and this year was in March '25. So, both of that double dipped us. Hence, I would also say the financial year '24 is not a very ideal comparison for '25.
Having said that, if you go back to the quarter performance, our sequential quarter, if I compare a sequential quarter, it's one of the required results on all the corrections that we have made. From a revenue perspective, in sequential quarter from the pa st sequential quarter to the current one, we have from a revenue, although we dropped from INR 224 crores to INR 201 crores, on an EBIT perspective, we increased our EBIT to INR 78 crores from INR 58 crores on the past quarter. I'm talking about October to December '24 versus January to March '25.
Having said that, some of the cost controls that we have strongly implemented through has started showing up, and that shows in this result in the quarter itself. So, if you take this quarter itself, and compare it with Q4 FY'24, while the revenue drop was 10%, the EBIT has been fairly flat . From a INR 222 crores revenue to INR 201 crores revenue drop . From an EBIT perspective, INR 7.9 crores has still remained at INR 7.8 crores. We see this as a strong clear indication towards a very, very robust financial year '26.
Throwing a little light on the fact that we also used this year to enhance our technology. I'm happy to announce that out of the 140 venues that we had, we have planned for rolling out a new technology. We have rolled it across 38 venues across UAE, Maldiv es, Indonesia and Malaysia. After piloting the same in smaller venues, we launched the technology in bigger venues like Waterbom Bali and Atlantis Dubai.
The new features of integrating with our ERP, facial recognition, etc, have been very successful on the launch. This month, we are going to see several more launches in bigger sites as we stabilize the solution. We literally planned all the launches in the next 3 months, not to just be over bullish about

this, but we are running way before plan on our current revised plan of rollout of WeC . That puts us into a fairly good state to then ben

efit on our costs and performance, which was planned.
The silver lining above all of this in the financial year 2025, we've had more than 50 -plus accounts renewed with a total value of $34 million. We had literally a 100% renewal rate in the financial year. Also from a new account acquisition, we have acquired 30 new accounts, amounting to about $11 million in revenue, INR 90 crores in revenue, which also tells that our financial year '26 will be fairly robust for future growth.
Having said all this, we are pretty positive that in the new partners that we have signed up, we have opened up -- we are getting much more aggressive in our growth in China and the Far East, where our margins have got slightly much better. Some renegotiat ions at Shanghai Disney and Universal has also helped us better our margins. These are being -- we will see the benefit of this coming through this year. That's all from my side. Thank you very much.
Urvashi Butani: Thank you. Sejal, you can open the floor for Q&A, please.
Moderator: Thank you very much. The first question is from the line of Naveen Baid from Nuvama Asset Management.
Naveen Baid: Sir, my question is on the Sterling and DEI segment. On Sterling, what is the guidance

for room addition for FY '26?
Vikram Lalvani: Okay. So, Vikram here, if I may just interject. So, in FY '25, we added 1 3 resorts that accounted to about 600 to 700 rooms. In FY '26, we are likely to open another 14 to 15 resorts and our room inventory should cross or should come close to 4,000.
Naveen Baid: And just a housekeeping question. What was the average room rate for FY '25?
Vikram Lalvani: This was INR 6,26 3.
Naveen Baid: On DEI, what is the margin trajectory that we are likely to see over the next couple of years given the fact that this quarter, we have seen some improvement on the margin? And do you see the segment as a whole growing on the top line basis also in, say, mid to high single digits?
K. S. Ramakrishnan: Well, I think from a top line perspective, we will continue to deliver our growth as we've done in the past. From a margin perspective, we have bettered our costs. We have

done some -- we have -- as I mentioned already, we have consciously taken decisions of not running non-profitable businesses. So, we've closed that. So, we assume that we'll be continuing the current trajectory in the right form. And Debasis, you can add more if you want to on this.
Debasis Nandy: Yes, sure. Thanks, Ram. So, in terms of the EBITDA margin, FY '24, we had a 9.1% and that dipped to about 6.5% in FY '25 for reasons which has already been explained by Ram. We expect that the worst is over in the business, as Ram said, and the business will go back to its previous levels of margins. And with the higher levels of revenue, the overall profitability is expected to grow.
Naveen Baid: And when you talk of the segment top line growing like what it has in the past, so which period are you kind of referring to?
K. S. Ramakrishnan: Sorry. Can you repeat that, please? Which what?
Naveen Baid: So, on D EI, what kind of growth are you expecting over the next couple of years?
K. S. Ramakrishnan: Within D EI, are you asking for a number?
Debasis Nandy: I'll make it simple, Ram. I think he's asking for guidance, so to say, on what is the growth that we expect in the future as far as the top line is concern ed.
Naveen Baid: That's correct.
Debasis Nandy: So overall, without referring to a specific year, in general, we expect the business to grow at least around 12% on a compounded basis.
Moderator: The next question is from the line of Akshat Bairathi from RSPN Ventures.
Akshat Bairathi: My question is on Sterling Resorts. So, sir, despite the increase in the number of rooms and increase in the F&B revenues, we have seen a flattish revenue for Q4 and a dip in EBIT margins. So, can you please explain that despite this growth, why ar

e we flattish for Q4?
Vikram Lalvani: . In fact, some of these aspects I did cover in my commentary, but I will repeat that. Now the inventory addition that's been happening, it's been happening in a phased manner, and it's not a full year inventory addition. As I said, we opened our 4 new res orts during even Q4, of which 1 was Jaisalmer, the other was in Amritsar .-So these are staggered inputs that come, number one.

Number two, when you open a resort, it takes at least a good 60 -90 days to attain a complete ramp in the resort. So, for which you do incur a little bit of an input cost at least for the first 30, 60, 90 days before the whole thing ramps up. that's number two. Number three is the fact that we've also sunset the entire membership acquisition, which actually had an impact in Q4 of the previous year and Q4 of this year. And that affected us by actually 15% to 20%, but we managed to substitute that with the scale that we've managed to attain with the resort growth in FY '25.
Number four is that normally in Q4, seasonality from a leisure point of view is a slightly weaker quarter unlike Q1 and Q3 . From an EBITDA margin point of view in Q4, while the entire year is in line, we still maintained a good margin of 34%. Now there was a slight change, as I said, from last year same quarter on account of the fact that we did make some investments in onboar ding leadership, number one. Number two, we completed our technology transformation journey in FY '25, which will enable us scale eve n to about 100 to 150 without adding incremental fixed costs. We had a onetime provision in Q4 last year, which accounted to about 20% of the differential. And most important, we also continued to transition or reskill a large team of membership acquisition into taking on new roles in the resorts that we were expandi ng into and in sales. So hence, these impacted the Q4 results marginally. Most of them are onetime issues. Fundamentally, we are absolutely on track.
Akshat Bairathi: I have a question on Sterling again. Sir, what will be the impact of Nature Trails merger with TCIL and on the top line? And any timelines for that?
Vikram Lalvani: All right. So, I'll start off with this and probably give it to my colleague, Krishna

Kumar, as well. We completed this, the slump sale in March. Now this actually includes 3 resorts close to Bombay. They account to about 80 to 90 rooms in terms of supply. And they constitute probably about INR 10 crores to INR 15 crores in terms of a top line revenue. But having said that, from a Sterling perspective, this should be very easily substituted during the rest of the year.
Akshat Bairathi: And just 1 bookkeeping question on the other income side. This quarter, we have seen a big jump in other income. So, is there any one -off?
Debasis Nandy: No, no. I think that's a consolidation question. So, I'll take that . You're talking about the consolidated level , right?

Akshat Bairathi: Yes, sir. Consolidated.
Debasis Nandy: And not at the EBIT level, right? So, for the quarter, overall, it has gone up from about INR28 8 million to about INR 531 million . And there are 3 things, which contributed to this. One is the higher interest on the bank deposits. As you know that we have surplus cash, which we invest in, conservatively in bank deposits and mutual funds. So, on the bank there's a significant amount of interest on the bank deposits. That's about INR 7 crores.
Another about INR 7 crores comes out of the exchange gain. You will recall that last quarter, which is the December quarter, we had explained during the analyst meeting that we had some exchange losses due to the strengthening dollar , due to the dollar versus the various currency fluctuations. We have made up for that during this quarter, and there is an overall gain of about INR 7 crores. There is also the miscellaneous income also includes some degree of write -b

acks, which Vikram has
already explained that there is about INR 5.3 crores of write -back that has happened in Sterling and that finds place in other income. So, between these 3, it's about INR 20 crores out of the INR 24 crores of increase.
Moderator: The next question is from the line of Chetan from Systematix Shares.
Chetan Mahadik: I have a couple of questions on Sterling. Firstly, we have a target of around adding 20 resorts, around 900 rooms in the next 1.5 years. Could you provide detail on the planned composition, basically the target geographic locations for this expansion ahead ? And the second question on Sterling again. So, as we are aggressively expanding our resort count, so what strategies are in place to ensure that the ARR and the occupancy levels are maintained or ideally say improve than being diluted by the new inventory?
Vikram Lalvani: Okay. Thanks. This is Vikram here again. I think these are very good questions. Number one, as far as our expansion is concerned, we will continue to expand our network in the leisure space domestically. I think that's the priority that we have in mind. We have strengthened, as I say, the entire wildlife segment. We're very strong in the hills segment. We have strengthened ourselves in the spiritual segment.
And we are also seeing success in moving in those markets where there is a cusp of leisure and business. For example, Madurai, Dehradun, Bokaro, Karwar, and we've also just recently launched

Amritsar, but there has been a blip in the last 4 to 5 days. So, our strategy then is moving in that direction as well. So, we will continue to be India -focused, and we will go where we are able to strengthen our leisure network as well as the tier 2, tier 3 towns where there is a cusp of leisure and business.
As far as the ARRs are concerned, as you are highlighting, just before I get into that, I just want to also reflect that if you see 2 years ago, Sterling had hardly any presence in Rajasthan. And Rajasthan is a key market for leisure, for weddings, for MIC E. But in the last 2 years, we have scaled up to having 9 resorts currently in Rajasthan in all the key markets.
And we are also, for example, fast expanding in Rajasthan. Our focus will continue to be even in Karnataka, where we are fast expanding there as well. We are very strong in Tamil Nadu, Kerala. So, we are going where also in those markets where we have relative strength. So, to that extent, also the occupancies will start -- will be in line with supply growth and will not dip as a result.
As far as the average rates are concerned, if we have been tracking Sterling over the last 2 to 3 years, in fact, pre -COVID, our average rates were close to about 3 ,000 to 3,500. We scaled it up to 6,200 as of today. So, we have moved, and we are moving the needle towards the upper mid upscale and the upper upscale segments and moving away from just the mid -scale segments that we have. While simultaneously ramping up the average rates, we have also ramped up the guest ratios over a period of time, and that will continue to happen.
So, number three is the investments that we've made in technology in FY '25. All this is actually keeping in mind that if we are going to scale the company portfolio, we should not be adding incremental fixed costs.

For example, the entire AI -generated chatbots, the entire lead management systems, the distribution systems, which will enable us to connect to every travel point across not only in India, but globally as well and connect it straight to our inventory and rate management system. So that's what we have actually put in place to ensure that these ramps happen quicker, and that's our actual focus going ahead. I hope that answers your question.

Chetan Mahadik: Yes, sir. That answers my question. And my second question is on DEI. So, I wanted to ask how is the company negotiating the contract terms to ensure profitable

operations ahead,

particularly, say, in the new markets? And how are we leveraging the learnings from the performance impact, which we have seen in the past?

K. S. Ramakrishnan: Well, first and foremost, this is Ramakrishnan from DEI. How we are negotiating our contracts is, obviously, we've been in this business for over 18 years. And every contract that is taken or done , a feasibility study is conducted before to understand what the potential of the partnership is or the market is or the particular attraction is, what kind of footfalls come there, what kind of pricing they have. So, there are various parameters that are taken. And then there's something called as market standards where the revenue shares given are based on those.

So, there's a very scientific method of giving this particular revenue share or offering the revenue share for the deal. We always learn from our mistakes in the past. So whenever there is an area of drop, for example, our business is divided into 5, 7 differ ent segments. We have water parks, we have theme parks, we have towers. There are categories of those. We also understand what the average spend of each of these categories are, how much a person would spend on a picture.

Like I can tell you that the average person spends of buying photographs when he goes to a theme park is in an Indian rupee equivalent INR 100 per person attending the park, whereas when it comes to a tower, it will be about INR 250 per person attending the park. Based on these parameters is how we offer the revenue share. Based on these factors, we also make sure all our cost structures are structured around it.

Having said that, how are we going to be maintaining going forward? This is purely market standards. As of now, DEI stands as one of the most profitable souvenir imaging business across the world. There's no other imaging company that's near to us from a profitability perspective. Even from a top 10 perspective, we are the number one by far today across the world as compared to anybody else. So, while we don't focus so much on being on the #1 position, hence, we've taken conscious calls when the U.S. became very expensive on cost, we decided to wrap up the operation. So, we do learn from mistakes. Time and again, we operate in 22 countries. So far, we closed 2 countries. So, I think from a ratio perspective, there's a 10% trade -off that happens, whether it comes to countries or accounts on an ongoing basis. But our inflow, we always work towards getting more inflow than the outflow. So, we've signed in more businesses ever than lost businesses through our history. If that helps you give you a parameter of how it works.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services AMC.

Yashowardhan Agarwal: I just have a couple of questions. First one is that what is the impact of Maha Kumbh on revenue and EBIT? And if I remove National Games and Maha Kumbh contribution from revenue and EBIT, what would be the number look like for travel and related segment?

Mahesh Iyer: I'll take that question. This is Mahesh here. So first to answer your question on Maha Kumbh, the top line income or revenue was roughly about INR 9 crores that we did spread across 2,000 -plus passengers that we manage for Maha Kumbh. As you know, and we've guided this before, our gross operating margins on the domestic business is roughly about 15%. So, you can do the math around it as to what that number will be or the impact on EBIT is.

Coming to your second question on MICE and specific reference to the national games, as I said, the total volume that we did in the current quarter was about INR 100 crores. Roughly government business operates about 7%, 7.5% margin, and that's the kind of uptick that we saw. I think it's important to highlight here that the volume of government business that we did in FY '25 was 50% of what we did

in FY '24. And c learly, we'll appreciate the fact that FY'25 was a year of elections.

Obviously, the spends on some of these activities are much truncated.

As we speak, we see balancing that , there's a lot of inquiries that are happening. We are participating in a lot of bids with the government, be it Khelo India games or National games. And as we've called out again, we also managed the Paralympic games that happen ed in New Delhi, albeit a smaller volume. I think these are little events that are coming up, and we are actually making a stride in the government business.

Moderator: The next question is from the line of Advait Lath from Nippon India Mutual Fund.

Advait Lath: Congrats on a great set of numbers. Just wanted to ask of the cash balance, what is the float number? And the second is, are the margins in the forex business, do you think these are steady -state margins? Or do you think there will be some changes going fo rward?

Debasis Nandy: Hi, this is Debasis. I'll answer part A of your question on the cash balances. The overall cash balances at a consolidated level is about INR 2,070 crores as of 31st of March, of which about INR 1,360 crores can be attributed to the float. And we have a gross debt of INR 240 crores.

And so, you can net that off from that cash if you want to. And about the part B, I would request Mahesh t o take over.

Mahesh Iyer: Thanks, Debasis. I believe that as we've said before, if you look at and track the foreign exchange EBIT margins over the last few quarters, you will see we hovered around the 40%, 45% range. And for the full year of FY '25, we've actually come at the same level, which is the 45%. So clearly, the business will continue to operate at that kind of range, which is the range between 40% to 45%.

There will be -- and as you would see in the Q4 FY 2025, there is a conscious call that we took in terms of investing to the market, trying to harness the potential of a big opportunity. So, we will make those tactical strategic calls, which will have a medium -term or short -term impact. But I think in the long term, the 40% to 45% range that we've said as the EBIT margin for the business should hold good.

Advait Lath: Right, sir. And just a follow -on question on that. What would be our prepaid card market share in the entire market compared to banks, etc?

Mahesh Iyer: So let me put it this way. Currently, the prepaid share, there's no official data that's being published on this. These are information that we kind of collate from different competitors who operate in this space. The market is roughly about, give or take, $3.2 billion, and we represent about 31% of that market.

Advait Lath: Right, sir. And just a question for the travel segment. Which segment in the DMS is the fastest growing based on the tailwinds in that according to Asian Trails. We do Desert Adventures, what is the traction there?

Debasis Nandy: These are different markets, and each market has their own sort of growth rates. So, in some quarters, it will be Asian Trails, in some other quarter it will be Dessert Adventures or something else. So, I would not really say one market is better than the other.

Moderator: The next question is from the line of Meet Shah from Finance 360.

Meet Shah: Sir, my question is on whole business. I mean, we are quite well diversified among in the whole travel ecosystem. We offer B2B, we offer B2C, we offer B2G. And we are geographically also well diversified. But sir, if you see, every quarter, there are some challenges which we are

facing, right? In the first quarter we had heat waves and election. In third quarter we had foreign exchange loss. I mean, obviously it was minimal , but it did impact our bottom line. So, we were very confident in Q4 of FY '24 about the growth. But the kind of growth which we were expecting at that time didn't came this year.

So, sir, despite us being so much d

iversified, what are the other things you are looking to minimize the risk? I mean we have geopolitical risk also, which we are facing. And I just recall ed when we met on the Capital Market Day, you mentioned that there are lots of geopolitical risk, which we are facing, the Russia - Ukraine, we have Israel and Palestine and now India -Pakistan. So, despite us being so much diversified, there are impact which we are seeing. So, what are the strategy we are looking to minimiz e this kind of risk?

Mahesh Iyer: Meet, thank you for the question. This is Mahesh here. And I think the answer to the question lies in your question itself. Look, we have a geographical and a business spread, and that kind of diversifies our risk if it has to come about. And that is what we've actually reflected time and again. If there is one market or one season in a particular market that doesn't work well, there are others in the group that stand out and deliver. I mean, take the case in point for the Q4 FY '25, the travel and the foreign exchange services fired very well.

Sterling Holiday Resorts had an excellent set of numbers coming in for Q4, albeit in a nonseasonal quarter, and DEI continued to struggle for the full year. But as a group, you would see that despite all these challenges, our revenue grew by a healthy 1 2% for the full year and profitability grew by about 15%. And I think that reflects upon the strength of the brand, the diversification of our risk,

both geographically and as well as in business . And I think that's how we will look at it.
I would also like to add here that there are some of these factors which will be beyond us, like a black swan event that happened during the pandemic or some geopolitical tension that will come up or the recent incident that happened in India. And I think these are events one can't pla n for. I think as a responsible corporate citizen, our strategy is to keep ourselves abreast of what's happening, keep device strategies to minimize our risk, take care of our customers because we believe when a customer comes across to us, he is coming to book a holiday and create a great experience for him. And I think that's what we are focused on.

There will be events like that, that will come and play out. I think as an organization, given the depth of our businesses and the strength of our leadership, we are much equipped to deal with situations as they come along.
Meet Shah: Okay, sir. Got it. And sir, can you throw some quantitative and qualitative bit of a guidance about how the forward bookings for Q1 is?
Mahesh Iyer: Meet, I think I'll refrain from making a forward -looking statement at this point in time. I can only say that our bookings are looking strong, albeit there was a bit of a softness that happened post the April 22 episode. But I think the last 2 days post th e ceasefire that has happened, we're starting to see the demand coming back. Our expectation is that the business will grow at double digits, and that's what I can tell you, which will be more or less aligned with what the industry growth rates will be.
Meet Shah: Okay, sir. Got it. Sir, my last question is on Sterling. Sir, I do understand that we have been expanding since last couple of years. But if you see, in industry, there has been a lot of expansion. But the growth rate, if you see the revenue, we are quite underperforming the industry. There are lots of players in the industry growing above 15%, 20%, but still, we find it difficult.
So, I understand that, obviously, when you open a resort, it takes 1.5, 2 years to break even. But sir, everyone in the industry is venturing into new hotels or resort. So, is there anything which we are facing and industry leaders or other players in the industry are not facing?
Vikram Lalvani : Let me answer that. One is, yes, we also do compare ourselves with the other listed companies that do declare results. One of the key aspect

s one needs to know is that Sterling has
been a pure -play leisure player. And leisure does face seasonality pressures unlike a typical hotel in a city. Having said that, even another gentleman had asked what we are doing about risk etc. Having said that, we are also derisking and moving towards the Tier 2 markets where there is a cusp of leisure and business, where our strengths lie. And I mentioned that as well. Number three is, if we see Sterling over the last 4 to 5 years, we first transformed our business model from a vacation ownership membership -driven model into a hospitality model. And while we transformed the company's business model, we also transformed the business results in the company, and that has kicked in, and that will continue to kick in.

Now in terms of percentage growth, obviously the portfolio variations will matter. We are not in the luxury segment. As I said, we have moved from a mid -market to an upper mid -market, some in upscale and some in upper -upscale segments as well. So that tran sformation has also taken place. Having said that, I don't think you need to look at only Q4. Even Q4, 1 0% is a healthy growth. 34% EBITDA is still solid and above industry average. Even if you see it from an average perspective, industry runs between 30% to 32%.
And as I had mentioned before, we will continue to be in this range of 32% to 35%, and that's where we will be. So, while we are transforming, we've also grown. And we are also scaling and ramping. So, I think the effort has been phenomenal. The point over here in terms of comparing ourselves with others, I think if you have to see even in the first 9 months of the declared results amongst all listed companies, if you compare ourselves with what it was, say, 3 years or 4 years ago, today, in most of the parameters, we are in the top 10. And I think that's where the change has taken place, and that's where the change will take place.
Our EBITDA margins will continue to be strong. Our EBITDA per room and PBT per room will continue to be strong, and we can have that even compared with some of the others who claim to have portfolio strengths even larger than us. I hope that answers your question.
Meet Shah: Okay, sir. And sir, last small suggestion. I don't know what part of our revenue comes from the Turkey market. But sir, it would be really a very patriotic move if we cut short the kind of packages we offer to domestic customer for Turkey. That's all from my side.
Moderator: The next question is from the line of Praneeth, who is an individual investor.
Praneeth: So, regarding D EI Solutions , according to the commentary, you mentioned that U.S.

operations have closed due to cost constraints or whatever profitability constraints. But in previous commentary, the management has mentioned that U.S. is supposed to be a growing market for them in t erms of growing the top line or bottom line. So, since U.S. has been shut down, where are we seeing this growth, from which countries are we seeing?

Since we are one of the largest players, how do we plan on growing? Are we planning on acquiring market share through more contractual leases taking from other companies? Or are we planning on going to the new resorts that are opening up? And how is the overall demand and onboarding scenario there?

K. S. Ramakrishnan: Okay. So, this is Ramakrishnan and let me take that. The reason we closed our operations in the U.S. was the U.S. market was getting extremely expensive from a labour perspective with the laws coming up for every state being different. Hence, our profitability was -- if we were not profitable there, hence, we had -- we closed the U.S.

Talking about where exactly we see the expansion, our expansion historically from the past has been seen between the Middle East and the Far East. To throw some market names, it is Saudi Arabia, which is fast growing up, and we are expanding there p

retty w ell. We have signed up, if not 50%,

about 70% of the prospective attractions are coming up in Saudi Arabia.

The other markets are Far East itself. Indonesia itself and Malaysia has been our growth market for the past 4 years, and we are continuously growing up in that region, too. In terms of how do we go about it, there are 2 forms of acquisition that we have. When a new attraction opens up, we bid for it through an RFP process. If an existing attraction has a current operator, we bid against them when it's due for renewal. We do not go directly, and we normally do not go in between an existing operator's contract to negotiate and get the terms back because that's -- we see that as a dampener on our profitability, if that answers your question.

Praneeth: Yes, that helps. And I had a few questions regarding the DMS business. So basically, as I understood, the DMS B2B business is basically us providing some services to travel agencies and all of those other third -party services with our services. But I'm cur ious on how do we onboard these B2B agents and all of these people. And do we actually work on the Thomas Cook brand? I understand we work through SITA and TCI in terms of growing this particular B2B business.

So, can you give me more context on how you're planning on onboarding? And with a lot of venture funding that has happened through travel over the last few years since COVID due to the prospective opportunities. So how are we navigating through this? Because at the end of the day, these new companies are also taking market share. I understand the market is growing. But how do you see the overall demand situation and supply situation in terms of this particular DMS division internationally and in India?

Debasis Nandy: Okay. Thank you for that question, Debasis here, and I'll try and answer. There are multiple parts of your question. I'll try and answer all of them. You are broadly right about the business model. It's a B2B model where we tie up with overseas tour operat ors. The way it works is

that we will create white labelled customized tours for the overseas tour operator based on their specific requirement. And he will sell the same tour as a branded to his customers under his own brand.

When those customers come in, the individual customers come into the country, whether it's India or elsewhere, we will service them from the time they land till the time they get on to the plane again. And this will take care of the hotel, the sight seeing, the tour guides, at times the food, so on and so forth. So, the way we usually tie up with large tour operators overseas with well -known names and to ensure that the business is on a good footing and the business is risk -free.

We do this business in India and, as you know, in several other countries. We do not use the Thomas Cook name. We are licensed to use the Thomas Cook name in 3 countries: India, Sri Lanka and Mauritius. And overseas, we do not use the Thomas Cook name. Hon estly, Thomas Cook brand doesn't align with the DMS, is not known for DMS operations. And therefore, we find it better to work with the local brands because these are easily 40 -, 50-year -old brands, most of these. And therefore, they have their own recogni tion in their respective markets.

For example, if I take Allied TPro, it's about 50 -year -old brand now. Asian Trails is close to about 25 years, so on and so forth. So, these brands have their own recognition. In terms of how to grow this business, it is about doing more of the same in the sense that tying up with more operators, be it in the countries where we already are operating or looking for new destinations.

For example, the business is very strong, and I'm talking globally, not any particular market. Globally, we are very strong in capturing operators from Europe or U.S.A. We are now spreading into South

America, trying to capture the markets of Brazil and Ar gentin

a, not necessarily for India, but also to
get into the other parts of the world where we operate. Did I miss out anything?
Praneeth: Yes. Like regarding the competitive landscape because there's a lot of venture funding that happened in terms of the space. So, I was wondering how we are navigating that particular thing because even though demand is growing, supply has also been growing. I understand recently there has been some consolidation and all of that. But can you give you like outlook on how the industry is shaping up to be?
Debasis Nandy: I think if you see the results for the past few years, the growth has been pretty strong. It's on an average about at least about 15%. If you look at our DMS business specifically, the

growth actually has been from where we were in 2017 when we took the units over to now, the growth has been actually phenomenal. But we are not saying that we replicate that growth year -on-year. The current year growth has been about 23% at an overall level. But in the longer term, we can easily see a 15% plus growth.
When you're talking about the new start -ups, et c, I guess those are more of nature of B2C rather than a B2B. So, we are B2B operators and not B2C. If you have any specific B2B operator in mind, maybe it will help you to answer your question.
Praneeth: No, actually, I don't have any specific B2B in mind. and since our B2B operations are mostly tying up with tour operators, are we also are tying up with these new age start -ups because they're mostly B2C, and we're just providing the back -end services of these people. Are we tying up with these new age start -ups and online for start -ups? How is that going?
And I wanted to understand the moat of this business in terms of Thomas Cook because we've been able to grow this well at a decent scale despite the high base. I was wondering what is the incentive for other operators to take our white label product? What is their cost benefit? And what is the gross margin or EBITDA margin on these particular products?
Debasis Nandy: I think the key moat that we have is technology. So, once we took over these businesses, and also in the existing business, we have upgraded our technology substantially. This business used to be very manual in nature in the sense that the way it used to operate is that the overseas operator would ask for a quotation and with quotation will ask for itinerary, we'll create an itinerary, offer a quote, and there will be a bit of to and fro on that before things get finalized. And obviously, this used to happen over e -mails, and therefore, it would take its own time. And what we have done today is very different, is that we have upgraded the technology so that it gives the opportunity to the overseas operator, our customer to so rt of log into our system and look at the rates that we are offering for various hotels or various sightseeing, so on and so forth. And we have both dynamic and static rates that are available.
And therefore, we can quickly figure out what it will cost to sort of create -- and we have some standard templates or itineraries that are already in the system. If you want something customized, he comes back to us, he leaves his requirement on the syste m, and we can quickly get back to him because everything -- we are also connected to the hotels through the same set of software.

This is not something that everybody has. And therefore, I think the big advantage is that the TAT, the turnaround time, is very, very quick, and it leads to efficiencies in the entire process. In terms of margins, typically, the business operates at a gro ss margin of about 15%, 16%.
Mahesh Iyer: Debasis, if I can comment. Praneeth, I also would like to add to what Debasis said. I think while technology is one important lever and moat for the business, the other is our ability to buy together as a group. I think if you look at the 3 big markets, wh ich

is Allied TPro, Desert
Adventures and Asian Trails and combine that with the outbound business from India, which is SOTC and Thomas Cook, I think what we're doing is we are buying from a concerted set of suppliers in the market, maybe some of the larger hotel groups, some of the larger airline companies and stuff like that.
So, when you go and do this bulk buying, it also brings efficiencies and scale. And I think those are the factors at play which allows us to put a much better pricing to the customer, which also then allows us to win business in the marketplace.
Praneeth: Understood. So basically, you are saying that technology is the main moat because of the turnaround time and because of the manual intensive nature, Thomas Cook is able to scale the revenues in this particular aspect. I was wondering if there are any other players at similar sizes…
Moderator: Sorry to interrupt sir I would request you to rejoin the queue for your follow -up

question. Thank you. The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: Sir, first question is on Sterling. We look at the revenues of the F&B that has grown. I'm assuming the room revenues also would have grown. So, is the accounting related aspect regarding the membership sales that -- is that the reason why the top line was flat this quarter? And if you can quantify how much of membership sales that have not been accounted for in this quarter?
Vikram Lalvani: Yes. Hi, Deepak Lalwani. This is Vikram Lalwani here, and glad to speak with you again. I think your question was on 2 parts. One is, yes, there has been F&B growth of 16% . I also recollect your question in Q1 when we grew only at 6% in terms of F&B. Now for the entire year around, we grew at 16%.

F&B actually has 2 components. One is, since we are mostly in leisure destinations, a large component of it comes from resident guests. And when we sell to resident guests, we sell it as a composite package, say, INR 6,000, INR 7,000, INR 8,000 depending on, which includes maybe 1 or 2 meals. So, to that extent, there is a dependency on the resident guests and which is why I said the in-house participation and the improvement of the in -house participation is one of the factors that led to this growth.
Number two is in markets like Madurai, Bokaro, etc, which are a cusp of leisure and business, a lot of them also have non -residential F&B component in it, which has also now started kicking in. Obviously, weddings and MICE, which has impacted in Rajasthan because we've expanded in Rajasthan also has had an impact.
So, F&B is continuing to be a strong focus. As far as the membership is concerned, the impact, if you're talking about, it could be approximately INR 3 crores to INR 4 crores take out from an IndAS perspective. But having said that, we are still servicing our existing members. We have only stopped the acquisition of new members. And when these members also travel into our resorts, they do spend on ancillary services, including F&B. Okay.
Deepak Lalwani: And sir, on the cost side, is there any related cost that got booked in the P&L because of the membership sales or any other that could be one -off which would not repeat in the future?
Vikram Lalvani: Yes. So, as I mentioned , since we sunset the acquisition of membership, that has been in Q4 of last year, so there has been some numbers there. So , talking from a differential perspective, on the EBITDA must have been about 15% to 20%, as I had mentioned. But in terms of the fact that we had still people with us, it was important that we re -skill them. Obviously, the same people were not generating revenue for the quarter, but we use that to re -skill and redeploy them in aspects of this rega rd or relates to the resorts. That's the call that we have taken, and that's why there has been a onetime slight

impact in Q4.
Debasis Nandy: There are a couple of guys waiting in queue and we are closing out almost. So can you give the others a chance, please?
Moderator: The next follow -up question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: Sir, you mentioned that one of your moats is technology, especially in the travel business. But could that not be a double -edged sword in the sense that what kind of threat do you see from AI?
Debasis Nandy: I'll request Mahesh to answer that question.
Mahesh Iyer: Naveen, I think when you look at -- it's not in isolation, it's not a single variable that when we speak about technology. It's never a means to the end. It's something that enables customers to transact seamlessly with us, allows multiple distribution poi nts to be connected and gives them seamless experience. We also will appreciate that when you talk about holiday packages, it's a high -touch experience -driven business.
And in that, what technology does is gives the information on a readable format in a much better presentable format. And I think that's what it does. But if you look at a market like India and if you were to look at an international holiday, you have to na vigate the first big challenge, which is visa, what kind of documentation you're going to put it through to ensure that your visa comes through right. And then that's the last thing you want to go wrong when you're planning a family vacation.
So, I think t here is high touch in it. And I think that's the point Debasis was alluding to. There is a set of people and touch that is rare in the business, and there is technology to smoothen out.
And technology plays a more important role in getting to as to how customers will interact with us, how can I get across to a lot more customers, give them information on the go, on their hand -held

devices through WhatsApp or chat bots and stuff like that. So, I think technology is more like an enabler to the business and not necessarily an end route. And we believe that both in the B2B and B2C businesses, we've used technology for different reasons. In the B2C business, it's more about driving customer conversions, customer conv ersations. And I think that's what our focus is.
In the B2B side of the business, it's more about improving productivity and trying -- as Debasis rightly said, improving our TATs in terms of quoting to our agent partners and stuff like that. So, it's a mix of both. And as a travel company, we always maintain that we operate a hybrid model. There are physical expansion of stores, and I alluded to that point in terms of our distribution reach that we expanded in FY '25. We continue to invest in tec hnology also. So, it's always going to be an and -game and not an or -game.

Talking about AI in specific, it's not something that we are ignoring. We are also investing in AI. You would have heard us talking about Dhruv AI, which is specifically on the corporate travel segment where it enables customers to seamlessly manage their ticket booking, scheduling, rescheduling and stuff like that. It's currently at a POC stage, and we will do a commercial rollout somewhere in Q 2 of FY 2026.
We also have our AI chatbot for our holiday business, which basically allows customers to interact as if it's talking to a human being and enables them to convert a lot of those conversations into conversions, I think. That's where we are at. We are trying to use the best of both technology and human being in creating a good value proposition for the customer.
Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Mahesh Iyer for closing comments.
Mahesh Iyer: Thank you, gentlemen. I'd like to once again reiterate that we had an excellent FY '25, aided by strong performances from our travel, foreign exchange , Sterling holidays and to some extent, from D

EI also, albeit with some of the difficulties that they faced during the year. As I mentioned, we're committed to growing this business.
We see opportunities. There will be some headwinds that will come along the way. But I think as a management, we are well diversified, both in terms of geography and in terms of product portfolio. And I believe that FY 2026 will be a good outcome similar t o what we delivered in FY 2025, irrespective of the some of the challenges that you will see in the near -term horizon. Thank you so much for joining our call. I really appreciate you talking to us. Thank you.
Moderator: Thank you. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 6, 2025

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38
Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earnings Conference Call

In furtherance of our intimations dated July 15, 2025, July 30, 2025 and August 1, 2025 giving intimations for the Q 1 & FY2 6 Earning Conference Call for the Analysts and Investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earnings Conference Call held on August 1 , 2025 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link:

https://resources.thomascook.in/downloads/Q1_FY26_Earnings_Call_transcript_06082025.pdf

This is for your information and records.

Thank you.
Yours faithfully,
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited:
Q1 FY26 Earnings Conference Call – August 1, 202 5
Management:
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts

Moderator: Ladies and gentlemen, good day, and welcome to the Thomas Cook (India) Limited Q1 FY '26 Earnings Conference Call, hosted by Systematix Shares & Stocks. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity f or you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
I now hand the conference over to Mr. Chetan Mahadik from Systematix. Thank you, and over to you, Mr. Mahadik.
Chetan Mahadik: Thank you, Shruthi. Welcome, everyone, and thank you for joining us on Thomas Cook (India) Limited's Q1 FY '26 Earnings Conference Call. From the company, we have with us Mr. Mahesh Iyer, Managing Director and CEO; and the senior management team. We would like to begin

the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session.
I would now like to invite Mr. Mahesh Iyer to make the initial remarks. Thank you, and over to you, sir.
Mahesh Iyer: Thank you, Chetan. Good morning, everyone, and thank you for joining us as we discuss the Q1 FY '26 financial and operating performance. Before I begin, I would like to introduce my management team who is joining the call with me today. With me in the room , I have Debasis Nandy, who is the Group CFO for the Thomas Cook (India) Group; I've got Vikram Lalvani, Managing Director and CEO of Sterling Holiday Resorts; Brijesh Modi, CFO at Thomas Cook (India) Limited; and Urvashi Butani, who you alrea dy know, manages Investor Relationships. Before I talk about the operating results, I just wanted to give you a little background to the quarter that went by.

The period April to June quarter marked one of the most volatile periods for the travel and tourism industry since the COVID era, shaped by a convergence of global and domestic disruptions. On the domestic front, traveler sentiment was adversely

impacted b y the tragic incident in Pahalgam and
the ensuing cross -border tensions.
The unfortunate aviation mishap in mid -June further tested this already fragile sentiment. The combined effect led to some cancellations and deferment. Internationally, the escalation of the Iran -Israel conflict disrupted civil aviation routes and fuel sup ply chains.
This was further compounded by persistent global trade tensions. This period typically represents a strong season for both our outbound and domestic travel. While April saw a strong start in -line with our expectation, the unfolding of disruptions led to a moderation in our growth momentum across May and June, and I will give you more details of the same when I cover the travel segment.
That said, I'm pleased to report that the resilience and the depth of our diversified portfolio has enabled us to deliver a consolidated top line of INR24,530 million, reflecting a healthy 15% growth over the same quarter last year despite the challenging environment. On the profitability front, our profit before tax, excluding a one -time ex gratia payment of INR171 million stood at INR1,284 million, marking an 18% increase over the same quarter last year.
Notably, our PBT margins improved year -on-year from 5.1% to 5.2%, driven by continued operational efficiency. Before we get into the details of the results, I want to highlight CRISIL recently upgraded our rating to AA. This is the highest in India's trave l and tourism sector, and it's a clear reaffirmation of the group's leadership in the travel segment and strong parental support from Fairfax.
As a part of our digital transformation journey, we continue to harness the power of AI and conversational interfaces to enhance customer experience and drive operational efficiency across our core business segments. In the leisure travel segment, we have introduced Tacy for TCIL and Ezy for SOTC, our AI -powered assistant that provide real -time support, personalized recommendation and seamless planning, empowering customers with intuitive on travel assistance.
For corporate travel, our GenAI advisor, Dhruv, simplifies complex travel requirements, offering intelligent itineraries, policy aligned bookings and insightful reporting, driving both convenience and compliance for our customers. In the foreign exchange s pace, we extend our service delivery

through WhatsApp calling, bringing our offerings directly to customer preferred platforms, ensuring ease, accessibility and speed for everyday forex needs.
I will also -- I'm also happy to inform that our prepaid card is the first in India, which is now integrated with Google Pay along with Visa, allowing customers to add our prepaid card onto their Google wallet and use it seamlessly while overseas on an NFC -enabled platform. Together with these innovations, we reflect our commitment to leveraging emerging technologies to deliver smarter, faster and more personalized customer journey across our portfolio.
Moving on to the segmental performance. I'll begin with the financial services. The financial services segment reported revenues of INR842 million for Q1 FY 2026, reflecting a 7% decline Y -o-Y. However, on a sequential basis, the segment registered a 7% im provement. Unlike the travel segment where early bookings offered some insulation from last -minute disruption, the forex being more like a last -minute transaction driven felt a sharper impact. Many travelers chose to defer or cancel their plans altogether due to the unfolding geopolitical events that directly impacted our forex demand.
The year -on-year contraction was driven by a combination of macro and segment -specific challenges, and I'll highlight some of them in the subsequent paragraphs. The first one was the geopolitical environment that created uncertainty with regional -- with h eightened regional

tensions impacting travel -related forex flows.
We also had a lower Hajj tr

avel during the period. As you will recollect that last year same time, we had large movement on Hajj that happened, this time, given the Middle East tensions that we had, the movement around the Hajj was comparatively lower. In addition to that, education segment and the recent RBI data that was published for the period April to May represent a 25% decline. However, our portfolio continued to grow, albeit at a very s low pace . So we saw the impact of the student segment in the current quarter too. Other area -- one other area that kind of dampened our performance is our exit from Delhi Airport. It is something we've been speaking about for some time. We made a conscious decision n ot to renew our contract with Delhi Airport as it didn't make great commercial sense for us.
So from a comparison point of view, strictly in the current quarter, we have only 45 days of trading for Delhi Airport as compared to 90 days that we had in the comparable quarter last year. On the

EBIT front, the impact was a little more pronounced for us as each transaction declined affected our earnings. This is particularly more relevant for the prepaid card segment where we get volume - based incentives. And considering the lower demand that we sa w in the current quarter, we thought it was prudent for us to look at our revenues at the lower slab, and we will adjust the slabs as we see volumes coming back.
Despite these headwinds, it is encouraging to note that our EBIT margin continued to remain strong. The business operating performance is resilient and our EBIT margins are at 44%, underscoring the strength of our efficiency and the underlying business model. From a transaction count perspective, despite the absence of Delhi Airport transaction counts, our retail transaction volume grew by about 3% and our total volume grew by about 4% to the comparable quarter last year .
On the prepaid card load side, we had a double -digit degrowth , 12% degrowth on the prepaid card volume. And as I said, this is a combination of various factors that I just mentioned abo ve. From a digital adoption perspective, our foreign exchange business continues to be at about 20.4% of transactions are done digitally, and we continue to see our trajectory going up.
Our app bookings are up 3x year -on-year. And on WhatsApp, our transaction volumes are up 7x on a year -on-year comparison basis. Moving on to the travel and travel -related segments. The travel and travel -related segments grew by 18% Y -o-Y in Q1 FY '26 with strong contributions from both the B2B and B2C segment. Let me take you back to November when we launched our Europe holidays, November of 2024, when we launched our European holidays for the summer of 2025.
By late March and into April of 2025, we were witnessing strong forward booking momentum with outbound and domestic travel trending at about 24% to 25% over previous year. However, the series of external events that I mentioned before impacted our forward booking and our booking curve tapered as we progress between May and June. Outbound bookings began trending closer to mid - teens growth, while domestic travel reflected a negative forward booking growth trajectory.
Despite these challenges, our income from operations grew by 18% and our EBIT grew by 25%. Our EBIT margins improved from 3.9% to 4.1%, displaying our strong resilience from the forward booking that we saw and the diversified portfolio across the DMS Group and the various geographies that we operate in.

From a product mix perspective, domestic business was a little subdued during the current quarter, as I mentioned about the domestic disruptions that we had, but our international business actually grew by about 19% in the same quarter. The mix of B2B and B2C remains at 40% to 60%, 40% of the business is B2C and 60% of the business is B2B. And across those segments of DMS as well as MICE and corporate travel, we witnessed growt

h.
From a leisure travel segment perspective, given the uncertain environment, we also launched a comprehensive travel safety program just to get the confidence of the customer back into making that decision to travel. The product is called TravSure, which of fers customers peace of mind and enhanced protection to their journey.
The program includes free rescheduling, cancellation in emergencies, additional trip protection and 24/7 customer service. With TravSure, travelers can confidently navigate uncertainties, knowing that their plans are safeguarded with responsive and reliabl e assistance every step of the way.
Thomas Cook and SOTC also undertook a survey, and we published our India Holiday Report 2025. Some of the key highlights that we saw out of that survey was, Indian travelers continue to show strong preference to guided tours with demand fairly evenly spread across 3 categories. The survey

revealed that 35% of our respondents prefer group escorted tours, followed by 33% opting for customized private tours and 3 2% choosing semi -guided holidays.

And essentially, it means that two -third of our customer base are still looking forward to, in some shape or form, guided tours, and that's a strong reflection of the business model that we operate in. One of the other highlights that came out of the report that Europe continues to be one o f the top international travel preference for Indians with 50% of our respondents selecting it as their most desired holiday region.

Its enduring appeal stems from a combination of rich cultural heritage, scenic beauty, iconic landmarks and multi -country itineraries that cater to families, couples and solo explorers alike. Southeast Asia continues to be one of the most dominant for the short -haul segment with Thailand, 46%; Singapore, 37%; and Malaysia, 32% ranking high on the travelers' radar . The region benefits from proximity, competitive pricing, easy visa and a variety of experiences from beaches to nightlife to shopping and adventure for the Indian market.

Southeast Asia offers a perfect blend of convenience and excitement, making it a key focus for the travel planners looking to cater to evolving preferences in 2025. From the B2B business segment point of view, corporate travel had the impact coming from th e uncertainty around tariffs. The IT and ITES segment continues to be the largest contributor in our corporate travel business, and we saw some softness as far as volume is concerned because of the uncertainty around the large market like US and Canada. Ha ving said so, our volumes continue to grow.

We had a modest growth of about 2% in terms of volume on our corporate travel business. We continue our journey on implementing technology. I'm happy to report that Thomas Cook is currently testing our in -house built travel solution for our customers called Travel One, integrated with AI, which is Dhruv, whic h essentially will allow customers to seamlessly manage their travel bookings. This also ensures that over a period of time, we will be able to move a lot of customers to self-serve and reducing the need for having a lot of people or t ouched to a transaction. On the meetings and incentives business, we continue to grow despite the challenging environment. I think the same benefit that we got on our B2C, our B2B business also had a strong forward booking pipeline before the global headwinds affected our business. The business volumes overall grew by about 12% in the current quarter with no government bookings that happened during the current quarter. We managed about close to 300 groups ranging from 5 0-1,000 delegates traveling across Europe, Austria, Spain, Australia, UK, UAE and many other markets.

Thomas Cook also managed 120 delegates for the International Solar Alliance, the Regional Committee Program in Sri Lanka, facilitating bilateral meetings with various Asia Pacific ministries. The MICE in -house T

our app, which is what we are building has gone live, which allows customers to get access to their information , real -time updates and also allows our tour partners or tour managers to seamlessly keep conversing with the customer.

With this update, I'd like to now hand over to Debasis, who will talk to you all about our DMS operations and DEI.

Debasis Nandy: Thank you, Mahesh. I'll now take you through the DMS business first and then followed by DEI. The DMS business, as you know, is split into the DMS India, which is represented by a company called Travel Corporation and DMS International. The business is ess entially seasonal and for the India business – April to June was a lean quarter.

So it contributed to about 8% of the DMS business and the International, obviously, 92%. However, even in a lean quarter, the India business turnover grew by 36% year -on-year and reached INR 597 million of turnover. It is interesting to note that it has touched exactly the business that we did in FY '20, that is the year before the pandemic. So the India business has definitely surpassed the pre - pandemic levels. As far as the International bus iness is concerned, it's done even better. It has grown by 28%. T hey reached a volume of INR722 crores, which is 1.8x higher than what it was pre - pandemic. Just to give you some color on the International DMS business. There are 5 entities here spread across Asia, Southeast and Middle East Asia, the USA., Africa and Australia. Asian Trails, which do es the business in Southeast Asia and Australia contributes 40% of the business.

Desert Adventures, which does the business in Middle East contributes of 27%. Allied TPro, the unit in USA contributes 26%. So these are the 3 large ones contribute 93% of the total. The balance 7% is contributed by two entities in Africa. The South Africa n entity, Private Safaris South Africa contributes about 5% and the Kenyan entity called Private Safaris East Africa contributes to about 2%.

As I said, overall sales grew by 2 9%, and this is primarily driven by the three large units. Asian sales

reported a robust growth of 42% year -on-year. The countries which did very well are Thailand, Cambodia, Vietnam and China. In US, the Allied TPro unit reported a growth of about 31% over last year, largely driven by a significant contribution from the MICE segment.
And, of course, there are higher volumes in the FIT segment as well. Desert Adventures, the unit in the Middle East, in spite of facing severe geopolitical issues, they held sales steady. There's actually a 7% improvement over last year. As you also know t hat this is not the season for the Middle East. This is the summer season, and therefore, the sales are anyway muted.
Private Safaris in South Africa did very well. They reported a 19% year -on-year growth, driven by upselling initiatives, both in South Africa as well as in Namibia. East Africa is in recovery mode from last year. It has reached full recovery. And in fact, it was ahead of pandemic, but we lost one of our large customers, FTI due to insolvency sometime last year.
And the business is trying to rebuild by onboarding new customers in order to drive future growth.
I will now move to DEI, the Digital Imaging Solutions. This is a business which is, as you know, headquartered in the Middle East and 45% of the business com es from the UAE and the surrounding

areas. And therefore, Q1 is not a peak period for the Imaging business. However, happy to report that the revenues held steady at INR210 crores.
It's marginally up by 1% over last year, driven by improvement in UAE, positive contribution from regions of Indonesia and Macau, where we added some new accounts. Our renewal rates remain strong. Seven key partnerships were renewed during the quarter, pri marily UAE and Singapore. We also operationalized 2 of our new partnerships in China and India and signed 5 new ones across the UAE, M

aldives, Hong Kong and Malaysia. At the same time, we are also closely evaluating sites which are less profitable.
And wherever we need to, we are exiting. We continue to maintain a sharp focus on profitability and operational efficiency. This is visible in the sharp increase in EBIT. There's a 61% growth, as you can see in the segment results in spite of the revenues being stable. Our EBIT margin has improved substantially from 3.2% last year to 5.1% this year, indicating the benefits of cost efficiencies and productivity led by the usage of technology.
With this, I'll hand over to Vikram for an overview of the leisure hospitality segment. Over to you, Vikram.
Vikram Lalvani: Thanks, Nandy. Good morning, ladies and gentlemen. My name is Vikram Lalvani. I'm the Managing Director and the CEO of Sterling Holiday Resorts Limited. I'm joined by my colleague, L. Krishna Kumar, who is our Chief Financial Officer. We are both based in Chennai. Thank you so much for joining us today as we present the Q1 Sterling performance of FY '26. We are pleased to share that Sterling has delivered actually its best ever Q1 perfo rmance this year, setting a robust foundation for FY '26 . This also marks our 21st consecutive profitable quarter, and it signifies the growing strength of Sterling brand in India's hospitality space.
So with this, we can clearly state that our transformation is complete, and now we are in a phase of growth. We have successfully in Q1, capitalized on the tailwinds in Q1, a period where generally, the fundamentals of leisure travel is strong due to the h oliday season. Having said that, in Q1, we also witnessed some temporary headwinds.
The Operation Sindoor did affect business in our Northern resorts. We had actually 3 of our resorts that were affected, which is Jaisalmer, Amritsar and Mount Abu, especially those in Rajasthan and

it affected business in Rajasthan, Himachal and Uttarakhand, which amounts to approximately 900 rooms or 19 resorts, which is almost 33% of our inventory.
This impact fortunately lasted for only about 2 weeks during this peak season. However, the strength of our portfolio across the rest of the country in the South, West and East helped offset this opportunity loss, resulting in a strong performance this qua rter. A few pointers on the performance highlights for Q1.
Our total revenue for Q1 stood at INR1,3 57 million, 8% growth over Q1 FY '25, driven by a strong growth in both room and food and beverage incomes. The EBITDA grew 25% year -on-year to INR5 28 million, with a healthy EBITDA margin of 3 8.9%, up from 3 3.6% in Q1FY25 , which makes it one of the best quarters that we've had.
We continue to remain a debt -free company, and our cash reserves have crossed more than INR3,000 million as we speak today. Our free cash flow generated during the quarter is a little over INR300 million. Our room revenue grew 11%. Our food and beverage re venues grew 16%, and this is despite a 21% increase in the available inventory.
Our average rates also stood at close to INR7,100, reflecting strong pricing strength and positioning

and the evolving positioning of Sterling in the upscale leisure segment. A little more details on some of the operational highlights. Our guest nights grew by 12%.
The occupancy stood at 6 2% with an increased supply of nearly 50,000 room nights this quarter or approximately 540 rooms per day quarter -over -quarter. Having said that, we do have headrooms more in occupancy, and that will put Sterling in a position where we can actually grow furt her as we keep scaling the company.
We also added two new resorts, one in Rudraprayag and the other in outer Lansdowne. This is in line with the fact that Sterling has, over the last couple of years, created new destinations, and we will continue to do so, thus having a first -mover advantage in this whole aspect of it. Our total network now is close to 3,300 rooms.
In our

partnered and managed resorts, we earned nearly 10% of the revenue generated during the quarter and amounts to almost 20% of the EBITDA, underscoring the strength of our operations in

the capital -free segment of resorts. Little on the customer experience and the brand, we continue to be recognized as a preferred brand, predominantly in the leisure hospitality space.
30 resorts received TripAdvisor Travelers' Choice Awards with one of the resorts being top 10% globally and one of the resorts being the ‘Best of the Best’ for the third consecutive year that is top 1% globally amongst 8 million listings. Our average TripAdvisor ratings improved with 36 resorts now rated over 4.5 stars on 5 and 16 resorts of ours now rated 5 stars on 5.
Our Net Promoter Score touched a new high of 81% with 40% of our resorts now scoring over 80%, a clear reflection of guest delight and consistent service delivery. This becomes important because as we keep scaling the company, we are also completely focuse d on the quality metrics at the resorts. A little bit about sustainability and community impact under our ESG initiative, Sterling Sankalp, we continue to embed sustainability and social responsibility into our operations.
Heat pumps and solar installations are being installed in many of our hill resorts as we speak. Plastic bottled water has been replaced by in -house bottling plants at multiple properties, and we have a plan to actually ramp that up in more properties as we ll.
Our partnership with Fairfax India Charitable Foundation has enabled the installation of dialysis machines across seven hospitals, furthering our social impact footprint. A little bit on the portfolio part. Last year, we grew our inventory by 22%, one of t he highest in the industry.
We strengthened our presence in key markets like Rajasthan, Uttarakhand and in key segments like wildlife. Looking ahead, we have over 20 resorts in the pipeline that's good schedule to open between -- in the next 3 to 4 quarters, and they are predominantl y on an asset -light model. We also continue to optimize our own assets through incremental investments in our own resorts.
We sweat our own resorts by incrementally adding additional rooms. Within our existing portfolio, we have 5 to 6 resorts at the intersection of business and leisure in Tier 2 and Tier 3 towns, and we have seen this model succeed.
While our focus on the leisure segment continues, we are also looking to expand in the business -cum -leisure segments across Tier 2 and Tier 3 towns. In short, we -- with a strong quarter in the start of the year, driven by robust fundamentals around domest ic travel demand, we are generally

optimistic about FY '26. The strong base built over the last 3 to 4 years positions us well now for continued growth.
We remain cautiously optimistic about Q2, traditionally the lowest quarter for the leisure travel due to muted demand. This is precisely why we are consciously reshaping our portfolio mix by introducing more leisure -cum -business hotels, leveraging the transferability of our customers from leisur e into business travel as well.
You may recall that while Q1 has historically been our strongest quarter due to the concerted efforts of the evolving portfolio mix, Q3 emerged as our best -performing quarter last year. We expect a similar trend this year as well. And hence, we're looking that H2 will be far better than H1, and we are confident of closing FY '26 also on a strong note. Thank you so much for your continued support, and thank you so much.
Urvashi Butani: Please go ahead with the Q&A.
Moderator: The first question is from the line of Chetan Mahadik from Systematix.
Chetan Mahadik: Congratulations on a healthy set of numbers. So my first question is on Sterling. So Sterling has rapidly expanded its resort footprint to around 62 resorts with plans to, say, add more 14 to 15 more in FY '26. What are the spec

ific long -term average occup ancy and ARR targets
for Sterling once these new resorts mature?
Vikram Lalvani: This is Vikram Lalvani here. So typically, when we add resorts and especially if it's in the leisure space, it would take at least about 1 or 2 quarters to completely ramp. As I said that we've actually increased our inventory by almost 50,000 room nights quarter -over -quarter. And with that also, we have a 6 2% occupancy, which actually -- that means we have actually grown our occupancies by almost -- in terms of room nights by almost 19% to 21%. But because of the growth in supply, it's look ing at 6 2%.
So typically, as I mentioned even in the past, at a steady state for leisure across the year, anything between 65% to 68% is actually an ideal occupancy to maintain. Having said that, I've also called out that we do have scope to up the occupancies as we k eep going up. The average rates will range in the -- if we are at a peak season about INR7,100 to INR7,500. And obviously, in an off -peak season,

it could vary. But our focus has been more on growing the occupancy and the number of room nights more than typically trying to push up the average rates because of the growth in supply.
Also, it depends on what kind of hotels open and which kind of season it opens. So yes, we will look at about 20 hotels over the next 3 to 4 quarters. And they will all be in ramp phases. If we are able to quicker ramp them, depending on the timing of open ing, I think then it could be more advantageous to us.
Chetan Mahadik: Okay. And second question is on other income. So on a year -on-year basis, if you see it has increased 50% plus. Can you provide a breakup of this INR45 crores?
Debasis Nandy: Yes. This is Debasis. I'll take that question. So as you have rightly pointed out, overall other income has grown from INR266 million to INR440 million in the current quarter. A couple of reasons for that. I think the interest income on bank deposits has g one up by about INR79 million, out of the overall INR174 million, that INR79 million.
In addition, there's sponsorship income increase of about INR18 million, which is accruing entirely in Thomas Cook. There's a bit of exchange gain, that's about INR11 million. And then there is what you call miscellaneous income, which are -- which has inc reased by INR58 million, and there are a couple of components there. One is about INR28 million on account of convenience fees collected from various clients, et c.
And then there is corporate guarantee income. We give corporate guarantees to our -- all our subsidiaries as part of our transfer pricing process. And then, of course, there are other smaller parts of income. So all this adds up to INR174 million of increa se.
Chetan Mahadik: Okay. And just one last question on foreign exchange. So in this quarter, we have seen a decline in revenue for forex, say, due to geopolitical tensions, weakness in education segment and I guess exit from Delhi Airport, as you have mentioned. So if you ca n put some light on how should we look at this segment for the rest of the year?
Mahesh Iyer: Chetan, I'll take that question, Mahesh here. Look, as I said, fundamentally, nothing has changed as far as the business is concerned. Our EBIT margin continues to be strong. Look, because it's the tail end of a transaction or a travel cycle, foreign excha nge will always see that impact when there are global headwinds. So to that extent, we saw that happening in the quarter.

But my view is that, as confidence on travel comes back, international travel takes place, you will see this getting back to normalcy. Our estimation on this business continues to be the double -digit growth that we've spoken about in the past and with our guidance on EBIT margin between the 40% -45% range.
And I think we continue to hold on to it. I think it's also important to note here that on the prepaid card side, we've been v

ery cautious in terms of our revenue accrual because currently, since we are
trading slightly below what we were, we didn't take a n aggressive position on it. And obviously, as and when the volumes come in, the slab will kick in, and there will be an opportunity for us to increase our revenues there.
We continue to engage with customers, building a lot of journey around our technology tools and our digital adoption. And I think all of that to me is trending in the right direction. So fundamentally, from a business perspective, I think the business pros pects continue to remain strong. And I think for the full year, we should see a better outcome for the foreign exchange business.
Urvashi Butani: Go ahead Deepak .
Deepak Lalwani : Sir, first question is on the DMS business. We've seen phenomenal growth in this quarter. So is there any one -time event which led to this growth? And what can be the sustainable growth rate in this business? And similarly, for the MICE and B2C travel, if you can give any sense on the forward bookings and the MICE activity bookings that we have for the next 3 quar ters for

these two verticals, please?
Debasis Nandy: Yes. Okay. Deepak, this is Debasis here. I'll take the first question on DMS. DMS, to answer your question, it's largely been business as usual. The only exceptional item I can think of is that, there was a large MICE business that happened in USA., Allie d T Pro, and the business was worth about $4 million.
Now, if you look at the overall sales, there are about $22.6 million this quarter vis -a-vis about $17 million last year. So even if you take that one, there is a margin increase over last year. Other than that, the business has been usual. And in any case, the MICE business, as you know, is a contractual business, and therefore, this sort of business will keep on happening. We don't consider MICE business as one -time. But since you specifically asked this question, I thought I'll give you that input.

Mahesh Iyer: I'll take the second part of the question. Deepak, to give you some kind of guidance on forward booking. I think I kind of alluded to in my commentary, see today, we are living in a bit of an uncertain world. And what we have seen is some of the patterns a s to how customers book and specifically the B2B segment has changed. So unlike in the past, where a lot of decisions were made 2 or 3 months in advance and specifically for the MICE portfolio, we are seeing that cycle to be much shorter today .
So from the time that we are conversing with the customer to closure and travel is essentially happening in less than 30 days. So if you ask me to kind of give you a sense on what the forward pipeline looks. It's a little more difficult because we are actu ally picking up business much closer to travel. So the pipeline is getting built in the same quarter that we are trading. So at this point in time, as I said, for the quarter that went by, despite the headwinds that we had, our volumes grew by about 12%.
I think we will continue to see that kind of trajectory going forward. I don't think nothing has fundamentally changed. There will be some amount of wait and watch that will happen before the decision is made. But clearly, I think the future opportunity on the business remains strong.
Deepak: Sure. Just a follow -up on this. Despite the weaker sentiment in this quarter, we've been able to grow. So should -- have you seen any green shoots starting July onwards? And although we are close -- the business model has changed to slightly shorter -term o rder bookings. So has anything improved from July onwards? If you can give a sense on that?
Mahesh Iyer: So Deepak, again, as I said, look, what happened is, for the B2C businesses, we had the headwinds coming right in the thick of a seasonally strong quarter for us. Our bookings took a beating post these events in the third week of April, and that sentiment continued

because of
multiple events that happened during the quarter. Post that, in July, we have definitely seen a bit of a trend reversal, if I use the word so, both on the international side, that is short haul as well as long haul. And on the domestic side, it's more like a recovery. From a negative territory, which is degrowth over last year, we're actually starting to see a positive trend where we are now getting closer to what we were at the same time last year.
Now the reason for the domestic part, as you clearly know, this was Kashmir. Kashmir is one of the largest portfolio or largest market in our portfolio, followed by Himachal, Uttarakhand and stuff like

that. So, obviously, that portfolio didn't fire because of Operation Sindoor, closure of airports and stuff like that. But when I look at the current trending, I think they're starting to look promising. And both the short haul and the long haul on the int ernational side are starting to get to a better territory, which is more like the double -digit growth one would call it to be so.
I think we will see better turnout. And as Vikram also alluded to, we remain optimistic of H2 of current fiscal, and I think that's how the business will trend. And keep in mind that we are also entering into a bit of a festive season. And there will be some demand that will be driven by festive. And added to that, we've done the TravSure program, which is basically to reassure the customers, give them the flexibility of booking and stuff like that. We are trying to do a lot of things to get the confidence back and keep the sentiment going.
Deepak: Sure. Sir, second question is for the CFO, sir. So other income has become quite a significant part. So if you can split the cash between client funds and our own funds? And how should we look at the yield that we make on our cash book for the full year? S o what kind of other income run rate because that run rate has been volatile for the last few quarters?
Debasis Nandy: Sorry, I didn't get the first part of your question. You're saying split the cash between -- the other income between client funds and my funds?
Deepak: No, no. I want to split between the cash that is our funds and the client funds. And on total cash, what kind of other income are we looking at?

Debasis Nandy: Okay. Well, I'll answer the first question, then I want to say something else on that. But my overall cash is INR2,248 crores. That's the total cash that I have. Against that, I have a gross debt of about INR280 crores. And my BPC float as of now is about INR1,570 crores. So that's what we have on the cash front.

Your second question is on the other income. See, the other income is a -- obviously, is a function of the cash that I have. But I must also say that the entire cash that I have is not deployed into fixed deposits because as you know, the BPC, while we are talking about BPC float as if it's cash on hand, not everything will be cash.

There will be part of it will be in the form of receivables from corporate because when we are selling a card, we are loading a card, the corporate will not pay on day 1. It will pay in 7 days' time, which

is as per the credit period, 7 to 10 days' time. Some part of the cash we'll have to keep available for use, daily use. And only the balance I can then deploy depending on some algorithm that we use into long -term and short -term FDs. So this is not a straightforward calculation. But yes, other income, to sort of sum up, other income will keep on increasing as we grow the overall cash in the business.

Deepak: Sure. Sir, third question is on the Digital Imaging side. We've seen improvement in the profitability despite the top line being modest. So are the costs in terms of technology behind us? And what kind of sustainable profitability can we look at for the Di gital Imaging segment?

Debasis Nandy: So you're right, and I did mention this during -- while I

was talking about the Digital

Imaging business. The growth in profitability can be attributed entirely to the cost rather than on the top line. And this has come through careful cost control and cos t reduction initiatives launched by the business. And so, the cost benefit -- the benefits around cost has happened from -- largely from the indirect overheads.

Now, going forward, obviously, as you know, that we are also building a technology solution, a software, which will probably come into effect possibly from the third quarter onwards, and that should give us some productivity gains. It's a little difficult at this point of time to sort of visualize or anticipate clear as to exactly how much we'll gain, but maybe we'll take a little quarter or two to figure out what exactly is the financial benefit out of that.

There are obviously financial and non -financial benefits coming out of that. We also expect the top line to start growing over time over the next couple of quarters more in the second half of the year rather than in the first half. And that should overall -- improve the overall profitability o f the business.

Mahesh Iyer: Debasis, if I can just come in and add. And Deepak, I just want to mention a point here. While the top line looks muted, please also remember that this is a conscious call. While we have also ensured that we went out and looked at our portfolio and weeded out some of the accounts where we thought that we weren't actually making a lot of money.

So some of those accounts had to be reconstituted and we had to renegotiate. So in that bargain, we let go of some accounts, and that also had impacted the top line. But, I guess, it's about putting the right blocks in place so that the long -term trajector y for the business remains strong.

Moderator: The next question is from the line of Praneeth, an Individual Investor.

Praneeth: Yes. So I had questions regarding DMS specifically to start with. So on the DMS B2B business, I understand that in the last con -call, you mentioned that we basically -- the product that we provide to other travel agents or whatever is a white label product. So that they can buy from Thomas Cook. So I was wondering why do people come to Thomas Cook to get these label products becaus e their entire this thing in the market is that they make the packages so they try to procure it.

So I was wondering what is the reason of Thomas Cook particularly creating these white label products? And how is the overall competitive space particular to this? Is Thomas Cook the only one who is doing this particular service to other travel agents? Or how is it going forward? And in the B2C segment, I was wondering what -- is my understanding right that the B2C segment, DMS is basically what we sell under SOTC and Thomas Cook? Is that right understand?

Debasis Nandy: So I think we need to correct some of -- some concepts around this, the DMS business. The DMS business essentially is a B2B business and not a B2C, to begin with, okay? So it is distinctively B2B. There's no trace of a direct consumer business here. The way this business operates is that, our DMS businesses interact with overseas tour operators and serve their customers.

So maybe you can call it -- best you can call it a B2B2C business, but not a B2C business directly. So

the way it works is the overseas tour operators would like their own retail customers to come to the country. And this country -- that country can be Ind ia or US or any other place where we have a presence. And they would request us for a particular itinerary or costing you can separate, create a particular itinerary along with obviously the costing around it.
And once we finalize the itinerary and the pricing around it, we -- it's a white label contract because the itinerary is actually created by us and also operated by us. That's why we call it a white label itinerary. However, that is the tour operator

sells it to his B2C customers as their own itinerary.
So our job begins when the customer's customer, so to say, comes into the country, we sort of take care of them while they are in the country, take care of the hotel, the sightseeing and so on and so forth. Now, does that explain? I just want to understand that. Is the concept clear? I mean it's not a B2C.

Praneeth: I was actually wondering, so basically, you're saying that the overseas tour operators basically approach Thomas Cook to create a white label product. So technically, our customer, the travel agency itself, and they will be, let's say, a spokesperson or wh atever for that particular market to the customer, right?
This is my understanding so far. So I was wondering, so is it a local itinerary or it's someone coming from India to go there? Or how is it? So is it because some person, some traveler wanted to get a package from India to, let's say, potentially Africa. S o how does it work?
Debasis Nandy: Praneeth, I think, again, I have to, I think, focus on -- I'll give you some examples to make my point clear. Maybe I was not very clear the last time around. So where do you -- first of all, where do we operate the DMS business? It's operated in -- across Southeast and Middle East Asia, is operated in Africa, in USA. and Australia, okay?
And of course, India. But in this current quarter, India is a small part of it. So let's take an example of the business in Southeast Asia. We have a company called Asian Trails headquartered in Thailand. And let's talk hypothetically about an overseas ope rator trying to get an itinerary for Thailand, let's say. So Asian Trails will create a white label itinerary for Thailand, okay, and sell that package to the B2B operator overseas. The B2B operator will obviously sort of put his own markup and sell it to his B2C customer. That B2C customer comes into Thailand and its trip is then managed by Asian Trails. Okay?
Praneeth: So it's not a traveler from Thailand that's actually approaching?
Debasis Nandy: I'm sorry?
Praneeth: So basically, it's, let's say -- so in Thailand or if a traveler approaches Asian Trails, then...
Debasis Nandy: No, no. Traveler doesn't approach Asian Trails at all.
Praneeth: No, no. So the travel agency. So let's say, basically Asian Trails, let's say, someone from Thailand wants to go on a trip. And do they approach...
Debasis Nandy: No, no. It's inbound. Praneeth, it's inbound okay? It is not -- we are not talking about outbound trips here at all.
Praneeth: So basically, some Indian traveler want to...

Debasis Nandy: Let's say, a European, okay, let's take an example of DER Touristik, which is REWE, which is a German group, okay? It's a German tour operator just like Thomas Cook in India. Now, DER Touristik will get German customers, obviously, right? The German custom er wants to go to Thailand. DER Touristik does not have a direct entity in Thailand, doesn't have a subsidiary in Thailand.
And therefore, it has to approach a local tour agent who knows -- has a clear understanding of the place and can organize the tour there. So they approach Asian Trails. And there will be many other people like Asian Trails. It's not the only one in Thailan d. So they approach Asian Trails.
Asian Trails creates a tour for DER Touristik and DER Touristik sells that to his German customers. The German customer comes to -- flies into Thailand, is taken care of by the Asian Trails people, and then he goes back. He makes a payment to DER Touristik and DER Touristik makes a payment to Asian Trails. Is that slope clear now?
Praneeth: Yes, yes, it's much clearer. So I was wondering, I understand that we are basically a B2B service. So how prominent is this practice in the market? So basically, tour operators, they don't -- is in the market, do they not at all? What percentage of it the tour operators make itinerary themselves and operate

it by themselves? And what percentage is usually that they approach some
big player like B2B, like Thomas Cook, whichever country might it be to operate their tours? Like

how is the market shap ed in that way?
Debasis Nandy: Praneeth, almost the entire tour operator industry works like this, okay? Let's say, even if I take Thomas Cook for an example, in the -- let's say, I'm organizing a trip, I'll give you two examples, one for Europe and one for US. So if I'm taking, let's s ay, you come to me as a customer and you ask for it US I will call up Allied T Pro, which is my unit in US and ask him to create and itinerary for you, right?
Allied TPro is my subsidiary, my 100% subsidiary. So it is Thomas Cook in another form. Now, let's take the second example. You want to go to Europe. I don't have a subsidiary or an entity in Europe. So I will depend on a local unit, a local DMC or destina tion management company to create an itinerary for you. So in that case, I will sort of outsource this program. And this is the most common thing in the tour industry.
Praneeth: So this is a very common practice. So basically, wherever I might approach...

Debasis Nandy: It's a global practice. And even in the domestic market, let's -- for example, if you go to -- let's take an example of Leh, Ladakh, for example. You go to Leh, Ladakh and you book a trip through ABC & Company. ABC & Company will actually get some local operator from Leh, Ladakh to create a tour for you because it doesn't have a business , doesn't have an office in Leh, Ladakh. Okay? And this is the most common thing that happens in the travel industry. Probably 90% of the tours will happen in this fashion. Probably. I don't know the percentage, but I can sort of guesstimate 90% work will be done in this fashion because you need a loca l guy who has the knowledge of the terrain and the wherewithal to manage a tour there.
Praneeth: So wherever the, let's say, the -- so basically, whatever the procurement of the customer happens in whatever shape or form. But the thing is, when it comes to the operation part of the tour or itinerary part of it, we approach a strong partner in the part icular region to operate the tour and complete the tour. Is that my understanding right?
Debasis Nandy: Absolutely right.
Praneeth: Got it. So since the business is run like this, so what do you think your particular market positioning is in the particular DMS as a market? Because till now I'm assuming that travel is very simplistic that travel agent might do this thing. But I was wond ering -- so there's an entire B2B side of it. So I was wondering how is the market shape like that? How many players are there? And how is the competence?
Debasis Nandy: Praneeth, there are thousands of people like this, okay? Like Asian Trails. In Thailand, probably there are several thousand. I don't know how many thousand, honestly, but there are several thousand travel agents will be there. If you walk the streets of M umbai, I don't know where you are from, but if you walk the streets of Mumbai, you see so many travel agents, right, along with Thomas Cook. It's a bit like that.
Praneeth: Yes. Got it. So -- but like how is -- and how do we particularly grow in this particular business? Like what -- how do we -- what is the strategy to growth in this particular DMS business? Like how does it work?
Debasis Nandy: That's a simple one. That is I think the simplest question so far. In the sense that the idea is to procure more and more B2B operators as your customers and you get that through

obviously -- and of course, retain the existing ones. The way you do that is to -- you take part in various trade shows, travel -related trade shows, etc, you approach them directly or through agent, so on and so forth. Just like you -- any other industry, you get new customers, corporate customers is the same way.
Praneeth: Understood. So I wa

nt to understand how these particular Thomas Cook brand names plays into play at this point of time. We have the details...
Debasis Nandy: Sorry, Praneeth, we are not using the Thomas Cook brand name, which is I specifically mentioned entities like Asian Trails or Desert Adventures. Those are the brand names. We don't use Thomas Cook 's brand name beyond India, Mauritius and Sri Lanka.
Praneeth: I understood that part.
Moderator: Sorry to interrupt, Mr. Praneeth, can you join the queue again, sir? We have other participants waiting. The next question is from the line of Nirav Savai.
Nirav Savai: Yes. Sir, my question is an extension to the previous question on other income part. So is there any mark -to-market forex gain in this quarter, which is driving this other income? Or how do we read that?
Debasis Nandy: No, I mentioned the components very clearly . I talked about the increases coming in from interest on fixed deposit, basically interest income. I talked about increase in sponsorship

income and about the increase in collecting convenience charge from customers. And I did talk about INR11 million of foreign exchange gain. So I think I gave the breakup very clearly.
Nirav Savai: Right. So when we look at an annual basis, what kind of overall other income we should look at, which one is obviously …?
Debasis Nandy: It's very difficult to say. I don't hazard a guess on that because, obviously, sponsorship income, convenience fees from customers and foreign exchange gain cannot be quantified at this stage. As far as the interest income is concerned, it will also depend on the cash that we have and the BPC float that we have is -- obviously, is a significant portion of that. So if the BPC float continues to grow, the income will grow. But other than that, on the existing cash flow, this is the sort of inco me that we have.

Nirav Savai: So when we look at the current cash is around about INR700 crores, excluding the float?
Debasis Nandy: Yes.
Nirav Savai: So is it right to assume about INR70 -odd crores can come from the core interest income and rest can be...
Debasis Nandy: I don't think 10% is the current yield rate. And I would love to yield a 10% yield FD, if you can…
Nirav Savai: No, I'm saying assuming it will also increase it over a period of time?
Debasis Nandy: No. But you know very well, all of us know very well that the yield on deposits going down across the world, including India. Isn't it? So that 10% I don't think we ever got 10% yield on fixed deposits in the first place. In the current -- if you look at t he current yield, it is much, much lower than that. And we don't know where it will go in the next 3 quarters. So I would not like to hazard a guess on what yield I'll get for the next 3 quarters.
Nirav Savai: Right. So basically, you are saying the sponsorship income has grown by about INR2 crores on a Y -o-Y basis. Apart from that, there are some miscellaneous income, which has gone by about INR6 crores on a Y -o-Y basis.
Debasis Nandy: Yes. And I said every income, our interest income has gone up by about INR8 crores.
Nirav Savai: INR8 crores. And what was the quantum, if I work at the absolute number last year in Q1?
Debasis Nandy: Last year, out of INR266 million, INR140 million was interest income. And this year, out of INR440 million, INR219 million is interest income.
Nirav Savai: Right, right, right. And this sponsorship income is something which is sustainable every quarter or it is lumpy in nature? Or how do we understand this?
Debasis Nandy: No, sponsorship income is really the income that we get from various overseas -- I mean, various overseas tourism boards rather, which is used for doing the campaigns. So this is -- this can be seasonal. This will depend on which country wants to do a camp aign in India at what point of time. We don't control this. This is entirely a prerogative of the respective touri

sm boards

as to whether they want to run a campaign. So we cannot consider this as a sustained source of income. Yes, there is some income that comes in every quarter, but we cannot ascribe a sort of futuristic value to it.
Nirav Savai: Right, right. So we are seeing largely this INR12 -odd crores going to about INR20 crores on the net interest income is something which is a key component of this growth. And apart from this sponsorship income and miscellaneous income, which you say general ly it doesn't happen in every quarter is lumpy in nature.
That is the reason why other income overall appears to be lumpy because it has been oscillating between INR20 crores, INR25 crores and even INR50 crores last quarter, which is changing the entire earnings from the company standpoint. So would it be possibl e to give a range at least this can range between let's say INR100 crores to INR150 crores or anything?
Debasis Nandy: I'm sorry, we can't give you a range. I have told you the variables very clearly. I have told you the sponsorship income -- we do not control the sponsors hip income. As I said, we -- there's an increase of INR11 million on account of foreign exchange fluctuation. We do not control the foreign exchange rates.
And on the bank deposits, yes, last year was -- interest income was INR14 crores. This year is about INR22 crores. So that's all I can tell you. I cannot really project other income. But all that I can tell you, yes, obviously, interest income will continu e.
Now whether it will grow from INR22 crores or remain steady at that stage, will depend on two things. What is the float that we have and which will keep -- obviously we'll keep you posted on the float that we have and what's the market yield on fixed depos its.

Moderator: The next question is from the line of Anil Shah from Insightful Investment.
Anil Shah: Yes, sure. I just wanted to ask you on Sterling Resorts. Just wanted to understand what's exactly our positioning? What kind of clientele do we see there coming? Is it a lot of more of corporates doing their events there along with, obviously, large employ ees?
Is it more of families? And what -- I'm just not able to get clarity in terms of what exactly is the positioning? Is it premium? Is it luxury? Is it super -premium? Is it value? What exactly are we looking

to target? And how do we get this occupancy to move up? And are we looking to do any promotional pushes there? And what kind of target audience are we looking to do it?
Vikram Lalvani: This is Vikram Lalvani here. I'll answer your question. Now, in fact, let me eliminate certain points that you brought to us. We are certainly not luxury, and we are not ultra -luxury, okay? The way we have positioned ourselves in the last 4 years and when we started this transformation journey, we have positioned ourselves , as most of our mid -scale properties have actually moved up to an upper mid -scale level.
Some of them have moved into an upscale level and some of the new ones are moving in the upper upscale level. So actually, the range that we are playing with is the upper mid -scale to an upper upscale level. Now, in this whole mix, if you have to see from a leisure perspective our strength is in families, right? And so, the family holiday er typically is the one where we tend to become the first choice. And since now we are present in over 55 destinations, the transferability or the osmosis of the customer from one location to the other actually becomes very much easier.
Now, we also have a couple of hotels, as I said, that we are moving towards the business -cum -leisure, Tier 2, Tier 3 towns as of now, and we have approximately 5 or 6 of them, and they've been extremely successful. So those are hotels or resorts, our hotel s, which are typically run on an efficiency -led model. So they would attract a lot of the corporate travelers or people who are coming for both leisure an

d corporate purpose. Having said that, in certain markets like Rajasthan, even in
certain markets like Guruvayur, weddings play a large role. So the wedding business is typically the Rajasthan -led business, which is October to March.
So the purpose of travel can vary, like, for example, a wildlife resort where we've got the 'Best of the B est' also, and we are opening -- we have the largest network of wildlife resorts in the country, the only brand to have almost 15 wildlife resorts will attract a different purpose of travel. Now, Tipeshwar would attract a more upper upscale. Maybe a Gir would attract a more upper mid -scale. That's h ow it's actually getting classified. I hope that answers your question.
We also have MICE, which is Meetings, incentives business, especially this time of the year, plays a large role. Our Corporate Plus program actually is a white listed solution using Sterling ONE, which is our proprietary distribution platform that actually gets into corporates where corporate

employees can book their holidays or their corporate programs with us in a span of 30 seconds or less than a minute and fulfill the entire transaction.
So that's how varied the entire model is. And that it's better to be this way because in the event like how this quarter, Himachal completely is down, we try to leverage other segments into other resorts so as to mitigate any risks that may happen in 1 or 2 segments or in 1 or 2 regions. I trust I answered your question.
Anil Shah: Yes. Just as a follow -up on this. I mean, ex the members, and I know we don't take new members, but ex the old members who would still be the old Sterling members, is there a -- are we tracking in terms of a new client or a new individual family who comes in for one of our resorts and who is also a repeat customer, who's not a member, I repeat.
And do we have that kind of analysis, which is done, which kind of tells you that someone who comes into your resort goes back with an experience and he wants to come back to different resorts all across?
Vikram Lalvani: Right. It's a very good question. Let me answer this in two parts. Yes, we have stopped membership acquisition. And we are servicing our existing members, and we are servicing them exceedingly well, number one.
Number two, just like , you take for example, any city hotel, they vie for the crew business, which is a stable business through the year. So our -- in a leisure model, the membership business actually fills in that particular gap and gives you a constant revenue flow through the year. Number three, in terms of , you keep the -- not the members, you keep the other segments. There are -- the way we actually measure it is in form of two parts. One, who are the repeat accounts for us.
So like, for example, if it's a MICE account or a conferencing account, whether they do one, two, three Meetings, Incentives with us this year, are they repeating next year, probably in a different

destination as well. So that is one way in which we see who are the repeat accounts. Number two, we see who are the repeat guests. Now they may stay with us in Ooty. The same guest could stay with us in a Rudr aprayag that we've just opened for a pilgrimage purpose.
So when he wants to go on a pilgrimage, he may say to a Guruvayur, he may choose us in Guruvayur. And if he wants to go to a hill destination, he may choose a Munnar or an Alleppey if he wants a

backwater experience. So we also track it that way. In terms of the accounts, we have almost a 90% hit rate. In terms of the guests, it's actually -- in the last 2 years, we've started measuring and managing it pretty well. So actually, our ratio is approx imately 15% to 18% today, and it's growing significantly.
Anil Shah: No. I'm sorry, can I just have a follow -up just to understand this.
Moderator: Sorry to interrupt, Mr. Anil. May we request you to join the queue and there are other parti

cipants. The next question is from the line of Mukul Verma from Varma Associates .
Mukul Verma: Congratulations on a good quarter. I have 3 questions. I just wanted to understand the growth guidance from a 3 years' perspective. Are we on track to grow our guidance on a consolidated basis by 12% to 15%? And what would be the margin trajectory?
Because if I look at the last 5 quarters, it's been 6%, except for March quarter. And if I just remove the one -off from June quarter, it's maintained at 6%. So is there a possibility of increase in margins going forward? And second question is on the taxat ion front, our tax rates are close to 33%, 34%. So will this remain like this going forward? Or is there a way we can move to a new system, which kind of reduces the tax burden?
Mahesh Iyer: Mr. Verma, this is Mahesh here, and I'll take your questions. And probably I'll get Debasis in to answer on the taxation side of it. We normally don't give any forward -looking guidance on it. And obviously, 3 years looks very long for us to kind of look at it that way. In the environment that we live in today, there are a lot of events that shape how travel industry will operate. So very difficult to give that kind of a long shot at it.
But clearly, I think from an intent point of view, as we've been saying at every call, we are focused on building scale. We are focused on bringing in more technology. We continue to focus on productivity. We continue to focus on margin management. And I t hink all of this helps us to improve our ratios, improve our margins as we go along. From an expansion of margins perspective, you would have seen that trajectory over the last 2, 3 years.
And we continue to chip off wherever we can to actually get better margins. But having said so, it's also important to understand that as markets mature and you find more competition coming in or you have this headwind events that happen, you will have to change your strategy. You got to get a

little more tactical in a certain period of time because you want to continue to maintain the se kind of volumes because with volumes , comes economies of buying , come s some scale and all of that is very relevant for us in the industry.
So clearly, I think there's no one clear straight line answer for it. There are multiple levers that we look at it. These are important KPIs that we monitor. And rest assured, we will -- and as we have said, we will top industry growth rates. So if the tra vel industry is going to grow at 10% or 11%, we will top that growth rate for sure. And that's the only guidance I can give you at this point in time.
Mukul Verma: Yes, that's -- so if you can -- so what has been the industry growth rate kind of projected for the coming year? And if you can...
Mahesh Iyer: Mr. Verma, if you can look at it, I think multiple reports have been published on this. I think Deb asis spoken about growth rates in the --. Yes, we will share some of those data points with you, but they are different. As you will appreciate that we operate B2B and B2C, there are different growth rates for each of those units and in different geographies. So I rather than giving you a straight one -line answer, I'd rather give you a breakup of it. I'm happy to come back to you and I'll get my i nvestors team to get in touch with you for this one.
Mukul Verma: For sure. And one more thing. Recently, you had this tie -up with this Disney Cruise Line. So some updates on that of how things are?
Mahesh Iyer: So, as you know, this is a new cruise line that's starting off to sail from Singapore. This is a new offering, both Thomas Cook and SOTC brands have a tie -up with them, and then we are looking to promote. You will appreciate that just about after the pande mic, India had a cruise line Cordelia. It still sails, and it's now sailing within India and to Sri Lanka, and we had some great success. So we're trying to build because there's

a lot of excitement around it.

It's a product that appeals to the younger generation, more importantly, kids, and we believe that's an opportunity for us to build some depth on the cruise tourism part of it. So that's an opportunity we saw, and hence, we have made a tie -up with it.

Mukul Verma: Absolutely. Yes.

Debasis Nandy: And Mr. Verma, Debasis here. I'd like to sort of try and answer your second question, which was on the taxation part. So as you know, the -- obviously, there are multiple companies in the group. Thomas Cook, which is the -- or the Thomas Cook is the stand -alone company is obviously the largest contributor to profitability.

And it still continues to be the old regime purely because there are some MAT credits that are still available, and we would not like to lose those tax -- deferred tax assets. And that's why we are in the old regime, and we are likely to be there for the n ext 3 years or so. All the other Indian companies have migrated to the new tax regime is at 25%. The reason you see the tax rate at around 33%, 34% typically, and we have seen that last year as well as this year. There's obviously one reason is Thomas Cook , the largest profitable entity is at that rate.

And also, as you know, there are -- we have been talking about the units, the overseas units gradually coming out of losses into profitability. So, obviously, while a lot of them have come to profitability, a few of them still make a loss. And we haven't c onsidered the sort of tax break on that. These are smaller units, and we haven't considered the tax break or guide for deferred tax asset because the law may not be there in those countries, which is why you are seeing a rate of about 33%, 34%. I guess thi s rate will continue for a while. And over a period of time, you'll see that reducing.

Mukul Verma: Great. So okay. Great. So for the next 3 years, we can look at the same tax structure and probably from the fourth or fifth year, we can look at a lower tax rate.

Debasis Nandy: Yes.

Moderator: The next question is from the line of Deepak from Unifi Capital.

Deepak: Sir, on the forex side, you mentioned that the cards business slowed down a bit. So if you can elaborate on that. And it seems to be -- and there seems to be a weakness in the wholesale side. So is it predominantly because of Hajj? And how are these two se gments and in totality improving from July onwards?

Mahesh Iyer: So Deepak, on your first question on the prepaid portfolio, I think it's got to do with what you've seen in the last quarter, which is the international travel sentiment has been lower. Typically, on the forex business, we have dependency, both on the Thom as Cook, SOTC because we sell a lot of that to our own customers, and we also deal with third -party, which are other traveler companies because foreign exchange doesn't necessarily cater to the Thomas Cook, SOTC piece only, but they also deal with other travel agents.

Now, the general sentiment was impacted because of the global events that we spoke about. As a result of which the uptake on the card was a little lower, and that's the impact. But as I said, we are definitely seeing the shift for customer preference moving to plastic from currency notes and the digital economy is taking shape.

I also spoke about our integration with Google Pay, which we believe will bring more convenience and security in the hands of the consumer. All of this is to ensure that our portfolio on the card continues to grow. To give you a perspective from a market s hare, we are close to about one -third of the market given the size and scale at which we operate.

And at that scale, you will find that there will be the spirits where you will find some bit of challenges coming in. But I think I still believe the business can continue to grow at about 10%, mirroring the kind of growth rates that you will see on the fo rex opportunity. It's all ab

out acquiring new customers, building new partnerships. As we said, and there was a press note that we released, we also entered into an arrangement with Muthoot to expand our offerings and create a distribution base for our pro ducts.

So we continue to look at more opportunities to increase our portfolio on the prepaid card side. To your question on wholesale, while the Hajj did have a little bit of impact on the wholesale side of it because we supply currency to various constituents in the market, which are selling to their own customers, there was some impact. And I also spoke about the rule that RBI implemented sometime last year, which is the 75 -25 rule, where they said that 75% of the currencies that I sell to other market participa nts in the foreign exchange, they have to in turn sell to the retail customers.

Now, typically, in the segments like FFMC, the full -fledged money changes in the forex business end up doing trades between themselves, which qualifies as wholesale transaction and not retail transaction. So, obviously, to that extent, they had to find new set of retail customers to whom they can go and sell. And in the absence of that, they were constrained to buy large volumes of currency. And obviously, that's also a compliance requirement from our end to ensure that we don't sell more than the norm, whi ch is, if they cannot sell 75% to the retail customers, I cannot sell the next tranche of currency to them.

So essentially, there is a bit of a requirement from the regulator. So it's a compliance norm. So there is a little bit of dent that has come on account of that. But as I said, on a comparative basis, we are seeing that trajectory changing. And I think for eign exchange over the next 2 quarters should start seeing a better trajectory.
Deepak: Perfect. And on the travel segment, sir, while you've sustainably increased your margins, any -- and you've guided for 5% in the long term. Any thoughts on the margins for this current year, FY '26?
Mahesh Iyer: Difficult, Deepak, to quantify that. I think previously, Mr. Verma asked this question, and I did mention that, look, we have to be a little more tactical at some points in time. The markets are a little uncertain. We are witnessing geopolitical upheavals. So clearly, we want to be staying cautious. We don't want to just say that we will focus on margin enhancements.
We may have to be a little more competitive. We may have to just go out and look at expanding our market and stuff like that. So some tactical calls may come into play. And hence, I don't want to give you a forward guidance on it. I can just say that we ar e focused on margin management. It's an important lever and KPI for us, and we'll continue to review opportunities for enhancing that as and when we come across it.
Deepak: Okay. Got it. And the use of cash, if you can touch upon that, so INR700 crores on the balance sheet, are we looking at a big capex in any of the verticals and/or...
Mahesh Iyer: An asset -light model. Deepak, we've always been an asset -light model.
Deepak: Or looking at any increase in dividend payout?
Mahesh Iyer: No large investments. What we are looking at is only technology, some part of technology investments that we do, but they are small sums of money. There are no large capex plan at all.
Deepak: Okay. And is there a thinking from the Board to increase dividend payouts if the capex is going to be light?
Mahesh Iyer: Look, it's a decision at the Board level. I wouldn't want to kind of give any commentary on it. As and when the Board discusses and feels it appropriate, obviously, we'll come to know about

it. But I don't want to kind of go and talk about something that's outside my domain at this point in time.
Moderator: Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.
Mahesh Iyer:

Thank you. Thank you so much, Shruthi. Ladies and gentlemen, thank you so much for being on the call. As I said in my opening remarks, it was a difficult quarter, the April -June quarter because of the various geopolitical events that we saw shaping in the peak of a summer or a travel season as one would call it. Despite that, I think we put up a good performance out there.
Our profitability grew by 18% to INR128 crores, and our cash balance and our balance sheet looks very steady. We continue to invest in our markets, trying to improve customer experience and technology tools, all of which I believe in the long run will help the company to continue its growth trajectory. Thank you so much for your patience and for your questions on the call. If there are any follow -up questions, please reach out to Mr. Debasis Nandy or Urvashi, who will be more than happy to clarify this for you. Thank you so much.
Moderator: Thank you. On behalf of Systematix Shares & Stocks, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 20, 2025

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38
Dear Sir/ Madam,

Sub: Press Release – Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
In furtherance of our intimations dated November 6, 2025 , November 12, 2025 and November 14, 2025 giving intimation s for
the Q2 FY26 earning Conference Call for the analysts and investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please note that the transcript of the Earnings Conference Call held on November 14, 2025 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link
https://resources.thomascook.in/downloads/TCIL_Q2H1_FY26_Earnings_Call_transcript.pdf
This is for your information and records.

Thank you.

Yours faithfully,
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited:
Q2 & H1 FY2 6 Earnings Conference Call – November 14 , 202 5
Management:
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director and Chief Executive Officer – SOTC Travel Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. K. S. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day, and welcome to Thomas Cook (India) Limited Q2 FY '26 Post Results Earnings Conference Call hosted by B&K Securities. As a reminder, all participant lines will be in the listen -only mode and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Purva Zanwar from B&K Securities. Thank you, and over to you, ma'am.
Purva Zanwar: Thank you, Trisha. Good morning, everyone, and thank you for joining us on Thomas Cook (India) Limited 2Q FY '26 earnings conference call. From the company, we have with us Mr. Mahesh Iyer, Managing Director and CEO and the senior management team. We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session.
I would now like to invite Mr. Mahesh Iyer to make the initial remarks. Thank you, and over to you,

sir.
Mahesh Iyer: Thank you, Purv a. Good morning, everyone, and thank you for joining us as we discuss the Q2 FY '26 financial and operating performance. Before I begin, I would like to introduce my management team who is joining with me on the call today. I have with me in the room, Vishal Suri, Managing Director and CEO of SOTC Travel Limited; K.S. Ramakrishnan, Managing Director, DEI;
Vikram Lalvani, Managing Director, Sterling Holiday Resorts Limited; Debasis Nandy, Group CFO and

President, Thomas Cook (India) Group; Brijesh Modi, CFO at Thomas Cook (India) Limited; Bhavik Bhimani, who is the Financial Controller; and Urvas

hi Butani, who Heads, Investor Relationships.
Before we go deeper into discussing the results of the quarter, I would like to highlight the key factors impacting our broader performance. The year so far has been a challenging one in the post -
pandemic landscape, and Q2 continued to reflect this reality. Geopolitical flash points such as Operation Sindoor, Rising Lion, the global trade war and the escalations around H1B visas as well as the evolving political situation in Nepal have all continued to shape global and regional risk sentiment.
During the quarter, the trajectory of our recovery was impacted by weather disruptions across North India. This had a pronounced effect on our domestic travel business and the leisure hospitality segment. That said, despite these external pressures, the resilience and breadth of our portfolio enabled us to maintain stability in our performance, demonstrating our ability to navigate volatility.
Revenue from our operations stood at INR20,738 million, up 3% Y -o-Y. For H1, we were at INR44,818 million, a growth of 9%. Profit before tax after exceptional items maintained at INR 2,211 million in H1 FY '26 versus INR 2,187 million in H1 FY '25 and INR 1,098 million in Q2 FY '26 versus INR 1,096 million in Q2 FY '25. I would like to highlight here the onetime exceptional item that we had in the books this quarter, which will not repeat itself going forward.
I'd like to additionally p lay some highlights that underscore our momentum and our strategic progress beyond the operating environment. This quarter, we had some encouraging recognitions and innovations. Thomas Cook (India) Limited became the only Indian company to win two honors
at the prestigious Adam Smith Awards 2025. We were at recognised for the B est Risk Management solution and B est Investing Solution, which really speaks to the strength and sophistication of our treasury management practices.
In addition to this, we were also honored a t the India Travel Awards 2025, reaffirming the trust and leadership of our brand and brand equity th at we enjoy in the industry. On the innovation front, in forex, we have taken some major step forward in terms of customer convenience. As a leader in the foreign exchange business, we have always been at the forefront of innovation, be it product tech
or being the first brand to sell forex online.

Now I'm thrilled to share that Thomas Cook forex is the first and the only forex provider to partner with India's largest quick -commerce platform Blinkit to deliver forex cards for travellers and students in 10 minutes. All through this, the customer does not need any physical documentation or have to leave his home, both of which were pain points in the traditional forex purchase flow.
And I will elaborate a little more on this in the later part of my conversation.
We also launched TCPay, our new integrated mobile app that gives customers a simple one -stop digital solution for managing all their forex needs on both Android and Apple devices. And further to strengthen our payments ecosystem, we enable contactless cross -border payments through
Google Pay, in partnership with Visa an d Mastercard. This enhancement makes our B orderless Prepaid Card and the S tudy Buddy forex card even more convenient for international travellers and students. On the travel front, we made progress on our AI initiative, which is the agentic assisted model called TACY, which will now be at the forefront of our selling initiatives and together, both will enable a better customer experience.
I'll now move on to some of the segmental performance highlights. To begin with, on the F inancial Services , to better understand our performance, I'd like to share a few statistics based on the RBI LRS data from January to August 2025. In the addressable segment of travel and education and maintenance of close relative, the LRS data showed a year- on-year decli ne of 5%.

In comparison, Thomas Cook (India)'s corresponding YTD volumes remained flat. This demonstrates the strength of our product offering, our operational excellence, reach and distribution network.
Our FX segment revenue for Q2 FY '26 stood at INR845 million, marginally higher than the INR839 million in Q2 FY '25, an increase of 1% Y -o-Y. This limited expansion was driven by softer demand in specific subsegment, particularly education -related forex.
If we look at the LRS data for July and August compared to the same period last year, the degrowth is around 15%. And conversely, if you compare our performance, we actually grew marginally.

Having said that, we have actually increased our turnover in the retail segment by 13%. This was led by a 13% increase in the holiday sales and our Education segment increased by 9% Y -o-Y. The performance of our airport segment is actually not comparable, which is included in this, which show a sharp decline because we are no longer present at Delhi Airport.

As you will recall, we exited the Delhi Airport in May 2025. More importantly, our EBIT for the quarter stood at INR411 million, broadly in line with the INR410 million that we delivered last year. EBIT margins remained steady and healthy at 49%, reflectin g strong operational discipline and efficient cost management.

In terms of our digital adoption, we were at the 22% mark. Our WhatsApp engagement continue to see an upward trend and grew by an impressive 108%, a lbeit on a smaller base. Our app bookings were also up 25%. These reaffirm our efforts to enhance digital engagement & ability to meet our customers' needs where they are.

As we move into the second half of the year, our priorities remain clear to deepen digital adoption and improve customer experience. And with that in mind, we continue to expand digital initiative s to new levels. We launched TCPay all -in-one forex app designed for the first mobile t raveller, as I mentioned earlier.

We are also proud to be the first forex card provider in India to enable contactless cross -border payments achieved through our partnership with Google and Visa. This milestone reflects our focus on delivering frictionless global payments solutions to our customers. And of course, our first -of-its-kind service in India by partnering with Blinkit to deliver forex cards right to the customer's doorstep within minutes.

This unique initiative places customer convenience at the forefront and further strengthens our Ghar Pe Forex promise. This service is already live in Delhi, Mumbai and Bangalore, backed by Blinkit's rapid last -mile network with the phased Pan- India rollout plans in the coming months. In October, we have already added Hyderabad, Pune and Chennai to the list.

Moving on to the travel and travel -related services segment for the second quarter of FY 2026, travel segment revenue stood at INR16,891 million, representing a 6% increase Y -o-Y over the INR15 ,915 million in Q2 FY '25. This quarter was a mixed bag on the travel front . The global travel landscape continue s to navigate a period of uncertainties marked by shifting geopolitical dynamics and domestic reasons, which i alluded to in the beginning.

If you compare our H1 numbers, our top line improved by 12% Y -o-Y to INR36,675 million. Now had this quarter being devoid of few of the external factors, we would have been closer to the 15% mark that we have been targeting.

Let me give you a deeper insight into some of the segments a s we present them in the form of B2B and B2C. On the B2B businesses, which constitute 75% of our total segment, revenue increased by 12% y-o-y overall in H1FY26. The Destination Management business, which includes India and our overseas operations reported a 5% increase during the quarter. This growth came despite a 10% Y -o-Y decline in the India DMS business, which caters to India, Nepal and Sri Lanka.

The India piece wa

s impacted by temporary headwinds, including protest in Nepal and softer demand from some of our key source markets, partly due to the travel advisories linked to the India -Pakistan border conflict. On the international front, our overseas sales grew by a healthy 16% Y -o-Y in H1FY26. However, this growth came with a shift in businesses as some of our high -volume regions contributed at a slightly lower margins given the conditions and the uncertainty in key destinations.

Traditionally, Southeast Asia and U.S.A. are amongst the strongest regions during this quarter. This year, however, performance across these markets was mixed and lower than actual potential. In the U.S., which is usually a strong quarter was affected by a softening in travel sentiments and weaker bookings largely due to the ongoing geopolitical uncertainty.

This led to more cautious travel behaviour and muted inbound traffic in the U.S. market. In contrast, the Southeast Asia continued to perform steadily, supported by consistent inbound volumes and the overall resilience of our regional travel demand. That said, broader geopolitical spillovers did limit region's full growth potential particularly in some long haul markets.

Additionally, the share of higher volume business came at a slightly lower margin, which impacted our EBIT contribution during the quarter. Moving on to the MICE business. The segment improved marginally in this quarter, mainly alluding to the same reasons of weather adversities & the global travel being limited, several corporates had delayed their MICE related events.

While July and August were muted, we saw the trend reversed from September onwards. It's important to highlight that the changes introduced under GST 2.0 will translate into higher sales across various categories that we have witnessed in September and Oct ober, more specific in the pain t, automobile, cement, insurance, etcetera, which are large consumers in this segment.

Our belief is that the broader impact of the changes coming from the GST will result in much more visible performance in the next two quarters. Corporate travel, the segment reported strong growth

in Q2 FY '26 with revenue rising 27% Y -o-Y from the INR317 million in Q2 FY '25 to INR 402 million. Air revenues saw a growth of 4%, whereas non -air transactions expanded by 20%. Hotel and car bookings saw a healthy traction increasing 23% and 9%, respectively. The company strengthened its corporate presence by adding 11 new accounts across diverse sectors and improving adoption of it's self-booking tools that stands today at 59%. Our key focus area was digitalization through platforms like TravelOne and Dhruv. AI, which introduce our AI power corporate booking tool.

Coming to our B2C portion of the business, which account for 25% of the travel segment, leisure holiday segment posted a steady growth. In Q2 FY '26 the segment delivered a 7% Y -o-Y growth rising from INR 4,018 million to INR4,310 million. Outbound holidays continued it's strong momentum, though at a slower pace with a 7% increase. Domestic holidays recorded a 12% rise in Q2 FY26 despite the disruptions that we saw in Q1 and Q2.

This does not reflect the full potential that we anticipated. The segment's performance was constrained as domestic travel was impacted by excessive rainfall and landslides across Northern India, leading to limited demand. In terms of some of the initiativ es on the leisure side, while we had mentioned this in our communication, I'd like to call out some of the important ones. We launched an expanded China holiday portfolio.

This leverages the resume d direct air connectivity and rising travel demand and is aimed at new destination alongside classics such as Shanghai and Beijing. As here we are creating groups tours & customized itinerary for leisure business and MICE travellers. We also restarted the Kailash Mansarovar Yatra for the first time since

COVID 2019.

We also introduced special regional tours during festive, like Durga Puja, Dusse hra, Diwali both on the domestic and outbound side. Now when I look at the overall EBIT for the segment, it was lower by 16% in the quarter to INR651 million, with a margin of 4%. While we have been able to improve our top line, the margin has been lower than our expectation. During the quarter, given the tepid demand scenario, there were extra efforts towards marketing and sales initiatives.

The numbers also reflect the impact of s ome cancellations that came in some of our businesses. Competitive pricing pressures and lower than expected performance in some of our key growth

markets for the quarter added to this decline in our EBIT margins. To add a little color on the outlook for the leisure segment. We started the quarter at a relatively slower pace, but to July and August.

However, the segment saw a noticeable pickup from September onwards as conditions improved and travel demand began normalizing helping holidays regain momentum. In the upcoming quarters, we expect higher activity on both B2C and B2B segments. India 's consumption engine is poised for a powerful revival in the second half, supported by tax rate cuts and GST rationalization, which will help drive discretionary income.

With this, I would like to hand over to Vikram, who will take you through the performance on the leisure hospitality side. Over to you, Vikram.

Vikram Lalvani: Thanks, Mahesh. Good morning, ladies and gentlemen. My name is Vikram Lalvani, I'm the Managing Director and CEO of Sterling Holiday Resorts Limited. I'm also joined by Mr. L Krishna Kumar, who is the Chief Financial Officer for Sterling. Thank you for joining us as we present the results for H1 FY '26 as well as for the second quarter.

Despite Q2 being a traditionally lean quarter for leisure hospitality due to seasonality factors and the headwinds in the space. I'm happy to inform that Sterling has yet delivered its 23rd consecutive profitable quarter. In line with our transformative th rust on resort business, we have recorded a growth in resort revenue in Q2 of 13% and a RevPAR growth of 11% year -on-year against the backdrop primarily of a 28% Y -o-Y expansion in the resort portfolio with a milestone record of having launched 7 resorts in Q2 FY '26.

Sterling's financial position remains strong. Our cash reserves grew 51% year- on-year by another milestone of INR1,000 million to INR3,080 million so far and we remain completely a debt -free company. This reflects the robust cash generation as well as reserves in our books, while we are simultaneously also investing for future growth.

Our H1 FY '26 was marked by a record Q1, but temporary headwind s impacted Q2. Sterling delivered a stable performance with a revenue of INR 2,400 million approximately versus INR 2,450 million of last year and an EBIT margin of 24.1% compared to 25.6% of last year in H1. The standalone EBITDA remained healthy and consistent at 32% for H1.

Q2 was impacted primarily due to severe weather headwinds affecting almost 40% of our rooms.

Coupled with the sunsetting of membership acquisition in Q2 of last year, the associated fixed costs of the impacted rooms and the ramp- up cost of the new rooms im pacted EBIT margins to a small extent.

As a result, the revenue stood at INR 1,044 million with an EBIT margin of 16% for Q2. These are temporary effects and the underlying demand fundamentals still remain strong. As envisage with a record Q1 and a strong forward booking positions for H2. Our Sterling portfolio now has expanded to 56 destinations and 6 5 resorts , hotels and retreats, it's over 3,400 rooms. Our pipeline continues to grow with an expected number of 10 resort destinations in H2 and another 15 in the quarters to follow totalling an approximately of over 4,500 rooms. Our expansion continues to be on an asset -right, capital -light model. A re

cent accredited industry survey of hospitality companies now ranked Sterling as 9th , up by one rank over last year on the number of locations, 12 th up by two points over last year on the number of properties and 16 th up three on the number of rooms.

Guest satisfaction continues to be a defining strength of the Sterling brand. Our Tripadvisor ratings improved to 4.61 from 4.57 of last year, a testament to the exceptional experiences consistently delivered by our resort teams.

In Q2, Sterling Lake Palace Alleppey, in Kerala, was awarded the Best Resort Spa by Hospitality Horizon at The Spa & Wellness Summit Awards. In Q2, we've also done a lot on the asset management side, which I will take a minute to explain that as well. On t he asset management side, we use Q2 to focus on capacity expansion by sweating incrementally our own assets where possible and product enhancements in some of our key resort portfolios, with an intent of building immediate future additional revenue streams .

Sterling Puri is being expanded with 46 new suites, up from current 121 rooms and suites, with revenue contribution expected from Q3 FY '26 and having its full impact from Q4 in FY '26, and this is our own asset as well. We have completed expansion of Sterling Kodai Valley by another 32 suites from an existing 120 rooms and suites, which will have its full impact from H2 onwards.

Sterling Kodai Lake, Sterling Nainital and Yercaud completed incremental plan ned upgradations in Q2, with impacts expected from Q3 FY '26 onwards, and hence, in H2. Sterling Munnar, we are also upgrading 51 rooms there. That's about 38% of the total inventory. On track for a mid -December

completion before the peak holiday season and its expected impact in December last week and a full impact from Q4 FY '26 onwards.

Under Sterling Sankalp, our ESG initiative, we have completed investments and deployments of heat pumps across our key resorts, including Kodai Valley, Yercaud, Ooty Elk Hill, Kodai Lake, Mussoorie , Darjeeling and Puri. This initiative is expected to reduce energy consumption by approximately 3,50,000 kilowatt -hour s annually while minimizing water wastage, reinforcing our commitment to sustainable and responsible tourism. These will also start showing its impact on cost efficiencies going forward.

With weather conditions behind us, weather headwinds behind us, rather, I beg your pardon and a 30% increase in Saya dates with 14 of our jungle resorts having reopened and new revenue streams from recently opened resorts in Q2 and H1 and contribution from our new resorts and upgraded rooms, our business is well positioned for our renewed growth momentum and a successful closure of FY '26, consiste nt with the performance of the previous years and previous other 22 quarters.

Thank you so much.

Mahesh Iyer : Ram, you want to come in, please?

K. S. Ramakrishnan : Yes. Good morning. This is K. S. Ramakrishnan, MD and CEO of DEI. A warm welcome to all you ladies and gentlemen. Quickly to tell you a bit about our quarter. The Q2 FY26 ended up at INR1,958 million as against Q2 FY25, which was INR2,088 million, slight a flattish quarter .

The EBIT drop has been from around INR65 million last year to INR23 million this year on the same quarter -on-quarter, half yearly from INR4,162 million that we did in H1 '25. We've done INR4,055 million in H1 '26. EBIT during the same time for the H1 has be en fairly flat at INR131 million in half year '25 as against INR129 million in H1 '26.

Predominantly, the key pointers that explains the drop of the top line would be UAE contributes to nearly 50% of the market that we do. And Q2 has been traditionally a low quarter due to both the peak summer and this was also burdened further this time with geopolitical factors . Travel in the UAE has seen a dip of about 15% across the b oard. Over and above this, Malaysia and Singapore added to the woe for us with some unplanned

closures of key venue, which is more periodic and it won't be repeated again.

Resorts World Sentosa, Aquarium in Singapore and the KL Tower in Malaysia were closed for either

upgrade or for some other political issues that happened in Malaysia, but all of those have been resolved and they're back in action. More than 80% of our locations have gone live with our new solution WeC. There has been a double cost of running this We C through, and that has added to hurting our EBITDA.
80% of our sites are now on We C. More than 1,500 operators have started operating this across the globe. There are expected tweaks and trainings that are being made as we go along to ensure that the peak period is maximize d and we are parallelly running this along with our existing software. So these two things have also added to our cost structures.
On the brighter side of the horizon, we have large accounts that we have won during this quarter, which includes Ain Dubai, Ocean Park, L egoland Shanghai. All of these take about a quarter or 2 for stabilization, and we anticipate a huge uptick, a decent uptick at least, on our revenue performance in the coming subsequent quarters.
We have -- to add to all of this, the last quarter or rather the third quarter for this year is a key quarter. And the whole team has been fully prepared. We anticipate a fairly robust quarter this year as we go on. That's all from my side. Thank you very much
Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Anil Shah from Insightful Investments.
Anil Shah: Hi, sir. Good afternoon to all. My question is on Sterling Holiday Resorts. We have -- compared to last year, September '24 versus September '25, we had higher inventory rooms, obviously, because the number of resorts and number of rooms that we had on offer in September quarter of '24 versus '25, it's much higher in '25, almost 16% higher.
We've talked about an ARR, which is up 10% from INR5,400 -odd to about INR5,900. And occupancy overall has remained constant at 49%. So if I look at your presentation last year in September '24, we talked about 49% occupancy, then and we now speak on 49% oc cupancy on the expanded inventory base. Yet our revenue has declined. So that's the first question. I'm just not able to fathom this.

In the meanwhile, in your PPT, you have also mentioned that room revenues are up 22%. F&B is up 11%. Management contract revenue is up 22%. But overall, Sterling Holiday has seen a decline in revenue in Q2. So just not able to reconcile. That's the first question.
The second question is that how EBIT has come down so substantially. Most of the weather conditions and the geopolitical, etcetera, actually hit utilization or occupancy, if I may say, which is any way constant. So what are the kind of costs which has hurt us primarily because of weather conditions and because of whatever else that may be?
Vikram Lalvani: Let me just explain this again and in detail. The statement I had made was that we had about 40% of our rooms impacted even on an expanded base this year in Q2 because our hotels in Himachal, Uttarakhand where we have a very strong presence was in a large portion of the months and any which ways is being a lean season, was typically cut off from traffic, Mussoorie , Nainital, Corbett, Manali, Kufri, etcetera. Now -- that's number one.
Number two is, hence, even on an expanded base of 40% of our rooms were out. In fact, the growth that we got in the resort revenue actually also speaks about the resilience in Sterling. It came about only with 50% to 60% of its remaining inventory. So imag ine if , the fact of the matter is that if we do not have these very strong headwinds, I think we would have been able to record a far higher and steady , in fact, a far higher growth in the resort income, number one. Then there is the fact that as we've been mentionin

g, even in the past couple of quarters, we have been ramping down and we eventually sunset the membership business in Q2 of last year. So therefore, the revenues that we had from the membership income, including its subscription as a result, which was there until Q2 of last year is not there this year.
Now having said that, we would have been able to substitute this gap very easily had we've been able to operate the remaining 40% of the rooms. So to that extent, the gap has been there in Q2, which should not be there from Q3 onwards because then that would be a like -to-like compare.
So that is why t here has been a slight change in the revenue line. Now on the cost line, when many of our resorts are typically closed out, we still incur fixed costs in those resorts . While I may not be able to move the guest s in there, I still carry fixed costs without earning revenue there like salaries, wages maintenance , basic electricity and these are the costs that we will have to carry.

So that's number one. Number two is even when we use this opportunity to ramp up another 7 resorts, which was a milestone we have ever done before. In the month of September, which impacted last portion of Q2 we actually leverage d a lot of the resources from these 40% of the rooms into actually opening these new resorts .
So it's a question of how we leverage the resources internally when we are not able to actually utilize them in their current destinations because of the fact that we are not able to move the

customers. So this is a onetime ramp -up costs also that tend to hit us , especially when we are ramping up. Now this -- all the revenue streams should start coming in from H2 onwards, and it's already started.

Having said that, despite the issue of headwinds with 40% inventory as well as a onetime substitution that could not happen with the drop in the membership income because we curtailed , the H1 has still remained stable because of the Q1 numbers being buoyant. And we are very confident that the H2 numbers will actually - far surpass any kind of a negative trend that has happened in Q2.

Having also said that, we've had 22 quarters of profitable growth. And this quarter of quarter 2 has been impacted with both these parameters as well as the fact that we've taken ramped up new inventory as well as upgraded our current resorts , we use this opportunity to do that to better our streams in H2. But still, our H1 actually still remained stable.

Anil Shah: So just to clarify. Maybe my understanding is not correct out here. I repeat, when we say we have to take off 40% of the rooms just not available, do we take them off the denominator when we talk about occupancy?

Vikram Lalvani: No, we don't take them off the denominator…

Anil Shah: So then the occupancy, sir if I say is constant. In last year, September '24, your occupancy was 49%. It's 49% a gain , on the denominator which is much larger. So in terms of number of actual rooms that have been used and for which we have built is higher. Is that correct?

Vikram Lalvani: That's fair. That's fair.

Anil Shah: Exactly the question then, then why -- the only thing that it's so far that I can get an explanation from you is that members were lower compared to last year. So if you could quantify

that number? Because otherwise, how could revenue be lower? I'm not still able to understand in terms of revenue. I can understand in terms of cost to some degree, not completely yet. But how revenue can be lower in Q2 versus last year's Q2?

Vikram Lalvani: So let me tell you. Now when we're saying this 40% of the inventory, there are 2 kinds of inventories that we have . One inventory, and this is there across the board in the hospitality industry as well. One inventory is the inventory which is an impact of P&L, which is known as o wned, lease or revenue share inventory.

And the second is a partnered inventory or a manage

ment contract inventory . So while the occupancies might have gone up in a management contract, what the amount that would get reflected in our P&L is only a certain portion of that incremental, because we only get the commission that comes from there.

So what happens is, out of the 40% that has gone, almost 50% of that is our owned, lease and revenue share. So we have to carry those costs, as they are large hotels. Like Mussoorie is a large hotel. Kufri is a large hotel. Manali is a large hotel. Nainital is a large hotel. So they were all reflecting in our P&L.

So therefore, on the flipside, we could manage to leverage the South and the East or the West, not necessarily everything is our own inventory as well, number one. Number two, yes, we did have a sale of approximately about 400 or 500 membership units last year, which eventually is not there this year and the associated subscription amount of that.

Now if we've been able to leverage those on the impact of the owned, lease, revenue share rooms, which was virtually shut down in Q2, including jungle resorts, this would have actually been easily substituted. Therefore, actually, our growth in resorts would have actually been over 20%, 25%, which is a model that we are actually headed towards. That's the answer.

Anil Shah: I think at least again, just to summarize, basically, it was our own resorts where we get 100% of the revenues, okay, which was of 15 resorts, more of those were unfortunately not available for tourists because of weather conditions. And hence, we got more hit in this Q2. Is that understanding correct? And the second part is, obviously, the fact that we had about 400 or 500 rooms booked by members in Q2 last year for which we got revenue and we got subscription, which we did not get in this Q2 of this year.

Vikram Lalvani : Absolutely. And we would have -- which we would have been able to substitute that and actually grow further. So you're absolutely right. But having said that, even when we entered October, now we are in the mid of November, those headwinds are behind us no w. And since we sunset the membership story or acquisition in Q2 of last year, so even when you compare Q3, that's not going to have an impact going forward.

Anil Shah: Right. And last thing, sir, start -up or setup costs that you really have to go through initially. So we had 7 new resorts which started. Obviously, they take time to ramp up maybe another couple of quarters. But in this quarter, when you start off these things, what would be an approximate cost

per resort that you would have debited in your P&L in this particular quarter?
Vikram Lalvani: Okay. Let me just answer that in 2 parts first. Now whenever we open a hotel or a resort, while we have a particular date from when the guests can come in and we start making revenue, our cost typically kicks in at least about 1.5 months or 2 months prior to the opening. So in this case, like why? Because we have to put the manpower, we have to get the supplies, finish the product, etcetera.
So actually, our cost -- so there was a conscious call that we have taken that despite the quarter being a little tough one, we actually rather go ahead and launch or open new hotels, it takes that cost from July, August onwards, when we open these hotels in September because it will have a positive impact in H2. That's step number one. 30, 60 days prior to opening...
Debasis Nandy : I am sorry to break in but there are other people who have queued up for questions. Can you give them a chance please.
Moderator: The next question comes from the line of Deepak from Unifi Capital.
Deepak: Thanks for the opportunity. Vikram, first question is to you. So we understand that this was a tough quarter because of seasonality. But are we losing out to competition? Or is there incremental supply of rooms coming in our existing geographies that could have impacted demand? That is one. An

d your comments on the cost buildup that happened this quarter, if you can quantify that. And the -- and whether it will recur or not in the future.
And with regards to H2, if you can provide an outlook on revenue growth that you've seen in October and forward booking that you have and the margins relating to this segment.

Vikram Lalvani: Thanks, Deepak. There are a lot of questions. So let me try to answer one by one in a very short, abridged manner. I think the first question is on the expansion and demand supply on competition. Now that is why I mentioned, that obviously, as and when we keep incrementally adding rooms, our revenue streams tends to go up. Now we are present predominantly in leisure
where we think we have a far more competitive advantage when compared to anyone else.
And we are also moving towards the Tier 2 corporate setup. For example, if we say in Bokaro, Madurai, Dehradun - two hotels, Karwar, we are far ahead of our competition in that sense. How we actually gauge that? Actually, we gauge it on the basis of the kind of market share that we have through some of the online channels versus that of the others. So we're kind of ahead of our competition on that front.
And we are actually expanding into destinations also where we get the first- mover advantage like Ayodhya, Malampuzha etc. we get the first mover advantage. That's answer to question number one. The question number 2 was, sorry, what was that?
Deepak: It was regarding the cost that we've incurred in upgrading the properties that might not recur going forward. So, if you can clarify that and the third question is on the outlook.
Vikram Lalvani: Yes. On the asset management side, we always use this opportunity to sweat our own assets as well as constantly upgrade because with the transformation of the business model that has happened, you have to continue to remain competitive as was your first question. So our cost of typical and incremental room is approximately INR12 lakhs to INR13 lakhs. And that is why we rather focus on expanding and sweating our existing assets, so it has a stronger impact of the P&L going forward, which is what we've done.
Number two, yes, we will continue to expand even on an asset -right model. When I keep saying asset -right, it's a combination of asset -light and a little bit of revenue share and leases. So we will continue to expand on an asset -right model to leverage the network strength that we bring in. So that's point number two.
Point number three, if you see, H2 has actually opened much stronger. As I said, that the headwinds of -- especially the weather, is far behind us. And most of these destinations have actually already started reopening right from Dussehra, Diwali time. So I would say that H2 will be strong. The kind of growth that we are getting in the resort business, we could possibly hold those growth and maybe

with the incremental rooms we could even add on new revenue stream s in H2, which starts from Q3 onwards. So there is no -- in fact, Q3 is looking good.
Deepak: Got it. If you can just quantify the cost that we incurred, sir, in this quarter? And with the growth that you've spoken about, will the margins come back to the older level that we…
Vikram Lalvani: Margins have been 32% in H1. And as you know that in the hotel industry, a good margin is between 30 % and 35 %. Most of them tend to hold that. We will continue to hold those margins for this entire year as well. There may be a slight blip that might have happened in Q2, but we are bound to rebound in Q3 onwards. So if you have to look at it on a full financial ye ar perspective, we will continue to be between 32% to 35% for sure. We will also make some investments for the future because of the growth that we are driving in, but I am confident that these margins will hold.

Deepak: Sir, second question is to Mr. Ram. If you can give an explanation of the pat

h to profitability
in the digital imaging business because we've had four, five quarters of lower revenue growth and very low profitability. So from a revenue and cost lever standpoint, what are we seeing the outlook
for the segment? I mean if you can explain how do we profitably improve in the segment going forward.
K. S. Ramakrishnan: Yes. I'll answer that. The last four quarters in a row, or last 5 quarters in a row, we are working on our new technology. This obviously comes at additional cost whilst we are using our existing technology until the previous quarter. So these numbers on some of the cost segments will be better as we go along.
But the profitability of this business has been fairly consistent for the past 20 years that this company has been, since we have been a profitable company consistently, and that ethos still follows. We have done a lot of correction s post pandemic .In '24 mid when the technology started and we started producing it, the cost has gone up.
In particular, the levers are basically getting efficiency of labor, and that will come in only by the technology getting fully implemented. And that, as I said, we will run through this quarter and next quarter while we're implementing and running. So the organization is extremely confident of
delivering a consistent profitability in this business over a period of time.

Deepak Lalwani: Okay. So can you guide us with any outlook for this because the growth doesn't seem to be coming through despite adding new geographies, upgrading in existing locations. So revenue growth has been a challenge. And the cost side, although I understand that you migrated to the new tech, but you're saying that it will take some more time to reflect in the numbers. So if you can guide us as to when can we expect the…
K. S. Ramakrishnan: So if you've been following our business for the last two years, we have shut down a lot of inefficient geographies and sites, which is done as a regular cleanup over a cycle of three to five years. Our business model is such that when you start operations, you have to give the first six to 12 months for it to come to peak, all right?
Moderator: Sorry to interrupt, sir, but Ram sir’s line has been disconnected. Please hold for a second while we reconnect him.
Debasis Nandy : Please ask the next guy in line to ask his question, while you reconnect Ram, so that we don’t wait longer.
Moderator: Our next question comes from the line of Naveen from ithought PMS.
Naveen: First of all, congratulations on holding steady in a very tough quarter with respect to the macros. So my -- I have just one question regarding the forex business. Regarding the forex business. So just read some recent articles about banks offering zero forex cards. So just wondering, if you guys have any thoughts on like the demand uptake for these zero forex cards, essentially, like any comparison in contrast from the forex prepaid cards that we offer and whether it's targeting the same customer c ohort or how we should think about this? Just wanted to get some sense on that.
Mahesh Iyer: Naveen, I'll take that question. This is Mahesh here. Look, there are different kind of models to get to the market. To me, this is more like an empty strategy. But you would know that a zero mark -up, a zero currency exchange, these are not sustainable models. So you will get what we call the GMV or the top line, but very difficult to make bottom line out of it. The market that we are focused is very segmented. We are focused on the holiday segment through our borderless prepaid
card.
We are focused on the student segment through the Study Buddy, which is focused on the education segment. And we have what we have for the corporate, which is called the E nterprise Card . So we

are clearly segmented in our approach and we are looking at those places in the market where we can actually make meaningful de nt. Just to give you

a perspective, our current market share on the
prepaid card side is anywhere between 31% to 32% and we are growing.
And I think at that scale that we operate, I think we've made our products relevant to the market.
And my belief is that with the new innovations that we are bringing in the category like the addition of Google Pay where it is available for customers to se amlessly add to their wallet and then use overseas and some more new developments that we are currently working on.
I'm sorry, I'm not at liberty at this point to share some of the things that we are doing at the bank - end. But when we are ready, we will talk about some of those things. But I think clearly, what I want to highlight here is that we are progressing right. We believe that from a market perspective, we are segmenting it well and we want to grow in this s pace where we believe we have the moat to grow.
Moderator: The next question comes from the line of Soumya from Insightful Investments.
Soumya: I had a question regarding the travel segment. So I was just wondering other than the

domestic DMS, which is overall a very small part of our aggregate travel revenue we have shown that there has been growth across all other subsegments. However, EBIT has not been able to grow , EBIT instead has declined by 16%. If you could just explain that decline, that would be great.
Mahesh Iyer: Sure. Soumya, thank you for that question. And I alluded to that in my opening comments. You're right. We saw some degrowth in some of the segments. But overall, the segment still grew. But please remember that when the external environment is not so great and not so conducive, you actually end up spending more to the market, and that's exactly what we did.
The second element, obviously, the spends that I'm talking about are nature of marketing and distribution, and then we had to spend a little more money to the market. The second is that on the overseas DMS businesses that we have, the mix of the business a ctually changed.
So we actually got a little more of the low margin business as compared to the high margin business that we usually attract during this quarter, specifically in markets like U.S., which is the peak season for the U.S. market is the July, September quarter, while we manage to hold some part of the top

line because of our forward bookings, but the mix in the way the business came in, impacted our margins. So to that extent, the margins got impacted or diluted.
Moderator: The next question comes from the line of Deepak from Unifi Capital.
Deepak: Should we continue with Mr. Ram's comment on the digi imaging business ?
K. S. Ramakrishnan: Yes. Yes. Yes. So I was -- you were talking about the revenue drop, or revenue flattish or growth. As I said, in the cycle between three to five years, we look at every account because it takes about a year for it to come to its optimal level. So in the last few years, we have also shut down a lot of our nonprofitable sites. In the meantime, we are also building up a new solution.
When you build a new solution and implement it, it will be not a very fair thing to go and aggressively open new markets with a new software until it gets stabilized. As I said, these two quarters are very crucial for us, the two quarters that are following. Following this from the second quarter of next year, rather the first quarter of next financial year is when you will see some revenue growth opportunities.
Also, efficiency of labor and the digital channel will open completely, which will be one of the biggest levers. So a bit of patience from our end, that is very much required when we do this entire change.
But there's a very good optimism on the opportunity of growing this revenue. Similar the way we have been doing it for the past 15, 20 years. This one year or one and half year of this transition is always something that we have consciously tak en to do the change.

Mahesh Iyer: Ram, if I can just come in for a minute and add to what you just said, and Deepak it is also important to also look at the H1 numbers as we look at the comparison, it's INR131 million versus INR129 million. This also shows that despite the fall in top line and to the reasons that Ram just mentioned, which is more like a portfolio management that we do from time to time, our revenues held still, despite the fact that we were taking a double whammy on account of implementation and software costs.
So I think it's all about building that scale and momentum. It's a bit of a patience in this that we are trying to do. And like any software implementation, and this is a large one going across multiple

sites. It does take its time. There are challenges that come across. My belief is that, as Ram rightly said, we are here for the long and I believe, this should start giving benefits in the long run.
Deepak: Okay. So is it fair to assume that we would continue with this INR13 crores first half number for second half as well and then improve going forward?
Mahesh Iyer: Deepak it is not that way. This business also goes through seasonality. So there is a seasonal quarter and I think Ram said it in his remarks, that Q3 is his biggest quarter. So you will see that impact coming in. But obviously, Q4 obviously gets back to t he normal run rate. So it's not more like a straight line that we can put in the -- but yes, Q3 could be comparable to Q3 that we had last year, and obviously, Q4 will be comparable. We will see some benefits of the software coming to play, bu t too early to mention about it.
K. S. Ramakrishnan: Yes. So Q3 will definitely be … at least the start shows that we are no w trending on a betterment from last year's Q3. That's all I can say. And definitely, it's going to be better and the software’s adaptation and the experience is getting better every day. So you can be rest assured that good days are around the corner.
Deepak: Sir, my next question was to Mr. Mahesh. So if you -- we have -- so we are hearing good commentary from our peers, whether it be the hotel industry or airline with regards to the domestic side. So should far as my assumption is that Thomas Cook would also benefit from the macro tailwind atleast in the domestic? So I wanted to get your sense on that.
And the second part is the DMS portion of our business is predominantly overseas, right? So if you can highlight the forward bookings there, what kind of growth are we seeing because that business was growing at a much faster pace, which is come

down in this quarter by a bit, but if you can give some outlook there would be also good.
Mahesh Iyer: So let me take both questions in two different parts. The first one on the domestic side, as I mentioned, and you would see it in our deck also. Our domestic portfolio, despite the challenges grew, it's not necessarily the growth rates are not necessarily aligned to our internal targets that we have. So I definitely believe there is more room for us to grow. But the challenges that we saw in the current quarter hopefully will not repeat.

The unfortunate incident that happened in Delhi, these kind of events does impact some sentiments of how people will connect and stuff like that. But despite that, I think travel as an ecosystem will continue to grow. GST 2.0, the reforms that were announc ed will leave a lot more money on the consumer side of it. I think that should be a good fill -up to demand generation going forward. So from that perspective, I believe domestic, as an opportunity is going to be important.
I must also highlight here that we have chosen four or five large portfolios where we're going to be present on the domestic market. We can't be relevant in all the markets because we will be so widely spread that we can't make a meaningful impact. So we'v e chosen those 4 or 5 destinations where we want to be meaningful, and th

ere are one or two categories where we want to grow. I think that's the way we are building the portfolio, and Deepak, we will talk about it as we start building scale and our plans around it. But clearly, domestic is one good opportunity and we are completely aligned with that opportunity in terms of our growth agenda.
Coming to the DMS side of it, you're right. A large portion of our business sits in the overseas market.
Mixed bag this quarter , obviously, the Dubai market, like Ram said, we also have a Middle East market operating there. It's a low season. And obviously, the geopolitical impact also came into play.
That kind of muted the overall growth. But despite that, if you see the growth, we were growing at about 12%, 16%, which is not a small growth in that sense.
From a forward -booking perspective, there are some markets which are seeing some headwinds, more specifically the U.S. market because of the reasons that we all know. But other markets are coming up, at least the Southeast Asian markets are showing up well, their forward bookings are looking stronger as compared to what we had last year. So I'm hopeful of a better outcome for the full year.
Deepak: Okay. Got it. Sir, one follow -up for the forex segment. We have been doing well on the retail side, growing in double digits, but the wholesale part of the business is slightly muted. So if you can highlight on why it is muted and how is it improving?
Mahesh Iyer: Deepak look -- I've always maintained that wholesale business is more like a byproduct. It's not necessarily an area of focus because what we are talking about is currency movements here. We are buying from one and selling to the other. And I've spoken abo ut it in the past, RBI came with a directive in terms of how much you can sell and to whom you can sell because

there was a lot of currency in circulation. I think this is all driven by the digital push that the regulatory is bringing in.
So obviously, the structure that they brought in is to say that to someone whom you are selling the currency note to, should sell 75% of the volume that he bought from you to a retail customer and not be doing a resale on it. So these kind of pictures were put into place from October of last year.
I think that's the flow -through impact that you are seeing.
But clearly, I think wholesale is a business which will continue because India will still need some cash, even our retail portfolio, if you see 35%, 40% of the people still refer to take some cash and the balance goes in the form of card. So you will see the cash flowing through in the wholesale market, but that necessarily is not a big business. Our focus has been on the retail side and the double -digit growth that you are seeing there is a t estament of the kind of distribution and the product portfolio that we have created.
Deepak: Okay. Thanks
Mahesh Iyer: Thank you, ladies and gentlemen, for your questions. I just want to conclude by saying that this was a difficult quarter. Despite that, I think the Thomas Cook group has shown resilience in its performance. My expectation is that with the reforms that the government has announced and no untoward or major incidents happening, I am expecting a better outcome in H2 for the industry as a whole. Thank you very much for your questions, and have a good day.
Moderator: On behalf of B&K Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

February 12, 2026

The Manager, The Manager,
Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot No. C/1,
Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38
Dear Sir/ Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In furtherance of our intimations dated January 28 , 2026, February 5, 2026 and February 6, 2026 giving intimations for the Q3 & 9M FY26 earning Conference Call for the analysts and investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please note that the transcript of the Earnings Conference Call held on February 6 , 202 6 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link

https://resources.thomascook.in/downloads/TCIL_Q3_9M_FY26_Earnings_Call_transcript_20260212.pdf

This is for your information and records.

Thank you.
Yours faithfully,
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl: a/a

Thomas Cook (India) Limited:
Q3 & 9M FY26 Earnings Conference Call – February 6 , 202 6
Management:
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. K. S. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day, and welcome to the Thomas Cook (India) Limited Q3 FY '26 Earnings Conference Call hosted by Systematix Group. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to a sk questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vijay Jangir - from Systematix Group. Thank you, and over to you, sir.
Vijay Jangir: Thank you, Shubham. Welcome, everyone, and thank you for joining us on Thomas

Cook (India) Limited's Q3 FY '26 Earnings Conference call. From the company, we have with us Mr. Mahesh Iyer, Managing Director and Chief Executive Officer; and the senior manage ment team. We would like to begin the call with brief opening remarks from the management and following which we will have the forum open for an interactive Q&A session.

I would now like to invite Mr. Mahesh Iyer to make initial remarks and thank you, and over to you, Mahesh, sir.

Mahesh Iyer: Thank you, Vijay. Good evening, everyone, and thank you for joining us as we discuss the Q3 and 9 M FY '26 financial and operating performance. Before I begin, I would like to introduce my management team, who is joining the call with me today. With me in the room, I have Debasis Nandy, who is the Group CFO for Thomas Cook (India) Limited; I have Vikram Lalvani, who is the Managing Director and CEO of Sterling Holiday Resorts; K.S. Ramakrishnan, Managing Director and

CEO of DEI; Brijesh Modi, CFO at Thomas Cook (India) Limited; and Urvashi Butani, who heads Investor Relationships.

Let me start with an overview of our consolidated performance and then walk you through th

e

details of our segment. Our consolidated total income for the 9 M FY '26 increased by 8% from the same period last year to INR67,523 million. And correspondingly, during the quarter, total income grew by 5% to INR21,866 million.

Our other income continues to improve impressively during the quarter and 9 -month period. I would like to spend a little minute talking about this other income because a lot of people have asked questions around this other income. About 60% of the other in come is on account of fixed deposits arising out of our deployment of float on our Foreign Exchange business.

To that extent, this is an operating item, but because of the accounting norms, these are accounted as other income in our books. This remains largely steady and also shows the way we managed our income stream despite the lowering interest rate environment that we have lived over the last 12 months.

So basically, I think if you look at the other income growing from INR22 crores to INR40 crores in the current quarter or for the 9 months period from INR88 crores to about INR124 crores. This reflects our efficiency in managing our better treasury operations and improving our yields on our investments.

Consequently, our PBT for Q3 stood at INR897 million, which improved by 20%, which excludes the onetime impact of the new Labour Code. As you are aware, this is a new Labour Code implementation, which had to happen and the impact that we have taken is on a ccount of retirals, which had to be taken through our P&L statement. If I exclude that onetime impact, our profit before tax has grown by 20%.

This reflects our improved efficiencies across our businesses, prudent cost and margin management In the 9 months for FY '26, the corresponding value stood at INR2,852 million as compared to INR2,936 million in the same period last year. I would like to me ntion here that this does not exclude the onetime nonrecurring charge of INR171 million on account of an ex -gratia payment, details of which was mentioned in our notes to accounts in the previous period also.

Before I move on, I would like to spend a few minutes on the recent budget announcement, which we believe further amplifies the opportunity in the tourism, not only from a growth perspective, but also from the term of employment generation. The rationaliza tion of TCS on overseas tour packages to a flat 2% from the earlier rates of 5% and 20%, respectively, provides immediate relief and leaves more cash in the hands of travellers, thereby spurring discretionary consumer spending.

Additionally, the reduction in TCS to 2% on Education and Medical categories under the LRS will ease the burden on students and patients, resulting in lower cash outflows. Complementing this, capacity building initiatives have been announced to upskill 10, 000 tourist guides across 20 iconic tourist destinations.

This initiative reinforces our commitment to enhancing on -ground service quality, enriching visitor experience and showcasing India's cultural and heritage assets through skilled, knowledgeable frontline ambassadors. Together, these measures reflect a bala nced approach stimulating demand while simultaneously strengthening the supply side of tourism and set the stage for sustainable experienced growth development in the sector.

Progressing on to our segmental performance, let me begin with the Foreign Exchange segment. I'm pleased to report a 10% increase in our EBIT in Q3 FY '26 to INR316 million. Correspondingly, our EBIT margins expanded to 41.5% from 38.7% last year, reflecti ng a disciplined execution and operating leverage. The growth is particularly noteworthy given the market environment in which

we were operating.
As evidenced by the LRS data published by Reserve Bank of India for the period April to November 2025, the industry faced headwinds under key categories with travel declining by 6%, maintenance of close relatives down

by 5% and study abroad witnessing a sharp contraction of 22%. Against this backdrop, our operating performance remains strong with Retail sales growing at 25% Y -o-Y, driven by a 39% increase in the Education segment, whereas the Holiday segment turnover improved by 11%.
In terms of our digital adoption, we were at the ~21% mark. Our app engagement continued to see an upward trend and grew 2.7x to 835 transactions in the current quarter, up from 300 odd transactions in the corresponding quarter of last year. Our app bookings grew 3x during the same

period, too, reaffirming our efforts to enhance digital engagement and our ability to meet customer needs where they are.
Our collaboration with Blinkit to receive forex card continues to grow and today stands expanded to 8 cities in India, which includes Pune, Chennai, Hyderabad being the latest addition. Besides that, we continue to focus our fiscal footprint via our Retail store in a balanced manner and opened new two forex outlets in Kottayam, Kerala and Varanasi, Uttar Pradesh.
Now moving on to the Travel and Travel -related segments. As you are aware, our portfolio is split into B2B and B2C. This quarter, our B2B portfolio comprises of 80% of the Travel segment. EBIT margins for the segment stood at 3.1% versus the 2.9% last year. For the 9 -month period, our EBIT improved by 4% to INR1,979 million and margins stood at 3.7% versus 3.9% last year.
Let me cover the two broad categories in the segments, that's B2B and B2C, the details of which are outlined in our investor presentation also. The B2B business, which contributes approximately 80% of the segment recorded a 5% growth during the quarter. Wi thin this, the international DMS portfolio grew 9% Y -o-Y, driven by a healthy performance across our overseas entities, including Asian Trails that operates in the Southeast Asia market by 14%, Private Safaris in Southern Africa, which increased by 41% and East Africa, which grew by 20%.
This performance reflects steady demand and disciplined execution across our core international markets. Our business in Middle East, which is represented by Desert Adventures, faced stiff competitive intensity and muted demand owing to external factors, w hich led to lower business volumes. And consequently, we had to make a tactical progress in terms of our margin, which impacted the overall Travel EBIT margins in the current quarter.
In the U.S. market, where we operate under the entity Allied TPro, while the quarter is traditionally weak, performance was further impacted by a muted inbound travel sentiment resulting in softer demand than anticipated. Overall, while select markets faced near -term headwinds, the underlying fundamentals of the bus iness remain intact, and we continue to focus on strengthening our portfolio and improving margin resilience going forward.
The India DMS business was another factor contributing to a moderated growth in the Travel segment as it remained flat during the quarter. While Q3 is typically a peak quarter for the business,

performance continued to remain impacted by the residual effect of the earlier travel advisories and the airspace sensitivities and routing concerns.
Collectively, these factors resulted in lower inflows from key source markets. However, we continue to expand our margins given the long relationship that we had and some back -end negotiations that we carried forward in the business. The Corporate Travel s egment reported on a net basis saw its revenue improved by 21% in the quarter and 17% for the 9 months period.
During Q3 FY '26, we continue to strengthen our Corporate Travel portfolio with the acquisition of 8 new accounts across key sectors, including ITES, automobile, telecommunications and e -com. This momentum translated into a strong operating performance wit h air revenue growing by over 12.4% Y-o-Y, while non -air transaction increased by 19.8% during the quart

er.
On the non -air side, hotel and car transactions recorded healthy growth of 11.2% and 29.2%, respectively, reflecting improved wallet share and deeper engagement across our corporate client base. We also expanded our international footprint during the quart er with the commencement of our air and hotel operations from our TCI -Euro office in Cyprus, further enhancing our ability to service multinational clients and support cross -border travel requirements.
Moving to the MICE segment . We recorded a marginal decline during the current quarter, while on a year -to-year basis, the segment registered a 5% growth. Corporate equity on the MICE front

remained limited as year -end is typically seasonally slower period for corporates and the bus iness continued to be largely domestic driven.

Coming forward to our B2C section, which comprises about 20% of our Travel segment. Revenue on the B2C segment quarter marked a decline of 6% Y -o-Y and grew by 8% for the 9 -month period from INR14,477 million to INR15,592 million in 9 months of FY 2026. Le isure Travel performance during Q3 FY '26 was influenced by a combination of calendar shifts and evolving customer preferences.

The advancement of Durga Puja during the period of September this year compared to October last year resulted in a portion of our festival demand shifting to the previous quarter. This represents roughly about INR200 million of business that we transacted in the previous quarter in the current year , where in the previous year, it was in one quarter later.

While Leisure demand picked up strongly in December, this momentum partially got offset with the lag in October and November. Also noteworthy to mention here the sluggishness in the domestic travel that happened on account of the disturbances on air segmen t consequent to the impact of IndiGo.

Additionally, customer preference during the quarter continued to remain focused on short -haul destinations influenced by free and easy visa destination. This is clearly evidenced by our performance, which indicates a 23% increase on our short haul on a 9 -month basis versus a 5% increase in long haul. Within our p ortfolio, short -haul destinations such as Vietnam has grown in sales by 30%, Japan by 15% and China has seen over 10x growth, albeit at a smaller base.

In terms of some of the initiatives on the Leisure side, while we have mentioned these in our communication, I'd like to call out some of the important ones here. We launched our summer Europe packages driven by our AI -powered digital avatar of Thomas Cook - TACY. We also launched Rahi - our own AI -enabled travel automation system designed for domestic holidays that helps our users to design holidays and give them quotations to customers at a much faster pace.

We also engaged with multiple start -ups like Gen SLife, Marzi & Ananta who are building an ecosystem / platform for senior citizens and work with them to creating / participating events to reach out to new markets and segments of senior citizen consumers, Gen S as we call them.

Despite these external challenges, our focus on operating discipline, yield optimization and digital enablement helped us to deliver strong profitability growth with our profit before tax increasing by 20%, excluding the onetime impact of the Labour Code, led by strong performance in forex, select leisure and Corporate Travel business.

Early indicators for the summer 2026 reflect continued customer interest with short -haul travel continuing to lead growth. Long haul, specifically Europe remains slightly sluggish owing to the steep rupee depreciation against the euro. We continue to evalu ate our Europe products to make them far more affordable to our customers and continue our investments in marketing through digital and print medium.

With this, I would like to hand over to Vikram for his comments and then to K.S. Ramakrishnan to speak about DEI and I'll com

e back for the Q&A. Thank you. Over to you, Vikram.

Vikram Lalvani: Thanks. Good afternoon, everyone and thank you for joining us once again. My name is Vikram Lalvani, and I'm the MD and CEO of Sterling Holiday Resorts based in Chennai. I'm also joined by Mr. L. Krishna Kumar, who is the CFO with me. Q3 FY '26 marks a rec ord quarter in Sterling, both in terms of absolute numbers and importantly, the quality of growth delivered.

This was the highest ever quarter performance for revenue, EBITDA and PBT, and it reinforces that the business has entered a phase of scaled performance. We've had 24 quarters of profitable growth till now. As we walk through the numbers today, the key the me I would like you to keep in mind is that Sterling is demonstrating the ability to scale meaningfully while protecting margins and strengthening balance sheet numbers.

Let me briefly set the broader context first. India continues to be one of the fastest growing large economies globally, supported by domestic consumption, favourable demographics, and sustained infrastructure investment. Travel and tourism remains structurally very strong with demand being overwhelmingly domestic in nature.

Q3 also demonstrated strong tailwinds in domestic demand and an upswing in the wedding season. The macro conditions continued to be strong. In our previous discussions, I had mentioned that H2 this financial year shall be stronger than what H1 was, and Q3 performance did demonstrate the direction in this route.

Turning to the quarter itself, Q3 FY26 delivered the strongest quarterly performance in Sterling. On a consol idated basis, our revenues grew 10% year -on-year to INR1,568 million. EBITDA grew 7%

year -on-year to INR561 million. Profit before tax increased 11% year -on-year to INR426 million. EBITDA margin was sustained at a healthy 36% , which is a 4% over H1 average. And as mentioned earlier, we've had 24 consecutive profitable quarters and this being the 25th.

From a balance sheet standpoint, cash and investments currently stand at INR3,243 million, up 54% over last year. The company continues to operate with zero debt in 2025 as it did in 2024 as well. The consistency of profitability alongside the balance shee t strength is an important marker of the quality and sustainability of the growth that we've had all these quarters including Q3 FY26.

From the operating performance key drivers, growth during the quarter was predominantly inventory led supported by strong ramp -ups and improving operating metrics. Our network expanded to 75 resorts with 3,705 keys as on December 31st. Currently as we speak, we are at 77

hotels and resorts across 63 destinations including that of Nature Trails. We added 607 rooms year -on-year representing a 20% growth in supply.

Room nights available increased by about 17% on an enterprise network basis in Q3. The room nights sold increased by 22% again on an enterprise network basis for Q3. And the occupancy improved to 68% on a consol idated basis, up by 4 percentage points in Q3. Income from managed resorts has grown 60% year -on-year in Q3. What is particularly noteworthy is that demand absorption has outpaced supply growth, indicating strong visibility and an effective distribution across our channels.

On the yield utilization and RevPAR, in addition to the higher volumes, we also saw improvements in yield and utilization. ARR increased 5% year -on-year to INR6,976 on a consol idated basis in Q3, that demonstrates our strength in holding and increasing our pricing propositions. RevPAR grew 17% year -on-year on a consol idated basis in Q3, backed by a growth of 14% in food and beverage and 16% growth in rooms.

Occupancy improved across the enterprise by 3% to 65% .This confirms that growth has been driven by a combination of our pricing discipline and improved utilization during the quarter. Sterling ONE, our proprietary distrib

ution platform, is one of the bedrock s for this growth enablement and it has contributed over INR1,000 million this financial year nine months to the top line.

Margins, costs and profitability discipline. Despite rapid scaling, margin discipline has been maintained. EBITDA margin for the quarter stood at 36% , 4 percentage points higher than that of what we did in H1. EBIT margin at 29 %, higher than H1 average of 23%. We had a quarter impact of INR27 million on account of our inability to take the GST input tax credit as we did in the previous year same quarter.

Else, if we had factored this in as this was a cost line, otherwise our EBITDA would have actually expanded to 37.5%, that is a stretch by another one and a half percentage. During the quarter we provided for a one -time gratuity and leave encashment expense of INR14.2 million. Excluding this exceptional item, the underlying profitability still remains robust. The key takeaway here is that the operating leverage is now clearly visible, and the business is demonstrating an ability to absorb growth without margin erosion.

This shall continue as we look ahead in the next phase of leadership depth investments for growth and efficiency building through investments in the next wave of digitized platforms over the next two to three quarters. On the cash generation, this continue s to be one of Sterling's strongest attributes. Our operating free cash flow for Q3 stood at INR346 million that is a 52% growth year -on-year.

Cash and investments, as mentioned earlier, is INR3.2 billion and the company continues to remain debt free. Net worth has continued to strengthen supported by a consistent profitability over the last couple of years. This balance sheet strength provides u s the flexibility to fund growth internally, absorb volatility and allocate capital prudently.

On a YTD FY26 performance for nine months , our revenue is at INR4,047 million. EBITDA margin is at 33% in line with industry average. PBT remains broadly in line with the past year till now, despite the disruptions in weather that we had in Q2 and the operating fee cash flow increased 32% year -on-year. This demonstrates that Q3 is not an isolated spike, it 's a part of a steady growth trajectory.

H2 outlook and the strategic direction looking ahead into the second half of the year and beyond, we are operating on a higher inventory base as compared to last year. New resorts are maturing and contributing more meaningfully. Utilization of P&L rooms continue to improve, and the operating leverage benefits are expected to become far more pronounced in H2 as it was in H1. These factors for H2 FY26 outperform H1. Strategically, we remain aligned to our long -term roadmap, focusing on a disciplined expansion, improving returns on capital and strengthening our

leadership position in several destinations across India. On the ass et management side, quickly during the quarter, we completed renovations and upgradations at our Munnar Resort, which is our own asset of 51 rooms with a new restaurant and activity facilities.
We launched Sterling Arka Suites Puri of 46 suites, again our own asset. Our first all -suite model upper -upscale resort, adding to our already prevalent strength in Puri, with Sterling Puri now taking our presence to over 166 rooms and suites in that desti nation. We also launched Sterling Mount Olive Gangtok, strengthening our presence in Sikkim with our second hotel in Gangtok.
Adding a new restaurant revenue stream, with the launch of Udaipur Katha in our award -winning hotel, Jaisinghgarh in Udaipur. We actually got 6 key recognitions in Q3. I'll just mention 2 or 3 of

them right now. We were awarded the fastest -growing hospitality brand in Today's Traveler Awards 2025.
We won The Economic Times Restaurant Awards, we got it for Amo Odisha at Sterling Puri, Top 50 Boutique Luxury Awards for Sterling Jaisinghgarh in

Udaipur by Hospitality Horizon and NDTV Profit,
Top 50 Restaurants of the Year for Slate & Pearl in Sterling Kodai Lake, again by Hospitality Horizon and NDTV Profit and the Best Family Resort 2025 for Sterling Fern Hill, Ooty by Travel and Leisure.
To summarize, Q3 FY26 represents a record performance with strong execution. Growth is immensely net, yield -driven and supported by healthy demand. Margins remain resilient despite rapid scaling. Cash flows and balance sheet strengths provide long -term fle xibility. We believe Sterling is firmly in a scale -plus-leverage phase with a clear pathway to sustained growth and value creation. Thank you so much for your time.
K.S. Ramakrishnan: Good evening. This is K.S. Ramakrishnan. I'm the MD and CEO for DEI. As you see, our performance in the last quarter, which is Q3, has been one of the best from the past. Q3 is traditionally a high -revenue quarter, and DEI has performed in alignment with that. Obviously, there have been some fairly good stars in the group of DEI, Dubai being one.
Dubai had its highest performance ever in history in December. It did revenue of over INR565 million as compared to INR510 million in the previous year. It's also backed with some decent amount of growth in Maldives. The growth is partially offset by muted top line from markets such as Malaysia, Indonesia, and Singapore, which did not live up to what we wanted.
Overall, we've seen a 5% growth in the quarter -on-quarter between 2025 and 2026 of Q3. EBITDA - wise, we've strongly worked on our cost structures, and we've seen a 38% increase from the last quarter. And at EBIT levels, we are 42% better than Q3 2025. Q3 20 26 has been 42% better. This improvement is attributed to improved top -line performance, of course, and combined with efficiencies in the cost, which has been a norm for the past three quarters that we're following.
Moving forward, we have two new partnerships signed in Q3 for Saudi Arabia, Six Flags, and in UAE, we've signed up Haribo, Happy World. We've renewed all our key partnerships in UAE, and India, and Malaysia. We've launched seven partnerships in the last qu arter, and the benefits of it will be seen in the coming months. And the years in the month, and in the quarters ahead, which is namely

at Saudi Arabia, and at UAE, we started the Edge, Dubai, which was the only one that we were not doing.
We want that back. As I said, UAE has been fronting the quarter very well, with a lot of action that's happening. We had a lot of festive events that we secured. We did more or less 80% of the festive events in the UAE, covering that revenue. Last but not least, WeC was implemented in the last quarter to 80% of the sites. As we speak, WeC is getting improvised, and a lot of the smaller bugs are being fixed.
We are seeing an efficiency growing day -by-day. By the quarter one of 2027, we should see WeC in full implementation. By April or May is when we see the full implementation. We should be seeing some benefit in quarter two of that coming through. That's all from my side. Thank you.
Management: Please go ahead with the question -and-answer session.
Moderator: The first question comes from the line of Anil Shah from Insightful Investment.
Anil Shah: Yes. Just one quick question is in terms of the outstanding number of prepaid FX cards that we have? And what would be the float in that ? what would be the aggregate account balance there?
Mahesh Iyer: From a card perspective, there are roughly about close to 200,000 -plus cards that are outstanding there. The total float that we have on our books as of December exceeds INR1,500 crores.
Anil Shah: Okay. And our own cash on hand other than the INR1,500 crores, which is part of the float, which would be in various banks and equivalents, our own cash on hand would now be -- our

own profits which have been accrued and we are net cash...
Debasis Nandy: : Yes. So total

cash is about INR2,500 crores, out of which excluding the float, you have around INR1,000 crores. And that would be obviously between various entities, including Sterling. And that's the gross amount we have. And there are about INR220 crores of debt on our books. So, if you net that off, it's close to about INR780 crores.

Anil Shah: INR780 crores of cash. And what was that number last year December end? I mean, I'm just trying to see if this has grown or remained steady. W ould that be easily available, or I can follow up later?
Mahesh Iyer: I can tell you if you have a second question, you can ask that, and I'll just give you the December number.
Anil Shah: Right. So, the second question is in terms of Travel , where did we think we lost out? Is it more macro ? As far as India was concerned, we had less inbound tourists. We had less of Indians traveling internationally. Or did we lose out in terms of market share? or was it a combination of all 3? Because clearly, 3% growth in Travel aggregate as a whole sector, not very encouraging.
Mahesh Iyer: So, Anil, let me try and put this in perspective. I think, as I said in my opening remarks, we had pockets of growth. let me try and address this in 2 parts, start with B2B and then come to B2C. If I look at my B2B business and within that, if I look at the international DMSs, 3 out of the 5 units that we operate, we had a strong growth, ranging from 9% to roughly about 1 4%, 15% growth. So that was a very strong growth that we had.
Two of our units and namely that was in U.S.A. and Middle East, which is Desert Adventures that we operate in the Middle East market, we had subdued growth. And obviously, in the case of Middle East, it was more the macro driven by the geopolitical tension that we were going through. So, the demand in that market was much lower.
And AlliedTPro that we operate in the U.S., and you know there was many advisories that were issued. And hence, Travel to that market was affected by the weak sentiments . So these were the 2 impacts that came as far as the DMS entity is concerned.
If I get closer home to the inbound business in India, which we operate under the brand name TCI and SITA, our volume growth was flat as compared to the same quarter last year. That's largely because if you recollect, we had the operation Sind oor that happened between June, July and the cascading effect of the unrest in Nepal.
In this business, a lot of our bookings pipeline is actually done 6 to 9 months well in advance. And once you start getting travel advisers issued by various countries, you start seeing a tapering of demand.

So effectively, what happened is that in the last quarter, we didn't see the bump up of sale that should typically happen because the cycle fills up 6 months in advance, that didn't happen coming into the full quarter. Having said so, the current quarter s eems much better than what we had seen in the previous year. So, there is no dramatic change that has happened as far as the overall environment is concerned.
If I have to comment on the B2C business, the domestic market remained subdued and specifically in the month of December got impacted because of the air turbulence that we saw. Whereas on the International segment, we actually saw a shift from the long haul to short h aul. You'll appreciate that when you talk about short haul, the price point is slightly lower as compared to long haul because long -haul typical price points are INR250,000 plus per person, whereas on the short haul, you are talking of destinations, which are INR125,000.
So, from a volume perspective, we had higher number of passengers traveling. But from a value perspective, it was slightly subdued. So that's what kind of happened. I wouldn't think there is anything that we missed out on this scale.
I think from a conversion perspective, from a lead perspective, I think they all came in well. But it

's
just that the environment generally was not very conducive for the growth that we anticipated to come. But having said so, we managed our margins quite well.
Despite some cancellations that came in on our inbound business and some part on our domestic business, we managed to hold to our margins, we renegotiated. And all of that is reflected in our margins, which kind of helped the EBT growth at 10%.
Anil Shah: Right. And the current quarter, Q4, you made a comment seems to be on a better footing than the normal fourth quarter as we speak. We are about 5 weeks into the quarter?

Mahesh Iyer: Yes. So what I'm saying is that if you look at our inbound business, which is typically, as you know, this is the season running from October to March, while the first quarter, which is the October -December quarter didn't pan out very well, or the second p art of the season seems much better than the first part. That's point number one.
Point number two, if I look at our India business, I think we are seeing decent growth coming in our portfolio, both from the Domestic and the International sector. International sector driven largely

by short haul and that we've been talking about it that we see as a shift in pattern where people are more preferring to do Easy -Visa, Visa -Free destinations, last -minute bookings and things like that. So, we are seeing a trend of shortened booking cycle, much faster decisioning there.
So yes, from a pipeline perspective, while we are seeing growth, but the momentum is still building as we speak. And as you rightly said, we are about 4, 5 weeks into the quarter. There is still some pipeline to go , given that the booking cycles have shortened.
Anil Shah: Right. And last question from my side, is there a way in which we are tracking the new apps, which are coming in, in terms of various names starting from MakeMyTrip, EaseMyTrip and even many, many, many more such wins ?
In terms of our market share, there's lots of data available, right, in terms of number of Indians traveling, international, whether it's short or long. But in terms of sheer market share, is that something that we track? And would it be possible for you t o share that data?
Mahesh Iyer: Yes. one, I must say, the data is not very structured. Yes. So, the information that flows to us does not really reflect the segment that we are referring to, which is Leisure. Most of them talk about arrivals and arrivals includes VFR, arrivals includes Corporate, arrivals includes MICE and arrival includes Leisure a nd Leisure in 2 parts, which is GIT and FIT.
So, the addressable population for us that we like to measure in terms of our market share is more from the Leisure Holiday segment, which is the GIT, FIT segment and separately for the MICE market. So that's how we look at it. But a lot of this information, I will always put a question mark whether it's most accurate or not. But yes, over a period of time, there's a trend line that comes through, and we monitor our market share on that. And probably we'll start publishing some of that information going forwar d.
Debasis Nandy: One last thing. I had to answer part 2 of your question, which was on the net cash position on December '24. So, against the INR780 crores that I talked about in December '25, the corresponding number for December '24 would have been INR405 crores after taking out the float money and any debt that we had.
Anil Shah: Okay. So INR405 crores has moved to about INR780 crores?
Moderator: The next question comes from the line of Ravi Shah from VRS Capital.

Ravi Shah: Sorry, I'm joining the call a little late. So sorry if my question sounds repetitive. Sir, just wanted to understand on the segment revenue on our forex business, we've grown by 2%, while our Retail sales have grown by 25%, our education turnover has grown by around 40% and Holiday turnover has grown by 11%. So, I'm not understanding this

discrepancy, sir?
Mahesh Iyer: So, I think we need to understand that these are 2 different components that we are referring to. The 25% growth in the Education segment or the growth in the Leisure segment refers to the sales growth. Whereas what's reported in the segment is the revenue gr owth, the revenue that we make on those sales, the margin multiplied by the sales. That's the value that you see here.
Now this also includes the corporate side of it where we haven't seen the growth. Corporate segment during the current quarter was subdued. So obviously, the volume was a little lower, and we also saw a slight bit of margin pressure on the corporate segment. But the Retail segment grew, and their margins held steady, and that's why the overall revenue growth that you see here is at about 2%.
But I think what you need to measure is also the EBIT growth, which grew by about 10%, and that reflects the operating leverages that we have because improvement in sales is actually translating into a much better fall -through in terms of our profitability .
And that's what the secret for this business is, how efficiently you manage this, how you can keep a constant watch on your margins, how your EBIT margins can improve, and while our ability to pass on a lot of our margins to the customer will be limited because, as you know, today, people compare price.
Anyone and everyone actually goes on to the website, looks at an interbank rate, any kind of a cross - border rate to compare. And there are many such sites that people look at. So, to that extent, there

is a constant pressure on price and our ability to still skim the market and deliver a 10% growth, I think, is fairly good.
Moderator: The next question comes from the line of Mukul Varma.
Mukul Varma: I've 2 questions. At the consolidated level, do you see FY '27 delivering double -digit earnings growth, assuming normal macro conditions? And the second question is on Sterling. With

22, 21 resorts in the pipeline by current calendar year '26, how do we think about incremental revenue and profitability contribution for the next 2 years?
Mahesh Iyer: Mr. Varma, I'll take the first part of the question and then leave it to Vikram to come back on the Sterling side of it. First of all, thank you for the question. And we don't normally comment on a forward -looking statement as such. But if you look at our macroeconomics, GDP growth at about 7 -7.5%, currency by about 2 -3%, I think 10% is a given. So, a double -digit growth, I think from a business perspective, seems very realistic. And I think we will definitely be gunning for that kind of a growth going forward in FY 2027.
So yes, I think what is going to be also important is the quality of our earnings because we are more focused on ensuring that while we grow our business, grow our top line, we also keep our focus on margin and prudence on our cost and invest in technologi es, which helps us get closer to the customer and improve his experience with us because ours is an experienced business, ours is an emotional business. We need to ensure that we catch the customer right and make the journey very seamless for them. So, we continue to be on that journey, and you will see progress as we go along.
Mukul Varma: In the Travel Services business, can we expect margin improvement in quarter 4?
Mahesh Iyer: Mr. Varma, again, as I said, the Travel segment has got multiple factors that play in. One is the seasonality that comes into play, and it changes quarter -to-quarter. And the second part of it is the geopolitical environment.
And there are some tactical measures that we take in our business, like as alluded to, because of the sharp depreciation of rupee to the euro, our European holidays start becoming very expensive. So, we're kind of recalibrating our product portfolio, starting to make it far more affordable. So, there are some tactical calls that we take on our

portfolio to ensure that we keep lucking around.
And to that extent, there could be some quarter pressure coming here and there. But broadly, the guidance that we have given is that we will continue our trajectory on the 4 -plus percent as far as the Travel segment is concerned.
Mukul Varma: And on the budget impact, what you mentioned on the TCS reducing. So, could you give some colour into your Q1 bookings? I mean, is it showing traction or...

Mahesh Iyer: A little too early . As you know, the budget gets effective only 1st April 2026. And so very early to kind of gauge the kind of impact. But yes, I definitely can say that it's a welcome measure because it leaves a lot more cash in the hands of people, allows them to not wait f or it to come after filing their returns and also kind of cushions to some shock that comes from the rupee depreciation. So, I think it's a welcome step, and I would think that it should help spur some consumer momentum on that one.
Mukul Varma: Also, sir, on this MAT announcement in the budget, since we are in a high tax bracket because of non -utilization of our MAT credit, if you can give some colour of whether we will be moving to a lower tax regime, the new regime starting FY '27, if you have kind of looked at that announcement in the budget on the tax structure and the new regime, which all companies will have to get into?
Debasis Nandy: I'd like to answer that question. So , the government has now mandated that all companies have to move to the new tax regime if they want to utilize the MAT. And therefore, we will also do so. So effective '26 -'27 we'll move into that new regime.
we have done the math. We'll be able to utilize the entire MAT that we have as of now. That is not a problem. And yes, a clear answer to your question, yes, we'll move to the lower tax rate as we get into the new regime.
Mukul Varma: Great. So that will have a good impact on our earnings?
Debasis Nandy: Earnings per share, yes.
Mukul Varma: In a positive manner?
Debasis Nandy: That's a positive for the company.
Vikram Lalvani: Okay. Mr. Varma, this is Vikram here. I think you had asked the question for Sterling as well. Yes, thank you for asking this question. If we've seen in the last 2 years, we've been ramping approximately 15 hotels and resorts a year. Even in 2025, we did about 15 in a year. Now typically, they take about 6 months to complete the ramp and start getting into a steady state after one or

two quarters.

So, this is the same scenario that happened 2 years ago where we ramped up 15, 16. Last year, 15 to 16. And this year as well, we are looking at a similar number minimum. So typically, that's how the top line keeps growing with new addition as well as the org anic growth that we have, number one. Number two is most of these expansions that are happening this year are our asset -light model as well, number two.
That's number three is the margins will continue to remain in that range - margins between 32% to 35% EBITDA, depending on the seasonality that we are in. Q3 was a great season because it had a lot of holidays out of the wedding season. And when compared to Q2, typically, Q3 become very good.
But if you've seen that traditionally, quarter 1 has been a strong quarter for Sterling, where almost 40% of , revenues for the year used to come out of Q1. Because of this ramp in the inventory, and I maintained it years ago that Q3 would actually be one of our strongest quarters. And it has been demonstrated in the last 2 years. So , as we keep ramping, the margins will continue to remain 32% to 35%, but value -wise, it will keep growing as well as the revenue. So that's my answer to your question.
Mukul Varma: One more question, nothing to do with the financial performance. Which of the 2 or 3 Sterling resorts you would want your investors to visit, which you feel?
Vikram Lalvani: It's a very difficult . Actua

lly, it's more difficult to answer this than any financial question because if we have three.
Mukul Varma: It's good to have more, but any one or two is to start with?
Vikram Lalvani: Yes. Who to choose, very difficult to choose, right? But having said that, I do not know your base location, Mr. Varma.
Mukul Varma: I'm from Bombay, sir?
Vikram Lalvani: Right. I think you should experience Wayanad, you should experience Cherambadi, and Bombay Tipeshwar which is a unique destination, you should see that. But for me, it's a very difficult question to answer. I'll tell you Puri, I think, it’s phenomenal and is out of the world. You should actually visit Puri as well.

Moderator: The next question comes from the line of Vijay from Systematix Group.
Vijay: My question is on our collaboration with Cinnamon Life at Sri Lanka. So, can you please explain a bit more on this? I mean, how this impacts our outbound business?
Mahesh Iyer: So Vijay, this is Mahesh. We've just announced this collaboration that we're doing with Cinnamon Life. As you know, it's a part of the larger group. This synergy basically allows us to leverage their properties and one of those which they built over and ki nd of made operational in the last quarter is the City of Dreams, which has got a casino and whatever, the first of its kind in this part of the world.
So, I think that's an opportunity for us to jointly market that product, take a lot of our customers, create a unique experience on a near exclusive basis in that sense for both the brands, Thomas Cook and SOTC. So that's what we are looking to do both for ou r Leisure as well as MICE customers. Also, it entails partnering other properties of the Cinnamon Group, which we can use and create unique offerings for our customers.
Vijay: Okay. And second on DEI. So , going ahead, what should be the steady state margin for the business? I mean it seems that the growth is back on its trajectory. So , on that front, I'm asking?
K. S. Ramakrishnan: This is Ram, and I'll take this. Like we said, we'll kind of stabilize the business, and we are continuously growing. We'll look for opportunistic growth. We have calibrated ourselves with the group's overall outlook, like Mahesh said, to have sustainable and profitable growth. So we look at that, and the coming year looks to be fairly good. We have our WeC being implemented fully. And I think we will see some benefits of it in the next year, for sure in the next calendar year for sure.
Vijay: Okay. Thank you, sir. Thank you. Have a good day.
Moderator: Thank you. The next question comes from the line of Haard Joshi an Individual Investor.
Haard Joshi: I would like to ask you what is the competitive landscape for Thomas Cook in the context of sort of an emerging market applications. The new players are entering the market and the younger people are entering into the market that are catering to the solo t ravellers and etcetera and sort of getting the competitive in terms of pricing?

And the second question was in the context of what is sort of the policy of SOTC and Thomas Cook in terms of off -season tours conducted for groups? So, from what I understand and what I've seen rather is that during the off -season for any locations or traveling, Thomas Cook does not cater any tours as such. So, it depends on the seasonality and everything. But what is your opinion on that? Can you give some colour on that?

Mahesh Iyer: Mr. Joshi, let me try and take this question in 2 parts. The first question that you asked is about the competitive landscape. And look, in that sense, if you are looking at Thomas Cook as a group, we are unique . We've got multiple businesses, right, from Foreign Exchange to Travel. And within Travel, we've got DMS, International, India and then we've got Corporate Travel, MICE and then we've got Holidays.

So in that sense, there is no one common benchmark that

you can use, but to your specific point on
the mushrooming operators who come in and offer packages, look, at the end of the day, anyone and everyone can make a package. I think it's all about executi ng on the ground. It's not about selling here. It's about executing on the ground. And that's what we bring as our brand to the market.

One is the trust that you're dealing with a trusted brand called Thomas Cooker and SOTC. Secondly, the experience on the ground that we provide, which comes out of our 100 -150 year source plus legacy. Third, the pricing, the economies of scale that we bring in because of the kind of volume buy that we do. I think we package all of that together to the customer and do.

Fourthly, we are investing in technologies and trying to get that as much closer to the customer. And one of the ones that we are driving this year is customer obsession, which means any and every angle that we take today is focused on how we make the jour ney for the customer frictionless and far more seamless.

So, I think these are barriers that we are going to put across for others to come and nimble in. But look, this industry doesn't have any entry barriers. You could possibly put up a machine tomorrow, use a Google search and then come out and become a travel a gent. So, we cannot compete with those, but I think it's all about the brand and the offerings that we bring along with our capability of executing a great product on the ground that helps us win in the marketplace.

To your second question, which is more on the off -season. Look, one is, if you look at Travel as a category, it's moved away from seasonality. At least from India perspective, I can confidently say

that now people undertake travel at very short intervals. You will find a long weekend, a short break. People want to get out and take a holiday.

And that's where either it's domestic short -haul destinations or for that matter, a longer holiday that coincides with the summer or probably a Diwali vacation tends to be a long -haul one, but from a cycle perspective, I think people are taking much more s horter breaks. So, I'm not sure there is a price advantage or something that comes in.

But yes, there are parts of seasonality driven by monsoon or something like that, where occupancy tends to be slightly more lower, load factors on airlines are slightly more lower, where you will get some price advantage. And if you were to be tracking us on our website, you will find some of those opportunities out there, where there are what I call steal deals, where there are BOGO offers, which is buy one, get one. I think those are the kind of initiatives that we bring to get the customer across during the so -called lean season, which I don't believe is a lean season, but slightly low in terms of the market acceptance of a product or the travel.

Haard Joshi: My question was pertaining to the higher expenses which the customer incurs on sort of a longer package for like International like Singapore or U.S.A. sort of in that way wherein there is an off -season for Singapore, I don't find it, I am quite slightly u naware about it . I think Thomas Cook does not operate in that environment during the off -season.

Mahesh Iyer: Mr. Joshi, I think we have got products across Domestic and International categories all through the season. Now you can check. It all depends on what price point you want to travel at. It's not that we don't offer products during off -season in any market. If there is a price advantage, it's passed on to the customer. If there's no price advantage and there is a surcharge during that period, it's passed on to the customer. So that's we ope rate. And if you were to look at our product portfolio, you will find opportunities and options across time periods all through the year.

Moderator: The next question comes from the line of Mukul Varma.

Mukul Varma: Yes. Since we have gross cash of INR1,00

0 crores, could you throw some light on the
capital allocation priorities, how we are going to use that?

Mahesh Iyer: So Mr. Varma, I think you kind of broached this topic before with us. I'd just like to state that our stand remains the same. We build our balance sheet over a period in time. You know

we came out of pandemic and in the last 2, 3 years, we continue to grow our profitability and build this cash position in our balance sheet.
We keep looking, evaluating opportunities. But currently, our investments are directed on technology and upscaling to the mandate of getting customer obsessed and making the journey seamless for them. But if there are more opportunities that will come our way, we will definitely look at it.
But currently, there are no conversations around either any kind of disbursement of cash to shareholders or for that matter, any acquisition. But we keep looking at options to evaluate options to deploy this cash in a much better way, which becomes accretive to our P&L and balance sheet over a period in time.
Mukul Varma: Are we looking to kind of close the debt or it just goes off in the normal course of the business?
Mahesh Iyer: Mr. Varma, these are long -term debts, more like the E CLGS, which we can't repay while we would love to repay them off. But unfortunately, because these were taken during the COVID period, they have a lock -in period, and we can't dispose them off at this point in time. So we continue with it. But these are not bi g debts, as you know this already.
Mukul Varma: And sir, are there any onetime -- sorry, sorry, go on.
Debasis Nandy: So Debasis here, just trying to give more colour to what Mahesh just said. So out of the INR220 crores of debt, about close to about INR85 crores to INR90 crores is the ECLGS debt, which is long term, but we will be paying off in the next 2 years or so over the course of the next 2 calendar years. So that's one. The second is that while in India, we do not have any debt other than the ECLGS, there are overseas supplier who do use working capital funding, and that's the rest of the debt, which will continue in som e form because from time to time, you will need to fund your working capital.
Mukul Varma: Okay. And are there any one -time or seasonal costs in Q3 that will kind of not come through in Q4 other than this gratuity labour cost provision we made, which could kind of support profitability?

Mahesh Iyer: At this point time, Mr. Verma, we have no visibility of such onetime cost. This one that we had to take as a charge, you know this came out as a stature from the government.
Mukul Varma: So that was the only thing, right? That was the only one?
Mahesh Iyer: That’s what the only onetime cost. And that's why I focused on the operating performance and said about the 20% growth in our profitability. Had it not been for this onetime charge, that 20% would have been there. And that's a very strong growth given the kind of quarter that we operated with.
Mukul Varma: And sir, on the Financial Services scalability, I mean, we look forward to continuing 40-plus margins in the next financial year?
Mahesh Iyer: Yes, Mr. Varma. We will continue to be in that trajectory. I think that's what we have been delivering year -on-year. And I don't think there's anything that should be less from that part. The 40 -plus percent will see.
Mukul Varma: And sir, if you could also give some colour on I mean recently, there was a corporate news regarding our partnership with Gujarat government, Tamil Nadu government. So how does that work? Or how do you take it forward?
Mahesh Iyer: Basically, Mr. Varma, what we are trying to do is, as you know, we are a trusted brand in this market. We are partnering with domestic destinations, more like states to kind of spur demand on the domestic travel side. So, these MOUs and partnerships work with the government in building the infras

tructure, in doing promotion and marketing.
Typically, if you see a lot of overseas destinations come and market themselves in India. So, they kind of support the marketing spends and other stuff. Here, we are trying to build similar kind of models where we work very closely with the state government, put this as a priority sector and start working with them in terms of creating demand, cre ating promotion, creating infrastructure and supporting that growth. So, we will be more like the distribution and marketing partner for the state government.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Mahesh Iyer: Thank you, Vijay. Thank you, ladies and gentlemen. I'd just like to reiterate that for the current quarter, our profit before tax grew at about 20%, barring the onetime exceptional item that we had, driven by our strong operating resilience across all our businesses and improved margins and operational efficiencies. Looking forward to the next quarter, we believe we should continue this trajectory, and I remain confident that we will deliver strong performances going forward. Thank you so much.
Moderator: Thank you. On behalf of Systematix Group, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

May 1 8, 202 6

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Listing Department Listing Department
BSE Limited National Stock Exchange of India Limited
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Dalal Street, G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code: 500413 Scrip Code: THOMASCOOK
Fax No.: 2272 2037/39/41/61 Fax No.: 2659 8237/38
Dear Sir/ Madam,

Sub: Transcript of the Analyst and Investor Earnings Conference Call

In furtherance of our intimations dated May 6 , 202 6, May 12, 2026 and May 13, 2026 giving intimations for the Q4 & FY26 Earnings Conference Call for the analysts and investors and pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please note that the transcript of the Earning s Conference Call held on May 13, 2026 has been uploaded on the website of the Company within the prescribed timeline and can be accessed on the following web link:

https://resources.thomascook.in/downloads/TCIL_Q4_FY26_Earnings_Call_transcript_final.pdf

This is for your information and records.
Thank you.

Yours faithfully,
For Thomas Cook (India) Limited

Amit J. Parekh
Company Secretary and Compliance Officer

Encl a/a

Thomas Cook (India) Limited:
Q4 & FY26 Earnings Conference Call – May 13 , 202 6
Management:
Mr. Mahesh Iyer: Managing Director and Chief Executive Officer – Thomas Cook (India) Limited
Mr. Debasis Nandy: President and Group Chief Financial Officer – Thomas Cook (India) Limited
Mr. Brijesh Modi : Chief Financial Officer – Thomas Cook (India) Limited
Mr. Vishal Suri: Managing Director and Chief Executive Officer – SOTC Travel Limited
Mr. Vikram Lalvani : Managing Director and Chief Executive Officer – Sterling Holidays Resorts
Mr. Krishna Kumar: Chief Financial Officer – Sterling Holidays Resorts
Mr. K. S. Ramakrishnan: Managing Director and Chief Executive Officer – DEI

Moderator: Ladies and gentlemen, good day, and welcome to Thomas Cook (India) Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask questions as the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
I now hand the conference over to Ms. Purva Zanwar from 360 ONE Capital Markets Private Limited. Thank you, and over to you, ma'am.
Purva Zanwar: Thank you, Riya. Welcome, everyone, and thank you for joining us on Thomas Cook (India) Limited Q4 FY '26 Earnings Conference Call. From the company, we have with us Mr. Mahesh Iyer, Managing Director and Chief Executive Officer, and the senior management team. We would like to begin the call with brief opening remarks from the management, and following which we will

have the forum open for an interactive Q&A session.
I would now like to invite Mr. Mahesh Iyer, to make initial remarks, and thank you. Over to you, Mahesh, sir.
Mahesh Iyer: Thank you, Purva. Good afternoon, everyone, and thank you for joining us as we discuss the Q4 and FY '26 financials and operating performance. While this may not be a brief call, this may be a little longer as we have a lot of topics to speak about. So ple ase pardon me if this is going to be a little longer one. Before we begin, I would like to introduce the management team joining me on the call today.

I have with me Vishal Suri, Managing Director of SOTC; Debasis Nandy, Group CFO of the Thomas Cook (India) Group; Vikram Lalvani, Managing Director of Sterling Holiday Resorts; and K.S. Ramakrishnan, Managing Director of DEI; Brijesh Modi, who is the CFO a t Thomas Cook (India) Limited; Urvashi Butani, who heads Investor Relations.
B

efore I walk you through our performance, I think it's important that I set the context because 2026 did not play out in a normal operating environment, and it was not anywhere close to what a normal year would be.
The year opened with Pahalgam attack and the subsequent Operation Sindoor in April 2025 - events that led to airspace disruption, weakened traveller confidence and slower pace of business. As the year progressed, the situation in the Middle East further intensified with the US-Iran-Israel conflict , resulting in continued disruption to west -bound travel routes, pressure on airline capacity, elevated fuel and operating costs, and softer consumer sentiment globally.
These developments had a cascading impact across the travel ecosystem, resulting in elevated airfares, tighter inventory availability, higher input costs and increasing pressure on pricing across the supply chain. At the same time, currency volatility, particularly the weakness of the rupee to the dollar and euro, added further cost pressures for the outbound travel business and consumers alike.
What compounded the impact was the timing of these events. Both landed on top of our most important travel focused seasons. The window in which we do a large part of our annual business were either lost or were severely shortened.
Thus, I think it is important to view our FY '26 performance in two distinct lenses.
The first 9 months of FY 2026, where operating conditions and travel demand trends were relatively more stable and Q4 FY 2026 , where the impact of these geopolitical and macroeconomic developments became significantly more visible across the industry.
For the 9 months of FY '26, we reported a 7% increase in our top line growth, whereas our EBITDA improved marginally. During Q4 of FY '26, the group's revenue stood at INR 17,707 million, reflecting a 10% decrease against the same period last year. This is the number that carries the full weight of the external environment, the Middle East overhang, cost headwinds and the travel market that was recalibrating in a real -time basis.

And the second lense is the geography where our India operations have shown resilience and maintained EBT for FY 2026 and grew by 16% in Q4 FY 2026, fuelled by a strong performance of the financial services, short -haul outbound, corporate travel, India inbound business and MICE.
Sterling Resorts also contributed positively to the overall group's performance with 19% increase in top line during the quarter and 7% growth for the full year on the back of a growing resort network. Vikram will share more details on this when he speaks.
Our overseas entities also remained resilient, except for the destinations which happened to be directly impacted by the war, and that’s Desert adventures, our destination managed unit in Middle East, and D EI - our digital imaging business, which has around 50% of its revenue attributed to the UAE markets. Ram will speak about this and give you a detailed perspective on DEI's performance in his remarks.
On a full year basis, while our income increased to INR 83,982 million, a 3% increase on a consolidated basis, our EBT was impacted by the geopolitical crisis and was 14% lower than last year at INR 3,268 million.
Before we move on to the segmental analysis, I will discuss the strategic divestment announcement that was made in March 2026, where the Board has granted in -principle approval for the demerger of our resort business into Sterling Holiday Resorts.
This is a significant strategic move for our organization, one that we believe will unlock value for our shareholders.
For Thomas Cook (India) Limited, this restructuring allows us to streamline our capital structure and concentrate our resources on our core Travel and Financial Services business. The consolidation of

our face value per share, along with the merger of the three dormant subsidiaries , further simplifies

our corporate structure and improves our Earnings Per Share, directly benefiting our shareholders.
Let me move on to the segments and give you an insight into the various segments and the performance during the year.
To begin with, on the Financial Services. The Financial Services segment reported a strong outcome on the face of a stretched operating environment. If you look at the LRS data , as published by RB I for the period April 2025 to February 2026 for the three relevant segments of Travel -related foreign

exchange, Education, and Remittance, there is a decline of 3%, 22%, and 5%, respectively. Now in comparison, TCIL reported a 13% increase in turnover for the Holiday segment, 17% in the Education segment and 19% in the Remittance category.
For the quarter in question, the forex revenue increased by 3% to INR 813 million and EBIT improved by 17% to INR 392 million with an EBIT margin of 48%.
For the full year, our reported revenue and EBIT remained flat at INR 3,261 million and INR 1,493 million with an EBIT margin of 46%.
This clearly showcases the strong growth we are seeing across the retail foreign exchange segment, which today contributes approximately 80% of our total forex reported revenue, which I must highlight here is on a net basis.
The growth has been a result of our constant endeavour to increase our reach via an omnichannel approach.
We have expanded our reach by opening 5 new franchises, 1 own ed outlet and 1 airport counter during the quarter and also improved our digital penetration, which currently stands at 23% on an increasing transaction base.
Our website transaction s for the quarter ha ve seen a growth of 65% Y -o-Y. Bookings on our app, which is TCPay, saw a 4.9x increase in transaction. Our WhatsApp engagement continues to grow positively with a 2.2x growth year -on-year, albeit on a smaller base.
Our reach via quick commerce, which is Blinkit, has seen a great trajectory, and we have witnessed double -digit growth – since its launch in October last year. We are now present in 6 additional cities: Noida, Kolkata, Jaipur, Ahmedabad, Lucknow and Chandigarh, increasing our digital distribution network to 12 cities.
A quick update on our sub -segments within the foreign exchange space.
Holiday and travel -related foreign exchange segment increased 29% in turnover in the quarter and 13% in the year. Again, set in the context with the reduced travel spend as seen from the LRS data, our performance was encouraging.

Our approach that one site doesn't fit all with prepaid cards has led to a deep customer segmentation, and that, along with our distribution is working well for us.
Our education business under the retail segment has grown rather positively, especially given the stress in the segment as per the LRS data. Despite the contraction in the overall student education segment, we gained market share. We optimized demand that was moving towards alternate destinations.
Our relationships with over 800 marquee education counsel lors across the country gave us a genuine on -the-ground advantage.
Added to that, our partnerships with large NBFCs, namely Credila, Avanse, Poonawalla Fincorp under the NBFC umbrella, both gave us reach and credibility to capture the education loan demand, resulting in larger FX spends.
On the corporate portfolio, today, we cater to about 1,100 corporates spanning across large , mid-sized and SME customers. The turnover in this segment grew 4% in the quarter and 5% for the full year.
A noteworthy development on our prepaid forex card is that it has expanded today to 28 global currencies , from 12 that we were operating in December of 2025, creating India's one of the largest widest currency portfolio s on the prepaid forex card segment.
Our float as we speak, stands at about INR 16 billion on a total prepaid card loa d volumes of USD 764 million.
Moving on to the Travel &

; Related Services segment. I have shared the broader context under which
we operated during the year and in this case, our geographical as well as the portfolio diversity is what gives us room to manoeuvre . We reported a total travel revenue of INR 67,025 million for the

year, which is an increase of 4% and our EBIT was down 11% to INR 2,218 million, with an EBIT margin of 3.3%, and this largely reflects the geopolitical impact in our overseas subsidi aries, which I will speak about in the subsequent paragraphs.

On our B2C segment, which accounts for 27% of the travel portfolio grew by 8% during the year and the quarter. And this is despite the shortened and the impacted key booking periods during the

year, which I referred to in my opening remarks. Leisure Holidays saw an 8% increase in the quarter and during the year.

This was led by a 17% increase in the short -haul bookings during the year and a 21% increase in the quarter. Demand for short -haul destinations such as China, Vietnam, Cambodia and Japan continues to be very strong. Long -haul growth for the full year, whil e positive, remains subdued, largely due to the impact of 2 big seasons impacted by the various evolving geopolitical conditions along with the pressure on supply and pricing.

Our domestic portfolio was also impacted during the year from the start due to the Pahalgam attack, the unfortunate Air India crash and the overall uncertainty due to the geopolitical issues and the absence of Kumbh in Kashmir, which got impacted on the do mestic front. However, our focus on this segment has been to concentrate on select markets such as Bhutan, Andaman and the Pilgrimage travel, which is Char Dham, Kailash, Ayodhya -Varanasi, Muktinath. In fact, SOTC has partnered with Anuradha Paudwal to pro mote its Darshans - the spiritual packages portfolio that we operate.

Our results are thus a result of our model being agile and proactive initiatives in this area . We pivoted quickly to respond and actively sell alternate long -haul destination, doubled down on our eastbound short -haul, leaned into domestic travel and meaningfully expanded our pilgrimage travel proposition. These weren’t reactive patches – they were deliberate strategic redirects , made quickly and executed well by our teams.

During the quarter, we continued to strengthen our leisure portfolio through multiple customer - focus ed initiatives.

We launched the Bhutan Charter flights , ex-Bangalore and Ahmedabad to capitalize on the direct connectivity and growing travel interest to the destination. I'm happy to report that the charter flights that we are operating for Bhutan has been completely sold out.

We also introduced TravSure, a pioneering travel protection initiative designed to address the evolving realities of modern travel and provide customers with greater confidence and peace of mind. We also launched an industry -first visa rejection cover , a pioneering groundbreaking insurance solution that safeguards travel lers against financial loss arising from visa rejections.

In terms of forward -booking, as we speak, short -haul remains the preferred choice and the reasons are fairly straightforward. Airfares, decision -making happening closer to travel date and visa process are less of a hurdle. In an environment where our confidence is still finding it’s footing , this combination matters more than ever.

Geopolitical tensions have materially impacted travel demand with long -haul forward bookings witnessing weakness, especially in the European destinations and some part of our eastbound destinations, including a complete drop in volumes in UAE and CIS marke ts. We are seeing airfares surge by 30% to 50% on most westbound routes.

Coming to the B2B businesses, which account for 73% of our reported travel number, the full year show ed a moderated 2% increase in sales and the quarter declined by 18%.

Important for me to reiter

ate certain events that were present in Q4 last year, which we had also discussed in the earnings call previously. We had about INR 100 crores of business from the government on the India MICE side, which was not available in the current quarter . We also had about INR 100 crores of MICE sales that happened in our destination management business in Dubai, which is Desert Adventures, which was not available in the current quarter.

Now if you look at our Q4 results, this is a combination of the above events as well as the impact of the US-Israel -Iran war, which directly impacted our operations in Desert Adventures, which is our destination management unit in the Middle East.

To break the B2B travel segment further down, our India DMS portfolio grew by about 5% during the quarter. The business had a healthy Jan and February, which was partially offset by the weak March sales, as was the case with other units. On the international DMS side, revenue increased by 3% in the year and saw a decline of 24% for the quarter. Let me quickly l ist down some of the performance drivers here.

The largest impact of the geopolitical instability is visible in the number for our Desert Adventures operations in the Middle East, which declined by 50% in the quarter, along with volume shortfall due to the absence of large MICE events. The other entities have helped offset some of this by a relatively good performance.

Noteworthy amongst them is Asian Trails, which is in the Asia Pacific region, saw the revenue improved by 18% during the year and 6% for the quarter, led by a strong performance in Thailand and Malaysia and some part of our China operations. This was parti ally offset by geopolitical disruptions impacting European source market and the Middle East transit routes.

Allied T Pro, which is our operations in the U.S., saw its revenue growing by 9% during the year and 12% in Q4 FY '26, supported by higher volumes despite continued challenges in the U.S. inbound travel, driven by visa and uncertainty in those markets.

Private Safaris in Southern Africa remained strong with revenue growing by 23% for the quarter and 34% for the full year, while East Africa saw an 87% increase for the quarter and 18% for the full year, supported by peak season demand and sustained momentum from chartered operations and demand from key markets, including U.S.A. and India.

Coming to the next category in the B2B segment - MICE. The segment reported a 2% decline during the quarter, and I did elaborate is due to the absence of government events being a one -off event that happened last year same time. However, if you look at the breakup we have provided on a full year basis, our corporate MICE business has increased by 6% for the full year and increased by 21% in the current quarter. Having said so, we are seeing our H2 pipeline building up well. There is a bit of wait -and-watch approach that corporates are taking at this point in time and hence, we believe that some of this demand will come back and translate in the latter half of the year.

The last segment is the Corporate Travel, which has reported a turnover of INR 27 billion and a reported revenue of INR 1,541 million for the full year, which is a 19% increase Y -o-Y and 28% growth in revenue during the quarter. I reiterate this segment is the only travel segment, which is reported on a net basis.

In terms of our portfolio, we have about 8,000 corporate clients with digital adoption of over 30% amongst them. We acquired 8 new accounts in Q4 FY 2026 across financial services, automobile, telecom and energy sector, and 4 new large corporate accounts are in the pipeline.

Our air volume recorded a growth of 7.3% Y -o-Y in Q4 FY 2026 and 4.8% for the full year of FY 2026, of which international air volume growing by 19% Y -o-Y in quarter and 7% for the full year.

If you look at the non -air part of our business, hotel volumes

and transaction grew 7.6% and 10.7%,
respectively, Y -o-Y in Q4 FY 202 6.

Before I hand over the call to Vikram, for his comments on Sterling Holiday, I just want to say the environment currently is very volatile with customer sentiments being very low and travel decisions shortened. We are witnessing a softened forward -booking pipeline, where in the near short -term the large volumes coming out of long -haul will not be completely substituted by short -haul and domestic.

However , we continue to create offerings both from a product and pricing perspective, mindful of the elevated input costs and give more options for our customers to make that holiday decisions. Our focus continues on prudent revenue management and tactical cost optimizations to tide over the current geopolitical environment.

With this, I'd like to hand over the call to Vikram, for his comments. Thank you.

Vikram Lalvani: Thanks, Mahesh. Good afternoon, ladies and gentlemen. My name is Vikram Lalvani. I'm the Managing Director and CEO of Sterling Holiday Resorts Limited. I'm also joined by my colleague, Mr. L. Krishna Kumar, who is the Chief Financial Officer. It's a pleasu re speaking with all of you again and thank you for joining us today as we present Sterling's performance for the quarter and the year ended March 31, 2026.

FY '25 -'26 marks a defining year for Sterling, a decisive inflection point where scale, profitability and balance sheet strength have expanded simultaneously, not sequentially. We are now operating at a sweet spot of scale, where incremental growth is incr easing margins and cash.

Over the last few years, Sterling has consistently demonstrated sustained growth with improving operating leverage. This reflects the structural improvement in our business model and the benefits of scale now flowing through meaningfully into profitability and cash generation. I'm pleased to share that Q4 FY '26 was another record quarter for us across all key operating and financial metrics. Sterling delivered its best ever Q4 number, EBITDA and profit before tax. Just a few highlights on the Q4 FY '26.

The total revenue for Q4 FY '26 stood at INR 1,408 million, registering a double -digit growth of 14% .

EBITDA grew 10 % at INR 348 million. PBT increased 18% to INR 207 million. With this, we completed

our 25th consecutive profitable quarter. Our cash reserve stands close to INR 3,400 million, while continuing to maintain a completely debt -free balance sheet.

The resort business continues to be the key engine driver for Sterling's growth, clearly demonstrating the success of our strategic transformation that we've undertaken a couple of years ago towards a focused hospitality -led operating model. Room revenue f or the quarter grew nearly 40% at INR 672 million.

Occupancy improved to 64%. ARR increased by 12% to INR 6,347 and the RevPAR increased 16% despite a 20% increase in overall room inventory. Despite weather conditions disrupting Q2 and this being our first full financial year after the sunset of the membership acquisition, for the full year FY '26, Sterling delivered a total revenue of INR 5,487 million.

EBITDA stood at INR 1,701 million, and the margins are healthy at 31% . Our profit before tax is at INR 1,142 million with PBT margins of 21%. The core revenue generation of the company is now sustainably driven by the resort business and operating hospitality platform, reflecting strength, sustainability and maturity of our transform ed business model. As we had indicated in our earlier earnings calls as well, we expected H2 performance to be stronger than H1. I'm pleased to share that this guidance has played out well.

The two record quarters in H2, that is Q3 and Q4, enabled H2 revenues to outperform H1 revenues by 21% and over. We now have 78 resorts, hotels and retreats, approximately 3,800 rooms across 65 destinations in India. We added nearly 1.5 resorts o

r launched 1.5 re sorts per month last year
and almost 33 resorts over the last 24 months, a 29% CAGR growth in resorts over the last 2 years. Our expansion journey continues at an accelerated scale. We expect to cross 95 resorts and 4,500 rooms in 2027, with more t han 20 sign -ups in our pipeline actively coming on board.

Our focus is on Tier 2, Tier 3 high -growth business cum leisure corridors. Today, 62% of our rooms are P&L led, while 38% of our rooms are managed inventory. As we scale further, we are consciously optimizing our portfolio through a judicious mix of P&L -led growth and an asset -light expansion, which is what we've been saying in an asset -right model.

This strategy is supported by disciplined sweating of our own ed assets as well over the last few years, which continues to drive sustained top -line and bottom -line acceleration. At the same time,

Sterling remains future -ready for any kind of expansions, including in greenfield developments across our 3 land banks.

Importantly, we have achieved this while maintaining healthy profitability metrics with an EBITDA margins of 31% and over and PBT margins of 21% combined with a debt -free balance sheet. Our cash reserves have grown at a multiyear CAGR of 55%. Delivering high growth with strong capital discipline remains a rare and differentiated combination, which we have attained.

On the operational front, Sterling continues to strengthen its brand and customer propositions as well. Our customer experience metrics continues to remain strong despite scaling with 30 resorts and 11 restaurants earning TripAdvisor Excellence Awards.

Sterling Kanha and Doon Diner, our restaurant at Sterling Mussoorie was also awarded the best of best in TripAdvisor, putting them in the worldwide top 1% in the category. We have significantly strengthened our operating frameworks, governance processes an d scalable systems.

We have leveraged technology by developing first of its kind custom -built Sterling ONE, powered by Distributed Ledger Technology on a BHP application, providing direct access to 7,000 travel partners and 360 corporates and over in India at this point.

Our technology is powered by AI to provide value -added interaction across the customer journey and provides us with deeper customer insights to improve our customer offerings. Having attained meaningful scale, we are now in a planning phase of a complete r e-architecture of the brand that should begin reflecting across customer touch points in the next 2 to 4 quarters.

In parallel, as you are aware, the demerger process from Thomas Cook has also been initiated. While we remain watchful of short -term headwinds like weather and impacts on input costs that may impact us, we have the resilience to weather such headwinds, as demonstrated in FY '26, and are confident that our long -term drivers remain intact.

Looking ahead, we believe the transformation phase is now largely behind us. We are entering the next phase of accelerated value creation. Sterling is now just not growing faster: it is growing better with greater predictability, stronger operating leverag e, increasing cash generation and disciplined capital allocation.

We remain extremely optimistic and confident for the year ahead, including Q1 of FY '27, and look forward to creating long -term value for all the stakeholders. Thank you once again for your time to listen and for your continued support and trust. Thank you .

K.S. Ramakrishnan: Hi, good evening, everyone. My name is K.S. Ramakrishnan. I am the Managing Director and CEO of Digiphoto Entertainment Imaging. First and foremost, thank you very much for giving me the opportunity to present the last quarter and the year performance.

As you can see, we've had, as Mahesh mentioned, we are one of the most affected in the group due to the current geopolitical scenario. Our Q4 FY2026 posted INR 194 crores top line against a INR

201

crores top line of a similar period in Q4 FY20 25, against which we also posted EBIT of negative INR 10 crores against INR 7 crores positive in the same quarter last year.

Throwing a little more light on what exactly happened in the quarter. I think it's a well -known news that the geopolitical scenario in the Middle East was the worst and affected the market a lot. DEI overall business was 50% depending and is contributed from the Middle East region.

Whilst the Q4, Jan and Feb were trending in the right direction, we were posting about 9% better performance than the same Jan, Feb of the previous year. March turned to be a train smash. This train smash was further quadruple d because it is supposed to be our best March in the last 5 years, as around Eid was falling on March in this year.

Had it been the norm, we would have posted another INR 40 crores to INR 50 crores over on the top line and an additional INR 8 crores to INR 10 crores on the bottom line, which have made our overall year look a lot better.

Having said that, in spite of all the challenges, this was partially off -setted by our Far East and APAC operations, where we have posted a fairly healthy, consistent growth. Hong Kong and Malaysia, as markets have done better than the past, we've had some new sites coming on board in that region too. So that helped us to parti ally offset the same.

Going forward, looking at this whole thing, the time in March also was very little for us to do any correction to save the quarter or the year in any better way. But immediately, the company has taken all possible steps on optimization and cost correction going forward, and that will be seen in the coming quarters as we trend along.

We have also a lot of automation that has been implemented within the company and across the markets. As I've been always mentioning about our new software solutions, that has finally gone fully live and has been stably operating for the last 2 months consistently across all our operation s. So WeC is now 100% live. This optimization will be directly helping our direct cost on people, on increasing our capture and our sales. The digital sales journey, as we have already implemented, is showing us a healthy trend of traction.

We have activated our WhatsApp channel, which is further helping us to boost some conversion, and we are seeing this through the markets that we are open. Middle East right now is slowly just coming out of it. I think what we forecast going forward would b e approximately a 50% to 60% recovery towards the end of the year.

That's how Middle East looks like. Whilst doing that, we will be staying focused on penetrating our existing markets in the Far East and opening new locations within the markets that we're already operating, thereby helping us to better our margins and als o optimize our cost.

We are hoping to see sizable betterment as these quarters go along, although I would resonate with what Mahesh said that we do not see this year anyway getting or delivering what we had thought it was supposed to, but our aim would be to make sure that we still make money and trend ourselves into the coming year where we can still step up and live up and deliver what we are supposed to be delivering, in the year 2026.

That's all from my side. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have first question from the line of Soumya S from Insightful Investment.

Soumya S.: So, my question was regarding the Sterling Resort. As we have been adding hotels and number of rooms Q -on-Q and Y -o-Y, I just wanted to know if we expect a like -for-like improvement in occupancy in Q1 and how Q1 has been so far?

Vikram Lalvani: Okay. Soumya, this is Vikram Lalvani. Thanks for your question. So , I'd like to split your question into 2 parts of answers. One is I'll answer it in form of a Q1 outlook that you're looking

at. I think in general, as I said, we are extremely optimistic about Q1. As we are in Q1 as of now, we see no headwinds, fortunately.

And I think we will have a good healthy Q1. Number two is, having said that in terms of the scale that we've attained, we added 14 resorts last year and another 14 or so year before last. And despite that, we have started showing improvements in occupancies from 61 to 64, even with the increased supply base.

So that's the thing. From a leisure business, again, I've been maintaining that a good occupancy for the entire year , it will be approximately 65, closer towards 70. That's a good optimum occupancy to maintain and hold. Obviously, it will vary season to season as Q3 for us is the strongest season now since the last 2 years, it is the strongest quarter. Q1 is also a strong quarter.

And Q4, which we just concluded, emerged a dark horse and a very strong quarter for us. So, I think the opportunity is further there to scale both in terms of supply and to get to the occupancy of 65% to 70% through the year. I hope that answers your question.

Soumya S.: I have just one more question. This one is regarding our outbound travel. So short haul has seen stronger growth for the year. And I just wanted to know if currently, like in Q1, we are seeing the same trend because long -haul being subdued, I understand what the reasons have already been highlighted?

Mahesh Iyer: Soumya, I think I kind of addressed that question in my remark, but I will reiterate that. Yes, we are witnessing double -digit growth as far as the short -haul business is concerned. And that's obvious reasons because people are looking at destinations which are closer by because time taken to make that decision and the availabili ty of visa and such things are far more easier for the short -haul destinations.

Also , you'll appreciate that a lot of the short -haul markets are eastbound, and that's where most of the traffic is currently traveling to. So yes, to that extent, the short -haul is looking promising at this point in time. The pain is on the long -haul side, mos tly Westbound, long -haul. However, the volumes are currently subdued.

Moderator: Next question is from the line of Heer Gogri from Choice Institutional Equities.

Heer Gogri: I wanted to understand that the war impact is evident, but that was in Q4, but overall in FY '26, we see India DMS grew only by 3%, also domestic B2C degrew by 14 % in FY '26. So, any other reason that you want to highlight apart from the war that is already evident? And following up, how do you see Q1? Do you see any recovery in the travel industry overall?

Mahesh Iyer: So, you had multiple questions. I'll try and address each one of that. To begin with, I think on the domestic side, as I alluded in my opening remarks , the year began with Pahalgam and Operation Sindoor. So , that impacted because especially it was a big market for us. It was roughly about 18% - 20% of our domestic portfolio, which got impacted during that period.

Hence, that volume was not available. If you look at specifically at Q1 or Q4 comparison for FY '26 and compare it with the previous year, so the impact of Kashmir , we also dealt with the Kumbh Mela, which was available in the previous year, which was not transacted this year. So, this is the comparison point as far as the domestic is concerned.

So, impact coming from Kumbh that was the previous year, and the shortened cycle on Kashmir, I think these are the 2 large impacts. If I have to kind of exclude that or include that in whichever numbers that you want to do, FY '25 or FY '26, you'll actually s ee a growth, which will be more like a double -digit growth that we'll see on the domestic side of it.

Coming to your point on the overall landscape as we see in Q1 of FY 2027, our belief is that the short -haul and domestic will witness growth. The short -haul, as I mentioned previously to th

e

previous question also, short -haul is continuing to grow at about at a double -digit pace. The domestic market is also growing. I think it's the long -haul where we are seeing a subdued demand. And that's for the obvious reasons that we all know.

I will also qualify here that the volumes that we do on short -haul and domestic does not completely offset the volume shortfall coming from the long -haul, because long -haul are large, high -priced products or large ticket size ATVs that we call it. So, to that extent, there will be some amount of reduced volumes that we are currently seeing in our forward booking.

Having said so, the category that we operate, which is discretionary by nature, is also a category where people do not cancel. It's more like postponement. So, our belief is that if the impact of the war is kind of settling down very quickly, you will see this demand coming back in the latter half of the year. And that's the view we have at this point in time.

Heer Gogri: Just for leisure part. Could you also please talk about the corporate and MICE part? I think you mentioned that you're seeing a strong demand there. But are there any expected slowdowns for Q1 with regards to the war impact? And any new partnerships that y ou've added?
Mahesh Iyer: So currently, on the Corporate Travel side, we aren't seeing any reduction in volumes. They continue to trend at similar trend lines that we have seen in the previous year, which is a 7%, 8% growth that we have seen. So, I don't think that's getting subdued. On the MICE side, yes, as I said, the decisions are getting delayed. So, a lot of it is a wait -and-watch approach.
There could be a quarter -to-quarter shift. But again, as you will appreciate that MICE is more like a reward and recognition program or a sales initiative for a lot of corporates. Hence, these are committed costs. It's just the timing of when that will happ en. So, my expectation is that a lot of that will come back , probably if it's not happening in Q1. It will happen in Q2 and Q3.
Heer Gogri: One last question from my side, if I may. I think we have a cash net of debt around INR 800 crores to INR 1,000 crores. Could you highlight how is this going to be deployed or do we have any strategy there? Like I think you mentioned new automation. I think that would be one area. Anything else that management has in mind?
Debasis Nandy: This is Debasis Nandy. To answer your question, yes, you're quite right. We have a large net cash. So, I would rather use the word net cash rather than anything else. And at a net level, yes, it's about close to about INR 800 crores, which is the number that we have also talked about. Now what we intend to - obviously, we have some plans of that for capital expenditure, which is into software basically - technology. Because as you know, travel and not only travel, even other parts of our business, notably financial services and DEI depends a lot on technology.
And therefore, there will be increasing investment in technology. That's one. We also would like to sort of pay off our debt, which will be possible over the next couple of years because there are some long -term loans, which has fixed payment periods.
Apart from that, as you know, we have grown through acquisition. We have grown inorganically in the past. And if there is any opportunity for growing inorganically, we'll avail of that. If there is a suitable opportunity, which fits our criteria in terms o f returns, etc., then we will look for such opportunities.

Moderator: Next question is from the line of Ms. Purva Zanwar from 360 ONE Capital Markets.
Purva Zanwar: So, my question is on the financial services segment. If we see our gross turnover in FY '26 has grown by about 8%, with retail turnover up 10%, yet our reported revenue declined by 0.5%. Does this indicate increasing margin pressure or deliberate strategy to trade margins for mar

ket share gains?
Mahesh Iyer: So Purva, I don't think it's a straight answer like that, to say are we trading margins? No, there are some practical call s we take with regards to how we grow and acquire and you will appreciate that when you are in a digital business, some of it is optically visible to the customer, and hence, there is some trade -off that happens.
But I think it's more to do with the mix of business that we transact. While the volume will look the way that you said, it's about 8% on the mix side of it, because if your concentration on wholesale versus retail, retail versus corporate, shifts, I think there is a likely shift that happens on the margin side of it. The second one, and I said this before, we report our revenue on a net basis.
Now there are these education consultants and franchisee business that we operate where there is a revenue share. So, while we get the gross revenue, there's also a revenue share that happens with them. And then those are also reflected in the net revenue that we report. So again, as I said, there is no margin pressure. There are no challenges on margin.
Our retail business continues to operate in the range of about 2% to 2.2%. Our wholesale business continues to operate about 0.6% to 0.7%. And I don't think those margins figures have changed over the last few quarters.
Purva Zanwar: Second was that earlier we used to guide for around 5% EBIT margin in the Travel segment. So, given this shift towards short -haul from long -haul, do we maintain that 5% guidance or it will take time to achieve that?
Mahesh Iyer: Look at it this way, Purva. Whether I sell short -haul or I sell long -haul, our gross margins are almost the same. They are not too different in that sense. It's just that the unit value of a short -haul as compared to long -haul is different. So, to that extent, as an arithmetic, this number would look lower.

And look, this shift is currently happening. We don't know how long this shift will happen. And we've seen gradually more like a short -haul dominated kind of a travel sentiment that has emerged over

the last 2 or 3 years. So, I think in that perspective, I would think the 5% that we have said is our objective to get to is not getting disturbed. While there will be temporary setbacks that may come because of the geopolitical, the cost pressures and stuff like that because our endeavour also is to push the ma rket, make them travel.
There are some tactical calls we'll take. And as you would have seen in the media, we've gone to the market with attractive price points, we are offering cash backs and stuff like that. So, there are some tactical calls that we take, which does protect or kind of put some pressure on margins, but those are well planned and kind of tactical in nature. But I think the long -term trajectory on margin remains intact. Also please remember, when we spoke about the 5% EBIT margin on the travel business, was also b ased on our DMS operations getting profitable.
So, we've had this vagary like you would have seen what happened in Desert Adventures, 1 quarter kind of impacted the full year. And these kinds of impacts have sobered. Their contributions don't come in and kind of drag the overall EBIT for the Travel segment. So yes, it's not a one size fits all kind of an answer. It's more like to do with the B2C side and within B2C short -haul versus long -haul and within B2B, some segments which have taken the larger role of the geopolitical impact.
Moderator: Next question is from the line of Chetan from Systematix Group.
Chetan: A couple of questions. First on the foreign exchange part. In fiscal '26, we have seen comparatively better growth in education and holidays segment compared to the industry. How should we see this going forward in fiscal '27? And RBI has recently issued revised norms for entities dealing in foreign exchange. So, any positives or drawbacks for us in t

his?
Mahesh Iyer: Thank you, Chetan, for asking that question. I should have covered that in my commentary, but thank you for asking that. First let me address the first question, which is on the Education segment. As I mentioned, I think it has been one of our strongest year as far as the growth on the Education segment is concerned, actually driven by a lot of partnerships that we have, the NBFC partnership that I spoke about and also the agency network that we have through which we source this business. So, I think it's been a strong growth for us.

Also, we have segmented this m arket. As you know, we have a prepaid card offering, specifically focused on the student segment and a lot of benefit that we have offered to the students, specifically targeting this market. So, despite a difficult environment where there have been challenges in the U.S., in the Canada market in terms of intake of students, we have managed to increase our market share in the overall student segment.
My estimate is that for FY '27, we will continue to see this trajectory because some of these partnerships we have just signed, they have not traded for the full year, and the full year trading should reflect a better performance for FY '27. To the second part of the question, which is on the recently issued notification from RBI.
Yes, it's a big positive for us. One is because our license, which is an AD2, largely is a current account - based transaction license. What it has allowed or what the circular talks about is that we can now undertake capital account transactions, by definit ion, trade transaction up to INR 25 lakh per transaction.
So that opens a new avenue of business for us, which currently is outside the ambit and was always a domain of banks. So now we can actually be in that space where we can do trade -related remittances, and you'll appreciate that there are a lot of SME, MSME companies who do a lot of remittances.
And given our partnership, both on the forex side, which is about 1,100 corporates & on the Corporate Travel side, we have about 800 relationships. We have a captive base to whom we can now start offering trade -related services also.
The second advantage or the positive that I see is that RBI is now not going to issue fresh F FMC licenses. So, what's going to happen is the current universe of 1,500 or 1,700 licenses that are there in the market are the only ones who are going to exist.
No new operators are going to come in. So that kind of becomes restrictive in that sense. But also, I think increasingly, the message RBI is giving is that they want to regulate a few entities, which is the AD1, AD2 and they have spoken about a new category called as AD3, specific to where they will provide foreign exchange services, which are relevant to the category of business that they deal with. So, I think it's kind of redefining the landscape. And I think our foreign exchange business should benefit o ut of this one.

Obviously, a lot of fine line still needs to be defined. And I think RBI is kind of actively working on it and is going to roll out a paper on it, which will give us more direction in terms of how this will be

operationalized.
Chetan: Second question is on DEI. So, the business operates around in 14 countries with UAE contributing around 50%, which is significant geographic concentration. So, any plan ned strategy to reduce this concentration? And which geographies do you believe have the highest growth potential ahead?
K.S. Ramakrishnan: Yes. I think, yes, we do operate in 14 countries, but in significantly of sizable nature, we operate in about 5 -odd countries, which Dubai is one among them. Dubai takes 50%. Our strategy right now would be to focus on the other markets , where we are already operating, namely Singapore, Malaysia, Indonesia and a good amount of Egypt and India also, and Thailand. So those are the markets where we are

focusing on increasing.
We do have options of going to new markets, but that may not be the best time to do that because the cost structures are higher when you start new. We still have bandwidth available within these markets where we can grow further. Singapore, we hold about 85% market share. So, we have some more opportunity to grow there. But Malaysia and Indonesia are sizable in nature.
In fact, just as we speak, we've signed up about 15 new potential partners in the coming 6 months that we'll be opening in between Indonesia, Singapore, China, Macau and Hong Kong.
Moderator: Next question is from the line of Anil Shah from Insightful Investments.
Anil Shah: My question is related to Sterling. So Mr. Lalvani, I'm just looking at your presentation, Slide 39. At the end of FY '23, we had about 2,420 rooms. And in FY '24, which is for those 2,420 rooms and whatever addition that you would have done in '24 during the course of the year, we saw the highest EBIT of almost INR 137 crores, after which we've added almost 1,200 to 1,300 rooms from there, maybe even more . We are now at 3,800.
But our EBIT continues to actually be steady in terms of INR 129 crores over the last 2 years, in fact, a decline from FY '24. So, I'm sure there are lots that's going on. One of the reasons which I obviously think probably is the guest ratio was 69%, which has gone to 75%.

So, you would have some member fees, which are not there any longer. But we are not seeing growth. While we are seeing number of rooms, number of resorts, our footprint going up, I'm not seeing that percolating to EBIT. Could you just throw some light?
Vikram Lalvani: Let me just tell you in 3 or 4 factors here. Now over a period of time, as I said, the revenue stream on member acquisition - actually we've stopped the member acquisition. So that revenue stream is down. Similarly, on the other hand, we've been trying to ramp up the number of resorts and each of these resorts do have a ramp -up time involved. I've explained this also a little earlier that whenever you open a resort, it takes 3 or 4 months to ramp up.
And in fact, you get an upfront cost even before you start earning the revenues in these resorts. So, there is always a lag of 2 or 3 months there. In a ramp phase, you will face these aspects of lead and lag.
And we've also substituted a lot of the business model, which is predominantly membership driven into now predominantly resort driven, which is now almost 85% -90% of the overall game. So, in these whole aspects of phase or scale , when we had a couple upfront costs quarter wise , we've actually maintained the EBITDA margin.
That's the level there. As I said, now as we keep scaling, it's only going to increase because of the fact that we've actually transformed this whole model here, number one.
Krishna Kumar : While the ramp -up of the new leased resorts happens over a time frame, some are seasonal in nature like Rajasthan, the depreciation on the ROU asset, which is actually affecting our EBIT actually is from month 1 itself. And the depreciation for these resor ts are quite on the higher side.
So that is another reason why you will find the EBIT slightly dropping in FY '25. The other reason is , this is the first full year of where we don't have any membership acquisition -related revenues, first full year. So, the good news is that we're able to hold on to EBIT.
We're also able to increase our cash flows without any of those membership acquisition -related revenues coming into our revenue stream. So, these are 2 reasons. But the good news is EBITDA margin at 31% and 24% of EBIT margin, I think we are holding on. That is something good for us, which is purely coming from resort business, we only build up from there.

Vikram Lalvani: As we keep going ahead, the scale will start altering, yes.
Anil Shah: So, I mean, if we assume that we won't grow, let's say, in FY '27 a

nd just keep the rooms
at 3,810, where do you think we can actually make in terms of an absolute EBIT? It's a hypothetical question.
Vikram Lalvani: I know it's a hypothetical. Let me answer this in a way. See, typically, I'm talking from an EBITDA point of view, right, first because that's a real operating story. From an EBITDA point of view, typically, anything between 32% to 35% or 36% is a great EB ITDA, right? And seasonality, it will vary from quarter -to-quarter, as I said, quarter 1, quarter 3 will have a different equation to it. So, anything between 32% to 35% range is actually a very stable range. And we will continue to maintain that stable range.
Krishna Kumar : So, if your question is 3,810 rooms have to remain constant, where do you get your EBIT from, right?
Anil Shah: Yes. EBIT or EBITDA, absolutely. Sir is giving me margins , which means that I need to now then predict revenues. Now revenues could be a mix - some of them are owned, some are managed, some are leased?
Krishna Kumar : To demonstrate , Q4 revenues , if you have noticed, you would have seen an increase in occupancy, you would have seen an increase in the ARRs. These 2 factors on a constant 3,810 rooms will definitely help us get the revenues up in the current financial year. And we are already seeing that happening in the month of April, and to some extent in May also.
Vikram Lalvani : Even if you say that , 67% of our total equation is P&L -led roof. So it's not over asset -light either. It's a well -balanced portfolio, and we will continue to keep that portfolio well balanced. So as and when the occupancy , & ARR, the RevPAR scales, this will automatically scale even now at a flat 3,800. And you also have the ramp -ups of those other 14 , over a period of years, which will compete on e full year also.
Anil Shah: My second question is on the DEI. We obviously, nobody saw this coming, the war and peak season in Dubai. So, we've got a INR 10 crores, I think, an EBITDA or an EBIT loss . Is that something that's done and dusted and behind us, we've taken corrective actions to make sure that

going forward we will not see these kinds of losses despite the situation, and geopolitical remaining constant in Q1, Q2 and so on and so forth, sir?
K.S. Ramakrishnan: Well, firstly, the time given was too little. So obviously, March was too late. This happened on 1st March or 28th February to be precise. So the corrections have been done. Currently, what we look at is overhead corrections on people, low -cost and cost of moving certain parts, but all those takes time.
It won't happen overnight. Even correction of people takes 30 days to 60 days period of notice, etc. So, to answer your question, it is not done and dusted, but also it will not be continuing in the same form. It will reduce; we have to stabilize it. And as long as we are confident that the business will come back, we can only do as much as required so that we can recorrect quickly.
We don't see a quick comeback. But as I told you all that we see a 50% to 60% come back, we are restructuring ourselves out to sustain and deliver that number and therefore, also go into other areas of optimization, like our IT optimization.
We're doing a lot of utilization of AI to reduce a lot of the IT services overheads, etc., balance some license versus owned models for some of the third -party services that we are taking, correcting some property area costs and marketing and automation on outsourcing. All of these are being done simultaneously. You will see that quarter -by-quarter, the number reducing and then effectively coming back to positive.
Debasis Nandy: Ram, if I may add to this. So , Mr. Shah, Debasis here, and just wanted to add to what Ram is saying. So, as Ram detailed in the last few minutes, we have taken a series of actions to optimize our cost on both the direct as well as on the indirect side. And each of

these actions
would lead to some sort of cost reduction, etc., but it would happen over time, o ver the next couple of months.
However, one thing that we can't do much about is the actual situation on the ground in terms of travellers coming into the Middle East, which is the affected area and consequent footfalls into the relevant parks or the sites.
So, the top line is something that we are still dependent on the ground conditions, on -ground conditions. So that is something that's not in our hands. Cost side, we will definitely see

improvement. And as and when this current situation eases or gets resolved, we will see the business bouncing back into profitability.
And when it bounces back, it should bounce back stronger because the changes done at the cost level are of long term in nature and therefore, should help us over the years. And it's not just

onetime improvement.
Anil Shah: One last question, if I may, sir. I think in the presentation, we have talked about having cash and equivalents of about INR 2,600 crores and somewhere in the presentation, we've also talked about INR 1,600 crores of float minus the debt of INR 277 crores. So net cash with the company as of now should be closer to about INR 730 crores - INR740 crores. Is that correct? That's net cash.
Debasis Nandy : That is correct. Yes.
Moderator: Next question is from the line of Ananya Khanna from Alpha Alternatives.
Ananya Khanna: I have a couple of questions. Firstly, I wish to understand why there was a drop in the performance of the financial services segment at both the top line and the bottom line level? Secondly, I want to understand how you plan to tide over the impact of mon soon as far as the resort segment is concerned? And third thing, if we could get some clarity on the timeline for the demerger, that would be great.
Mahesh Iyer: Yes. So let me pass your questions, Ananya. And I think I'll take one part of the question. I'll let Debasis comment on the timelines for the demerger. And then I'll get Vikram to come back and talk about the effect of monsoon and stuff and how he's prepar ing for that.
First, your question on foreign exchange and why the performance has been lower in the quarter. I think we spoke about it at great length, even in my opening commentary. If you look at for the quarter, I think it's a good performance. I think it's a growth both in terms of revenue as well as EBIT and an improvement in the EBIT margin. If you look for the full year, it's a little flattish, and that reflects the trend.
And I think that I alluded to the point that we've operated in an environment where 2 of the conflicts that emerged, one, the domestic conflict, which is Operation Sindoor of the Pahalgam attack and the international conflict, which is the Israel -Iran-U.S. conflict. I think both of them ended up in some

kind of peak of our travel seasons, one which is the inbound season, one which was the outbound season. In both this, foreign exchange is a byproduct for both. In one case, I buy foreign exchange. In one case, I sell foreign exchange. So, I think if you are looking at the full year, you are looking at more like a 9 - or 10 -month year rather than a 12 -month year because it was impacted. Now with that impact also, it's not just the impact to the business that would have done, it also impacted the sentiment. So obviously, people who are willing to travel, and I can't even anticipate what that number was, they didn't travel or they didn't make the decision to travel. And hence, the business got impacted.
But I think the noteworthy part, if you look at the full year performance is that we held our EBIT at about INR 149 crores for the full year. And if you look for the quarter, we actually grew by about 17% despite the challenging environment in the current quarter. So, I think there are some positives that we have seen.
At the same time, there are extern

al challenges which we could not have done anything about. And
a large part of our business, if I look and I kind of correlate this to the market data that I mentioned about, the LRS data, which showed a degrowth in the ov erall market, but our portfolio grew .
On top of it, just to give a color to our float balances that we have, roughly about INR 16 billion. You compare it with what we had as of December, it's the same number, which means that our customers are not spending, the money is still living on the card. Customers are not traveling and such spends are not happening. And that's why the float are accumulating. So, I think it's a reflection that we haven't lost anything out there.
It's just that the sentiment has been weak. I think despite that, the quarterly performance has been strong.
Debasis Nandy: Yes. So when we took the Board approval for this particular demerger project, we said that it will take us 12 to 15 months. The project is currently on track. We have applied to the NSE and the BSE for relevant approvals, and we are in touch with them, ans wering the queries as we speak. We expect this process to get completed by Q1 of FY '28, which was the original timeline that we had intimated.

Vikram Lalvani: Let me step in here , on the question on monsoons. Let me answer that. We can only hope that the rains are not too furious in quarter 2. But having said that, there are 2 parts to it. One is an asset protection.
So we are undertaking spends to ensure that in the event of a terrible monsoon, our assets are protected first. That's number one because in case there is any issues pertaining to that, it would cost us a loss more, which will impact us in Q3 to get this repaired.

So that is step number one that we are taking care of and we should be able to take care of that by mid of June. On the other aspect, if there is an issue, and what we've seen in the last 2 to 3 years, it normally tends to affect north of India. And especi ally Himachal, Uttarakhand, and maybe sometimes even Kerala.
It does tend to impact them. But that's why we see over a period of time in the last 3 to 4 years, our approach has also been to derisk by having a sprea -out portfolio through the country to the maximum possible extent. That's why incrementally every year, we are derisking the aspects of overdependence on one quarter or overdependence on one region.
In the previous earnings calls also I have mentioned that, during, the COVID time where Q1, for example, was the strongest quarter for Sterling, in the past maybe 4 -5 years ago, actually today is tilted to Q3 because of the fact , while the overall pie is growing because of the fact that the portfolio has expanded to other areas beyond the hills, say, for example. So therefore, as we go along, we are also derisking the portfolio dependence on one region or portfolio dependence only on one particular quarter.
Moderator: Next question is from the line of Mahavir Kasliwal, an Individual Investor.
Mahavir Kasliwal: I am more interested in the MICE business segment. And I just wanted to know how has it performed on a Q -o-Q and a Y -o-Y basis as per the revenue and profitability? And any updates you can give to me about the Q1 related developments in the MICE business you are seeing currently?
Mahesh Iyer: Mr. Mahavir, this is Mahesh. I'll take that question. As I mentioned again, I kind of covered a lot o n that ground when I gave an opening remark. I think from a MICE business perspective, this year has been good despite the headwinds that we have faced during the year.

If you look for the quarter and if I must exclude the government business that was done in comparable quarter of last year, our overall portfolio grew in terms of top line sales as well as profitability. We also mentioned that this was the year for the first time, the MICE business across Thomas Cook and SOTC had a gross margin in double di

gits.
Typically, this business operates at single -digit margins, closer to the 7% - 8%. And for the first time, we had a double -digit margin. It also shows how we have created experiences for our customer and be able to extract our pound of flesh in kind of giving better services and better experience to our customer.
If I look at the forward booking for MICE going forward, as I said, while for Q1, there is a little bit of, wait -and-watch approach that's happening, but the pipeline is strong. There is no dearth of pipeline in terms of inquiries that are coming from our customers. This is an integral part of the reward and recognition and the sales distribution program for a lot of our corporates.
And hence, I think there is always going to be a deferment and not cancellation. So, while you could see a shift from one quarter to another, overall, I don't think the volume will be missed in the financial year FY '27.
Mahavir Kasliwal: Lastly, can you like give me a revenue split in the B2B and B2C segment you have?
Mahesh Iyer: As we said, our B2C business is roughly about 27% - 28% and our B2B business is the balance 72% - 73% in terms of revenue.
Moderator: As there are no further questions, I now hand the conference over to management for closing remarks.
Mahesh Iyer: Thank you so much, ladies and gentlemen, for participating on this call. As I said before, FY '26 was marked by significant geopolitical disruptions at both the start and the close of financial year, effectively truncating our sales and operating period to be more like less than 9 months.
Despite these challenging environments characterized by air space disruptions, elevated costs and significant negative currency volatility, the Thomas Cook (India) Group delivered a very strong performance with consolidated income growing by 3% at INR 85,578 million.

Looking ahead, while the environment remains uncertain, we are cautiously optimistic that these will endure. Our focus remains on prudent fiscal management, leveraging technology for increased productivity and to deliver sustainable growth and value to our shareholders.
I'm also happy to mention this point here that our Board of Directors have recommended a dividend of INR 0.50 to INR 1 face value share, subject to approval of the shareholders. Thank you so much for participating on the call.
Moderator: Thank you. On behalf of the Thomas Cook (India) Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.